GRUPO BIMBO®

NOURISHING A BETTER WORLD

behind our actions

2023 INTEGRATED ANNUAL REPORT

behind

every

slice...

BAKED FOR YOU

...there is great

commitment

to achieve the best nutritional experience with simple and natural recipes

behind
every

BAKED
FOR

LIFE

master
baker...

...there is

passion

to make every texture, smell, and taste of our products a unique experience

behind

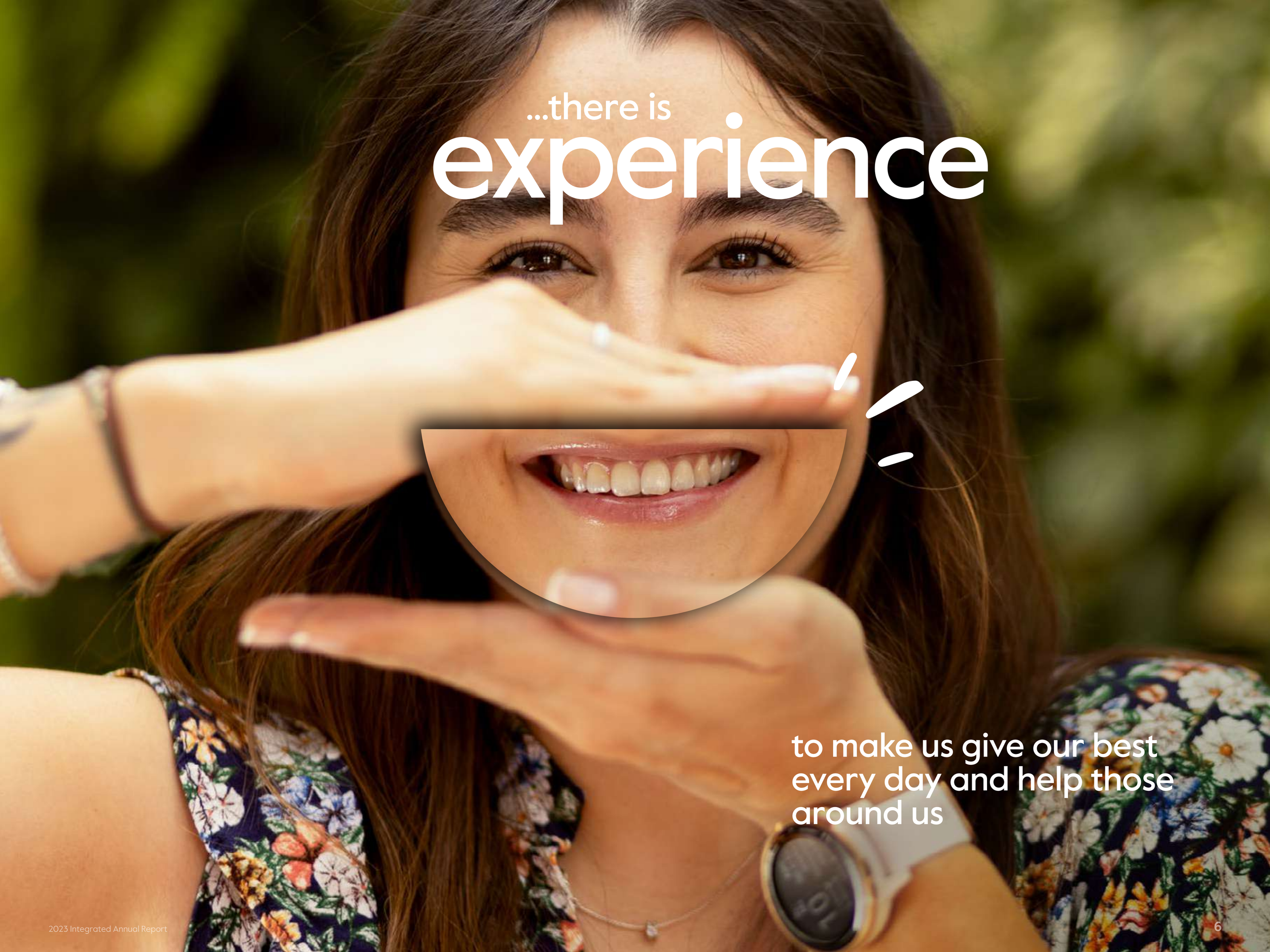
every

BAKED

FOR

LIFE

smile...


...there is
experience
to make us give our best every day and help those around us

behind
every

BAKED
FOR

NATURE

green
initiative...

...there is

responsibility

to build and live in a better planet

our purpose

to nourish a better world

GRUPO BIMBO IS THE LEADING AND LARGEST BAKING COMPANY IN THE WORLD, AS WELL AS A RELEVANT PARTICIPANT IN THE SNACKS MARKET. IT HAS 217 BAKERIES AND PLANTS, AND OVER 1,600 SALES CENTERS STRATEGICALLY LOCATED IN 34 COUNTRIES THROUGHOUT THE AMERICAS, EUROPE, ASIA, AND AFRICA. ITS MAIN PRODUCT LINES INCLUDE SLICED BREAD, BUNS & ROLLS, PASTRIES, CAKES, COOKIES, ENGLISH MUFFINS, BAGELS, TORTILLAS, FLATBREADS, AND SALTY SNACKS, AMONG OTHERS. GRUPO BIMBO PRODUCES OVER 9,000 PRODUCTS AND HAS ONE OF THE WORLD'S LARGEST DISTRIBUTION NETWORKS, WITH MORE THAN 57,000 ROUTES AND OVER 149,000 ASSOCIATES. ITS SHARES TRADE ON THE MEXICAN STOCK EXCHANGE (BMV) WITH TICKER SYMBOL BIMBO, AND IN THE UNITED STATES'S OVER-THE-COUNTER MARKET, THROUGH A LEVEL I ADR, WITH TICKER SYMBOL BMBOY.

mission

Delicious and nutritious baked goods and snacks in the hands of all

philosophy

To build a sustainable, highly productive, and deeply humane company

beliefs

We value the person
We are one community
We get results
We compete and win
We are sharp operators
We act with integrity
We transcend and endure

GRI 2-1, 2-6

+100 BRANDS

34
countries

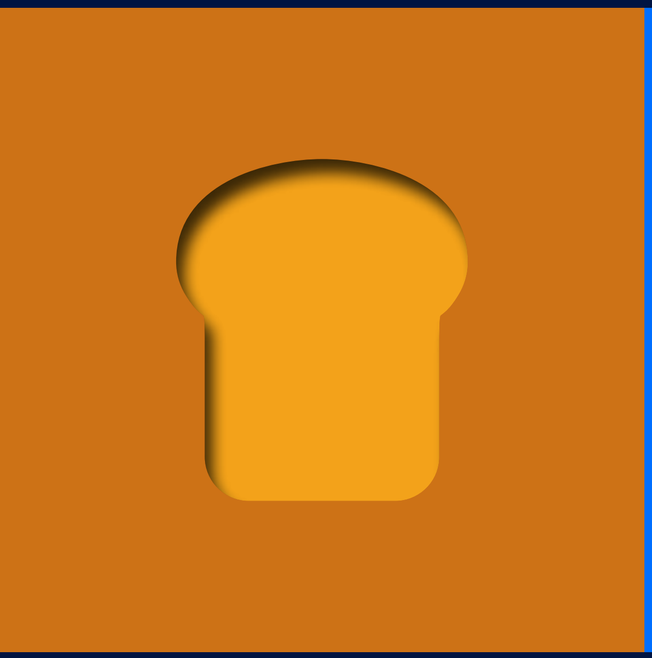
+9k
products

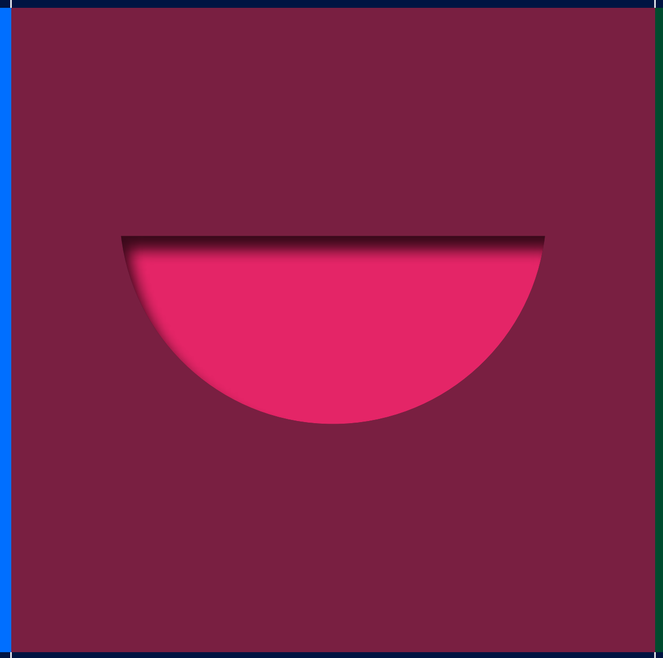
+57k
routes

217
bakeries and plants

+149k
associates

+1,500
sales centers





ARGENTINA · **BRAZIL** · CANADA · **CHILE** · CHINA · **COLOMBIA** · SOUTH KOREA· **COSTA RICA** · ECUADOR · **EL SALVADOR** · SPAIN· **UNITED STATES** · FRANCE · **GUATEMALA** · HONDURAS · **INDIA** · ITALY · **KAZAKHSTAN** · MORROCO · **MEXICO** · NICARAGUA · **PANAMA** · PERU · **PORTUGAL** · UNITED KINGDOM · **ROMANIA** · RUSSIA · **SOUTH AFRICA** · SWITZERLAND · **TURKEY** · UKRAINE · **URUGUAY** · VENEZUELA

Net Sales

+0.3%

2023 MXN **$399,879 mm**

2022 MXN $398,706 mm

Adjusted EBITDA

+2.8%

2023 MXN **$399,879 mm**

2022 MXN $53,446 mm

MESSAGE FROM **THE CEO**

dear SHAREHOLDERS

2023 was a historical year for our Company.

In a post-pandemic world, where people went back to their offices and the changes in consumer habits were secured or regressed, we achieved record results, thanks to our customers and consumers' trust.

It has been four years in which the resilience and extraordinary commitment of our associates, driven by our Purpose of Nourishing a Better World and always seeking to be Sustainable, Highly Productive and Deeply Humane, has made it possible that today, despite exceptionally unsettled times, we are almost 40% larger, we increased 2.2 percentage points our Adjusted EBITDA margin and our return on equity improved 170 percentage points to 14.1%.

The escalation of trade tensions between the main great powers, the volatility in raw material prices, as well as specific situations in the energy sector, influenced our operations. Even with these challenges, our company was able to adapt and remained resilient, holding our leading position in the baking industry. Bimbo, once more, was the most chosen food brand in Mexico. B For the seventh consecutive year, Grupo Bimbo maintained its ranking of the Best Corporate Reputation in Mexico, according to Merco. We are also proud that Ethisphere once again recognized us as one of the Most Ethical Companies in the World.

We continue to focus on satisfying our consumers, who are our true boss, while being a great business partner to our customers. As a result of our sustainability strategy, we made important product launches such as Bimbo Bread Flour-Free in Mexico, Nutrella Whole Wheat Bread with a new format in Brazil, Bimbo 50/50 in Spain and Good Zero Bread in India. Today, 41% of our sales are from products with a healthy nutritional profile and we seek to be a positive component in the nutrition of those who prefer us. Moreover, we are working in initiatives to support local communities across the globe.

We ended up the year with record results. Our Net Sales reached almost $400 billion pesos and Adjusted EBITDA was nearly $55 billion pesos. This implies growth rates for the year of 10.7% and 12.3%, excluding FX effect, respectively (and 10-year compound annual growth rates of 5% and 9%, respectively).

We continue to reinvest our profits, aimed at growing and improving productivity across our value chain. During the year, we executed record CAPEX investments of over $2 billion dollars; as a matter of fact, in the past 5 years we have invested approximately $5.8 billion dollars, 1.8 times higher than the average of the CPG industry. To boost growth and profitability in the long run. Moreover, we closed six strategic acquisitions that strengthen our product portfolio and operations in Canada, United States, Switzerland, Spain and Romania with Vel Pitar, which represented our entry to an attractive and high-growth market in our industry.

We reinforced our debt profile by issuing more than $1.8 billion dollars in the Mexican and international capital markets, including our first sustainability-linked bond in Mexico for $15 billion pesos, which ranked the first SLB in Latin America and the fifth for Scope 3 globally.

I am proud to highlight that during the year we had relevant progress in our ambitious Sustainability Strategy in each of its priorities:

BAKED FOR NATURE:

- 92% of the electricity we consume globally already comes from renewable sources. In fact, 27 out of the 34 countries in which we operate, are fully supplied by green sources. With this, we reaffirm our commitment to have 100% renewable electrical energy by 2025.
- We reached approximately 170,000 hectares on fostering Regenerative Agriculture practices in North America and Mexico. By 2030, we remain focused on contributing to sow more than 200,000 hectares of wheat with regenerative practices. Likewise, by 2050 we aim at 100% of the key ingredients used in our products to be sourced from lands following regenerative agriculture principles.
- 18 water treatment plants were installed and improved globally, achieving 96% reuse of treated water.
- 94% of waste generated globally in our operations is recycled. In addition, we have 67 bakeries with zero waste to landfill.
- During the year we added 1,262 electric vehicles to our fleet, which will contribute to reduce 16,084 tons CO_2 emissions in our logistics. With a total of 2,693 electric vehicles, we are the company with the largest green fleet/transport in Latin America.
- We were recognized with an "A" rating by Carbon Disclosure Project for our global actions to mitigate the effect of climate change.

BAKED FOR LIFE:

- We successfully held the Bimbo Global Race, where we had more than 330 thousand runners, of which 114 thousand did so virtually in 89 countries. Thanks to this massive participation, we donated more than 2.8 million slices of bread to food banks around the world.
- We increased by 27.6% female talent in leadership positions compared to 2022, we continue working on actions that will allow us to achieve our goal of 40% female talent in leadership positions by 2030.
- We managed to positively impact society and our consumers through 262 good neighbor programs in more than 28 countries.

BAKED FOR YOU:

- 98% of our daily consumption products are free of artificial flavors and colorants.
- We achieved 95% positive nutrition in our daily portfolio of bread, buns and breakfast.
- We support healthy lifestyles in childhood with programs such as "El Suefio Bimbo" in Argentina, where we contribute to girls' dream of being soccer players.
- With the acquisition of Natural Bakery in Canada, we continue to enrich the portfolio of whole grain products such as: 6 Grains Bread, Canadian Rye, Dark Sourdough Rye, Multigrain Rye, and Crusty 60% Whole Wheat.

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FOUNDATIONS:

- 95% of our products are produced in bakeries certified in accordance with the GFSI (Global Food Safety Initiative).
- 97% of the paper and cardboard we use are free of deforestation as they come from certified sustainable or recycled sources.

Looking forward we will continue to work to ensure the superior quality of our products, accessing the homes of millions of families every day, and committed to positively influencing their lives and nutrition.

I am pleased to present to you the results highlighted in this report, which reflect the hard work and exceptional commitment of all our associates. Thanks to these results, we were able to return $7.2 billion pesos to our shareholders through dividends and share buybacks.

I want to express my most sincere recognition to the more than 149 thousand women and men who are part of our Grupo Bimbo family and who, with their dedication and daily effort, make our success possible. Thanks to their valuable contribution, today we can proudly affirm that we are a company that seeks to Nourish a Better World.

Every day we continue to put our greatest effort into making this a company trustworthy for all the people we serve: our associates, our customers and consumers, our suppliers, our shareholders, and all the communities where we operate, always aspiring to be a positive force:

a good company,
of good people

Sincerely,

Daniel Servitje
Chairman of the Board
and CEO

GRI 2-1, 2-6

our PORTFOLIO

1

bread

2

buns and rolls

3

pastries

4

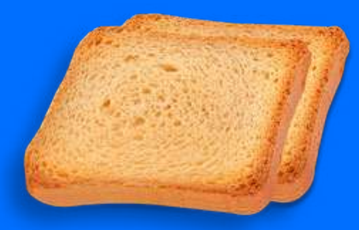
cakes

5

cookies

6

toast



7

english muffins

8

bagels

9

tortillas & flatbread

10

salty snacks

global market share

Our consumers are increasingly conscious of their health and the planet's health, so they seek tasty, nutritious, and environmentally friendly foods. We have demonstrated our flexibility in quickly adapting to changes in their preferences, positioning ourselves uniquely to capture growth potential.

We are the global leader in the baking industry, and a relevant market share in the snacking industry:

Baking industry

1st
global player

3.4%
market share

2.4x
larger share than 2nd largest competitor

Snacks Industry

Top 10

>1.0%
market share

Trends to continue driving growth:

Evolution from original and simple recipes to more modern and customized ones

Variety of local ingredients

All-natural, protein-rich snacks

Meal-like attributes

financial PERFORMANCE

In 2023, we witnessed a record-breaking year across several metrics, including our Capex investments, marked by outstanding performance despite challenges in certain markets. We remain committed to investing in our business, as well as proactively seeking efficiencies and transformational opportunities across the supply chain in all the markets where we operate."

Daniel Servitje,
Chairman and CEO

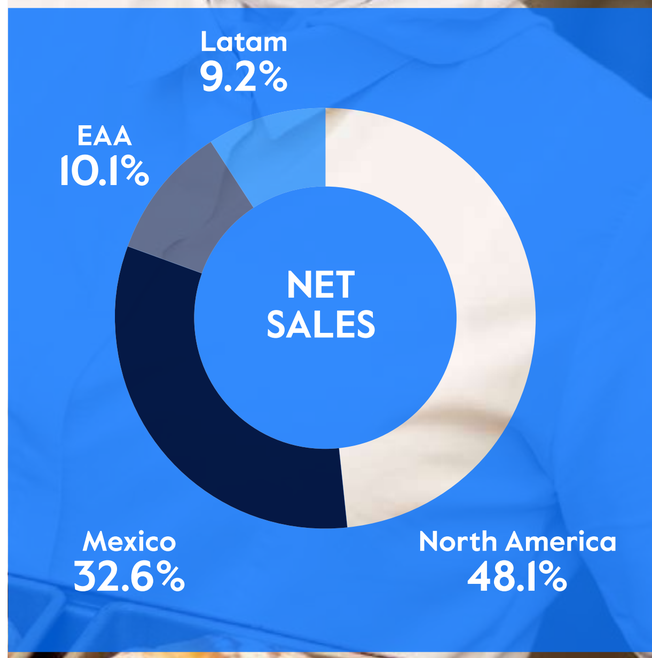
Net Sales

8.6%
CAGR 2013-2023

COUNTRIES	19	34
BAKERIES AND PLANTS	144	217
ASSOCIATES	+125k	+149k

NET SALES

Net Sales reached record levels at $399.879 billion, a 0.3% increase. This was attributable to a favorable price/mix in all regions, which was more than offset by the foreign exchange (FX) effect. Excluding the FX effect, Net Sales increased 10.7%.



North America[1]

Net Sales in North America, excluding the FX effect and the 53rd Week in 2022, increased 8.1%, due to a positive price/mix effect.

Mexico

Net Sales increased 11.5%, attributable to a favorable price/mix effect. All categories and channels grew, most notable the cookies, tortillas and pastries categrories, as well as the convenience and retail channels, which posted double-digit growth rates.

EAA[2]

Excluding the FX effect, Net Sales grew 23.5%, reflecting the implementation of the pricing strategy, as well as the acquisition of Vel Pitar in Romania. This was partially offset by weak results in China's branded business.

Latin America[3]

Excluding the FX effect, Net Sales increased 16.9%, mainly due to a favorable price/mix and strong results in Brazil and the *Latin Central* division.

Notes:

1 The North America region includes the results of operations in the United States and Canada.
2 The EAA region includes the results of operations in Europe, Asia, and Africa.
3 The Latin America region includes the results of operations in Central and South America.

GROSS PROFIT

Gross Profit increased 0.1%, while gross margin contracted 10 basis points to 51.4% on higher raw material costs during most of 2023.

OPERATING INCOME

Operating Income decreased 34% and operating margin contracted 460 basis points, primarily due to the non-cash benefit of US $963 million from the adjustment to the MEPPs[4] liability recorded in 2022. Excluding the effect of the MEPPs[4], Operating Income increased 2.7% and operating margin expanded 20 basis points, attributable to the sales performance and efficiencies in the distribution network.

ADJUSTED EBITDA

Adjusted EBITDA for 2023 reached a record level of $54.942 billion, an increase of 2.8%. EBITDA margin grew 30 basis points, mainly due to the strong sales performance and productivity savings across the value chain.

North America

In North America, the 50 basis points margin contraction was primarily due to the ongoing inflationary environment, mainly in labor and raw material costs. This was partially offset by a favorable pricing strategy and improved productivity across the supply chain.

Mexico

In Mexico, the margin expanded 100 basis points, mainly attributable to the strong sales performance and efficiencies in the distribution network.

EAA

EAA recorded a 20 basis-point margin expansion, mainly due to strong sales performance and lower cost of sales, which was partially offset by weak results in China.

Latin America

Latin America's margin expanded 70 basis points, mainly due to the strong sales performance, an improved product mix, productivity benefits throughout the supply chain, and sustained good results in Brazil.

Note:
4 Multiemployer Pension Plans ("MEPPs").

COMPREHENSIVE FINANCIAL COST

Comprehensive Financing Cost totaled $10.447 billion, compared to $8.270 billion in 2022. The increase is attributable to higher interest expenses and the appreciation of the Mexican peso.

NET MAJORITY INCOME

Net Majority Income for 2023 decreased 67% and the net margin contracted 790 basis points, due to the benefit of the MEPPs[5] registered in 2022 and the sale of Ricolino. Excluding these effects, Net Majority Income decreased 0.9% and net margin contracted 10 basis points.

FINANCIAL STRUCTURE

As of December 31st, 2023, Total Debt amounted to $109.935 billion, compared to $84.054 billion as of December 31st, 2022. The increase was primarily due to the accounting impact of the refinancing of the Perpetual Notes, as well as capital expenditures and strategic investments during the year.

Average debt maturity was 12.1 years, with an average cost of 7.12%. Long-Term Debt comprissed 88% of the total; 54% of the debt was denominated in Mexican pesos, 38% in U.S. dollars, 5% in Euros and 3% in Canadian dollars.

The Net Debt to Adjusted EBITDA ratio, which does not include the effect of IFRS 16, was 2.1 times, compared to 1.5 times as of December 31st, 2022.

CURRENCY **mix**

54% MXN

38% USD

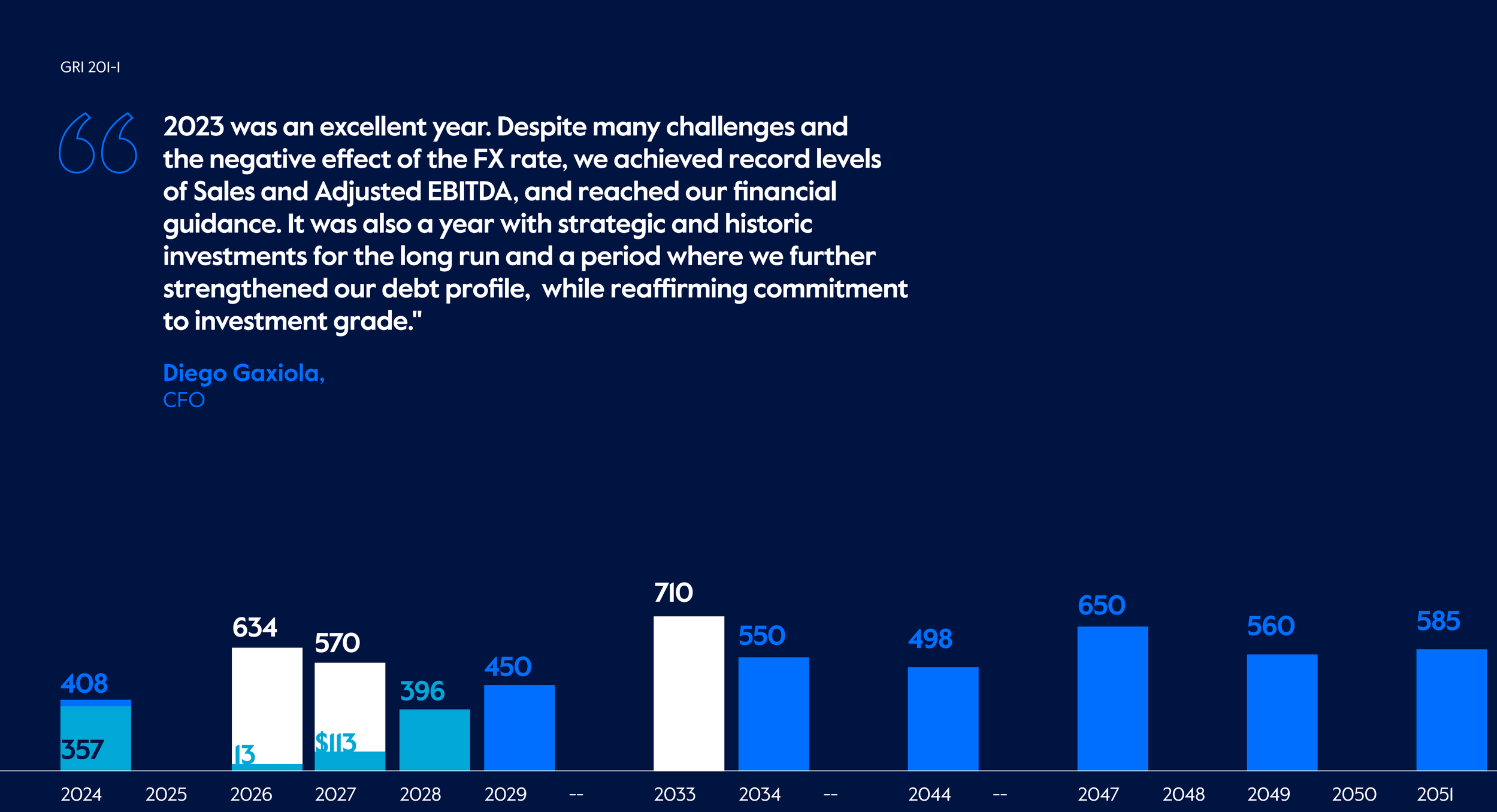
5% EUR

3% CAD

Nota:
5 Multiemployer Pension Plans ("MEPPs").

2023 was an excellent year. Despite many challenges and the negative effect of the FX rate, we achieved record levels of Sales and Adjusted EBITDA, and reached our financial guidance. It was also a year with strategic and historic investments for the long run and a period where we further strengthened our debt profile, while reaffirming commitment to investment grade."

Diego Gaxiola,
CFO



AMORTIZATION **profile**[6]

Bank loans
USD-denominated bonds
MXN-denominated bonds

6 Does not include subsidiary-level long-term debt of US$64 million. Includes a 30-year bond issuance by BBU.

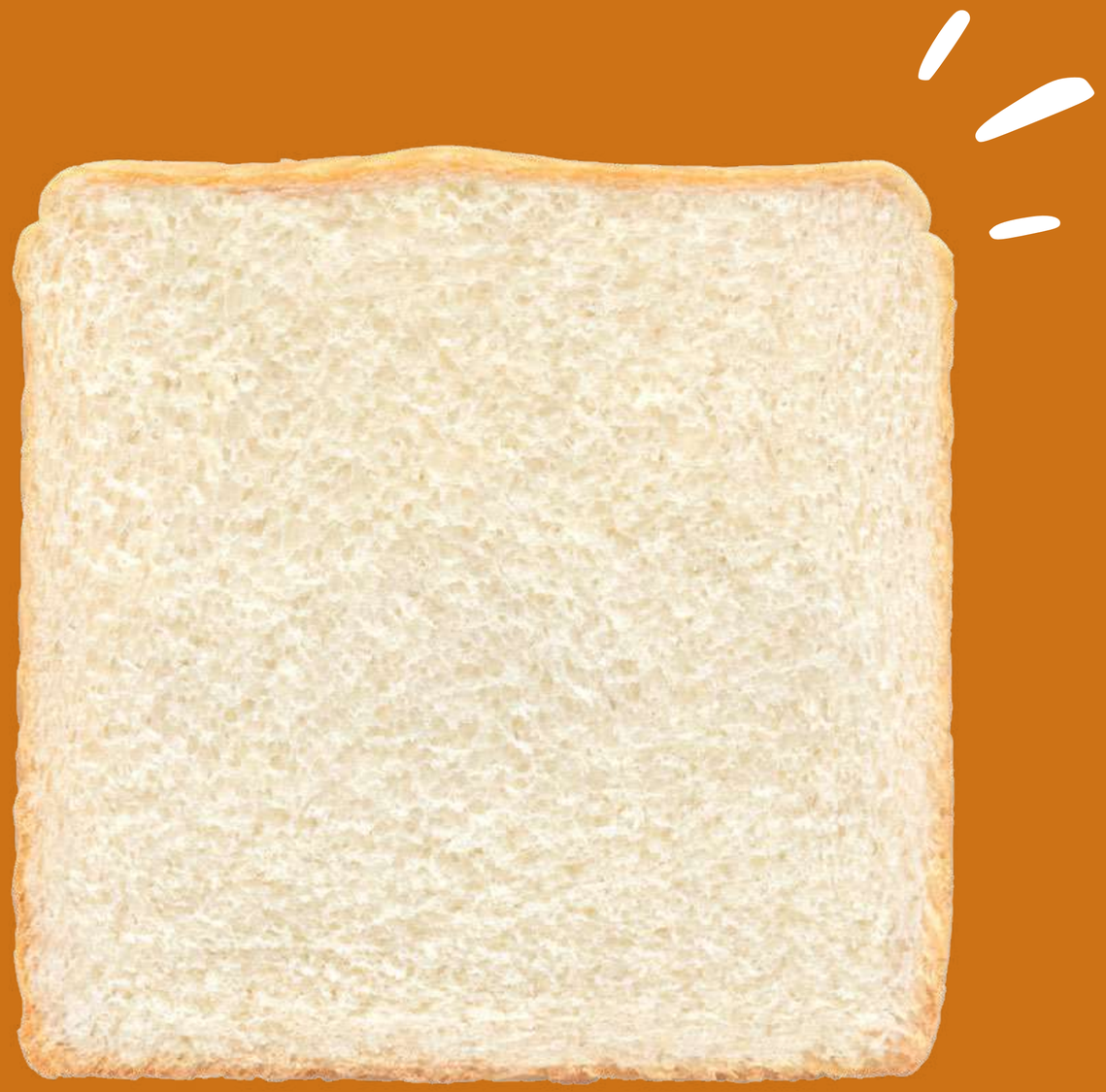
we nourish a better world

WE ARE COMMITTED TO IMPROVING OUR PRODUCT PORTFOLIO'S NUTRITION FOR YOU THROUGH SIMPLER, HEALTHIER DIETS. OUR COMMITMENT TO LIFE IS TO STRENGTHEN OUR RELATIONSHIPS WITH COMMUNITIES AND ASSOCIATES WITH WHOM WE GROW TOGETHER, ENSURING AN EQUITABLE AND FAIR WORKING ENVIRONMENT. WE STRIVE TO BE SUSTAINABLE FOR NATURE IN EVERY PART OF OUR PROCESSES AND VALUE CHAIN, PROTECTING THE PLANET AND RESTORING OUR ECOSYSTEMS.

GRI 3-3

baked FOR YOU

At Grupo Bimbo we promote better diets that are friendly to our health and environment.



BEST NUTRITIONAL PROFILES FOR ALL

TRANSPARENT SUSTAINABLE BRANDS

ENABELING HEALTHIER PLANT BASED DIETS

We seek to positively influence the lifestyles of our consumers, associates, and the communities with which we interact daily. We acknowledge that we will only be able to face the great challenges that lie ahead in the near future by building resilient, fair, and sustainable food systems.

	Lines of Action	2030 Goals
BEST NUTRITIONAL PROFILES FOR ALL	Provide the best nutritional experience with simpler, more natural recipes for positive nutrition in every bite.	100% of our baked goods and snack offerings will feature simple, natural recipes with nutrition in every bite, ensuring affordable options at every point of sale.
TRANSPARENT SUSTAINABLE BRANDS	Empower our consumers to make better decisions by providing clear and transparent information about our products.	100% of Grupo Bimbo products will offer nutritional and sustainable transparency both on its packaging. Healthier diets will be actively promoted through clear educational campaigns.
ENABELING HEALTHIER PLANT-BASED DIETS	Increase the amount of whole grains and other superior plant based ingredients.	100% of our baked goods and snack offerings will be part of a healthy plant-based diet by including a wide range of whole grains and healthy plant-based ingredients in our recipes.

defining our nutritional actions towards 2025

HOW WILL WE DO IT?
By reviewing pricing strategies, promotions, distribution, and products in each country to ensure our approach helps people choose the most nutritious options.

Through communication campaigns that promote the consumption of whole grains and disclose the benefits of doing so.

HOW WILL WE MEASURE IT?
We will review our whole-grain breads' entry into households across all countries annually, looking to reach a greater number of households every year. In countries where we do not have household panels to measure this yet, we will use year-on-year sales growth as our comparison criteria.

best nutritional profiles for all

The ideal recipe to build better diets is to integrate a variety of foods, respectful with our environment, that provide us with the nutrients we need, without deficiencies or excesses. In this way, we take care of both our planet's and people's health.

2025 GOALS

100%
of our breads, buns, rolls, and breakfast items for daily consumption will be made with simple and natural recipes, with nutrition in every bite, ensuring affordable options at every point of sale.

100%
of our daily consumption portfolio of bread, buns, rolls, and breakfast items will be made with simple and natural recipes.

100%
of our daily consumption portfolio of bread, buns, rolls, and breakfast items will provide positive nutrition.

- The best-selling brands/products of the occasional consumption portfolio aimed at adults must:
  - Comply with our dietary guidelines on saturated fats, trans fats, added sugars, and sodium, or
  - Provide options through line extensions with positive nutrition and free from artificial flavors and colors, or
  - Provide options in portion-controlled formats, or
  - Significantly reduce critical nutrients
- Launch at least one program per region to support vulnerable groups through accessible and affordable positive nutrition products and/or with programs to reduce food insecurity.

2030 GOALS

100%
of our baked goods and snack products will be made with simple and natural recipes, with nutrition in every bite, ensuring affordable options at every point of sale.

100%
of our bakery products and snacks will be made with simple and natural recipes.

100%
of our baking and snack products will provide positive nutrition.

15%
of our occasional consumption portfolio sales will be in the form of "controlled portions".

OUR TRACK RECORD: RAISING THE BAR		2018-2022 GOAL ACCOMPLISHED	2023 GOAL ACCOMPLISHED	2025	2030
Daily consumption	Clean Labeling	Elimination of high fructose corn syrup, partially hydrogenated oils and fats, caramel 3 and 4, diacetyl, and azodicarbonamide	22% of our daily portfolio of bread, buns, rolls, and breakfast items are made with simple and natural recipes	Simple and natural recipes (10-15 ingredients, all recognizable)	Simple and natural recipes with positive nutrition*
	Positive Nutrition	Elimination of artificial colors and flavors. Compliance with maximum sodium, saturated fats, trans fats, and added sugar levels. Positive nutrition in specialty grain breads, buns, and rolls (HSR** ≥ 3.5)	95% of our daily portfolio of bread, buns, rolls, and breakfast items provide positive nutrition*	Compliance with positive nutrition*	
Occasional consumption	Clean Labeling	Elimination of partially hydrogenated oils and fats, caramel 3 and 4, and azodicarbonamide		Line extensions on top-selling products:	Recipes without artificial ingredients
	Positive Nutrition			No artificial colors or flavors, or Complying with the established HSR** value, or Portion control	Compliance with maximum sodium, saturated fats, trans fats, and added sugar levels or the HSR** value established for each category

Note:
Daily consumption: Sliced bread, Buns and rolls, Tortillas and flatbreads, Savory bagels and English muffins
Occasional consumption: Sweet baked goods, Dry baked goods, Tostadas and tortilla chips, Salty snacks, Dairy drinks, Prepared foods

* Positive nutrition refers to achieving the Health Star Rating (HSR) target rating according to the product category.

** Health Star Rating

presence in
34
countries

Malnutrition is a global and complex challenge that affects people at all stages of their lives and hinders their integral development. It ranges from wasting, micro and macronutrient deficiencies, to being overweight and / or suffering from obesity.

Issues stemming from malnutrition often coexist in the same region, country, or person, and require a comprehensive and multisectoral solution involving governments, society, the private sector, and academia, with specific actions within their respective scopes. Malnutrition and chronic diseases associated with poor diets are one of the leading causes of death in the world.

As a complex and multifactorial problem, it must be approached from different perspectives. One of them is the way in which we integrate our daily diet through better, diverse, sustainable foods, focused on each moment of consumption and need. It is our task to offer a wide variety of delicious, safe products with the best possible nutritional quality. This, based on their role in diets, and that can help our consumers integrate better eating patterns.

HOW WILL WE ACHIEVE IT?

We are present in 34 countries where we offer products, where our main ingredients are cereals, which our consumers include in their daily and occasional diets. Bread is a very popular and culturally integrated food in the countries where we operate, allowing us to contribute positively to people's health and to the efficient use of our environment's resources. For this reason, we have developed a short, medium, and long-term strategy to work on the continuous improvement of our portfolio's nutritional quality to offer more and better options aligned with major food trends. To this end, we are guided by 5 nutritional principles and 4 lines of action within our nutritional guidelines.

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5 NUTRITIONAL PRINCIPLES TO IMPROVE OUR PORTFOLIO

We constantly evaluate and improve our portfolio's nutritional quality, guiding our efforts to develop the best options that reinforce our commitment to offer healthier, simpler, and more complete recipes. To achieve this, we define a nutritional standard according to 5 principles aligned with international recommendations:

01

Alignment with international nutritional guidelines: we consider the recommendations established globally and locally in our main markets to understand our products' role in building better diets.

02

Division of the portfolio according to consumption role: we divide our product portfolio based on consumption frequencies (daily consumption and occasional consumption). We determined stricter rules for the daily consumption portfolio, derived from the potential positive impact they can have on our consumers' diets.

03

Differentiated nutrition based on target consumer: we consider the differences in nutritional requirements between children and adults, with stricter requirements for products targeting at our child audience (children between 36 months and 12 years old).

04

Positive nutrition: we build our portfolio through nutritional thresholds, both in terms of nutritional limits and those we seek to promote in the diet. This balance is based on nutrients and food groups mapped within local and global nutritional guides.

05

Simple recipes: we develop more natural and planet-friendly products through simpler recipes, with ingredients our consumers can understand and find in their pantries.

4 LINES OF ACTION WITHIN OUR NUTRITIONAL GUIDELINES

01

Positive Nutrition:
Our products offering seeks a balance between nutrients to be reduced and encouraged in consumer diets using the methodology established in the Health Star Rating System as a parameter.

02

Clean Labeling:
Our products are made with simpler and more natural recipes.

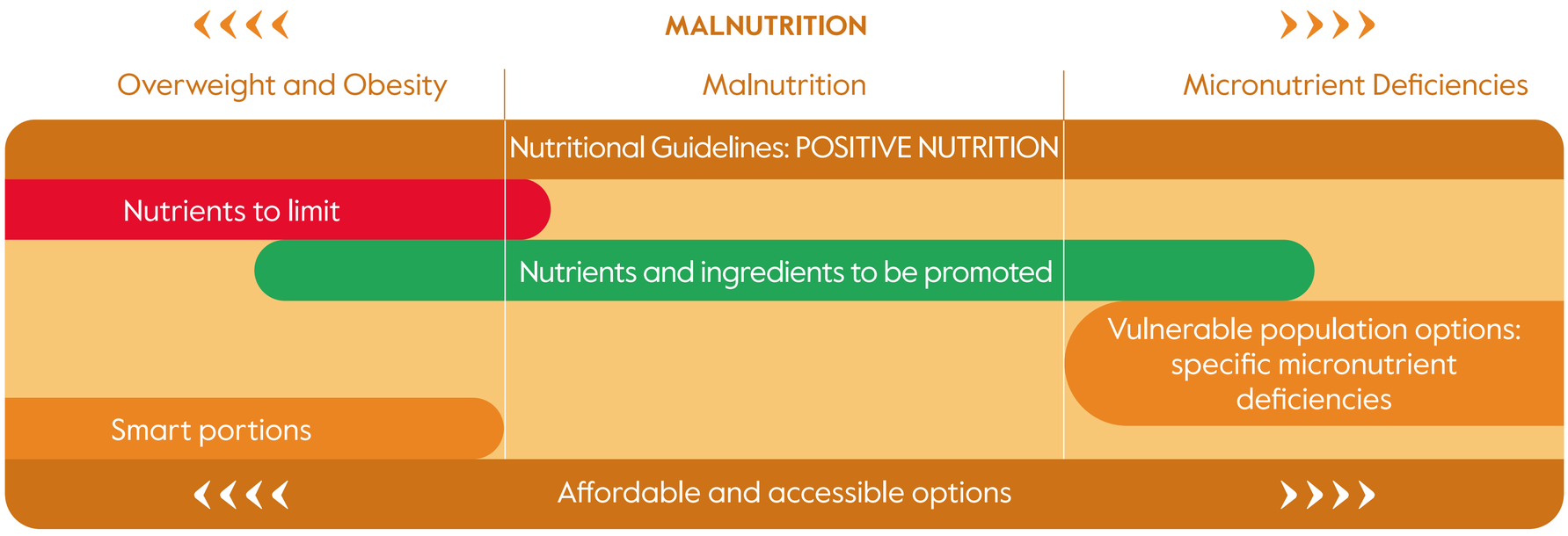
03

Fortification for vulnerable audiences:
Our products include accessible and affordable options fortified with micronutrients for vulnerable audiences with identified nutritional deficiencies.

04

Smart Portions:
Our products offering has options with portion control for special, guilt-free occasions.

Each of these 4 main lines of action has a specific focus in addressing malnutrition, according to the following::



GRI 2-28, FP2

aligned with global recommendations

To achieve the goals and objectives defined in our 4 lines of action, we are aligned with the WHO's (World Health Organization) recommendations of the 2013-2022 Global Action for the Prevention and Control of Non-Communicable Diseases Plan. With this frame of reference, we seek to align our actions with the nutritional agenda of the most relevant issues at a global level, where we can have a greater impact.

96%
of our product portfolio for daily consumption complies with the established nutritional guidelines*.

WHO LINES OF ACTION	ALIGNMENT WITH GB NUTRITIONAL GUIDELINES
Reduce level of salt/sodium added to foods	Sodium level thresholds established for all our product categories with a priority focus on our daily consumption products (2025 target) and salty snacks (2030 target)
Increase the availability, affordability and consumption of fruits, vegetables, and plant-based foods	Accessibility through our wide distribution network in the different countries where we are present. We also have a global affordability policy to make our products available to all our consumers with better nutritional quality
Reduce saturated fatty acids in foods and replace them with unsaturated fatty acids.	Saturated fat level thresholds established for all our product categories with a priority focus on our daily consumption products (target to 2025)
Replacing industrial trans fats with unsaturated fats	Guidelines established for all our product categories globally in accordance with the recommendations defined by the World Health Organization: • Elimination of partially hydrogenated fats and oils • Less than 2g of industrially produced trans fatty acids per 100g of trans fats
Reducing the content of added sugars in foods and non-alcoholic beverages	Threshold levels of added sugars established for all our product categories with a priority focus on our daily consumption products (target to 2025)

Limiting excessive caloric intake and/or reducing portion size and energy density of foods	Defined guidelines for portfolio development with portion control
	• By 2025: Portion control in our best-selling brands within the occasional consumption category
	  • Children: 200 kcal or less per serving
	  • Adults: 250 kcal or less per serving

Develop measures to improve the availability, affordability, and acceptability of healthier food products	Positive nutrition parameters based on the Health Star Rating System methodology in all our product categories, aiming to achieve 3.5 or more stars in our daily consumption products

*Percentage of SKUs that meet established nutritional guidelines.

positive nutrition

We consider maximum levels of saturated fats, trans fats, added sugars and sodium, and minimum levels of fiber, proteins, vitamins, and minerals, so that our portfolio has a positive nutritional balance depending on the product categories and the target consumer.

	2018-2022 GOAL ACCOMPLISHED	2023 GOAL ACCOMPLISHED	2025	2030
Daily consumption	96% of the daily consumption portfolio complies with the maximum levels of sodium, saturated fat, trans fat, and added sugars	95% of our daily bread, buns, rolls, and breakfast portfolio have positive nutrition*	Compliance in positive nutrition* (HSR ≥ 3.5)	Simple and natural recipes with positive nutrition
Occasional consumption	100% of our specialty grain breads and pastries meet our positive nutrition parameters	69% of top seller products meet at least one of the compliance options by 2025	Line extensions on best-selling products: • No artificial colors or flavors, or • Meeting established HSR value, or • Portion control, or • Significant reductions of critical nutrients	Compliance with maximum levels of sodium, saturated fats, trans fats, and added sugars or defined HSR value for the category

* Positive nutrition refers to achieving the HSR target rating according to the product category.

GRI 3-3
SASB FB-PF-260a.2.

positive nutrition

WHAT DO WE MEASURE?
The nutritional balance we want to achieve in our products through maximum levels of substances to be limited in diets and the presence of nutrients we seek to increase consumption of, such as fiber, protein, and micronutrients. A comprehensive strategy should consider both groups of elements for a holistic evaluation of each product's nutritional quality.

WHY DO ME MEASURE IT?
Nutrients are not processed by our body in isolation. The interactions between them determine the impact of a food on our diet and health. Because of this, a comprehensive approach is necessary when determining the nutritional quality of a food.

HOW DO WE MEASURE IT?
In the process of measuring our portfolio's nutritional quality and determining its positive nutritional status, we consider and measure 3 main lines of action:

01 Strategy to reduce critical nutrients such as sodium, saturated fats, trans fats, and added sugars per serving

02 Strategy to increase fiber, whole grains, vitamins, and minerals per serving

03 Comprehensive assessment of positive nutrition through the Health Star Rating System's standard methodology

01 STRATEGY TO REDUCE CRITICAL NUTRIENTS SUCH AS SODIUM, SATURATED FATS, TRANS FATS, AND ADDED SUGARS

We reduce critical nutrients through defined thresholds for each of these per occasion of consumption. These are determined by the product's frequency of consumption in a diet (daily or occasional), the type of target consumer (adults or children), local recommendations for daily intake of the nutrient in question (determined by locally defined daily intake values), and the consumption portion.

Percentage of SKUs in compliance with maximum levels of saturated fats, trans fats, sodium, and added sugars established in our internal nutritional guidelines:

NUTRIENTS TO REDUCE IN DIETS:

	DAILY CONSUMPTION LIMIT COMPLIANCE			
BUSINESS UNIT	SATURATED FATS	TRANS FATS	ADDED SUGARS	SODIUM
Bimbo Bakeries USA	100%	100%	100%	98%
Bimbo Canada	100%	100%	100%	96%
Bimbo Mexico	95%	100%	100%	90%
El Globo	99%	100%	100%	99%
Barcel	NA	NA	NA	NA
HW	NA	NA	NA	NA
Bimbo Latin Centro	100%	100%	100%	94%
Bimbo Latin Sur	100%	100%	100%	100%
Bimbo Brazil	100%	100%	100%	100%
Bimbo United Kingdom	100%	100%	100%	100%
Bimbo Iberia	100%	100%	100%	99%
Bimbo Morocco	100%	100%	100%	100%
Bimbo Romania	100%	92%*	100%	100%
Bimbo China	100%	100%	100%	100%
TOTAL	**99%**	**99%**	**100%**	**97%**

* Including naturally occurring trans fats

2030 PROGRESS

96%
of our portfolio of daily consumption products complies with sodium, acid, saturated and trans fats, and added sugars levels established within our internal nutritional guidelines.

02 STRATEGY TO INCREASE FIBER, WHOLE GRAINS, VITAMINS, AND MINERALS

We increase these nutrients through defined thresholds for each of these ingredients and nutrients per occasion of consumption. A minimum level of 3g of fiber per 100g of product by 2030 was determined for white breads, buns, and rolls (with an intermediate threshold at 2025 of 2g of fiber per 100g of product). For whole-grain breads, buns, rolls, and tortillas, products should be a good source of fiber and contain at least 8g of whole grains per serving.

NUTRIENTS TO <u>INCREASE</u> IN DIETS:
Percentage of volume sales of consumption products where fiber, whole grains, vitamins, and minerals have been added.

BUSINESS UNIT	DAILY CONSUMPTION GOOD SOURCE OF			OCCASIONAL CONSUMPTION GOOD SOURCE OF		
	FIBER	VITAMINS/ MINERALS	WHOLE GRAINS	FIBER	VITAMINS/ MINERALS	WHOLE GRAINS
Bimbo Bakeries USA	26%	52%	4%	2%	11%	1%
Bimbo Canada	17%	92%	13%	0%	17%	1%
Bimbo Mexico	16%	8%	3%	4%	0%	2%
El Globo	6%	0%	0%	0%	0%	0%
Barcel	NA	NA	NA	30%	0%	0%
HW	NA	NA	NA	29%	0%	0%
Bimbo Latin Centro	23%	12%	6%	7%	3%	1%
Bimbo Latin Sur	29%	5%	4%	6%	3%	0%
Bimbo Brazil	44%	2%	3%	0%	8%	0%
Bimbo United Kingdom	35%	0%	2%	NA	NA	NA
Bimbo Iberia	80%	0%	0%	12%	4%	0%
Bimbo Morocco	0%	0%	0%	0%	0%	0%
Bimbo Romania	0%	0%	0%	0%	0%	0%
Bimbo China	46%	11%	0%	1%	0%	0%
TOTAL	**29%**	**28%**	**4%**	**8%**	**2%**	**1%**

During 2022, we worked to increase the fiber and whole-grain content of our products denominated as "whole-grain". In 2023, we worked to improve our white bread offerings. White bread is one of the products most widely accepted by our consumers due to its versatility, which is why it is incorporated into their daily diet. We defined a 2030 target to increase the fiber content of the "contains fiber" standard defined within the CODEX food code (3g of dietary fiber per 100g of product) for this type of bread. We also set an intermediate 2025 target of 2g of fiber per 100g of product. Dietary fiber is one of the most relevant nutrients in our consumers' diets, and there is sufficient evidence on the lack of its consumption in different populations.

COMPLETION OF THE TARGET OF 2G FIBER IN 100G OF PRODUCT DEFINED FOR WHITE BREAD AND BAKERY PRODUCTS BY 2023

BUSINESS UNIT	GOAL 3: % COMPLETION
Bimbo Bakeries USA	100%
Bimbo Canada	50%
Bimbo Mexico	100%
El Globo	33%
Barcel	NA
HW	NA
Bimbo Latin Centro	74%
Bimbo Latin Sur	85%
Bimbo Brazil	100%
Bimbo United Kingdom	100%
Bimbo Iberia	100%
Bimbo Morocco	80%
Bimbo Romania	100%
Bimbo China	100%
TOTAL	**87%**

2030 PROGRESS

87%
of our white breads, buns, and rolls have at least 2g of dietary fiber per 100g of product

03 COMPREHENSIVE POSITIVE NUTRITION ASSESSMENT THROUGH HEALTH STAR SYSTEM (HSR) METHODOLOGY

With the addition of the Health Star Rating System standard, we can now provide greater transparency on the nutritional quality of our product portfolio. This methodology, developed in Australia and New Zealand, rates the overall nutritional profile of products, and assigns them a value, from ½ to 5 stars. This label makes it quick, easy, and standardized to differentiate between different product alternatives.

As part of our strategy to carry out these improvements, we conducted an evaluation of 100% of our product categories. At Grupo Bimbo, we have established standards for the different product categories, aiming for 3.5 stars for our portfolio of breads, buns, bagels and english muffins by 2025.

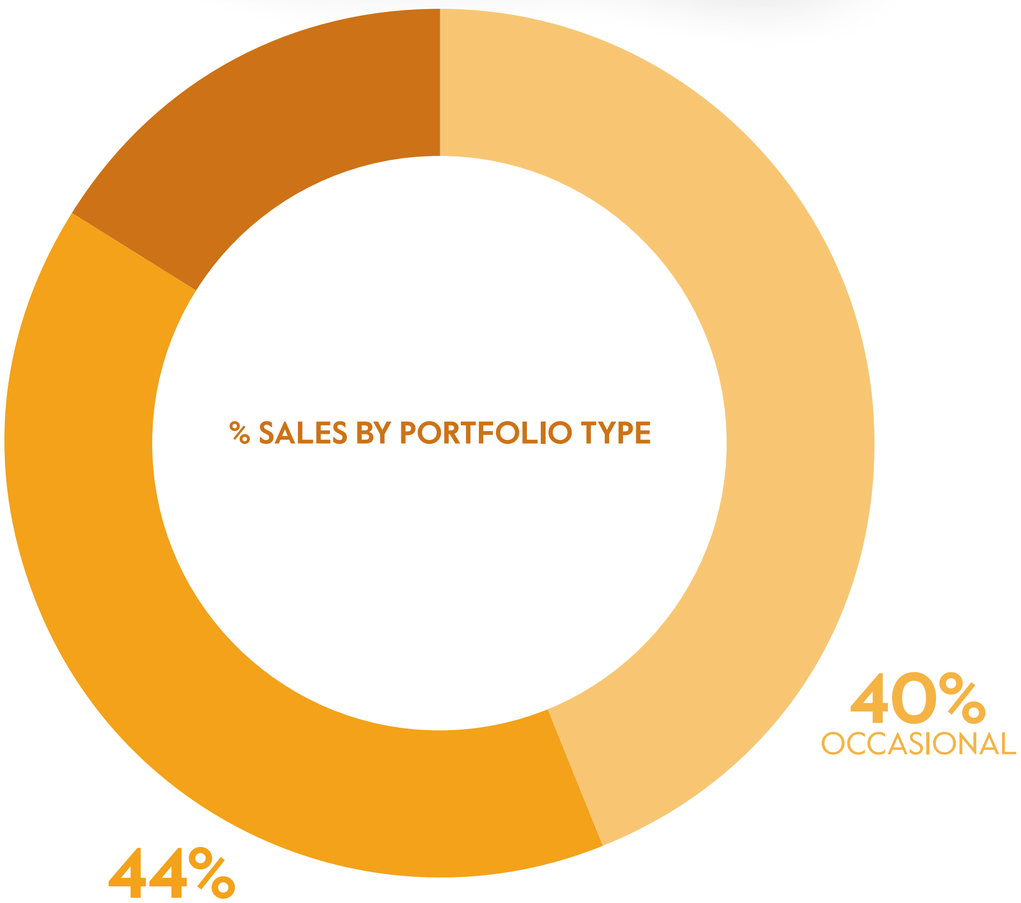
BUSINESS UNIT	GOAL 2: % COMPLETION
Bimbo Bakeries USA	97%
Bimbo Canada	96%
Bimbo Mexico	98%
El Globo	64%
Barcel	NA
HW	NA
Bimbo Latin Centro	89%
Bimbo Latin Sur	99%
Bimbo Brazil	100%
Bimbo United Kingdom	100%
Bimbo Iberia	100%
Bimbo Morocco	95%
Bimbo Romania	92%
Bimbo China	92%
TOTAL	**95%**

PROGRESS OF GOALS ASSOCIATED WITH POSITIVE NUTRITION:

95%
of SKUs from the breads, buns, rolls, english muffins, and savory bagels portfolio with positive nutrition

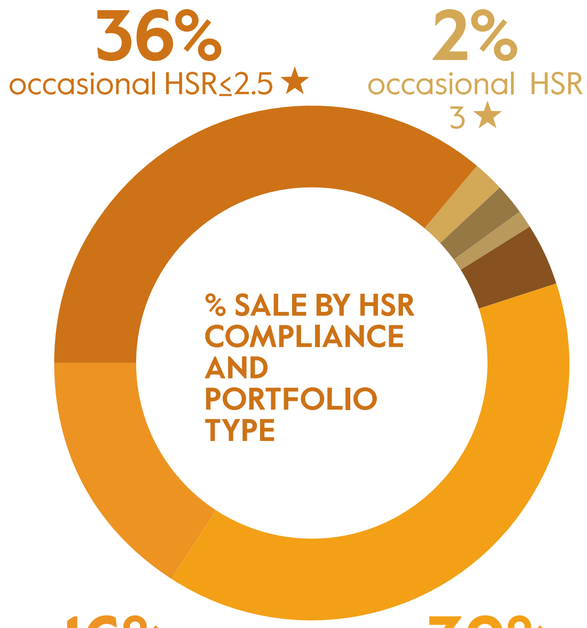
breakdown of HSR
compliance by portfolio type*

16%
NOT IDENTIFIED



40%
OCCASIONAL

44%
DAILY



36% occasional HSR≤2.5 ★

2% occasional HSR 3 ★

2% occasional HSR≥3.5 ★

1% daily HSR≥2.5 ★

4% daily HSR 3 ★

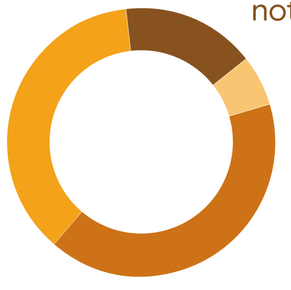
16% not identified ★

39% daily HSR≥3.5 ★

Scope: Products where Grupo Bimbo owns the trademark and the recipe with registered sale from January 1, 2023, to January 5, 2024.
Exclusions:
- Products where Grupo Bimbo does not own the recipes or brands, including private labels
- Products for Food Service
- Products intended for non-final consumers
- Organizations: BQ

HSR	IMPROVEMENT STRATEGY
≥3.5	Products with optimal nutritional quality. We will continue to evaluate areas for improvement, including fiber, whole grains, high biological value vegetable proteins, nuts, and seeds, among others.
3	Strategies focused on continuing to reduce critical nutrients such as sodium, added sugars, and saturated fats, as well as increasing fiber, whole grains, high biological value vegetable proteins, nuts, and seeds, among others. Whenever feasible and based on each product's consumption role within a diet, we work to increase ratings to 3.5 stars or higher.
≤2.5	We will seek nutritional quality for products mostly focused on occasional consumption whenever feasible, while maintaining our consumers' preferences. Improvements will mainly focus on having simpler and more natural recipes, as well as offering line extensions with portion control or significant reductions (+25%) in critical nutrients.

% SALE BY HSR COMPLIANCE



16% not identified

6% 3★

41% ≥3.5★

37% <3★

*Health Star Rating

Vitamin D deficiency in the world

USA White bread

Good source of:
- Vitamin A
- Vitamin D
- Vitamin E
- Calcium and iron
- 0g trans fast

No artificial colors or flavors

At Grupo Bimbo, we have developed guidelines and actions focused on helping reduce the prevalence of micronutrient deficiencies such as Vitamin D. Within these actions, vitamin and mineral deficiencies are detected in each region based on studies carried out by local health authorities and products are developed with an adequate nutritional profile (HSR score > 3.5 stars), affordable, and widely accepted by the vulnerable populations they are aimed at.

success stories

In recent years, vitamin D has been found to be essential for bone, immune, muscular, cardiovascular, and mental health, and strength. Its deficiency can increase the risk of fractures and chronic diseases.

Approximately one billion people worldwide are vitamin D deficient and about **50% of the world's population doesn't get enough vitamin D.**

Bimbo Peru White Bread

- Vitamin D source
- 0g trans fats
- No artificial colors or flavors
- HSR = 3.5 stars

clean labeling

We offer a portfolio of products with simpler recipes and better ingredients to meet our consumers' needs, who are looking for foods they feel more familiar with.

	2018–2022 **GOAL COMPLETED**	2023 **GOAL COMPLETED**	2025	2030
Daily consumption	98% of our daily consumption portfolio is free of artificial flavors and colors	22% of our daily consumption portfolio including breads, buns, rolls, and breakfast items is made with simple and natural recipes	Simple and natural recipes (10-15 ingredients, all recognizable)	Simple and natural recipes with positive nutrition
Occasional consumption		69% of top seller products meet at least one of the compliance options by 2025	Line extensions on best-selling products: • No artificial colors or flavors, or • Meeting established HSR value, or • Portion control	Recipes with no artificial ingredients

clean labeling

WHAT DO WE MEASURE?
Our recipes' quality by reducing ingredients perceived as artificial. We place special emphasis on ingredients our consumers and stakeholders have expressed concerns about due to their potential impact on the environment or dietary quality.

WHY DO WE MEASURE IT?
Consumers prefer foods with ingredients that are increasingly easier to understand, without additives, preservatives, or artificial colors and flavors, among others. They believe in simple, clear, reliable, transparent, and authentic products. Our strategy focuses on the quantity and type of ingredients and additives in our recipes, seeking to use ingredients that are friendlier to our consumers, including even some that can be found in their pantries.

HOW DO WE MEASURE IT?
To achieve this, we have established different levels of compliance in our global clean labeling guidelines. Through these, we have defined actions that will enable us to reduce the number of ingredients to the extent technology and consumer acceptance allow us.

Each product category has a defined level of clean labeling, as well as targets over time to achieve the goals we have set for ourselves.

PROGRESS 2023 PROGRESS ON CLEAN LABELING GOAL BY BUSINESS UNIT FOR BREADS, BUNS, AND ROLLS

Business Unit*	% clean labeling
Bimbo Bakeries USA	34%
Bimbo Canada	11%
Bimbo Mexico	11%
El Globo	87%
Barcel	NA
HW	NA
Bimbo Latin Centro	8%
Bimbo Latin Sur	27%
Bimbo Brazil	11%
Bimbo United Kingdom	0%
Bimbo Iberia	20%
Bimbo Morocco	0%
Bimbo China	2%
Total	22%

*Romania is excluded

fortification for vulnerable groups

WHAT DO WE MEASURE?
The definition of regional strategies focused on reducing micronutrient deficiencies detected or that contribute to reducing food insecurity in vulnerable populations. This is done through foods that are accessible, affordable, nutritionally adequate, and easy to integrate into consumers' diets.

WHY DO WE MEASURE IT?
Access to adequate food that provides the energy and nutrients needed for optimal human development is a major global challenge. Food insecurity affects around 2 billion people in the world and undernutrition affects I out of 3 people worldwide. This represents a significant impact not only on people's health and well-being, but also has social and economic repercussions. It is estimated that malnutrition has a global economic cost of approximately US$3.5 billion per year.

HOW DO WE MEASURE IT?
Through the development of regional programs with products fortified with micronutrients where a deficiency has been detected or through programs to combat food insecurity. As an example, we have programs with food banks. For the development of these, we have internal guidelines that determine the approach they should have, the micronutrients to focus on, the characteristics of the foods to be fortified, as well as worksheets by country where the deficiencies detected at the local level are indicated.

Global food insecurity

According to the Food and Agriculture Organization of the United Nations (FAO), around 811 million people in the world suffered from chronic food insecurity between 2020 and 2022. This figure has increased in recent years due to several factors, including the COVID-19 pandemic, armed conflicts, and natural disasters.

success stories

Our entire New York Bakery Co. portfolio is free of artificial colorings and flavors, and scores 3.5 stars or higher on the Healthy Star Rating System.

Magic Breakfast provides breakfast and expert advice to more than 200,000 children and young people every day to combat morning hunger in schools in England and Scotland. The Magic Breakfast program's aim is to ensure that no child or young person is too hungry to learn.

Since January 2020, we have provided our delicious New York Bakery Co. bagels to support partner schools in the UK for this initiative, and each year our Grupo Bimbo UK Ltd. partners and customers raise additional bagels for Magic Breakfast through the Bimbo Global Race.

VULNERABLE GROUPS	ORGANIZATION	PROGRAM	DETAILS
	Bimbo Bakeries USA	Sara Lee Classic White Bread	**Focus on fortification** • Good source of Iron, vitamin D, A & E • Excellent source of calcium
	Bimbo Latin Centro	Acti Defens White Bread	**Focus on fortification** Present in Guatemala, Costa Rica, Colombia, Ecuador • Fortified with Iron and Zinc
	Bimbo Latin Sur	Yielding Whole Wheat Bread	**Focus on fortification** Present in Peru • Fortified with Iron
		Vitamin D White Bread	**Focus on fortification** Present in Peru, Uruguay, Argentina • Fortified with Vitamin D
	Bimbo United Kingdom	Magic Breakfast	**Focus on food safety** • **Magic Breakfast** is an Organization that helps eradicate food insecurity in schools. Bagels with 3g fiber per 100g that meet requirements for school lunches are donated • **Magic Breakfast** helps more than 200,000 children and young people every day by providing breakfast and expert advice to combat morning hunger in schools in England and Scotland. It exists to make sure no child or young person goes without learning because of hunger

GRI 416-1, G4_PRI, FP7

smart portions

Portions are an effective tool for people to know the right amount of food to consume on each occasion, thus improving the quality of their diet. Providing information that helps to better understand the right portion, along with increasing our product offering with different options that seek to reduce caloric intake at a time of consumption, allows our consumers to enjoy their food and have healthier, richer, and more varied diets.

WHAT DO WE MEASURE?

We seek to develop a distinctive offering in the highly competitive market that allows us to provide our consumers with the option of consuming their favorite products in controlled portions. These products have the following characteristics:

Tasty: Having portion control allows us to continue enjoying products full of flavor without exceeding our caloric intake.

Moderate: It allows us to have a conscious and responsible consumption of certain food groups.

Accessible and convenient: Individually packaged presentations, ready to take anywhere.

Calorie-restricted: With the right amount of calories in a single serving to encourage healthy lifestyles.

Times to celebrate or indulge: Products to celebrate, share or have a moment of guilt-free indulgence.

2030 GOAL:

15%

of our casual consumption portfolio sales will be portion-controlled

GRI 416-1, G4_PRI, FP7

smart portions

WHY DO WE MEASURE IT?
Portion sizes of the foods we consume as part of our diet have gained much interest in recent years in the search for alternatives to combat overweightness and obesity. We can still enjoy certain categories of products in a conscious way.

The content, size, and number of portions, as well as the place and frequency of consumption are some of the issues that are of interest to food and nutrition experts, governments, and the food industry worldwide.

Food portions are often a powerful tool to increase consumers' nutritional education, empowering them to make better consumption choices and increasing awareness of food's impact on their health. Our consumers also have a growing understanding of what their actual consumption amounts are. Having greater sensibility of the portions we include at each moment of consumption helps us have a better perception of how we should build better and more balanced diets, where all foods have a place when combined in the right portions and at the right moments.

HOW DO WE MEASURE IT?

Developing portion-controlled options for the best-selling products in our casual consumption portfolio.

PORTION CONTROL

ORGANIZATION	NO ARTIFICIAL COLORS OR FLAVORS	PORTION CONTROL (<250 KCAL/ PACKAGE)	SIGNIFICANT REDUCTION (+25% REDUCTION OF SIGNIFICANT CRITICAL INGREDIENT)	NUTRIGUIDES COMPLIANCE	IN PROCESS OF COMPLETION
Bimbo Bakeries USA		Butter Loaf Cake		Thomas' Cinnamon Raisin Swirl	Entenmann's Rich Frosted Donuts
		Pound Cake		Thomas' Blueberry Bagel	Entenmann's Pop'ems Glazed
		Entenmann's Soft Variety Donuts		Thomas' Cinnamon Raisin Bagel	Entenmann's Soft Assorted Frosted Donuts
					Entenmann's Variety Donuts
Bimbo Canada		Vachon Jos Louis		Sunmaid Raisin Cinnamon Swirl Bread	Vachon Ah Caramel
		Vachon Half Moon Cakes		Dempster's Maple French Toast Bagels	Chocolate Cup Cakes
		Hostess Twinkies			
		Vachon Apple & Raspberry Passion Flakie			
		Vachon May West			
		Jelly Log Cakes			
Bimbo Mexico		Choco Roles		Pan Tostado	Nito
		Pingüino		Príncipe Marinela	Donita Espolvoreada
		Gansito		Mantecadas Vainilla	Panqué Nuez
				Pan Molido	
El Globo		Garibaldi		Dona Salon	Mil Hojas El Globo
		Chocolatin		Dona Spice	Panqué Nuez
		Pastel Mil hojas		Pastel Strawberry	Pastel Moka
		Pastel Salón			

PORTION CONTROL

ORGANIZATION	NO ARTIFICIAL COLORS OR FLAVORS	PORTION CONTROL (<250 KCAL/ PACKAGE)	SIGNIFICANT REDUCTION (+25% REDUCTION OF SIGNIFICANT CRITICAL INGREDIENT)	NUTRIGUIDES COMPLIANCE	IN PROCESS OF COMPLETION
Barcel		Chips Fuego		Runners	Takis Fuego USA
		Takis Fuego MX			Big Mix Fuego
		Chips Jalapeño			Takis Waves Fuego
					Takis Huakamole
					Takis Blue Heat
					Takis Fajita
HW				Dried pineapple bits with chili	
				Dried mango bits with chili	
				Apple bits with cinnamon	
				Seeded chips	
				Cheese-flavored corn, chickpea, millet snacks	
				Quinoa seeded chips	
				Tomato popcorn with spices	
Bimbo Latin Centro				Roles de canela	Tostada Ondulada
	Tostada Media Luna Mantequilla			Pan tostado clásico	Casero Vainilla
				Tostados integrales	
				Sponch fresa	
				Panquecitos	
				Pingüinos	
				Tostados Mantequilla	

PORTION CONTROL

ORGANIZATION	NO ARTIFICIAL COLORS OR FLAVORS	PORTION CONTROL (<250 KCAL/ PACKAGE)	SIGNIFICANT REDUCTION (+25% REDUCTION OF SIGNIFICANT CRITICAL INGREDIENT)	NUTRIGUIDES COMPLIANCE	IN PROCESS OF COMPLETION
Bimbo Latin Sur		Braunichoc		Madalenas	Pan Dulce con Fruta
		Gansito		Bimbolete	Vainillas
		Mankeke			Paneton
		Pingüino Perú			
		Pingüino Chile			
Bimbo Brazil				Bolo Laranja	
				Bolo Abacaxi	
				Crocantíssimo Tradicional Queijo e Cebol	
				Crocantíssimo Tradicional Churrasco	
				Crocantíssimo Tradicional Salame e Limão	
				Crocantíssimo Tradicional Peito de Perú	
Bimbo United Kingdom	NA				
Bimbo Iberia		Donettes Rayados	Takis Fuego	Donuts Glacé	Donuts Fondant
		Bollycao Clásico		Bimbo Cruapan	Donuts Bombon
		Donettes Clásico			Qé Caña
		Magdalena Redonda			
Morocco		Madleines Bimbo			
		Mini Pizza Complet			
		Mini Pizza Oigon Ail			
		Pizza Huile d'olive			
		Pizza ronde			
		Pizza Ronde Nature			
		Mini Pizza Nature			
		Pizza Complete			
		Kekito Bimbo			

GRI 3-3, 417-3, FP8
SASB FB-PF-270a.1.

transparent sustainable brands

We are committed to empowering our consumers by offering products that contain clear and transparent information about our healthy recipes, community involvement, and environmental commitments.

OUR COMMITMENT

2025

100%

of our occasional and children's portfolio will offer nutritional transparency based on scientific evidence on packaging and in digital media.

We will provide nutrition education to

five million

people around the world through our nutrition education and wellness projects.

2030

We will provide nutrition education to

eight million

people around the world through our nutrition education and wellness projects.

2023 PROGRESS

We developed our packaging transparency guidelines to ensure we immediately provide consumers with the information that is relevant to them.

We reached more than 110 million people, sharing varied recipes made by the Nutrition and H&W team to promote planetary and balanced diets.

our plan

Our product packaging is the direct means of communication between us and our consumers. They all contain the information required by regulations and our internal principles and guidelines, based on our Global Nutrition Labeling Policy.

Our labeling promotes a consumer-centered approach to empower consumers to make decisions based on clear, simple, immediate, and transparent information.

The information found on the packaging expresses not only what it is made of, but also where it comes from, how it was made and the effort we make to have the least possible impact on the environment.

We align ourselves with current technological advances and the corresponding regulations and guidelines to promote communication strategies that facilitate the dissemination of relevant information about our products and values. If a country does not have an official regulatory framework, the corresponding areas ensure the definition of portions and information to be broken down in the nutritional labeling.

At Grupo Bimbo we ensure that we always report our impact on the community and the environment in an honest and transparent manner.

OUR LABELING COMPONENTS

- **Nutritional information:** Per-serving statement: calories, total fat, saturated fat, trans fat, carbohydrates, dietary fiber, sugars, protein, and sodium.
- **Sustainability:** We promote planet-friendly practices and communicate what we are doing for the environment.
- **Health claims:** Showing strong scientific support for all health claims.

- **Portions:** We strengthen the recommended portion concept to drive consumers towards balanced diets.
- **Front label:** Wherever there aren't any regulations on the subject, we integrate the GDA's (Guideline Daily Amount) labeling scheme.

responsible communication

To ensure our consumers' well-being and health, we created responsible communication guidelines, "This is how we do marketing", aligned with our Code of Ethics. These guidelines help us to define the criteria our marketing teams must meet when developing communication campaigns to be reliable and transparent, promoting a balanced and nutritious diet.

Responsible communication about our products and Organization is essential to gain our public's trust and preference.

To develop our marketing strategies, we constantly strive to offer maximum value to our consumers, ensuring we positively contribute to their nutrition and protect their rights.

In 2024, we set the following objectives for responsible marketing:

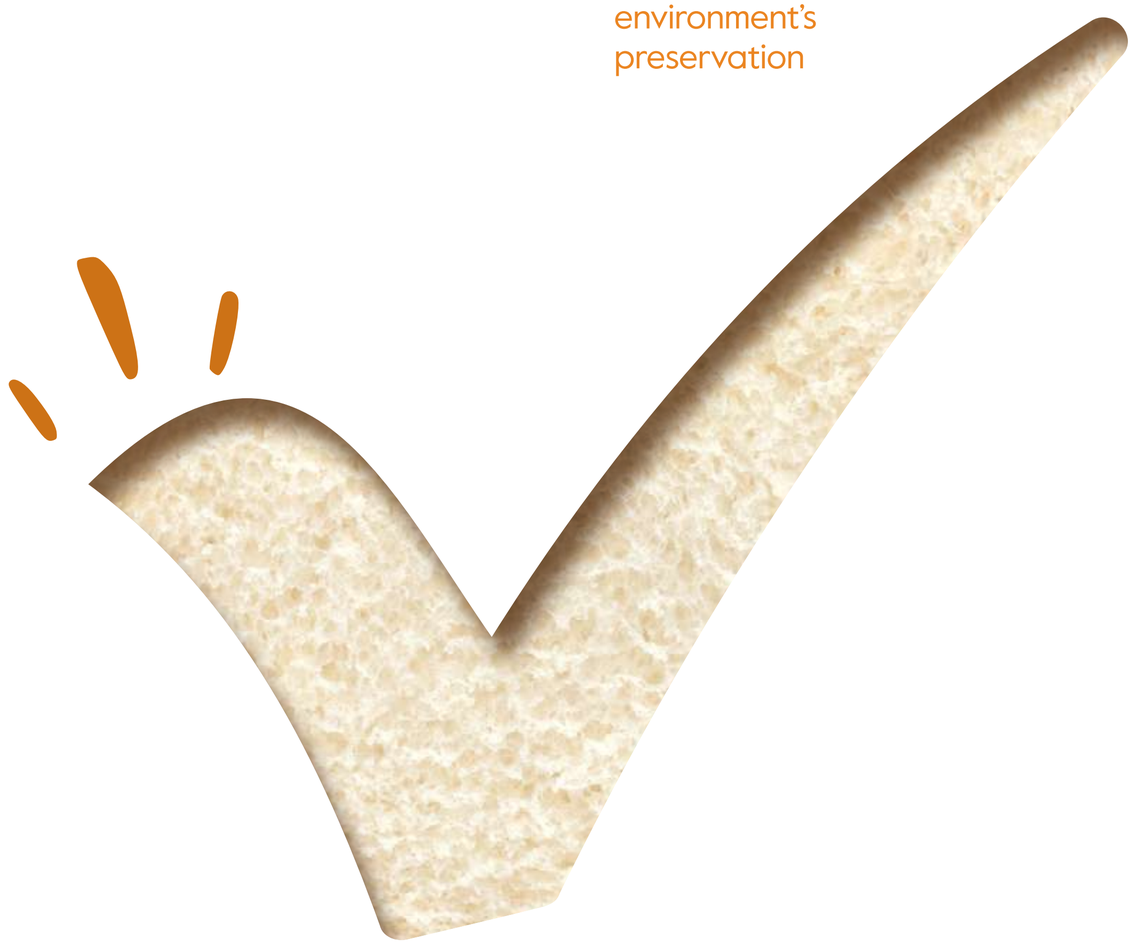
- Promote appropriate diets and healthy lifestyles in our advertising strategies.
- Maintain socially and ethically responsible advertising to all our consumers, governed by the highest standards established worldwide in different topics.

WE HAVE SET THE FOLLOWING OBJECTIVES TO SUPPORT OUR RESPONSIBLE MARKETING STRATEGIES:

- Promote **transparency** and accountability regarding our impact on the planet, nutrition, people, and our communities
- Ensure the **understanding of our recipes** and promote healthy lifestyles
- **Avoid food waste**
- Promote **circular economy** principles
- Demonstrate progress towards our proposed **commitments** through success stories
- **Strengthen a community of agents of change** committed to health, wellness, the fight against inequality and the environment's preservation
- **Promote universal values** that permeate in our consumers, as a fundamental part of our culture

In 2023, we recorded no cases of non-compliance with regulations or voluntary codes on responsible marketing and communication.

We know that to ensure business continuity, we must evolve and adapt to changes in the market, regulations, and society. For this reason, our brands' focus includes criteria to remain at the forefront and favor our customers and consumers' preferences.



GRI 2-23, 3-3
SASB FB-PF-270a.I.

our commitment with children

We recognize that our advertising does not detract from the role of parents and other responsible adults in guiding children's diets and lifestyles. We reiterate our commitment to continue to implement a strategy that displays content that promotes a healthy lifestyle and fosters children's rights, positive self-esteem, and non-violent values.

In 2023, we continued to work to generate a positive impact through marketing strategies that prioritized responsible communication across all our brands. We updated our Global Policy on Communication and Advertising of Products for Children's Audiences to align it with the World Health Organization (WHO) guideline, recognized for its high standards in responsible marketing practices. In addition, we prohibit product advertising in schools, except upon request and with authorization, to educate and/or promote healthy lifestyles.

Our new responsible communication guidelines emphasize that our brands and products:

- Do not promote social stereotypes or call for prejudice, deliberately provoking any type of discrimination.
- Do not attribute nutritional values or characteristics superior or different from those possessed by the advertised food.
- Do not use people with influence who are under 13 years of age (e.g. celebrities, ***influencers***, social media celebrities, etc.) or people whose target audience is children under 13 years of age.

In 2023, we also launched our Global Policy on Diversity, Equity, and Belonging in Brand Communication, with the aim of reflecting diversity and promoting equity and inclusion in any type of communication from our brands.

We recognize the role that digital marketing plays today. Therefore, we are committed to not generating advertising campaigns or advertisements aimed especially at children under 13 years of age for products that do not comply with the healthy nutritional profile. We make sure that our publications in social networks are directed to adults at home and, in the case of mass media, we segment content depending on time slots to identify spaces where minors are not included.

We promote healthy lifestyles, positive self-esteem, and core values with our youngest consumers to nurture their holistic development.

As part of our commitments, in 2023 we had fundamental actions that reflect our efforts in favor of children:

1. Since 2022, our global sponsorship of F.C. Barcelona and our role as the main sponsor of F.C. Barcelona Femenino (women's team) has been of great relevance to amplify our purpose. We "feed a better world" and increase our brand preference through a 3-pillar strategy:
    a. Promote female talent, equity, diversity, and inclusion.
    b. Promote healthy lifestyles and eating habits.
    c. Support and nurture new generations.

Building on the strategic vision of sponsorship, we developed actions such as *El Sueño Bimbo*, "The Bimbo Dream", which aims to support girls (from Argentina in this edition) by giving them the opportunity to live with and be inspired by the players of F.C. Barcelona Femenino in multiple training sessions at the team's facilities in Barcelona.

2. Our *Futbolito Bimbo soccer* tournament in Mexico encourages physical activity in children between the ages of 9 and 11. It also reinforces values and healthy lifestyles among the school community that participates in the tournament.

GRI 2-23, FP8_22

nutritional and sustainable information on our products

Promoting transparency and sustainability in our products is fundamental. This means making our recipes' ingredients, our social responsibility, and sustainability efforts known through different channels. We believe that all Organizations should be honest, open, and straightforward with their customers, their competitors, and themselves.

We work hard to ensure that the brands in the countries in which we operate include the most relevant information about our efforts in the following impact areas:

NUTRITIONAL TRANSPARENCY

In our brands present in Spain, United Kingdom, Canada, United States, China, Brazil, Mexico, Central America, and South America, we provide nutritional information in a simple and transparent way directly on product packaging and/or online, through QR codes or websites that make this information available in depth.

We have a Global Nutrition Labeling Policy and guidelines for compliance with GDA (**Guidelines Daily Amount**) to which all our brands are aligned across all countries we operate in, additional to compliance with local regulations.

Not only are our recipes' ingredients stated on our packaging, but our brands in Spain, Mexico, the United Kingdom, Canada, China, United States, Brazil, and Chile also have ingredient lists and nutritional profiles published on our local websites.

QR CODES

In some countries it is possible to access our products' nutritional information by scanning their QR code through an application on mobile devices. This allows the user to obtain a real-time interactive experience with the brand, information about our products, as well as nutritional recipe tips.

In Spain, we participate in the **Too Good To Go** program's initiative, where we raise consumer awareness regarding food waste, so they can learn and apply practices to reduce their own. For example, by checking whether a product can still be consumed, even if it has reached its expiration date.

success stories

The United States has already implemented QR codes in all its products. In Mexico, we expect QR codes to be implemented in all major brands by 2025.

FUNCTIONAL MESSAGES

We work with the Nutrition and Wellness, and Innovation and Development teams on a global process that can cover all our brands, to promote functional messages based on scientific evidence to facilitate consumers' understanding of our recipes, their benefits, and any additional information they may find useful about our products.

Between September and November 2023, we reached more than 110 million people on social media with messages promoting planetary and balanced diets.

GRI FP4_M, FP4_V, FP4_P

HEALTHY EATING TOOLS

Balanced weekly menu: support to comply with a balanced diet throughout the day and week. It respects each food group's appropriate ratios and their variety.

Evaluate your diet: online assessment that indicates whether your usual diet is in line with the recommendations for healthy eating. This tool offers some advice to our consumers on what aspects to enhance or consider improving in their diets.

Healthy plate: a tool that helps balance and vary meals and dinners at a glance. It is a practical method for everyday life, very easy to apply and with a fantastic result to include the main food groups in these meals.

GRI 2-29

BNUTRITION: DISCUSSING NUTRITION

To identify and manage strategies to monitor products and ingredients our consumers have expressed questions or concerns about, we have a nutrition strategy called BNutrition, which consists of two major processes:

LISTENING TO CONCERNS RELATED TO NUTRITION ISSUES FROM AUDIENCES OF INTEREST SUCH AS CONSUMERS AND HEALTH PROFESSIONALS.

Through digital tools such as Sprinklr, we analyze the current conversation around specific topics and ingredients in social networks, news, and blogs at global, regional, and local levels. In this way, we collaborate more assertively with Organizations in different countries, so that together we can move closer towards our shared goal of offering healthy, accessible, and transparent products.

In 2023, through the *Visita Médica* (Medical Visit) project, we sensitized 1,000 health professionals and nutritionists in Mexico City and the State of Mexico about the benefits of our product portfolio, as well as its quality and ingredients. In turn, we received their feedback and fostered a good perception of our offerings. If we consider that each professional gives an average of 5 appointments per day, we could have a potential impact of 100,000 people per month.

73.3
million people
reached

+140
thousand followers
on social media

02

COMMUNICATION STRATEGIES AND POTENTIAL IMPROVEMENTS TO OUR STRATEGY FOR NUTRITIONAL QUALITY IN OUR PRODUCT OFFERINGS.

We work to strengthen BNutrition's positioning among our target audience as a reference in nutrition, transparency, and food safety. We achieve this by providing information based on science, considering global trends, talking about the benefits of bread consumption in a balanced diet, the quality of ingredients, as well as the processes in the elaboration of our products.

As a result of our efforts to interact with the market, from 2022 to 2023 we had:

- +140 thousand followers overall across all our digital platforms and social networks
- 73.3 million people reached
- 882,000 interactions with our content

With this, we recorded an increase in the sentiment, perception, and positive conversation of:

86%

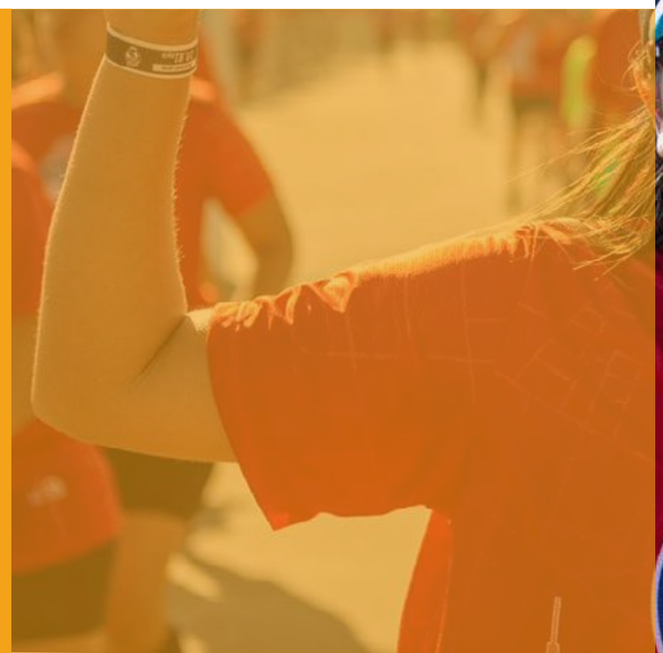
GRI FP4_G

PROMOTING HEALTHY LIFESTYLES

Through our sustainable and transparent brand strategy, we are committed to raising awareness. We use our different digital platforms and marketing campaigns to share our progress and help our consumers achieve responsible and informed consumption.

In addition, we promote programs and actions that reinforce physical activity, while facilitating multicultural, family, Diversity, Equity, and Belonging experiences.

success story



BIMBO GLOBAL RACE (BGR)

For the past eight years, the Bimbo Global Race has brought together more than 330,000 people in more than 80 countries to run together around the world.

BGR brings its commitment to life by supporting causes that transcend. That's why we donate 20 slices of bread for every registration to different food banks. We are a community of people who, inspired to help and connect, contribute every day to make the world a better place through small daily actions.

Once a year we gather all countries to run simultaneously in a big celebration where families and friends participate united for the same cause. This year, the BGR was a success, achieving the participation of 89 countries, more than 114 thousand runners in physical race, and more than 2.8 million slices donated, benefiting 33 Food Banks around the world.

GRI 3-3, 416-1

facilitating healthier plant-based diets

We are committed to promoting nutritionally diverse planetary diets through our products, favoring whole grains and superior plant-based ingredients.

OUR COMMITMENT

2025

Massively increase the consumption of whole grain products, reaching more households, increasing 5pp penetration and closing the gap with white breads through tasty products at an affordable price and with availability at points of sale.

Spread the benefits of whole grain consumption for health and the planet.

All our product categories, in all markets, will have a competitive offering that contributes to a healthier plant-based diet.

2030

100%

of our baked goods and snack offerings can be part of a healthier planetary diet by including a wide range of whole grains and healthy plant-based ingredients in our recipes, accessible to all.

2023 PROGRESS

92.3

million households reached.

We ran a global campaign to communicate the benefits of whole grains, reaching 2.8 million people through digital media.

We have made great efforts in innovation across all our Organizations, reaching our goal regarding project launches according to plan, with the sliced bread category registering the highest activity.

97%

of the goals achieved.

our plan

We work every day to increase the presence of whole grains and other plant-based ingredients in our products to promote healthy plant-based diets.

To boost the consumption of whole grains, we are mainly focused on 3 pillars:

Promote the consumption of whole grains: With an optimized portfolio and delicious recipes, we seek to massify their consumption. We offer products for every occasion across all markets, ensuring their accessibility and that taste won't be an entry barrier.

We improve outreach and communication, strengthening education regarding whole grains:

a. On our packaging.
b. Through global and local campaigns (especially digital media).
c. By generating greater demand thanks to our products' tasty recipes.
d. With internal communication strategies that turn our associates into ambassadors of the whole-grain bread's benefits.

Innovation: We work to ensure that all our product categories are a healthy consumption alternative that responds to a planetary diet.

PROMOTING THE CONSUMPTION OF WHOLE GRAINS

Our main ingredients are grains, making us a great sustainable food option for people and the planet. To achieve our goals, we need a deep understanding of our consumers. We need to identify those aspects that could make it difficult for us to promote whole grain consumption.

Sliced bread consumers are increasingly aware of the importance of seeking a more sustainable and healthy diet for themselves and their families. However, in 2023, through the consumer study "Understanding wholegrain consumption" conducted by IPSOS, we identified that there are different areas of opportunity within our strategy to promote wholegrain breads:

They are unaware of the digestive and dietary benefits of whole-grain breads

To be considered as grain-based breads, actual grains must be visible, or otherwise they won't identified as one of the main food sources

To be grain-based breads, these must be **visible**

- Price: Consumers consider it more expensive than white bread
- Taste: Consumers do not consider the consumption experience to be superior than with other products

We are committed to promoting nutritionally diverse planetary diets through our products, favoring whole grains and superior plant-based ingredients.

100%
of our whole-grain bread sales goal achieved

100%
of our planned innovation projects goal achieved

90%
of our households reached goal achieved

Looking ahead to 2024, we will measure what percentage of our portfolio's sales respond to a healthier plant-based diet (portfolio containing at least 3g fiber / 100g).

2023 was a challenging year. We reached 92.3 M households globally, which has meant a loss of households vs. 2022, due to price increases.

In all markets we have at least one affordable whole grain bread in the top 10 sales.

We know the preferred attributes of whole grain breads globally and have made improvements to whole grain products in several geographies to offer a better product organoleptically.

In addition, we have conducted a global study where we have identified consumption barriers to take actions to promote consumption.

- **India:** We executed a packaging communication campaign for the relaunch of Harvest Gold products, with a superior quality.

- **Brazil:** We promoted a small format under the Nutrella whole-grain bread brand, which makes it the most accessible in the market in terms of unit price.

- **Chile:** We launched White Bread with Oats, which was well received by the market.

- **Mexico:** We successfully launched Oroweat Centeno, with sales of more than 6 million pesos, and Wonder 12 Grains, with sales of almost 6 million pesos.

- **We used the message:** ***"If your tummy is happy, then you are happy"***

- **Canada:** We closed the acquisition of Natural Bakery, enriching the portfolio with products such as: 6 Grains Bread, Canadian Rye, Dark Sourdough Rye, Multigrain Rye, and Crusty 60% Whole Wheat.

- **Spain:** We launched Bimbo 50/50, which is meant to remove the flavor barrier for the whole family, with a campaign highlighting its nutritional benefits.

- **United States:** In October, we launched the **Grains Almighty** campaign nationwide for the Arnold, Brownberry and Oroweat brands, promoting the consumption of grains. As part of this campaign, two varieties of bread were launched: "Gut Balance" for intestinal balance with prebiotics and "Plant Protein" with vegetable protein and chickpea flour.

Our objective is to ensure access to a healthy portfolio. We seek to reach low-income consumers and vulnerable populations.

This year we conducted a penetration analysis for all our breads by socioeconomic level for most of the countries where we operate. This once again demonstrated our different breads' broad reach across populations of all social strata.

*Health Star Rating

COMMUNICATION AND EDUCATION ON WHOLE GRAINS

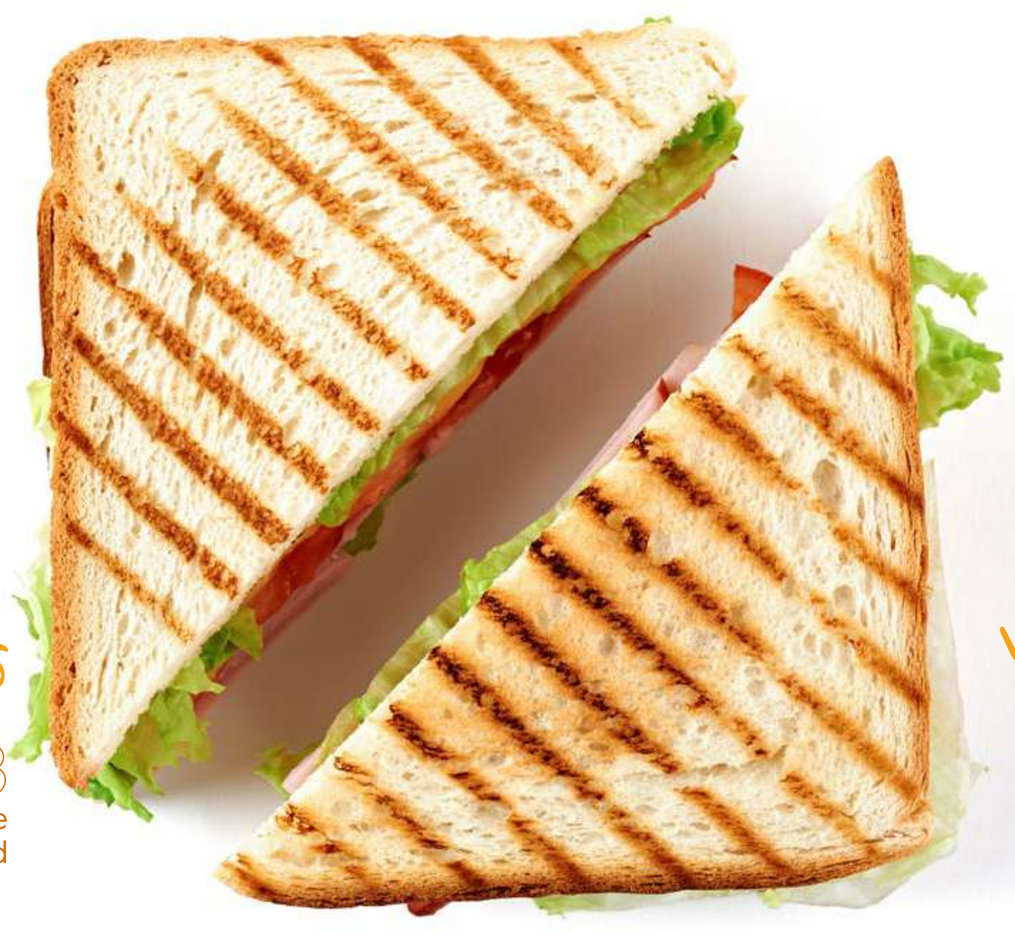
To promote the consumption of whole grains, it is also essential to provide consumers with the information they need to understand the positive impact on their diet and health, as well as to break down some of the barriers or myths that have been created around whole-grain breads.

In 2023, as part of our actions to promote this awareness, we ran a World Sandwich Day campaign in 11 countries. We reached 2.8 million people through digital media through relevant influencers in different geographies. 43% of the comments on this effort were positive, 55% neutral, and only 2% were negative.

In Bimbo Mexico we maintained constant communication with the market under the Zero Zero line through various media, mainly digital. Considering all the efforts of the year, we had a reach of more than 78 million unique users. The Zero Zero portfolio offers consumers the possibility of eating bread without fats or added sugars, including flourless and multigrain options, which add up to a nutritional balance.

In 2024, we will continue this effort globally to further promote our whole-grain bread portfolio.

"WORLD SANDWICH DAY" CAMPAIGN



2.8
million people reached

43%
positive comments

Innovation was a major focus in 2023 in all product categories, looking to attract more consumers and expanding our healthy product offering with tasty and superior products.

We have driven the use of various cereals and other plant-based ingredients, with excellent consumer reception. This year, our Organizations delivered 100% of their programmed innovations.

In addition, during 2023, the Health & Wellness team worked hand in hand with each Organization to define a portfolio of accessible and healthy products that are part of a planetary diet. Thanks to their hard work, this year we surpassed our sales goal, which represented $3 billion dollars.

success stories

Sanissimo, as the flagship brand of our healthy portfolio, had several launches in different Organizations in 2023. Among them: Chipotle Salmas, Ají Totopos, Tomato and Basil Nachos, Mini tostaditas, Mini rice crackers, Tostadas, and Cauliflower totopos. With this, it has already accumulated global sales of more than $100 million dollars.

In Central America, we launched Bondat, an oat-based cookie that empowers consumers with flavor and nutrition in every bite.

In Mexico, we launched two new healthy brands: Verygüel and I Feel Food. The positioning strategy was focused on price clubs, deploying 6 SKUs and reaching sales of more than $10 million pesos.

Verygüel are fruit-based snacks with the message "Reduce Food Waste". We use fruits that were not sold in their natural state as our primary ingredients during the manufacturing process, contributing to reducing food waste.

Externally, we have various structures that intertwine with experts, scientists, research centers, and suppliers to co-develop solutions along the entire value chain. We seek to deliver the best products to our consumers at affordable prices.

OPEN INNOVATION	FOCUS	EFFICIENCY EARNINGS	COST REDUCTION/ REVENUE GENERATION	ACCESS TO HUMAN CAPITAL, TECHNOLOGY, INVENTIONS, ETC.
Suppliers	Co-development and validation of specific technological solutions	Nutritional improvement in product portfolio New manufacturing processes	Owned or co-owned technology Exclusivity models for developed solutions	Access to specialized knowledge and infrastructure
Spin-offs, start-ups	Co-development and validation of specific early-stage technology solutions	Nutritional improvement in product portfolio New manufacturing processes New packaging materials	Access to cutting-edge technologies and processes from different innovation ecosystems (USA, Israel) Confidentiality agreements are signed with all start-ups and the technology developed is intended to be proprietary	Execution of agile and multidisciplinary work models
Universities / research centers / experts	Co-development of specific technical challenges for the medium and long term	Nutritional improvement in product portfolio New packaging materials	Owned or co-owned technology Exclusivity models for developed solutions	Access to talent pool (students, faculty)

OUR MOST ICONIC PROJECTS

We are proud of our most innovative 2023 projects. From the launch of delicious products that have captivated our consumers to technological breakthroughs that transform our value chain, each initiative reflects our unwavering commitment to excellence and sustainability.

These innovations go beyond simply satisfying preferences. Each tells a success story, showcasing how we positively impact communities around the world. Our resilience has not only positioned us as leaders, but also drives our constant quest for excellence.

PROJECT	CHAPTER
Cruapan	
Zero Zero Flourless	Baked For You chapter
Logistics control towers	Zero Emissions chapter
New generation for our electric fleet	Zero Emissions chapter
Fire control	Associates / Health and Safety chapters
Integration of artificial intelligence in our processes	Baked For You chapter

By incorporating our customers and consumers' voices at every stage, we ensure that our innovations not only meet, but exceed expectations. We look to the future knowing that these projects will lay the foundation for continued growth and lasting positive impact.

2023 ACHIEVEMENTS AND CHALLENGES

Our 2023 results highlight the vitality and sustained growth of our business, as well as the freshness of our portfolio. In addition to innovating in new product launches, we expanded our end-to-end vision, leading numerous innovation projects aimed at boosting productivity and profitability. We are committed to innovation as a comprehensive tool to optimize all the company's indicators, getting significant results in all areas.

We are proud to highlight our innovation for the benefit of our associates. We promote innovation across the board through our Innovation School, which includes training programs in areas such as agile frameworks, creativity, resilience, and strategic thinking. These aspects are fundamental to the development of innovation competencies and reflect our commitment to professional growth and excellence in all our team's areas.

We have also implemented innovation tools, most notably, **Hackathons**. **Hackathons** involve working collaboratively to address specific challenges, develop prototypes, and create working solutions in a short period of time. These events, which we run both globally and locally, are recognized for fostering creativity and interdisciplinary teamwork, acting as key catalysts to create an innovative culture. We use Hackathons as an effective strategy for stimulating creativity and discovering innovative and effective solutions to a variety of problems.

We continue to promote social responsibility hand in hand with innovation and our commitment to be sector leaders.

FUTURE GOALS

We know that 2024 will bring significant challenges for society, the environment, and the financial world. We are determined to innovate our processes and products every day, while developing skills and abilities to be flexible and adapt to today's world. We will continue to encourage our teams to explore and develop innovative projects. The intention is to successfully replicate these projects in all the regions where we operate, generating growth and providing our consumers everywhere with the same accessibility to the exceptional quality and experience of our products.

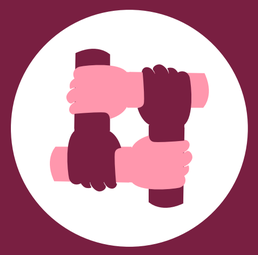
In our constant search to deliver delicious, nutritious, and accessible products, as well as to optimize our production chain, we recognize that innovation is the essential path to achieve these goals. We have worked with multi-country teams and different Organizations to be aware of macro trends that will impact the world in the coming years. We want to be prepared to detect our consumers and users' specific needs.

We are committed to finding and applying more advanced technologies that will enable us to improve our operations' efficiency while meeting our sustainability objectives. We will take advantage of technological advances to raise our productivity and profitability to new levels of excellence.

GRI 3-3

baked FOR LIFE

Every step we take gives us the opportunity to nourish a better world with programs that are meaningful to people, friendly to the planet, and aligned with our purpose.



STRENGTHENING COMMUNITIES

CARING FOR OUR PEOPLE

At Grupo Bimbo, we strengthen communities, contributing to their prosperity and caring for nature.

People are our top priority. Through dialogue and collaboration, we understand their needs. We contribute significantly to their growth and development, focusing on well-being, environmental protection, and the promotion of diversity and inclusion. We do this through education, with everyone's participation.

Lines of action

STRENGTHENING COMMUNITIES	We improve the lives of everyone we reach
CARING FOR OUR PEOPLE	We prioritize our associate's safety, health, and well-being, creating a diverse, inclusive, and equitable work environment that fosters personal and professional development

GRI 203-2, 403-7

our main goals

2025 GOALS

Implement measuring programs' impact

Reduce the TRIR rate by at least 30% compared to 2020

30%
of female talent will be in leadership positions

2030 GOALS

Implement at least one social impact project per work center, benefiting our communities, small farmers and/or shopkeepers with whom we work in Grupo Bimbo

40%
of female talent in leadership positions and make progress locally in other historically underrepresented groups

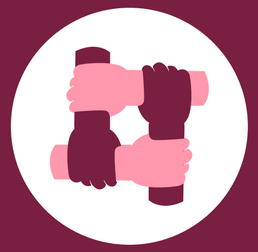
Maintain a constant 5% reduction of the TRIR indicator, which will allow us to stay below 1.00

Grupo Bimbo will be an inclusive and accessible workplace for people with disabilities (PwD), with at least one PwD in each work center

Increase the amount we spend on diverse suppliers and work towards developing the best supplier diversity program

We will have at least one social investment project per Organization with a focus on Diversity, Equity, and Belonging (DE&B)

All our internal and external marketing and communication strategies will reflect the diversity of the communities we serve



STRENGTHENING COMMUNITIES

CARING FOR OUR PEOPLE

strengthening communities

Our commitment to the communities where we operate is active and mindful. We recognize and address each region's unique needs, collaborating with civil organizations to launch meaningful programs.

These programs, driven by the heart of our community work (our associates), strive to generate a positive and sustainable impact for a more equitable future for our communities.

2030 GOAL

Support and generate a positive impact in the communities where we live and operate, and along the value chain. We will do this through our social investment programs of economic and in-kind support, **Good Neighbor, and Volunteering** projects with a focus on community development.

2023 PROGRESS

+235
million Mexican pesos worth of social investment in 23 countries

263
Good Neighbor projects, +13% vs 2022

+23
thousand hours of volunteering

GRI 203-2, 413-1

social programs

Social programs are an essential part of our philosophy and of our company's social, economic, and environmental purpose to serve more people. The challenge now is to reach our full potential by being sustainable by design, replicating this mindset in all people to win big and fulfill our purpose of **Nourishing a Better World**.

Our programs

SOCIAL INVESTMENT

We collaborate with various civil associations to address community needs. We seek to have a positive impact on the environment.

GOOD NEIGHBOR

We strengthen ties with communities near our operations, developing sustainable projects that benefit everyone.

VOLUNTEERING

We foster the creation of agents of change through volunteering, sharing time and talent to create positive changes in people's lives.

We strive to create positive and meaningful change, guiding our actions towards a more sustainable and equitable future.

GRI 203-2, 413-1

Social Impact	Definition	Impact Category
Education	Increase the population's access to education by promoting relevant initiatives and improving basic infrastructure.	• Diversity, Equity, and Belonging • Support and recognition • Promoting culture and children • Guidance and Development
Safety	To guarantee a healthy and safe environment that builds trust in the community and promotes the proper development of daily activities.	• Adapting spaces
Well-being	Promote physical and mental well-being by ensuring the satisfaction of individuals' basic needs and encouraging healthy actions.	• Humanitarian support • Inclusive communities • Health improvement
Environment	Encourage awareness and sensitivity to the importance of preserving our natural resources and environment, thus contributing significantly to the improvement of the quality of life.	• Zero waste • Environmental awareness • Forest improvement • Sustainable transformation
Physical Activity	Promote a healthy lifestyle through the implementation of initiatives and the adaptation of spaces specifically designed to promote physical activity.	• Support for sports activities • Improvement of recreational spaces • Inclusive physical activity

social **investment**

Our social investment strategy reflects our strong commitment to sustainable development. It enables us to support projects in 23 countries, with a focus on crucial areas such as education, environment, physical activity, safety, and well-being.

2023 DONATIONS

	financial donations	in-kind donations	total donations
Europe, Asia, and Africa	25	17	42
Latin America	7	242	249
North America	48	0	48
Mexico	229	45	274
Total	309	304	613

GRI 203-2, 413-1

our achievements

FINANCIAL INVESTMENT
We have invested +235 million Mexican pesos, equivalent to 0.5% of our Net Income.

We contributed **in-kind donations** valued at $181.8 million Mexican pesos, benefiting 284 food banks.

SUPPORT FOR CIVIL ASSOCIATIONS
We actively collaborate with **384 civil associations**. We promote projects that focus on health, environmental conservation, education, and community development. Our support was distributed as follows:

19%
health

4%
environment

31%
education

46%
well-being

DIVERSIFIED DONATIONS
We made a total of **613 donations**, both in-kind and financial, to support a variety of causes and needs.

This combination of efforts and resources reflects our dedication to creating a positive and lasting social impact in the communities where we operate, always aligned with our values and sustainability goals.

BIMBO GLOBAL RACE
Through this event, both in-person and online, we distributed more than **2.8 million slices of bread to 33 food banks**, reinforcing our commitment to nutrition and health globally.

success stories

***ALIMENTOS PARA SIEMPRE*, JALISCO, MÉXICO**

In collaboration with Educampo, we selected a group of women in Jalisco to improve their diets and those of their communities.

We conducted a technical assessment of their gardens, provided training and technical assistance, and organized events to promote healthy eating and the preservation of native species.

Since its launch in 2023, we have integrated 106 women in 7 municipalities into this program, developing 53 productive gardens. These gardens have not only increased food production, with 30 of them generating an average of 6 kg of produce per square meter per year, but have also been a means to train and accompany women on issues of gender, self-esteem, Organization, nutrition, and sustainable cultivation techniques.

WHEAT CROP RESCUE

We focused on improving the nutrition of school-age children and their families by optimizing agri-food systems and rescuing wheat in 3 Purépecha communities in Charapan, Michoacán: Cocucho, Ocumicho, and San Felipe de los Herreros. Together with the civil Organization Pro México Indígena, in 2023 we established 3 wheat demonstration plots, with a 4-hectare area. We also organized a food fair with two exchanges of experiences and nutritional health workshops. We promoted the application of vitamins and follow-up of children's growth, in addition to helping establish a baseline to detect children with malnutrition and who are underweight for nutritional monitoring.

GRI 203-1, 413-1

COMMITMENT AND SUPPORT IN THE FACE OF NATURAL DISASTERS

We understand that our commitment to the communities we serve extends in times of natural disasters. For this reason, we have developed a system to manage donations and financial support, ensuring rapid and coordinated action when it is most needed.

Throughout 2023, the world witnessed a number of natural disasters. At Grupo Bimbo, we mobilized our efforts immediately to provide support. The actions listed below reflect the breadth and depth of our commitment:

Earthquake in Turkey

In response to the earthquake, we donated more than 165,000 pieces of product and contributed 30,000 American dollars to the mobile hospital project in collaboration with **Rotary**. In total, our support amounted to approximately 860,000 Mexican pesos.

Earthquake in Morocco

We supported the affected communities with donations of almost 17,000 units of products and contributions through the **Food Bank**. In total, our support amounted to more than 105,000 Mexican pesos.

Hurricane Otis in Acapulco, Mexico

In the aftermath of the hurricane, we acted in solidarity to support the affected communities.

Our fundraising campaign ***"Grupo Bimbo Unido Contigo"*** distributed more than 15 million pesos, thanks to donations from associates, founding families, and our company, directly benefiting 380 associates whose homes were affected by the hurricane.

In addition, we coordinated donations of Bimbo and Barcel products, working with the Mexican Red Cross and Fundación Origen to distribute the aid effectively and efficiently. We provided logistical support to the Red Cross and SEDENA to transport supplies and goods in our trailer trucks, as well as medical attention to more than 200 associates and their families.

This support, which began in 2023, will continue in 2024. We reaffirm our commitment to the recovery and strengthening of impacted communities.

These actions not only demonstrate our ability to respond effectively to emergencies, but also our desire to contribute to the well-being of communities in times of need. Our focus on social investment enables us not only to assist in recovery, but also to foster long-term resilience in the communities we support.

good neighbor

Through our Good Neighbor program, we create and strengthen ties with the communities near our work centers. We do this through projects that promote well-being, environmental preservation, and diversity and inclusion through education and training.

MAJOR IMPACTS

Doing our bit

30%
Education
Improved levels of education, reduction of social gaps, better opportunities, and inclusive educational facilities.

10%
Environment
Improved resource and waste management, promoting better air quality, and encouraging healthy eating.

11%
Physical Activity
More and better recreational spaces to provide physical activity for people with disabilities.

2%
Safety
Improved emotional well-being and safer spaces.

47%
Well-being
Access to public infrastructures, basic services, promotion of food safety, and healthy lifestyles.

100%

Improvement of the quality of life of the people we work with

TOTAL PROJECTS	Education	Environment	Physical Activity	Safety	Well-being	Total
Europe, Asia, and Africa	7	5	2	1	16	31
Latin America	40	4	8		8	60
North America	12	7	12	1	54	86
Mexico	17	12	8	3	46	86
Total	76	28	30	5	124	263

GRI 203-2, 413-1

our **achievements**

+440,910
beneficieries

263
Good Neighbor
projects globally

13%
growth in the number of projects, bringing our total number of initiatives to **263**

28
countries where we expanded our program, reinforcing our global footprint, and impact capability

9
Latin American countries where we launched projects focused on women's leadership and better nutrition through sports

~1,300
women benefited, including girls and teenagers, promoting stronger, more equitable communities

We integrated the DE&B perspective into 40% of Good Neighbor projects

1,752
projects from 2012 to 2023 Cumulative achievements

social **impact**

We measure our impact on the quality of life of everyone we engage with.

2% safety

	INDICATOR
100% Adaptation of spaces	Improved emotional well-being and safer spaces

11% physical activity

	INDICATOR
50% Inclusive physical activity	Greater ease in carrying out physical activities
37% Support sports activities	Increase the number of physically active people

	INDICATOR
13% Improved recreative spaces	Increase the number of people using those spaces

10% environment

	INDICATOR
46% Sustainable transformation	Better resource management
25% Environmental awareness	Healthy eating

	INDICATOR
14% Zero waste	Better waste management
14% Forest improvement	Better air quality

30% education

	INDICATOR
45% Diversity and Inclusion	Reducing social gaps
42% Promoting Culture and Childhood	Better level of education
9% Guidance and Development	Better opportunities
4% Support and Recognition	Inclusive facilities

47% well-being

	INDICATOR
47% Community support	Access to basic services
46% Inclusive communities	Infraestructuras públicas
6% Guaranteed food supply	Food security
1% Better health	Healthy habits

success stories

STORES WITH A CAUSE

We continue to strengthen the integral development of women and mothers of children with disabilities, including them in our value chain by providing them with stores, as well as training and support to manage them.

7
stores in
Latin America

1
store
in Mexico

CHAMPIONS OF DREAMS

At Grupo Bimbo, with our "*Campeonas de Sueños*" project, we have dedicated ourselves to empowering women and girls in the world of soccer, understanding this sport as a powerful tool to instill values such as respect, tolerance, and teamwork. Our focus is on ensuring equal opportunities in sport, especially in women's soccer, which contributes to a fairer and more inclusive future.

"*MANOTÓN*": INCLUSIVE COMMUNITIES

We contacted the NGO Atomic Lab to collaborate in the construction and assembly of prostheses made with 3D printers to support people with disabilities. 76 Bimbo Argentina associates participated in assembling 8 prostheses.

GRI 203-1, 203-2, 413-1

volunteering

We encourage our associates' social leadership through our **Volunteering Program**, aimed at promoting sustainable development and community support. Our actions focus on projects involving education, environment, and the promotion of diversity, equity, and inclusion.

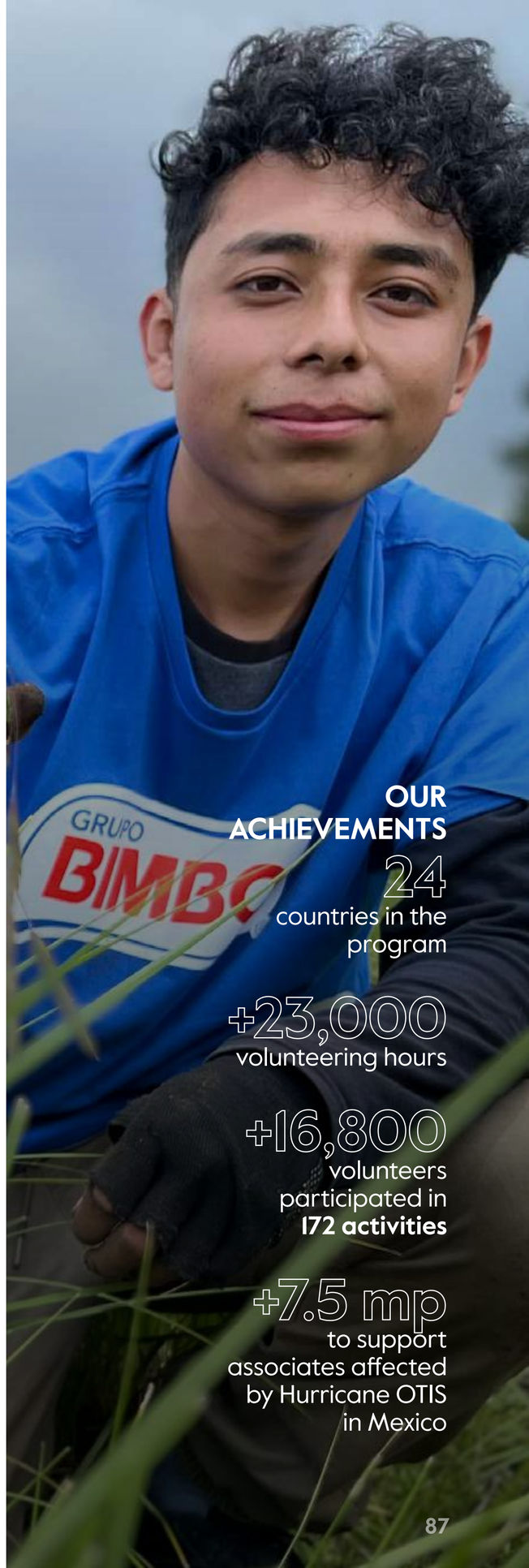
We carry out financial fundraising and in-kind donation campaigns.

We implement in-person and remote community outreach and service events.

Share knowledge, support, and advise community members on labor and professional matters.

Coordinate the execution of social projects and activities from the program's other branches.

The volunteering initiative underscores our strong commitment to community development and sustainability.



OUR ACHIEVEMENTS

24
countries in the program

+23,000
volunteering hours

+16,800
volunteers participated in **172 activities**

+7.5 mp
to support associates affected by Hurricane OTIS in Mexico

GRI 203-2, 413-1, FP4

BIMBO LATIN SUR

In Argentina we established a partnership with the *Botellas de Amor* foundation, turning our plants into collection sites to recover bottles filled with flexible plastics. These bottles are sent to the 4E Madera Plastica company, where they are used to manufacture furniture that is donated to the communities where we operate. **In 2023, we recovered 110 kg of plastic.** For next year, we plan to increase the amount collected through internal and external communication campaigns to involve more members of the community.

In Uruguay, **we recovered 207 kg** with the Eco. Ladrillos.uy program.

success stories

HEALTHY FAIRS

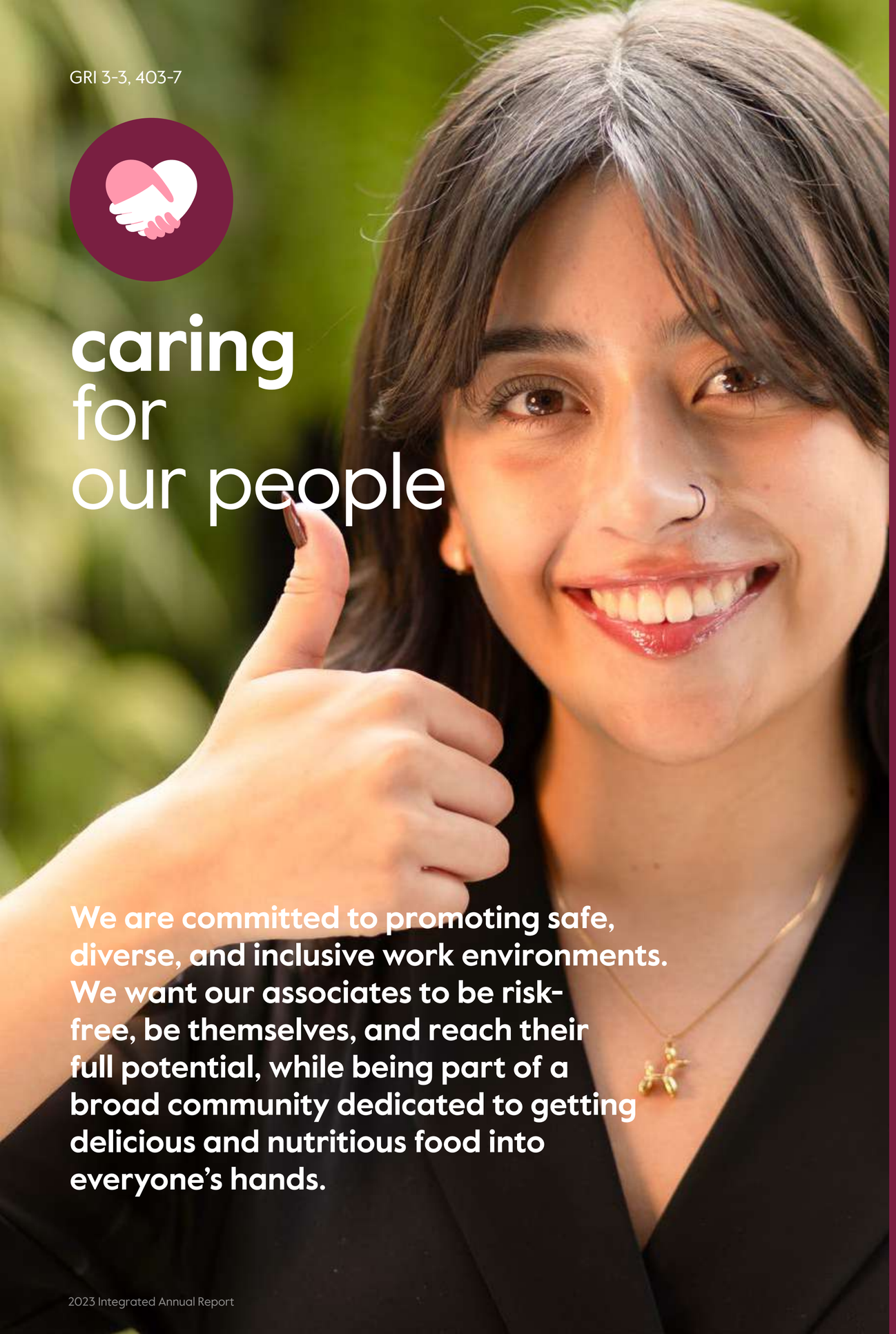
Together with our community of volunteers and food bank, we participated with the *Cartoneros y Sus Chicos* foundation (in Pilar, Argentina) and the *Hogar María de la Esperanza* Organization (in Hurlingham, Argentina). Our objective was to educate about healthy eating habits through games and interactive activities.

REFORESTATION

We carried out reforestation volunteer activities as part of the "*Mejores Alianzas, Mejores Bosques*" program. In 2023, we set a goal of involving more than **1,500 participants, 14 hectares, and 9,000 trees.** We managed to involve more than 1,300 participants, reforesting over 15.5 hectares with 9,900 trees.

GRI 3-3, 403-7

caring for our people



We are committed to promoting safe, diverse, and inclusive work environments. We want our associates to be risk-free, be themselves, and reach their full potential, while being part of a broad community dedicated to getting delicious and nutritious food into everyone's hands.

2030 GOAL

Maintain a reduction in our TRIR (Total Recordable Incident Rate) at each work center, performing to world-class safety standards

40%
of female talent in leadership positions. Achieve progress locally in other historically underrepresented groups

2023 PROGRESS

1.79 TRIR

-9% vs. 1.96 TRIR in 2022

27.6%
of female talent in leadership positions

Grupo Bimbo, a diverse, equitable, and inclusive team

In 2023, Grupo Bimbo had a family of:

149,144
freelance associates hired

12,109
associates hired by a third party

4,690
associates on the payroll[2]

165, 943
associates in 34 countries[1]

GENDER DIVERSITY[3]

MULTICULTURALITY

TOP EXECUTIVES[4] FROM THE LOCAL COMMUNITY[6]

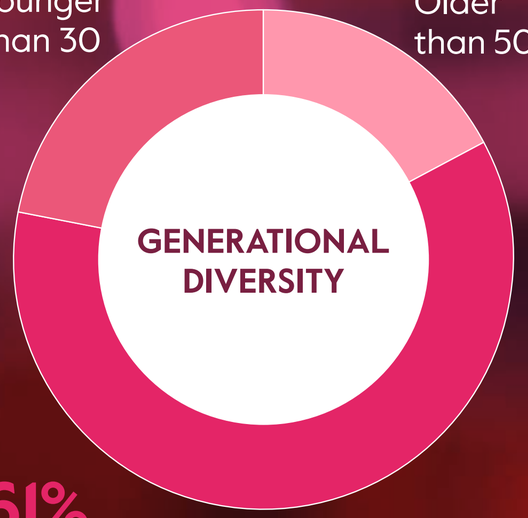
Mexico	North America	Latin America	EAA[5]
89%	94%	79%	64%

1 Total number of associates on payroll, freelanced, and outsourced.
2 New 2023 acquisitions are included.
3 No gender is reported for associates who are not on Grupo Bimbo's payroll, since they are not part of the Organizations' personnel registry.
4 Only in the United States.
5 Europe, Asia, and Africa.
6 "Top Management" is considered from the 2nd Management Level and above. By "Local": we define our executives born or with the legal right of permanent residence (naturalized or permanent visa holders). By "Significant Operating Locations": we consider all Organizations that have a management level in their structure.

GRI 405-1

22%
Younger than 30

17%
Older than 50

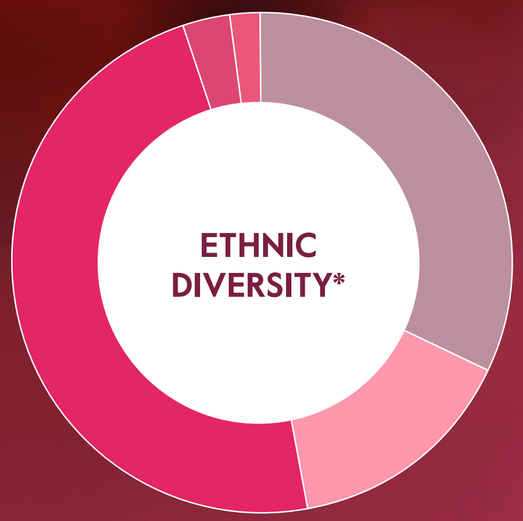


61%
between 30 and 50 years

3%
Asian

2%
Others

32%
Hispanic or Latinx



48%
Caucasian

15%
African American or Afrodescendants

*Only in the United States

2025 Goal

30%
of leadership positions will be held by women

2030 Goals

Show significant progress in gender equity globally, with 40% representation of female talent in leadership roles

Increase our spending on diverse suppliers and promote a supplier diversity program

We will have at least one social investment project per Organization with a focus on Diversity, Equity, and Belonging (DE&B)

All our internal and external marketing and communication strategies will reflect the diversity of the communities we serve

We aspire to represent the diverse demographics of the communities where we live and serve through an inclusive culture.

Our Diversity, Equity, and Belonging (DE&B) strategy is structured along five main axes:

GRI 2-23

DE&B GOVERNANCE

In 2023, we strengthened our global regulatory framework of policies, processes and protocols related to DE&B. The strategy is governed by a set of policies that can be found here, as well as accessibility standards and safety measures for people with disabilities.

The compliance process includes disclosure and awareness of policies and procedures, including the DE&B regulatory framework.

We also have additional local training on DE&B issues, including the prevention of harassment and discrimination, as well as unconscious biases.

AWARENESS AND TRAINING

We believe that diversity and inclusion training is essential to raise awareness, as well as to develop skills and behaviors that contribute to creating a safe work environment for all.

The DE&B Global Seminar is our Organization's most comprehensive diversity course. In 2023, we relaunched it with renewed concepts and aligned to the company's strategy, training more facilitators to ensure its effective delivery throughout the Organization.

In November, we celebrated **Global Diversity and Inclusion Month** to raise awareness of respect for individuality and Human Rights.

Throughout the year, we conducted training and local actions, as well as communication campaigns, to raise awareness among our team on issues related to these topics.

gender equity
in our talent

Our mission is to ensure that every member of our team has access to equal opportunities in an environment that values and celebrates diversity in all its forms.

By 2030, we have a target of 40% representation of female talent in leadership positions worldwide.

We strive to increase the representation of women in all our business units. We aim to prepare them for leadership roles by providing safe work environments with a human rights perspective, free from harassment and discrimination.

In 2023, we were included in the Bloomberg Gender Equality Index for the first time, which only includes 484 companies from 45 countries. The index recognizes our efforts to promote and raise stakeholder awareness of Diversity, Equity, and Belonging issues.

This year we also received recognition as a "Leading Company for Inclusion" in EMEA for our practices in this field and, for the 4th consecutive year, the Orange Distinction from the Government of the State of Mexico in 9 work centers for promoting equality between men and women in work centers.

FEMALE TALENT DISTRIBUTION AT GRUPO BIMBO*	2022	2023	ΔPP
% women in leadership positions	26.0%	27.6%	1.6
Senior Managers	20.9%	24.0%	3.1
Managers	26.3%	28.2%	1.9
Headship	32.7%	33.6%	0.9
Supervisors	24.8%	26.3%	1.5
Executive Committee	11.1%	14.3%	3.2
Percentage of female managers in revenue-generating functions (e.g., sales) as a % of all managers (i.e., excluding support functions such as People, IT, Legal, etc.).	N.A	19.4%	N.A
Percentage of women in STEM (science, technology, engineering and mechanical) related positions (as % of total positions)	N.A	21.2%	N.A

SOME OF OUR INITIATIVES AND PROGRAMS TO PROMOTE WOMEN'S LEADERSHIP INCLUDE:

- Improving our recruitment and selection processes to ensure fair and equitable evaluation.
- Partnerships with specialized Organizations to identify talented female candidates with disabilities.
- Signing the United Nations (UN) Women's Empowerment Principles (WEPs) as Grupo Bimbo, since we have already signed them locally in several countries where we are present.

"Gender equality is not just a goal, but a fundamental right to action. Businesses must build spaces where all people have equal opportunities to reach their full potential. We are proud to join, now globally, the UN (United Nations) Women's Empowerment Principles, as it reinforces our commitment to accelerate the construction of a more equitable world."

Daniel Servitje,
Chairman of the Board and CEO

LEADERSHIP CIRCLES

Mentoring and coaching program for the development of female talent in leadership positions, based on Sheryl Sandberg's **Lean In** methodology. It is meant for the development of skills and training through interdisciplinary groups that lead women to achieve their professional goals.

EMPOWERING WOMEN'S TALENT BIMBO EMEA

Program focused on the empowerment and development of female talent to become a leading company in inclusion. In 2023 we received recognition as a "Leading Inclusive Company" for the development and recognition of companies leading in diversity initiative and their outstanding practices in the field of diversity.

WOMEN'S NETWORK BIMBO QSR

Networking to raise awareness on the importance of women in industries, in addition to holding the **Women's Network Steering Committee.**

ORANGE CERTIFICATION BIMBO MEXICO

Recognition awarded by the Government of the State of Mexico to recognize workplaces that promote equality between women and men. We are proud that, for the 4th consecutive year, nine of our work centers received this distinction.

wage **equity**

Our commitment to gender equity is also reflected in our salary compensation. During 2023, we assessed potential pay inequities at each organizational level.

MALE/FEMALE PAY RATIO OF OUR MAIN OPERATIONS BY COUNTRY

COUNTRY	ORGANIZATION	ADMINISTRATIVE	SUPERVISORS	EXECUTIVES AND SENIOR MANAGERS
Chile	Bimbo Latin Sur	0.89	0.98	0.82
Brazil	Bimbo Brasil	0.98	1.18	0.77
Canada	Bimbo Canada	0.94	0.94	1.03
Estados Unidos	Bimbo Bakeries USA	0.98	0.96	0.88
Spain	Bimbo EMEA	1.00	1.02	0.95
Mexico	Bimbo Mexico	0.86	0.97	0.78
Colombia	Bimbo Latin Centro	0.87	0.87	0.95

The ratio represents the number of times that women's total annual compensation is higher, equal, or lower compared to men's. For example, the total annual compensation of women at the Administrative level in Chile is 0.9 times that of men, i.e. lower, while for the Supervisor level it is equal.

inclusion of talent with disabilities

The underrepresentation of people with disabilities in the workplace is a challenge that we see as an opportunity to improve and enrich our team. We firmly believe that by providing inclusive work opportunities, we contribute to the well-being and personal development of people with disabilities.

We will achieve inclusion

through recruitment strategies, accessibility reviews at our work centers, and leadership awareness programs in talent attraction programs.

We have

the Global Universal Accessibility Standard, which establishes guidelines to guarantee the conditions our facilities must meet. In addition, we actively collaborate with recruiting pools, NGOs, and civil associations to offer suitable jobs that meet the specific needs of each person.

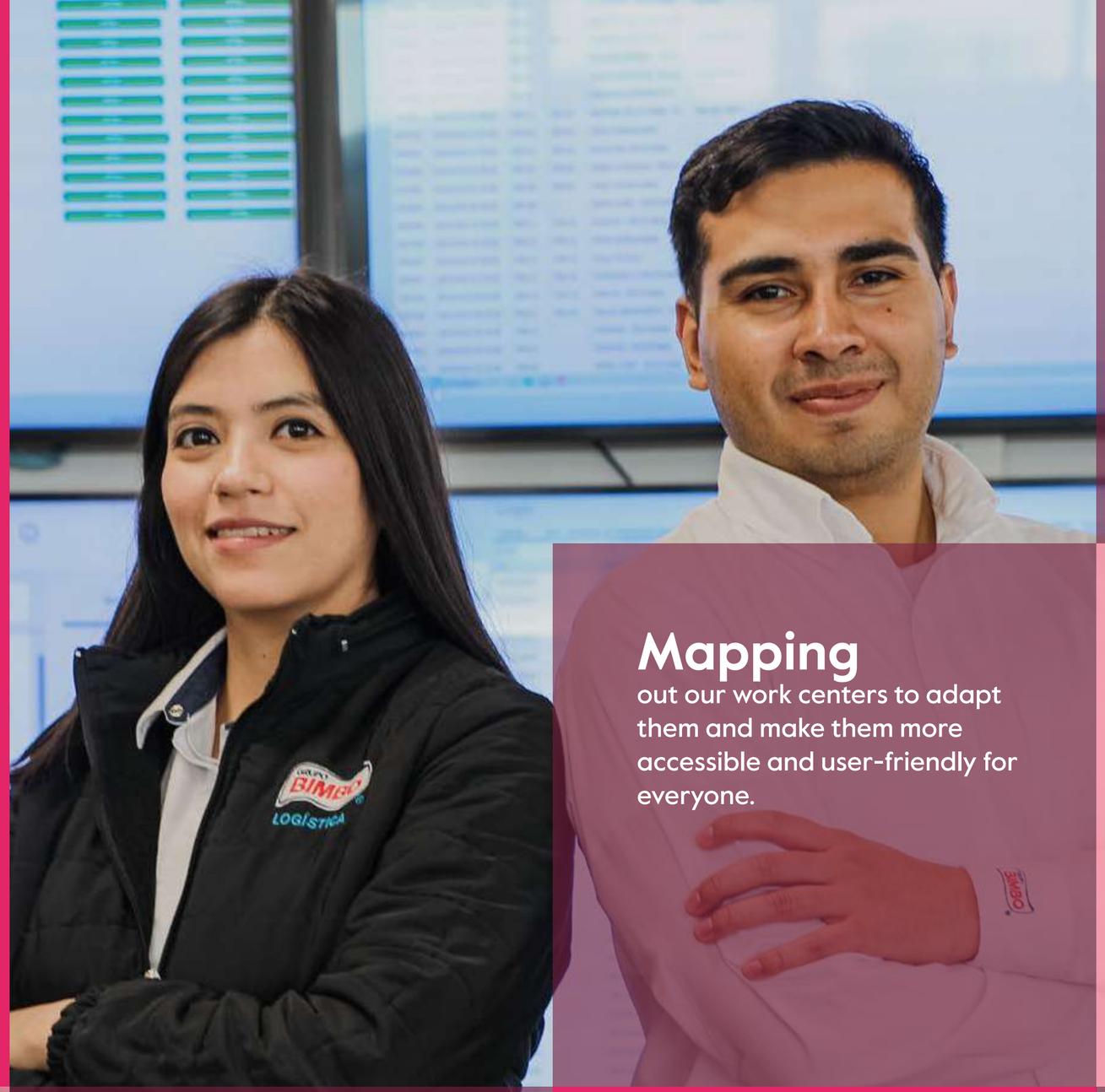
Our goal for 2030

is for Grupo Bimbo to be an inclusive and accessible workplace for people with disabilities (PwD), with at least one PwD in each work center.

operations **integration**

We strive to extend the integration of the DE&B strategy transversally throughout our value chain, focusing on implementing plans that benefit all people.

Among the actions and programs highlighted in 2023 are driving supplier diversity and undergoing accessibility mapping assessments in our work centers and facilities.



Mapping

out our work centers to adapt them and make them more accessible and user-friendly for everyone.

Promoting supplier diversity

creates equity to allow smaller suppliers bid on contracts with us, now and in the future.

Facilities

with breastfeeding rooms and universal restrooms.

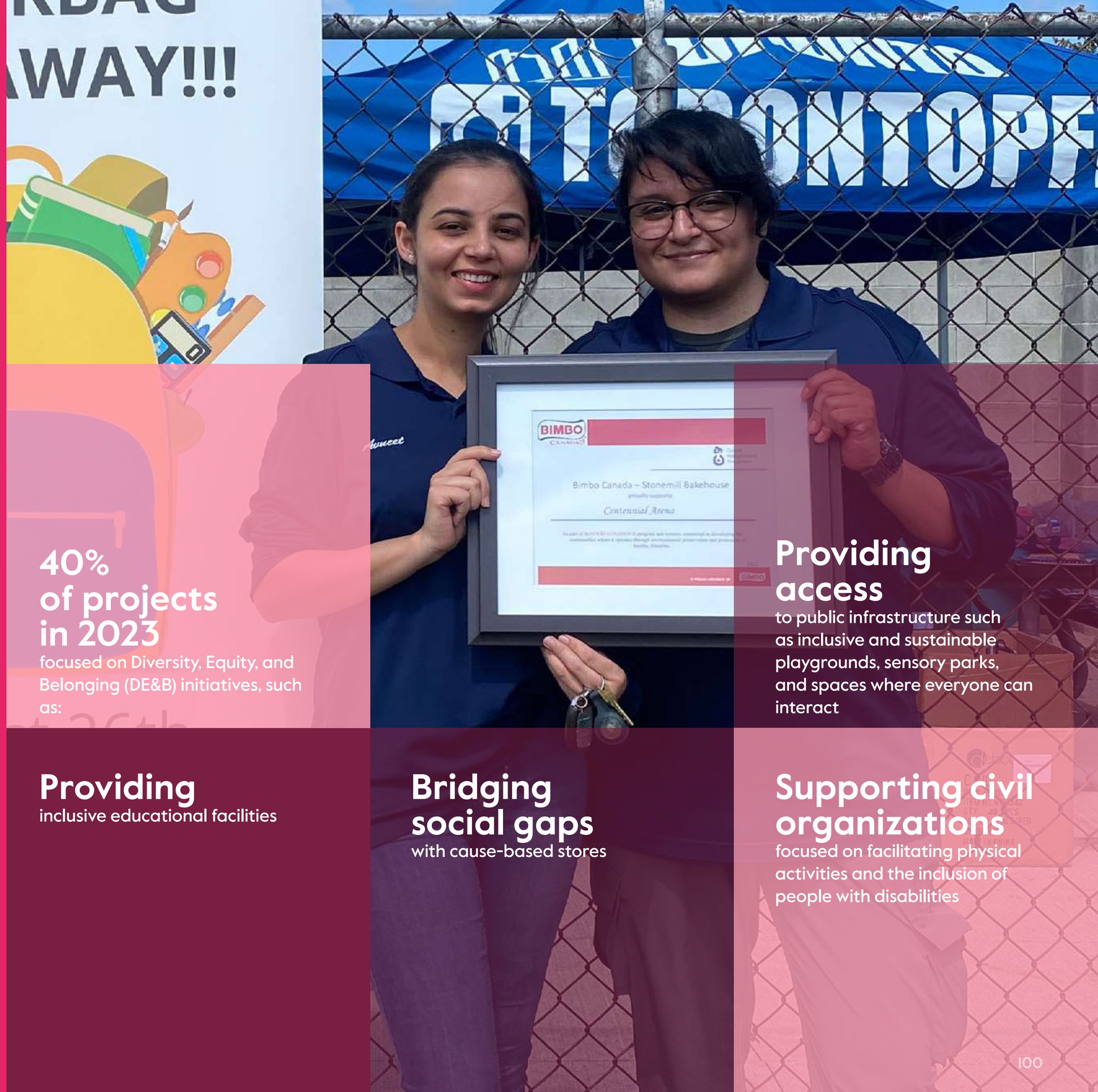
GRI 2-23, 2-24

market **integration**

We also work to impact the communities we interact with.

We have a Global Policy on Diversity, Equity, and Belonging for our Brand Communication that allows us to establish general guidelines to reflect diversity and promote equity and inclusion in any type of communication.
We also launched the first global campaign based on our Diversity, Equity, and Belonging's pillars as the main partner of Barcelona Femenino Football Club.

Looking ahead to 2030, we have set the goal that at least one project per Organization will be developed under this important approach. In doing so, we reinforce our commitment to inclusion and diversity in all our operations and communities. In 2024 we will publish our Inclusive Marketing Policy.



40%
of projects in 2023
focused on Diversity, Equity, and Belonging (DE&B) initiatives, such as:

Providing
inclusive educational facilities

Bridging social gaps
with cause-based stores

Providing access
to public infrastructure such as inclusive and sustainable playgrounds, sensory parks, and spaces where everyone can interact

Supporting civil organizations
focused on facilitating physical activities and the inclusion of people with disabilities

global talent **model**

We have a family of passionate associates who work with love to bring quality and flavor to every home. Our global strategy aims to create an inclusive, safe, representative, and collaborative work environment, where merit is recognized, training is encouraged, and professional growth is continuous. This unique recipe not only drives individual development, but also contributes to the organization's collective success.

ATTRACT THE BEST TALENT

During the selection process, we focus on identifying not only technical skills, but also on finding individuals who fit with the team culture that characterizes our company. This comprehensive approach seeks highly skilled professionals who share the values and commitment of our Bimbo family.

During 2023 we expanded our recruitment channels, moving to a model with more digital tools that allow us to respond to the talent needs of each region or business unit with greater efficiency.

In addition, we have established specific guidelines to ensure that our candidate pool is as diverse as possible. This approach allows us to build a diverse and dynamic team, where everyone brings their own uniqueness to the table, thus contributing to the inclusive and collaborative environment that characterizes our professional family at Grupo Bimbo.

NEW HIRES IN 2023:

HIRING IN 2023 BY GENDER

14,113
Women

33,664
Men

HIRING IN 2023 BY REGION

North America
8,225

Mexico
22,572

Latin America
6,647

Europe, Asia, and Africa
10,333

GRI 404-1, 404-2

developing our associates

26hrs

average training

For our team to strengthen their competencies and embody our values, we actively promote and monitor participation in institutional training and specialized content, both in our face-to-face and online formats. To ensure that all our associates improve their skills and live our values, we disseminate and follow up on training.

+20%

Average training hours per year per associate, as compared to our baseline (2021).

Train all management levels with the goal of providing the necessary tools and skills to develop their potential on the job

Every year we conduct an annual training planning for each business unit, to determine that the average training hours are higher than the previous year. Thanks to quarterly follow-up with each business unit, we exceeded our annual training hours by 100% compared to our baseline (2021).

	2021	2022	2023
Total training hours (million)	2.1	3.5	3.8
Average training hours	20.4	25	26
Investment in education and training (USD):		258 USD	191 USD

AVERAGE TRAINING HOURS BY GENDER AND EMPLOYMENT CATEGORY	WOMEN	MEN	TOTAL
Top Management	26	21	22
Executives	57	67	64
Supervisors and administratives	48	43	45
Operations and others	28	19	20
Global total	36	24	26

craft
academy

Craft Academy is a school with facilities at Tía Rosa (Toluca), Marinela México, and Bimbo Norte that seeks the orderly and accessible transfer of knowledge and experiences gathered within Grupo Bimbo. Our aim is for Craft Academy to be timeless, with digital courses that are adaptable for new generations.

Within our production lines, we rely on experts who have been in the company for over 30 years. Through their accumulated experience, they offer an invaluable guide of technical knowledge and practical experience, including those “unwritten rules” that can only be acquired over time. Aware of the importance to preserve something invaluable, we sought to find an effective way to collect and transmit this knowledge to new generations in a creative, easy, and standardized way.

Since its creation, Craft Academy has faced the enormous challenge of collecting this data, consulting with our most experienced associates and using sources supported by scientific foundations. Our goal is to organize and provide access to all this information with the help of pedagogical specialists and a team of designers and animators.

Bimbo's Craft Academy began its activities as our “Maintenance School” in 2019 at the Toluca and Mexico City facilities. The school grew over time, and in March 2023, facilities for Craft Academy were officially inaugurated at the Tia Rosa plant in Toluca, in the State of Mexico. This symbolized the beginning of a new era in professional training and knowledge transfer at Bimbo.

4,221

trained associates in 2023

235,837

total training hours

WHAT'S COMING NEXT FOR CRAFT ACADEMY?

At Grupo Bimbo we are focused on expanding our Craft Academy's global reach. We took a big step forward in translating the content into English so that the training is accessible in all countries where we operate. We are excited to announce that in 2024 the first course in English ***"Baking, science and technology"*** will be held at Tía Rosa's facilities.

We are also working to open laboratories in other countries and collaborate with different organizations. This will allow us not only to increase our reach, but also to reduce costs and facilitate access to training in all the countries where we have a presence.

talent **management**

95,381

associates evaluated

Through periodic performance evaluations, we gather detailed information on the behavior, contribution to the business plan, and potential of our associates. The process is carried out annually in all countries incorporated into Grupo Bimbo's Human Resources Systems (HRIS, from its name in Spanish).

The behavioral assessment is carried out in line with our Beliefs. Individual Contribution is defined according to each associate's contribution to the Business Plan. In this plan, goals related to the sustainability strategy initiatives and linked to the performance bonus are evaluated.

EMPLOYMENT CATEGORY	WOMEN	MEN	TOTAL	% Associates evaluated on their performance
Operations, Administrative, and Supervisors	18,748	72,241	90,989	77%
Executives and middle management	1,296	2,890	4,186	97%
Senior Managers	42	164	206	100%

*Only associates eligible for evaluation are reported. It does not include recent entries, recent departures, among others.

Behaviors

55% of the final score is made up of the manager's evaluation and 45% from the direct reports' average ratings. In the case of associates without a team in charge, the manager's evaluation represents 100% of the final score.

Individual Contribution

We use a global and standardized scale for all of Grupo Bimbo, where the associate's contribution is expected to translate into achieving objectives and fulfilling expectations.

Performance Calibration

During this phase, each area's leaders meet with their peers to analyze Performance and Behavior, identifying those associates who have stood out for their exceptional contributions.
It focuses on associates who obtained scores of 4 and 5 in Individual Contribution, followed by those with scores of 1 and 2, representing both ends of the performance curve.

INTERNAL INTERNATIONAL MOBILITY PROGRAM

We encourage international mobility so that our associates can showcase their talent around the world.

GRI 2-21, 202-1, 401-2, 401-3

compensation and benefits

Our Compensation strategy is designed to improve the quality of life of our associates and ensure fair and dignified working conditions. We operate under a competitive compensation model, which also reflects our commitment to the well-being and equity of all our team members.

To stay in line with the market and ensure our competitiveness, we conduct compensation benchmarking on a regular basis, adapting to market variability.

Internal equity is also key to maintaining a fair and equitable work environment. Each position is ranked based on its impact on the business and the type of expertise, skills, and leadership it requires on a salary range scale. Each associate can advance within these ranges based on their performance and accumulated experience.

In the case of our freelance and external associates, we supervise that the conditions of employment, hiring, and benefits granted comply with the principles established in Grupo Bimbo.

Our associates receive on average at least twice the minimum wage in each of our representative operations, which we operate without gender distinction.

RATIO OF THE INCREASE IN THE TOTAL ANNUAL COMPENSATION OF THE ASSOCIATE WITH THE HIGHEST COMPENSATION AND THE OTHERS

COUNTRY	ORGANIZATION	RATIO OF PERCENTAGE INCREASE IN TOTAL ANNUAL COMPENSATION
Chile	Bimbo Latin Sur	0.84
Brazil	Bimbo Brasil	5.35
Canada	Bimbo Canada	15.38
United States	Bimbo Bakeries USA	15.30
Spain	Bimbo EMEA	3.45
Mexico	Bimbo Mexico	0.91
Colombia	Bimbo Latin Centro	0.75

This ratio represents the number of times the highest earner's total annual compensation was increased compared to the median increase for the rest of the associates in the same country.

We pride ourselves on offering our associates benefits that not only comply with legal regulations, but exceed them, and are specifically tailored to the context of each country and job category. We understand that needs and expectations vary according to geographic location and type of work, so we strive to customize our benefits packages to meet these particular needs.

We have incentives that seek to link compensation to business results, reward performance and recognize the value of our associates.

Annual performance bonus: annual monetary incentive that seeks to recognize the company's performance and the individual contribution to the business plan of eligible associates. It is determined through performance and behavioral evaluation. It is as important to achieve the objectives as it is how we achieve them. All Sustainability Strategy goals are evaluated in the Business Plan and are linked to the bonus.

Long-Term Incentive: a scheme that makes eligible associates participants in the company's results accumulated in the last five years.

BENEFIT	FULL-TIME	PART-TIME	TEMPORARY	REGIONS/ COUNTRIES OF APPLICATION
Phantom Shares Level I Executives and Senior Managers	Yes	No	No	All regions: Brazil, Canada, EMEA, Asia, LAC, LAS, Mexico, United Kingdom, United States and BQ.
Assigned car Level I and 2 Executives and/or Senior Managers	Yes	No	No	India, Colombia, Guatemala, Honduras, Iberia (Spain and Portugal), Mexico, Nicaragua, Ecuador, Panama, United Kingdom, USA, Venezuela, Brazil, El Salvador, Costa Rica, Morocco, Italy, BQ ASIA (Ist Executives/Plant Managers and VPs). (El Salvador, Honduras, Nicaragua only to sales) LAS applies to 2nd Executives without international assignments who have the service in their home country. United Kingdom: given to mid-term associates. China: international assignees only. USA: Car allowance for sales team. France: Car allowance for all levels. Canada: Car allowance for sales managers and forward management levels. South Africa: Senior Managers receive car allowance. India: From managerial levels onwards.
Maternity or paternity leave	Yes	Yes	Yes	Full-Time Associates: Mexico, Canada, EMEA, LAS, LAC, USA, Brazil, Asia, BQ EMEA, BQ Asia, India. Part-Time associates are offered only in: EMEA, USA, Canada, Russia, France, Italy, Ukraine, Turkey, Kazakhstan. Temporary associates are offered only in: EMEA, France, Italy, Russia, Turkey, Kazakhstan, LAC.

BENEFIT	FULL-TIME	PART-TIME	TEMPORARY	REGIONS/ COUNTRIES OF APPLICATION
Annual Performance Bonus	Yes	Yes	Yes	Brazil, Canada, China (except administrative level), India, EMEA, Mexico, United States, LAC, LAS, BQ EMEA, BQ ASIA. Offered to part-time associates only in: France, Italy, Ukraine.
Medical Checkup At least at management level	Yes	Yes	Yes	Mexico, United Kingdom, LAC, Brazil, BQ EMEA, BQ Asia, China, Iberia, United States, Canada (Executive Levels only), South Africa LAS (Argentina, Chile, Paraguay, Peru). Temporary and Part-Time associates are offered in: UK, Ukraine, BQ US.
Life insurance	Yes	Yes	Yes	Argentina, Brazil, Canada, Chile, EMEA, LAC, Mexico, Peru, USA, France, South Africa, Turkey, BQ Asia, India. Part-time associates are offered only in: Turkey, France, USA (after one year of seniority), Morocco and UK. Temporary associates are offered only in: El Salvador, Honduras, Brazil, Canada, Turkey, and Morocco.
Medical insurance	Yes	Yes	Yes	Offered at all levels: Argentina (except operations level), Brazil, Chile, Ecuador, Morocco, Spain, BQ EMEA (except Russia and Kazakhstan), BQ US, India and BQ Asia, Canada, USA, and South Africa. Offered at Executive level onwards: China (international assignments only), Colombia, Costa Rica, El Salvador, Guatemala, Portugal, Mexico, Nicaragua, Peru, Uruguay, United Kingdom. Offered at Supervisor level onwards: Panama, United Kingdom, Russia, and Kazakhstan. Offered at Operations and Supervisor level: Guatemala (contributory) and Honduras. Offered to Part-Time associates only in: UK, France, Italy, Turkey, Ukraine, Morocco, and USA (after one year of seniority). Temporary associates are offered only in: Turkey and Morocco.

GRI 3-3, 403-1, 403-2, 403-3, 403-4, 403-5, 403-6, 403-7, 403-8, 403-9

creating safe and healthy spaces for our associates

In all our operations, the safety and well-being of our associates is a priority. With a commitment to continuous improvement, we intensify our efforts to enrich and update our safety and well-being model every year.

Our goal is to create safe and risk-free work environments, where incidents are prevented, so that our associates can develop in an environment that prioritizes their physical and emotional health.

GRI 403-1, 403-8

HEALTH AND WELL-BEING MODEL

At a global level, we have a Safety and Well-being Model, which is based on 4 pillars:

1. Leadership
2. Structure
3. Processes and actions
4. People

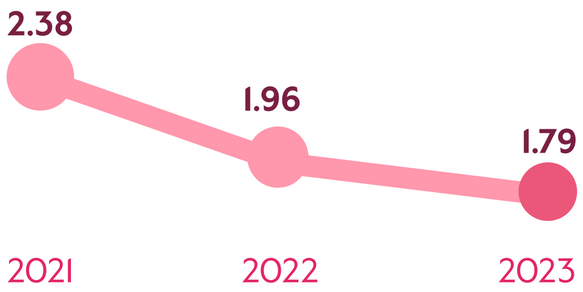
Our safety model extends to all Grupo Bimbo work centers with 100% coverage of our associates, visitors, and contractors. The model's general objectives are:

- Consolidate a culture of safety and well-being in Grupo Bimbo.
- Reverse the accident rate trend.
- Achieve zero incidents.
- Self-manage a healthy lifestyle.

To consolidate our incident reduction strategy, we have given greater relevance to preventive actions such as safety observations, training on strategic issues, compliance with safety non-conformities, among others.

GRI 403-9

WE HAVE ACHIEVED A 9% REDUCTION IN TRIR VS. 2022



leadership

Our Global Safety Policy formalizes our commitment to the physical safety of our associates through fundamental principles that promote a culture of prevention, zero incidents, self-care, and continuous improvement.

We offer our leaders training and certifications so that they can live through the safety policy and always set an example for their teams.

Rate of workdays lost 1.4816

MAIN RISKS IDENTIFIED AND MITIGATION MEASURES

Risk	Mitigation measures
Risk of hand injuries due to the intervention with moving machinery without following established safety procedures in bakeries and production centers.	Risk analysis of machinery and equipment.
Electrical hazards, frequent when established protocols are not followed.	Reinforcement of training on safety standards.
Risk of road incidents in the commercial and distribution areas, due to the responsibility of our associates or third parties.	Investigation of the root causes of accidents and incidents.
Risks of falls in work at heights or confined spaces by not following the respective procedures.	Communication of accidents, near misses, and incidents, their causes, and prevention measures between workplaces and regions.
Risk of musculoskeletal and lumbar injuries due to incorrect posture and constant manual loads at work.	Inspections and random walk-throughs.

GRI 403-5

safety **training**

All our Organizations have extensive safety training programs. We promote continuous training among our associates, ensuring that no associate performs activities for which he or she is not trained.

We seek to involve our associates in safety and prevention topics through the following actions:

- Communication campaigns.
- Safety mailboxes for associates to report any risky conditions or unsafe actions they detect.
- Surveys where associates evaluate our Preventive Management Model's efficiency, the company and managers' responsibility for the care of their safety, health, and well-being.
- Periodic meetings where safety results are presented and a forum to discuss them is made available for associates (major boards, team meetings, management meetings, etc.).

behaviors **campaign**

In 2023, we promoted 4 key safety behaviors: I Care, I Correct, I Communicate, and I Celebrate. With these behaviors, we intend to encourage empowerment and a preventive culture for health and safety among all associates, especially among our leaders.

We have zero tolerance for negligent attitudes and actions in safety matters.

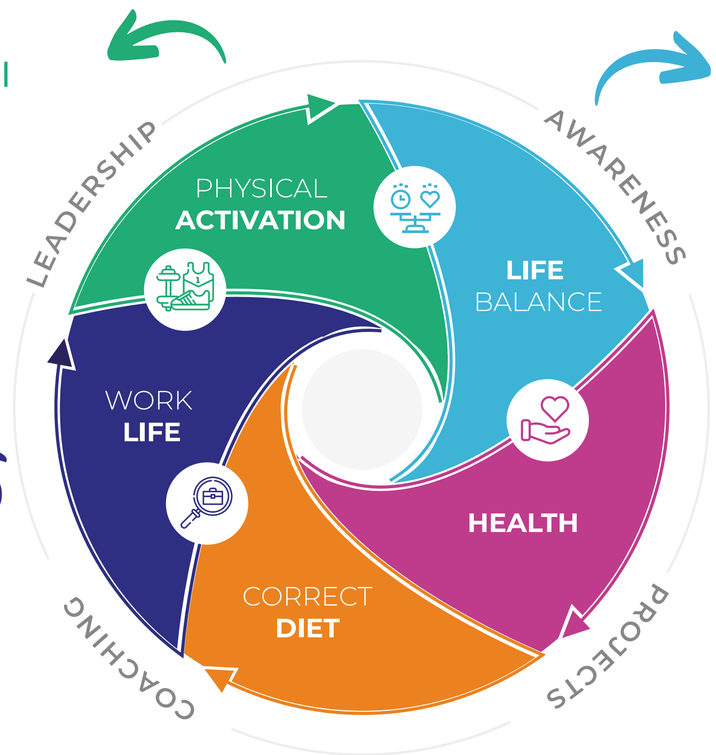
Promoting health and well-being

We work to enrich our associates' quality of life. We aspire to be recognized as "the best place to work", guaranteeing a healthy environment and offering programs dedicated to physical and mental health care.

These programs are based on our Global Well-being Model, which is implemented locally in each of our organizations. According to associates' needs, the programs offered may vary. This allows us to tailor our initiatives to each region's specific circumstances and needs, ensuring that all associates have access to relevant and effective support.

WELL-BEING MODEL ACTIONS

- Encourage physical activity
- Access to activation spaces
- Active breaks
- Global Race Participation



- Mental health
- Rest, recovery, and energy management
- Financial health
- Psychosocial risk prevention

- Work environment
- Training
- Leadership
- Facilities
- Work resources

- Healthy food at work
- Nutrition education
- Nutritional check-ups
- Breastfeeding support

- Disease prevention campaigns
- Preventive medical check-ups
- Adiction prevention
- Sickness Risk Management
- Ergonomics
- Prevention of occupational hazards (noise, air quality, water, etc.)

We have a Global Well-being Policy that outlines our responsibilities and commitments.

All Well-being initiatives must be based on 4 principles:

01

Conviction
Participation in these programs is voluntary.

02

Confidentiality
We protect sensitive data.

03

Flexibility
Each initiative is adapted to the social and cultural conditions of each location.

04

Collaboration
We work with different areas to promote these programs.

To ensure a consistent and effective approach, each of Grupo Bimbo's Organizations has a Well-being Committee and its respective observatory. In this way we can continuously monitor and evaluate the impact of our initiatives, measure the level of participation, identify areas for improvement, and ensure continuous improvement.

We uphold our well-being initiatives' continuity within each of the model's pillars, highlighting the following:

PROPER EATING

Healthy menus and cafeterias program
We have expanded the variety of healthy and balanced food options available in all our work centers' cafeterias, promoting a healthy diet.

Workshops and talks on food orientation
We look to empower our associates with information that will enable them to make healthier decisions.

Nutritional counseling
We offer nutritional counseling with health professionals in some work centers. This platform is available to associates and direct family members.

Breastfeeding rooms
We encourage their use and disseminate our breastfeeding policy to maintain our commitment to this crucial topic.

PHYSICAL ACTIVATION

Facilities at our work centers
Allow associates to engage in physical activity (soccer fields, volleyball and basketball courts, walking trails, gyms, etc.).

Active breaks
That allow associates to do stretching and warm-up exercises during the day.

Partnerships with gyms and sports centers at favorable prices.

Promoting physical activity
In Mexico, with the support of "*Mexicanos Activos*", we obtained the "*Organización Activa y Saludable*" certification.

Bimbo Global Race
We promote and invite our associates to get actively involved, demonstrating a high level of participation and commitment to physical activity and sportsmanship.

At Grupo Bimbo we care about our associates' health and well-being, which is why we offer a set of programs and services designed to help maintain a balance between their personal and professional lives:

HEALTH

Occupational health
Availability of health professionals and access to medical services in our offices and work centers.

Telemedicine
Remote access to medical services for associates and their direct family members.

Medical and health benefit platforms
Access for associates and family members.

Health fairs and campaigns
Medical evaluation and preventive health education services, as well as vaccinations campaigns against common diseases.

Plus 40 Program
Specialized medical evaluations for associates over 40 years of age, focused on preventive care.

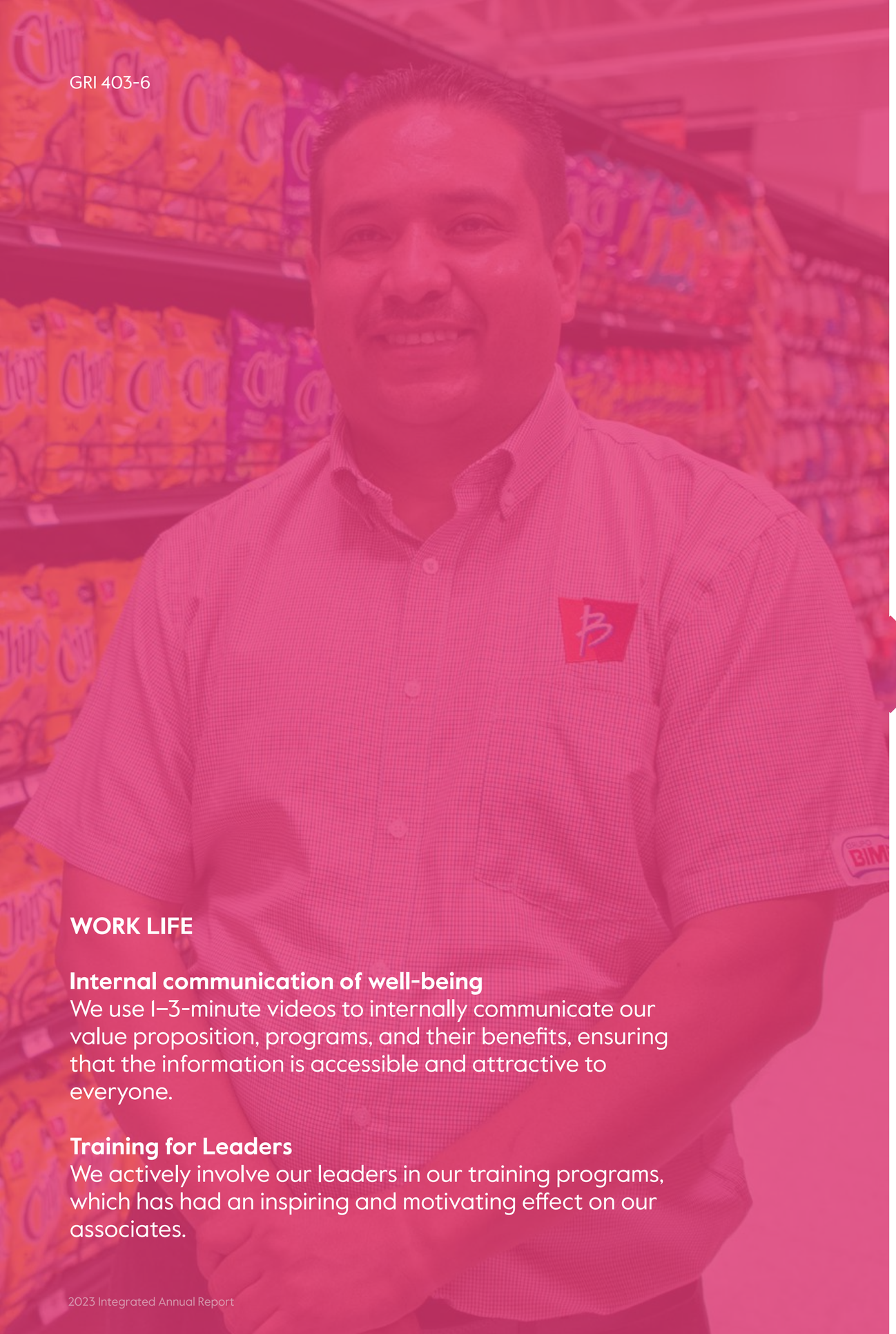
LIFE BALANCE

Emotional support lines
24/7 access for associates and immediate family members.
Specialists for emotional crises.

Psychosocial Risk Surveys
We implement and monitor action plans based on surveys to identify and manage psychosocial risks at work that impact associates' mental health.

Work flexibility
Programs that allow associates to adapt their schedules or work patterns, improving the balance between work and personal life. Applicable in places where the nature of the work allows it.

Mental health awareness workshops
We offer workshops on mental health and techniques such as mindfulness to promote healthy lifestyles.



scope of Grupo Bimbo's well-being programs

The Well-being programs we offer are aimed at all our associates. This includes all the work centers of the Organizations, affiliates, and subsidiaries, in their different geographies, functions and business areas. We recognize that people are social beings, and that living in communities is part of what gives us health and quality of life.

We seek to ensure that the well-being programs or initiatives we offer our associates include their family members as much as possible. These include telemedicine programs or medical, psychological and/or nutritional assistance; access to certain benefits such as medical insurance, vaccination days, and medical checkups. We participate in sporting events (e.g. Bimbo Global Race) and health events such as talks, workshops and health fairs. These actions are reported and monitored on an ongoing basis, and we seek to add more each year.

WORK LIFE

Internal communication of well-being
We use 1–3-minute videos to internally communicate our value proposition, programs, and their benefits, ensuring that the information is accessible and attractive to everyone.

Training for Leaders
We actively involve our leaders in our training programs, which has had an inspiring and motivating effect on our associates.

baked
FOR NATURE

Each action represents a seed planted towards a future that is more sustainable and transformative. We work together for regeneration, growth, circularity, and the creation of a positive impact on the planet.

ZERO
WASTE

NET ZERO CARBON
EMISSIONS

REGENERATIVE
AGRICULTURE

Our Baked for Nature strategy is focused on 3 axes: zero waste, net zero carbon emissions, and regenerative agriculture.

Every step we take in this direction is a statement of our responsibility towards the planet and a testimony of how, through our actions, we are contributing to shaping a more prosperous and harmonious world.

ZERO WASTE	Sustainable packaging and circularity	Zero food waste	Zero water waste
NET ZERO CARBON EMISSIONS	Scope I emissions	Scope 2 emissions	Scope 3 emissions
REGENERATIVE AGRICULTURE	Wheat, Corn, and Potato		

GRI 203-2

our main goals

ZERO WASTE

NET ZERO CARBON EMISSIONS

REGENERATIVE AGRICULTURE

2025 Goals

100%
of our packaging will be recyclable, biodegradable, or compostable

100%
of electric energy will come from renewable sources

100%
reuse of treated water

2030 Goals

100%
of our packaging will support a circular economy

-20%
of water consumption vs. 2019 baseline

-50%
of food waste since its generation

200k
hectares using regenerative farming practices

50%
of our direct emissions (Scope I) and -28% of our indirect emissions (Scope 3)

2050 Goals

Zero CO_2e
We will achieve net zero carbon emissions

100%
of our key ingredients will come from land cultivated with regenerative agriculture practices

GRI 3-3
SASB FB-PF-410a.2.

zero waste

We are committed to fostering a circular economy and reducing waste across our entire value chain through sustainable packaging, efficient operations, and responsible food and water management

Waste reduction does not only preserve natural resources and reduce our environmental footprint, but also strengthens operational efficiency by minimizing costs associated with waste management.

At Grupo Bimbo, we not only align with environmental regulations, but also promote innovation and differentiation in the market, consolidating ourselves as a company committed to excellence and care for the planet.

OUR COMMITMENT

2025

100%
of our packaging will be recyclable, biodegradable, or compostable

-50%
in food waste in our operations, reincorporating it into the food chain, including sustainable destinations

100%
of our treated water in off-process services will be reused (vs. 2019)

100%
of our business units will promote recycling and circular economy to eliminate waste generation

2023 PROGRESS

93%
of our packaging is made of recyclable materials

-43%
in food waste

96%
of our treated water reuse goal achieved vs. our 2019 baseline

GRI 301-2, 306-1, 306-2
SASB FB-PF-410a.2.

sustainable packaging and circularity

At Grupo Bimbo, packaging optimization projects are considered a priority and are included in our strategy. We guarantee the quality and safety of every product that reaches the hands of our consumers, while implementing strategies to prevent waste at all stages of our value chain.

We address environmental impacts through measures like transitioning to sustainable packaging, reducing waste, and collaborating in recycling programs. We are committed to properly managing waste, reducing emissions, and promoting circularity.

Our packaging protects and preserves product quality, reducing waste. We seek to eliminate excess plastic from packaging, prioritizing protection during distribution and product quality. In cafeterias, we opt for compostable materials and manage packaging recycling.

MATERIALS BY WEIGHT AND VOLUME (%)

* Paper and cardboard in packaging are considered renewable.

Renewables	68%
Non-renewables	32%

We have achieved that 93% of our packaging is made of recyclable materials and will continue to develop projects so that we will reach 95% of recyclable materials in coming months.

GRI 306-1, 306-2
SASB FB-PF-410a.2.

We have continued to research new sustainable technologies for our packaging, replacing non-recyclable materials in our products. For example, in Mexico, Iberia, and Latin Sur, we have changed the packaging for cakes and pastries; in Latin Centro and Latin Sur, we have begun to change tortilla packaging; in **Bimbo Bakeries USA,** we started changing our Little Bites packaging as well.

All business units work to reduce the amount of packaging materials every year, while ensuring their quality and safety.

During the last year, we also achieved a significant reduction of approximately 272 tons of plastic through projects focused on reducing the thickness and dimensions of packaging.

- **In the United States, we achieved a 39% reduction in packaging weight for Hamburger Bread meant for the foodservice sector, applicable to brands such as Mrs. Bairds and Rainbo.**
- **In the Iberia region, we were able to reduce the weight of packaging by 25% in Cruapan Bread.**
- **In Argentina, we reduced the weight of packaging by 7% for products from the well-known Bimbo, Fargo, Artesano, and Oroweat brands.**
- **In Barcel, we achieved a 3% reduction in the weight of the packaging used for Takis for export.**
- **In the United Kingdom, we achieved a 29% reduction in packaging weight for Bagel Thin.**

Reduced

5.4

million kilograms of plastic packaging from 2010 to date

We consistently look for new technologies around recyclable, renewable, and recycled materials to minimize our environmental impact.

GRI 306-1, 306-2, 308-1, 308-2
SASB FB-PF-410a.2.

CIRCULARITY

Investing in the development of circularity is extremely relevant for us, as it not only reduces waste generation, by conserving resources and reducing our environmental footprint, but also strengthens the supply chain's resilience and improves operational efficiency.

With this approach, we conduct risk analyses in each country where we operate to evaluate the possibility of forming alliances with companies, governments, and civil organizations to recover and recycle post-consumer waste.

We carried out several projects this year to promote the use of packaging with recycled content. For example, in the United States we launched packaging for Arnold bread; in Spain, we introduced packaging for Pan Blanco and Pan Integral bread with 30% recycled material in both countries; in Costa Rica we developed multipacks for Pan Blanco with 50% recycled material.

In 2023 we implemented projects in Mexico and Latin America to incorporate recycled material in the trays used to transport our products, including our own recycled packaging.

In addition, this year we began working on strategies that will enable us to improve further in the future. For example, we are working with major resin suppliers to use materials from advanced recycling, a crucial alternative to traditional mechanical recycling. This technology involves pyrolysis, a method of transforming plastic into raw material to produce plastic resin. This approach is presented as an effective solution to address the problem of flexible plastics and optimize the management of these materials.

GRI 2-28, 301-3, 306-1, 306-2
SASB FB-PF-410a.2.

POST-CONSUMPTION PROGRAMS

We have established strategic alliances in each region to recover packaging post consumption and recycle it. Through these programs, we also promote environmental education and proper waste management among consumers. Our main alliances by region are:

*Note: Waste recovered from the post-consumption programs we participate in comes from a variety of sources and collaborating companies. Due to the diversity of our packaging and the different recycling contexts in various regions, we do not have data broken down by primary packaging category.

BIMBO BAKERIES USA

We collaborated with Terracycle to recover **5.97 metric tons in 2023.**

BIMBO LATIN CENTRO

Through the Ecoins rewards program in Costa Rica, **we collected 732 kilograms of recoverable materials.**

We are part of the 30/30 Vision Program in Colombia, in collaboration with the National Association of Industrialists (ANDI), with whom **we managed to recover 429 tons.**

BIMBO BRAZIL

Through the "Dê a Mão para o Futuro" program, **we recovered 648.29 tons.** We also participated in Eu **Reciclo, recycling 95 tons of plastic.**

BIMBO MEXICO, BARCEL

In partnership with ECOCE, we collected **25,719 tons of flexible packaging in 2023,** destined for co-processing at Cemex Regenera (12,841 tons) and Geocycle (12,808 tons).

Through the ECOLANA app, we encouraged consumers to recycle, managing to collect and recycle more than **1,173 kilograms of waste.**

In collaboration with Plastianguis, **we collected more than 9.2 tons of post-consumption waste,** exchanged for staple food and personal care products, benefiting more than 2,000 households.

Through our alliance with Walmart in Reciclamanía Evoluciona, **we recycled more than 239 tons of post-consumption waste, including 2.4 tons of polypropylene and 4.7 tons of polyethylene,** our packaging materials.

BIMBO EMEA – SPAIN

We collaborated with Ecoembes, recovering **4,385 tons.**

On the other hand, we have strong circular economy practices in Mexico. These include:

- We use pallets and vats in our production and logistics processes. They are all manufactured with 20% packaging, 2% plastic film; vats are 78% HDPE (recycled high-density polyethylene) plastic, and pallets are 78% PP (polypropylene) plastic. All these materials were recovered from post-industrial waste.
- In 2023, we collected a total of 525,847 kilograms of wrappers directly from the Bimbo and Barcel plants, which we use as raw material to make pellets. These pellets are used to manufacture sustainable vats, pallets, and corner boards that are part of our value chain.
- Throughout the year we acquired a total of 245,060 pallets, both for domestic and export use, and 1,225,083 vats.

In 2023

525,847

kilograms of packaging collected from Bimbo and Barcel's plants

245,060

domestic and for-export pallets purchased

1,225,083

domestic and for-export vats purchased

GRI 306-3, 306-4, 306-5
SASB FB-PF-410a.2.

WASTE MANAGEMENT

We know that proper waste management in each of our company's areas is essential to improve our environmental performance. For this reason, we have implemented an adequate control and management of the collection, transportation, and treatment of the waste generated.

Our waste comes mainly from:

Generated from the packaging and wrapping of production ingredients

Plastic waste

Food waste

Utility use

Packing and packaging waste

At Grupo Bimbo we consider different waste disposal sites to be usable, including co-processing, recycling, and composting. The only site classification that is considered unusable and therefore undesirable within our disposal chain is landfill.

We develop waste management strategies focused on reducing generation and promoting reuse and recycling. All our initiatives are carried out in strict compliance with local legislation and our environmental standards, aiming for 100% recycling and/or recovery.

WASTE GENERATION (TONS)	2019	2020	2021	2022	2023
All waste is reported in metric tons.					
*All hazardous waste is recycled and managed in accordance with the legislation of each country we operate in					
** Recyclable waste effectively recycled					
Recyclable	296,903	339,160	361,319	383,864	375,217
Non-recyclable	18,093	18,300	17,882	13,805	10,943
Hazardous*	2,440	1,044	1,089	1,272	560
Recycled	291,602	326,741	351,081	376,395	386,852
Total	317,436	358,594	380,289	398,941	406,865
% Recycled	92%	91%	92%	94%	95%

NOTE: Data currently undergoing its third-party validation process.
To learn about the classification of our waste, please refer to the annex section.

GRI 306-1, 306-2

Bimbo Iberia developed a bag for **white bread and whole wheat bread,** using advanced recycling technology, with 30% recycled material content

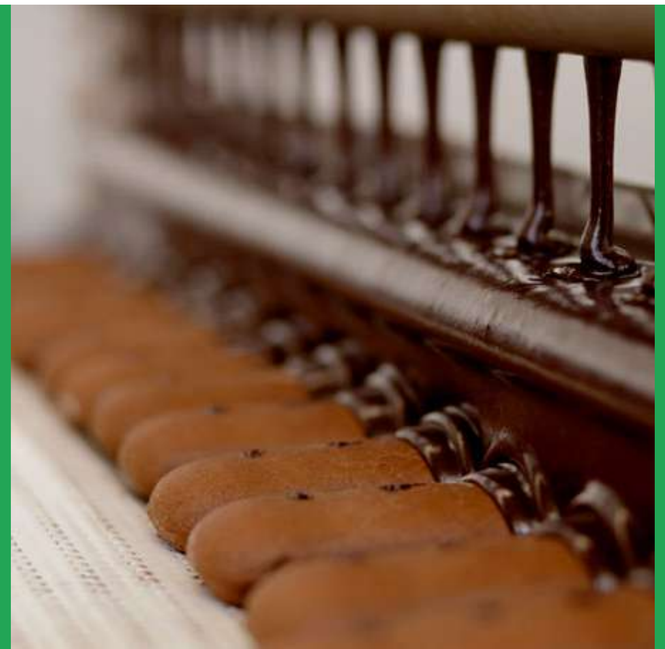
We developed a bag for **Arnold Bread at Bimbo Bakeries USA,** incorporating 30% recycled material

success stories

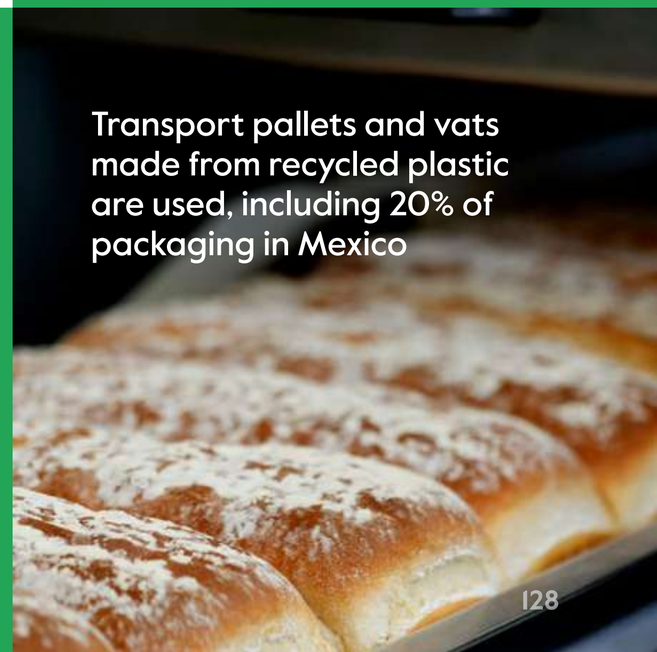
IN 2023, A NUMBER OF SUCCESS STORIES REGARDING PACKAGING STOOD OUT

These achievements were possible thanks to collaborations within a network of technical experts in each of the company's business units. This network is responsible for reviewing and defining all actions related to sustainability at the packaging engineering level, ensuring a comprehensive and responsible approach to this key aspect for the company.

Bimbo Costa Rica developed a multi-packaging bag for white breads with 50% recycled material content



We were able to develop transportation trays made from recycled plastic, including 10% of Bimbo's **packaging in Chile**



Transport pallets and vats made from recycled plastic are used, including 20% of packaging in Mexico

zero food waste

We are dedicated to making a positive impact on the communities where we operate. One of the main objectives within our sustainability strategy is to generate zero food waste. This initiative plays a key role in mitigating the negative impacts of climate change by reducing emissions associated with the production and disposal of uneaten food.

As part of this commitment, we have defined the "zero waste" initiative, where we focus our efforts on both preventing food waste and making the best use of food by sending it to sustainable destinations.

Thus, in our strategy, we evaluate our food waste in 4 main sources, with specialized leaders who supervise and promote progress in initiatives or improvement projects:

MANUFACTURING **LOGISTICS** **SALES CENTERS** **COMMERCIAL AREA**

In previous years, we focused on deploying the WOW (War on Waste) program, the inaugural initiative to establish the foundations of a waste reduction strategy. Its five pillars are now an integral part of our organizations and plants' daily operations, inherently incorporated into their management.

As a result of incorporating WOW into our daily actions, we launched a list of mandatory practices, consolidating individual experiences into a compendium shared with all Organizations. This list of practices prioritizes waste prevention and recovery, but also offers practical ideas to improve indicators. We also closely follow-up on these in one-on-one meetings, where each Organization shares specific actions and initiatives implemented to reduce impacts and enhance results.

Today, the percentage of food waste has been integrated into a business plan, reflecting how each Organization and team contribute through this indicator. Each business unit establishes this parameter as a goal that is regularly reviewed with Senior Management.

-5%
of our waste avoided at the source vs. our 2020 baseline

43%
increase in Food Waste recovery

-5.9%
of waste* compared to 2022

99%
of the waste we generate is sent to sustainable processes, such as composting and animal feed

* Manufacturing

To follow up on the actions implemented and meet this goal, the Organizations send the Corporate team monthly detailed reports on waste generation in all parts of the **Value Chain** (Manufacturing, Logistics, Distribution Centers, and Sales).

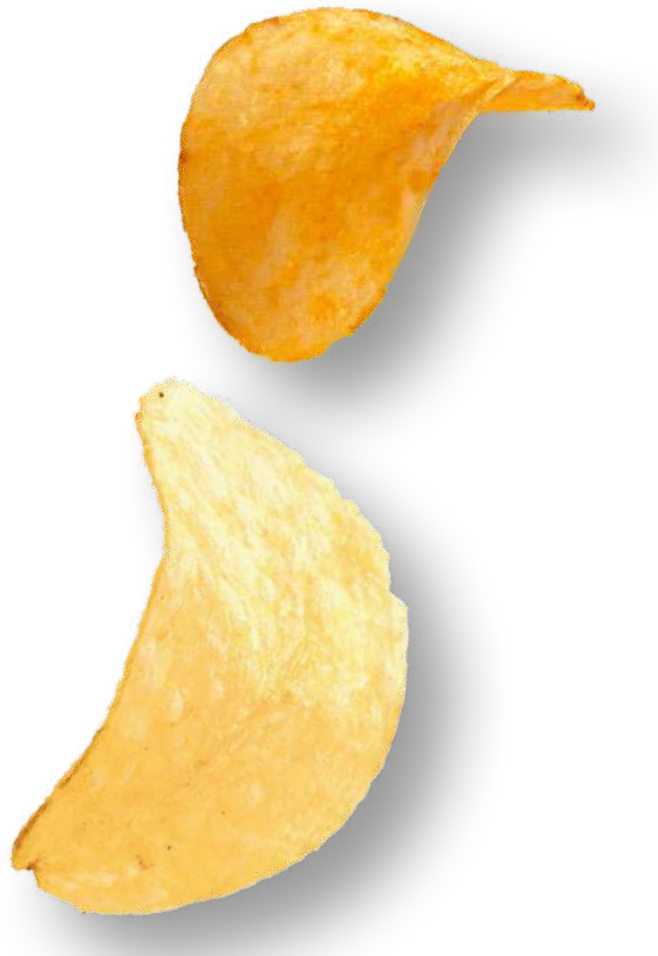
We create committees to monitor actions and results, which can meet on a monthly, bimonthly, or quarterly basis depending on each Organization, to evaluate actions, identify what is working, and determine areas for waste reduction reinforcement. These committees are made up of management-level associates, including vice presidents, from throughout the chain. They also include representatives from operational areas, mainly in manufacturing, such as vice-presidents and operations managers, and continuous improvement, maintenance, production, and training leaders. This allows us to gain different perspectives and experiences.

We implemented a practice called "knowledge micro-communities". These are groups made up of operational experts at various levels who meet on a regular basis to address different topics. Last year, we inaugurated the waste reduction micro-community, in which all 10 organizations participate. In each session, we seek to share best practices, review indicators, strategies, and evaluate progress in these organizations' common goals. The purpose is to learn about success stories, identify innovative practices, and enable their deployment to the rest of the Organization in an efficient manner, thus accelerating improvement and the achievement of our commitments.

This year, we reported significant progress in manufacturing, being the first year in which we effectively reduced waste. In addition, we increased recovery through actions like creating new products, among other initiatives. To ensure the recovery of products that could be wasted, we monitor the number of bakeries implementing mandatory practices monthly.

We maintained the momentum of our "Green Logistics" initiative, which is aimed at promoting best practices in our value chain's logistics sections. We also continued the returns committees in our sales centers.

In 2023, we rescued a total of 27,085 tons of products within our value chain that did not meet quality standards but were safe for consumption. These products were reintegrated into our manufacturing process, sold in secondary markets, or donated to food banks.



27,085

tons of product rescued for sale in secondary markets or donated to food banks

76

bakeries that are now zero waste to landfill

STRATEGIC ALLIANCES

We remain committed to forming strategic alliances to address the food and environmental crisis through food collections. Some of the partnerships we maintained during 2023 were:

MEXICO	LATIN AMERICA &CARIBBEAN	LATIN AMERICA	EUROPE
We participated in the "Food Pact" initiative in alliance with the Food Bank of Mexico (BAMX) and the **Waste Resources Action Program (WRAP).**	We are founders of #SinDesperdicio in Latin America and the Caribbean. We lead initiatives with the Inter-American Development Bank to address food waste through policies and training.	We are part of the **Consumer Goods Forum (CGF)** and participate in various initiatives, with emphasis on the "Coalition for Food Waste". We also collaborate in the global coalition, and we reported our performance until last year.	We stood out as a **"Waste Warrior"** brand in the **"Too Good To Go"** initiative, collaborating with other brands to combat food waste.

Commercial **food waste** has decreased 13.7% against our baseline.

Bimbo Brazil and Bimbo Asia have already achieved their **waste reduction goal.***

*Note: Baseline is established as a combination of the results obtained in 2020, 2021, and 2022 in the value chains of Grupo Bimbo's Organizations.

success stories

The use of the **Sales and Operation Planning (S&OP)** process at Bimbo Brazil has allowed for waste reduction.

Our organizations **Bimbo Asia, Bimbo Brazil, and Bimbo QSR** have managed to reduce food waste in all parts of their value chains, obtaining 22.1%, 16.8%, and 12.9%, reductions, respectively, compared to their baselines.

The Bimbo Puebla bakery in Mexico stands out for maintaining the lowest level of waste, thanks to innovative processes that allow for resource recovery. This level of efficiency is achieved through investments in equipment and control of production processes to ensure food safety and facilitate its reuse.

The successful implementation of the **Waste Committee**, with dedicated teams at each location, is a crucial practice to pursue constant waste reduction.

In Argentina, we collaborated with the start-up **"Kigüi"** to recover products with a short market life.

In Mexico, in collaboration with the CHEAF application and its El Globo branches, more than 900,000 pieces of product were rescued for sale at a discount, thus avoiding more than 255,000 packages.

We implemented the **"*Recupera* 100%"** program in Bimbo Brazil, with the objective of strengthening the focus and commitment to the rescue channel to achieve 100% recovery.

GRI 303-1, 303-2
SASB FB-PF-140a.1., FB-PF-140a.3.

zero water waste

We know how essential water is, which is why we take care of it from the field to its reintegration into natural systems.

Reducing our water footprint is a challenge. We confront it by implementing projects that allow us to reduce our consumption and increase reuse, while maintaining the quality and safety of our products.

In line with our regenerative agriculture strategy in Mexico and the United States, we measure and control the water used to irrigate our crops.

We are also aware that we face a significant water stress challenge worldwide. To help manage it, we have mechanisms that aim to conserve our ecosystems, participate in forestry projects, and raise awareness of the importance and responsible water use at all levels of our company. We believe these are crucial factors in mitigating our impacts and ensuring a sustainable future for water.

All our sites underwent an updated water risk analysis. We have identified 84 manufacturing sites with high to extremely high-water stress levels*.

As a result, we have implemented a series of mitigation actions. These include:

- **Analyze our equipment and activities with the highest consumption.**
- **Capture water from alternate sources.**
- **Placing ultrafiltration membranes in our treatment systems to ensure that we can reuse 100% of treated water.**
- **Improve the availability of water for the communities where we operate, through our Good Neighbor projects, forest improvement programs, and treated water donations, among others.**

Similarly, each of our work centers that is not located in water-stressed areas adapts plans and actions according to their regional context.

96%
of our treated water reuse target achieved vs. our 2020 baseline

* Our water stress study was conducted in 2023 by a third party, with tools from the Aqueduct Water Risk Atlas based on the "food and beverage" industry Category. It is updated every 5 years by an external specialist and annually internally.

WATER CONSUMPTION EFFICIENCY

We face the challenge of promoting circularity and reducing water waste in our processes and value chain. To this end, we have the following key initiatives.

IMPROVEMENTS:

01

CLEANING PROCESS IMPROVEMENTS:

In conjunction with the quality and food safety areas, we look to standardize the cleaning of equipment with high water consumption. In 2023, we acquired the largest number of dry steam generators for cleaning and continued to replicate the use of low-water-consumption detergents in all our operations.

02

PROCESS SERVICE IMPROVEMENTS:

Continuing our efforts to have the best technologies, during 2023 we improved our online water metering controls by implementing remote systems. We have also improved our consumption measurement. Our vehicles are washed with water from treatment plants, rainwater harvesting, or dry methods.

03

GENERAL SERVICE IMPROVEMENTS:

We implement mandatory sustainability practices that are replicated throughout our operations. We have installed more rainwater harvesting systems to provide an alternative source of water consumption.

We grew production lines and bakeries. This has generated a 0.65% increase of cubic meters of water per ton of food produced vs. our baseline (2019). However, we believe that replicating our good practices and the projects implemented in the last year will guide us to achieve our objectives.

As part of our strategy to optimize water consumption, we continue to replicate our mandatory practices. These include:

- **34 bakeries and 264 sales and distribution centers can now measure their consumption aligned to the GBConnected connectivity strategy.**
- **Treatment plants with reuse quality:**
  - **2 new treatment plants**
  - **10 reengineering**
- **Leak detection, elimination, and prevention programs in place**
- **We follow sustainable cleaning practices such as high pressure washing, dry cleaning, dry steam, among others**
- **We clean our vehicles with dry cleaning or treated water**
- **We installed 12 new rainwater harvesting systems**

34

bakeries measure water consumption remotely

12

new rainwater harvesting and treatment systems

+10

reengineering projects executed for our treatment system

*Approved reuse in vehicle washing, irrigation, and sanitation.

GRI 303-2, 303-3, 303-4, 303-5
SASB FB-PF-140a.1.

REUSE OF TREATED WATER

We adhere to the most demanding global laws. We have a global standard that regulates our water discharges, guaranteeing compliance with the minimum requirements and parameters in all our work centers.

We currently reuse water in:

- **Irrigation of green areas**
- **Toilets**
- **Filtration/absorption wells vs. local regulation**
- **Vehicle washing**
- **Cleaning outside production areas - Condensers in cooling cycles**
- **Condensers in refrigeration cycles**
- **Water donations to third parties**
- **Preparation of chemicals for our treatment plants**

STRATEGIC ALLIANCES

Our water compensation strategy translates into the participation of good neighbor projects by establishing ties with our communities to achieve 4 key objectives:

A. Conservation plan with social impact
B. Water management and efficiency strategy
C. Future scenario analysis methodology
D. Communication and awareness strategy

WATER REUSE AT GRUPO BIMBO

Water Source	2019	2020	2021	2022	2023
Treated Water (m^3)	598,081	629,294	674,592	928,075	931,300
Reused Water (m^3)	467,469	520,941	538,471	582,019	635,123
Percentage Reuse vs. baseline	74.3%	82.8%	85.6%	92.5%	100%

Note: The Carbon Trust has verified that Grupo Bimbo has measured their water footprint in accordance with the measurement requirements of the Carbon Trust Water Standard.

CARBON TRUST VERIFIED WATER

Use of treated water and rainwater in the washing of vehicles through dry cleaning, use of recycled water, use of rainwater in Bimbo and Barcel Mexico, Central America and the United States.

Bimbo Brazil / Bimbo Chile, dry washing the entire distribution fleet

Use of treated rainwater in common areas.

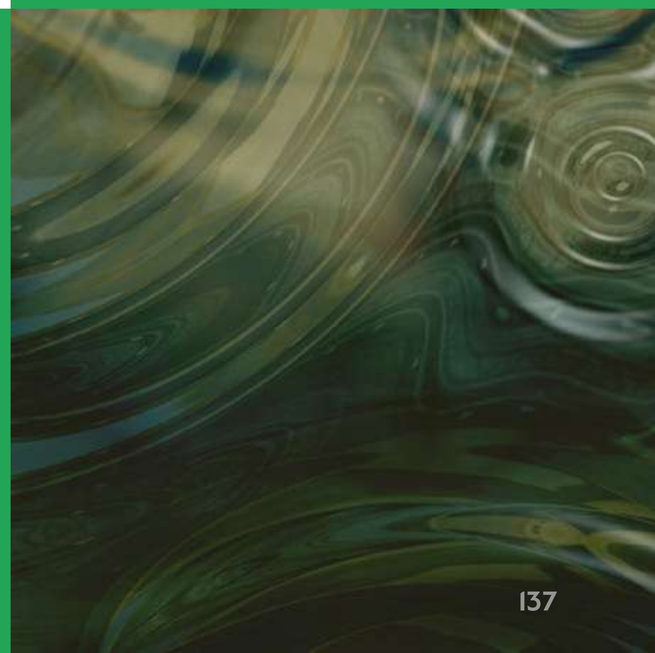
success stories

Reduction of water consumption by cleaning with dry steam machines.

Online water measurement systems in Mexico, Chile, and Colombia.

97 wastewater treatment plants with water quality for reuse.

Improvement of treatment systems with ultrafiltration membranes.



GRI 3-3, 302-5, 305-5

net zero carbon emissions

We set clear targets and solid commitments to accelerate our transition to net zero carbon emissions.

We are aligned with Science Based Targets as part of our Race to Zero campaign. We continue to show progress in our commitments to 2050 by advancing our initiatives across all 3 scopes.

OUR COMMITMENT

2025

100%
of electric energy will come from renewable sources

2030

-50%
Scope I emissions

-28%
Scope 3 emissions

2023 PROGRESS

92%
of electric power from renewable energy sources

27
countries consumed 100 % renewable electric energy

-9%
reduction of Scope I emissions in our sustainable mobility strategy*.

-3.7%
reduction in Scope 3 emissions.

63%
of our refrigeration equipment operates with natural refrigerants.

*In validation process by a third party

GRI 305-I, 305-2, 305-3

our path to net zero carbon emissions

Since 2012, we have worked to reduce the environmental impact of our operations and prevent the excessive generation of polluting emissions. To this end, we have focused our efforts on maximizing the use of electricity from renewable sources and optimizing resources in our processes by implementing energy efficiency projects.

Our commitment to achieve net zero carbon emissions by 2050, following the Science-Based Targets Initiative (SBTI) methodology, is based on two key conditions*:

1. Reduce emissions in our value chain to the same intensity as the global reduction, thus limiting global warming to 1.5°C.

2. Neutralize residual non-reducible emissions by permanently eliminating the equivalent amount of atmospheric carbon dioxide through other carbon sequestration measures.

* Science Based Targets Initiative (SBTi) definition for net zero: https://sciencebasedtargets.org/

** Data currently undergoing its third-party validation process.

TOTAL SCOPE** 1, 2 & 3 EMISSIONS	2021	2022	2023
Ton CO_2e			
Scope 1	1,108,620	1,127,129	1,141,473
Scope 2	128,019	61,393	36,575
Scope 3	8,696,636	10,071,853	8,843,978
Total	9,933,276	11,260,375	10,022,026

The Carbon Trust has verified Grupo Bimbo carbon footprint measurement in accordance with the requirements of the ISO 14064-3 Standard.

Scope 3 is still in verification process. These figures are currently undergoing a review process with the Carbon Trust and have not yet been verified. Therefore, there could be a slight variation in results compared to what has been reported in previous years

CARBON TRUST ISO 14064-3 ORGANISATIONAL CARBON FOOTPRINT

OUR PATH TO NET ZERO CARBON EMISSIONS

2025

100%
Scope 2

12.5%
Scope 3

2027

100%
Scope 2

17.5%
Scope 3

2030

50%
Scope 1

28%
Scope 3

2040

100%
Scope 1 and 2

2050

100%
Scope 1, 2 and 3

SCOPE 1	SCOPE 2	SCOPE 3
Sustainable mobility	Efficient energy and sustainable buildings	Low carbon supply
Eliminating fossil fuels	Renewable energy	Regenerative agriculture and zero deforestation
Natural refrigerants	Energy storage and maintenance	Zero waste
Innovation and new technologies	Electric installations	Associates towards net zero carbon emissions
		Sustainable outsourced mobility
		Client carbon footprint
		Investments
		Forest improvements

Following up on the 16 strategies defined to meet our decarbonization goals.

scope 1

STRATEGY 1
Sustainable mobility

We work to reduce our fleet emissions by transitioning from fossil-fuel units to cleaner technologies, such as electric vehicles powered by solar and wind energy or low-carbon alternative fuels.

By the end of 2023, we will have more than 2,690 electric vehicles globally, maintaining our position as the company with the largest electric fleet in Latin America. As a result, we avoided emissions of more than 22,081 tons of CO_2 per year.

Over the course of 2023, in Mexico we acquired 1,001 vanettes, +300 electric supervisory vehicles, 6 electric tractors, and +15 electric trucks. We also added 54 electric vehicles in Costa Rica, 3 vans, and 50 electric vehicles in Colombia.

We made great progress this year with migrating to electric vehicles in Mexico, the United States, Colombia, Costa Rica, Guatemala, Chile, and Spain.

We created the Sustainable Mobility Committee in 2023 as well as, a multidisciplinary team that integrates various areas, including Ventures, Logistics and Vehicles, Purchasing, Sales, Engineering, and Net Zero Carbon.

This committee's purpose is to monitor plans related to sustainable mobility in detail, ensuring we are always at the forefront.

We are aware that achieving our objectives implies implementing various actions. Therefore, we explore alternatives such as renewable propane gas, recognizing the importance of expanding our sustainable fuel options. We are also committed to replicating lessons learned and identifying the most effective strategies to make solid progress toward our goals.

OUR FLEET

Lp Gas :	832
Natural Gas:	1,240
Ethanol:	178
Electric:	2,693
Hybrid:	1,255
Total:	**6,198**

Emea
Lp Gas: 166
Natural Gas: 15
Electric: 17
Hybrid: 88

Bimbo Bakeries Usa
Lp Gas: 574
Natural Gas: 66
Electric: 63
Hybrid: 1,114

Bimbo Brasil
Lp Gas: 77
Natural Gas: 2
Ethanol: 178

Bimbo Asia
Lp Gas
Natural Gas: 556
Electric: 101
Hybrid: 88

Bimbo México
Electric: 2355
Hybrid: 45

Bimbo Latin Centro
Lp Gas: 15
Natural Gas: 601
Electric: 63
Hybrid: 8

Bimbo Latin Sur
Lp Gas: 77
Natural Gas: 2

STRATEGY 2
ELIMINATING FOSSIL FUELS

With the firm objective of reducing the use of fossil fuels in our value chain, we continued to explore new technologies for the transition of our traditional production equipment to zero carbon emission equipment, ranging from ovens and fryers to boilers and backup generators. In addition, we implemented a pilot project to convert gas ovens to electric heaters and burners with alternative energy sources such as hydrogen, with leading prototypes in the bakery industry.

We developed a decarbonization plan for each plant in the Latin Sur organization that includes technologies being explored and the mandatory practices we have reported in previous years. These provide benefits in terms of energy efficiency and emissions reduction.

To learn about our 10 mandatory practices, please click here.

STRATEGY 3
Natural refrigerants

During 2022, the first system with Natural Refrigerants in Latin America was implemented in a fresh product bakery. We validated this solution's performance, safety, and efficiency during 2023 and replicated it in other bakeries. We launched systems like these in Mexico, Costa Rica, Peru, Colombia, and Argentina by creating synergies with local contractors, proving that this solution is efficient in different latitudes of Latin America. With the above, Natural Refrigerants are the first option in freezing processes and for fresh products in Latin America. We are working in other geographies to overcome the challenges presented by the limited supply of equipment and technical services to accelerate our migration.

STRATEGY 4
Innovation and new technologies

We continued to explore new technologies that will enable us to reach our zero emissions goal in a way that is efficient and affordable for the company.

Pilot test of furnace burner conversion to alternative sources

63%

of the refrigerants we use in our operations are natural refrigerants

scope 2

STRATEGY 5
Efficient energy and sustainable buildings

GB Connected Sustainability is our global solution to automatically collect and digitize information on electricity, gas, and water consumption. It covers our production, distribution, and sales centers at a general and critical process level by using IIoT (Industrial Internet of Things) connectivity in real time. This tool gives us greater visibility and analyses along with operational performance indicators to make decisions that improve our use of these resources.

In 2023, we finished equipping 264 of Bimbo Mexico's sales and distribution centers, along with 22 plants at Bimbo Mexico's general level. We also transitioned 5 of Barcel's plants and Barcel Atitalaquia to a level 3 platform (critical equipment).

STRATEGY 6
Renewable electricity

Following up on our commitment to use 100% renewable electricity in our operation by 2025, during 2023, Russia, Morocco, Kazakhstan, China, and South Korea converted their operations to 100% renewable energy by acquiring renewable energy certificates (iRECs) from clean energy. Guatemala joined the list of countries that use 100% renewable energy through a hydroelectric power purchase agreement. In October 2023, our wind farm in Canada (Hilda wind) became operational, making 50% of the operation renewable.

100% renewable electric energy

1. United States
2. Mexico
3. Guatemala
4. Costa Rica
5. Panama
6. Colombia
7. Ecuador
8. Peru
9. Chile
10. Argentina
11. Paraguay
12. Uruguay
13. Brazil
14. Portugal
15. Spain
16. France
17. Italy
18. United Kingdom
19. Turkey
20. Kazakhstan
21. Switzerland
22. Morocco
23. Romania
24. South Korea
25. China
26. South Africa
27. Russia

HIGHLIGHTS

At the end of 2023

+290
sites with GB Connected Sustainability

27
countries of our operation used 100% renewable electric energy

100%
renewable electric energy

92%
renewable energy globally equivalent to a 90% reduction in carbon emissions vs. 2019

*Bimbo and BQ

STRATEGY 7
STORAGE SYSTEMS

We continued to install lithium-ion battery storage systems as backup power in our bakeries to prevent interruptions in the production process and minimize product losses.

By the end of 2023, we had 13 storage systems in Mexico, Panama, Costa Rica, the United States and Canada.

STRATEGY 8
ELECTRIC FACILITIES

Our work centers operate with electric power; therefore, it is of vital importance to guarantee that installations are working properly by constantly following up on scheduled maintenance, ensuring the site's operability and our associates' safety.

In 2023, we equipped 18 sales centers with electric infrastructure to be able to receive electric vehicles. Our electric vehicle safety manual was also launched to guide associates in the adoption and safe operation of electric vehicles, establishing detailed guidelines ranging from responsible operation to proper maintenance of charger installations and electrical infrastructure.

scope 3

+80%
response rate of
CDP survey

STRATEGY 9
Low carbon supply

We work closely with our key suppliers to reduce our carbon footprint throughout the supply chain.

For the fifth consecutive year, Grupo Bimbo participated in the CDP Supply Chain program, promoting the disclosure of information on climate change with our suppliers, thus strengthening our supply chain strategy in this area.

In 2023, we were recognized by CDP as a Leader in Supplier Engagement with a response rate of +80% on issues related to climate change.

Additionally, this year, we promoted the Low Carbon Supply strategy and created the B-CAP program with our main suppliers, where we want to understand each of their value chains at a global level to support their decarbonization plans.

The strategy began by offering webinars where we communicated Grupo Bimbo's sustainability and net zero carbon emissions strategy, seeking to share the crucial role our suppliers play in our value chain.

Subsequently, we held individual meetings with each supplier that participated, ensuring close follow-up, continuous dialogue, and personalized support so that they can define and advance their strategies.

STRATEGY 10
Regenerative agriculture and zero deforestation

We continued to promote Regenerative Agriculture practices to reduce emissions in our ingredients from the field.

To learn more about our Regenerative Agriculture actions, click here.

At the same time, we are advancing our commitment to zero deforestation. For more information, click here.

STRATEGY 11
Zero Waste

As part of our zero-waste initiative, 93% of our packaging was made from recyclable materials by the end of 2023.

To learn more about our circularity actions, click here.

STRATEGY 12
Associates toward net zero carbon emissions

Toward the adoption of cleaner forms of transportation for our associates, we are providing hybrid and/or electric alternatives, in addition to installing a network of electric chargers at corporate offices to further promote these technologies.

STRATEGY 13
Sustainable outsourced mobility

We continued to work on reducing emissions from our outsourced fleets through workshops and dialogue with our suppliers. To this end, we propose the transition to cleaner technologies, such as electric vehicles with renewable electric power or low-carbon alternative fuels.

STRATEGY 14
CUSTOMER CARBON FOOTPRINT

We continued to support our customers in reducing emissions in their value chain with strong actions and have been named as a leading partner by several companies.

STRATEGY 15
INVESTMENTS

We continued to develop an internal strategy to direct our investments toward projects or funds that are completely carbon-free.

STRATEGY 16
FOREST IMPROVEMENT

5 million pesos were authorized to develop 4 forest improvement trials we will be developing in 2024.

We initiated a forest improvement program in Costa Rica.

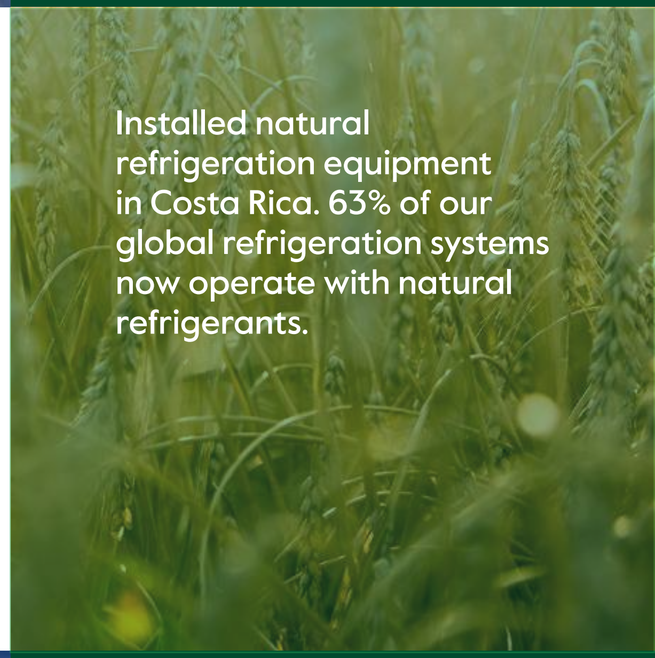
We converted 5 countries to become 100% renewable, leading to a total of 27 countries that now operate with 100% renewables, equal to 92% of our global renewable electric use.

For the second consecutive year, we obtained an “A” rating in CDP's The A List 2023 ranking.

Installed + 15 solar roofs in Mexico, Costa Rica, Spain, and Portugal, out of + 150 total globally.

Installed 5 renewable energy storage systems in Costa Rica and Mexico.

success stories



Installed natural refrigeration equipment in Costa Rica. 63% of our global refrigeration systems now operate with natural refrigerants.

We equipped 18 sites with electric infrastructure for electric vehicle charging.

Successful hydrogen burner trial in a bread oven in Portugal.

We turned on our wind farm in Canada, which makes us 50% renewable in the country.

Successful pilot test with the installation of electrical resistances in a baking oven in Colombia.

regenerative agriculture

Grupo Bimbo supports regenerative agricultural practices that promote environmental, economic and social recovery, seeking resilience and adaptation of soils. We recognize that, in the long term, the livelihood of farmers will depend on the availability and quality of natural resources. Likewise, the health and well-being of the entire population impacted by agricultural production will benefit.

By 2023, our goal was to reach 150,000 hectares registered in the Regenerative Agriculture program. Thanks to our actions and efforts in this area, we exceeded this goal by 13%, with approximately 170,000 hectares. This included 7,000 hectares of corn, 200 hectares of potatoes, and an increase of 163,000 hectares of wheat. These results encourage us to continue working for constant improvement and to redefine our goals for coming years.

OUR COMMITMENT

2050

100%

of our key ingredients will be sourced from land cultivated with Regenerative Agriculture practices.

2030

200,000

Hectares registered in regenerative agriculture program

2023 PROGRESS

~170,000

hectares registered under Grupo Bimbo's Regenerative Agriculture program.

regenerative agriculture

At Grupo Bimbo, we know that adopting regenerative agricultural practices not only improves soil health and increases biodiversity, but also plays a crucial role in carbon sequestration and other important ecosystem services. By promoting healthy soils rich in organic carbon, we help store carbon in the soil, thus contributing to climate change mitigation. In the long term, this strategy promotes our supply chain's resilience and ensures the availability and quality of key ingredients for our products.

In our regenerative agriculture program, we promote the use of chemicals with low environmental impact. We also encourage the release of beneficial insects to control pests naturally, thereby reducing the need for chemical inputs and contributing to biodiversity.

REGENERATIVE AGRICULTURE PRACTICES

To achieve our goal of 100% of key ingredients being sourced from land cultivated with Regenerative Agriculture practices.

Trials

We develop projects with strategic farmers and wheat, corn, and potato suppliers in key regions

+127,000
hectares of wheat in the United States

19,000
hectares of corn in Canada

20,000
hectares of wheat, corn, and potato in Mexico

Training

We train and promote networking with farmers and suppliers to align with environmental improvement goals that promote a resilient food system

502
farmers in Mexico

38
courses for corn and wheat farmers

Technology

We participate in the research and advancement of technologies applied to agriculture

We develop supply chains for imported and domestic wheat starting from the wheat's plantation or point of origin

We generated knowledge to establish a Regenerative Agriculture program in our main production areas in Mexico

2023 PROGRESS

In 2018 we started our Regenerative Agriculture project in Mexico. An important challenge has been to integrate more farmers into these initiatives since the benefits of Regenerative Agriculture practices are not immediate. However, the creation of networking streams, where we can exchange information, best practices, challenges, and other experiences, has allowed us to increase the number of farmers who join us on a voluntary basis year after year.

In June 2023 we began to search for, identify, and evaluate potential partners in Regenerative Agriculture in Central and South America. In July we extended our program to more producers located in the United States and Canada.

2023 marked a milestone in our learning in the Regenerative Agriculture (RA) program. This program has strengthened communication and dialogue with various stakeholders, such as agricultural consultants, farmers, suppliers, and other key players. This allows us to support and focus on the agricultural sector.

With this in mind, we created a framework that we will use with all pilot projects to standardize practices in line with the KPIs defined for this topic. This framework provides a flexible structure that can be adapted to regional contexts and the level of maturity of Regenerative Agriculture practices in each case.

We have a program that promotes soil health, for which we had an event to train agronomists and farmers in the United States. We covered soil principles and farming practices with hands-on exercises in their fields. We then conducted soil testing and monitoring, and reviewed results to show evidence of regenerative agriculture's benefits.

Importantly, in wheat and corn, we are actively engaged in developing our supply chain to increase transparency, strengthen human rights, and preserve the environment.

For the sixth consecutive cycle, our collaboration with the International Maize and Wheat Improvement Center (CIMMyT) has made our use of resources much more efficient, while reducing our carbon and water footprint.

We join forces to achieve common goals with the entire value chain. We generate a positive impact on all our stakeholders.

wheat in Mexico

8,390
hectares with Regenerative Agriculture practices

245
farmers trained

+48,000
tons of wheat produced

+15%
productivity in water use compared to conventional practices

-50%
CO_2e emissions by 2023

WHEAT IN MEXICO

Regenerative agriculture has become an essential approach to wheat production in Mexico, as it is a country where wheat cultivation plays a crucial role in food security.

In partnership with EDUCAMPO, courses were given to 120 farmers in the Human and Social Strengthening program, focusing on personal development, resource management, and organizational governance.

+100%
growth during 2023 in hectares with Regenerative Agriculture practices vs. 2022.

corn
in Mexico

We incorporate regenerative agricultural practices in our corn supply chain.

+73
thousand tons of corn produced

7,307
hectares with Regenerative Agriculture practices

+3%
productivity increase in water use compared to conventional practices

257
farmers trained

-55%
CO_2e emissions during 2023 vs. conventional agricultural practices

CORN IN MEXICO

We also incorporate regenerative agricultural practices into our corn supply chain. By working closely with Mexican farmers, we not only improve our raw materials' quality, but also drive a more sustainable and environmentally conscious agricultural model in the country.

In Mexico we managed to increase water use productivity by 21% for corn crops during 2023, as verified by CIMMyT. These results were achieved thanks to the adoption of practices such as zero tillage, crop rotation, the use of cover crops, and incorporating residue from previous harvests into the soil. These practices promote greater water retention in the soil, thus reducing evaporation and maintaining optimum moisture levels.

130%
growth during 2023 in hectares of corn crops with Regenerative Agriculture practices vs. 2022

wheat
in the United States

We are determined to promote Regenerative Agriculture. Therefore, this year we are carrying out various initiatives to support this objective.

TRIAL PARAMETER DESIGN

With reference to the experience we gained in Mexico, covering the definition of key performance indicators, metrics, data collection and analysis, and information frameworks.

PARTNERSHIP CREATION

We established alliances with key partners and stakeholders in the supply chain. For example, researchers, NGOs, and leaders in this field.

Our initiative's pillars focus on 3 key areas:

01 **Improved soil health**

02 **Enhanced biodiversity and ecosystem health**

03 **Improved producer communities**

Our supply chain is strengthened by global alliances:

A **CIMMyT: development of new wheat varieties**

B **Strategic flour suppliers in Mexico, United States and Canada**

C **Strategic allies of technology for farming**

GRI 308-1
SASB FB-PF-430a.I.

potato in México

GlobalG.A.P certified potatoes

GLOBALG.A.P. is a framework that promotes safe and sustainable production, benefiting producers, retailers, and consumers globally. Known as the Integrated Farm Assurance (IFA) Standard, it applies to crops, livestock, and aquaculture.

Suppliers who follow GlobalG.A.P. can guarantee the potatoes' quality and their adherence to good agricultural practices through a letter of assurance. This certification covers aspects such as:

- **Food safety**
- **Traceability**
- **Environment**
- **Worker health and safety**
- **Animal care**

We have supported suppliers in their certification process, and all those who have completed the process have obtained their certification. This relationship of commitment and collaboration among suppliers, the certifying company, and Grupo Bimbo is key to continuous improvement. Through the certifying company, we supervise the certification and certificate renewal process, and together with the Quality team, we conduct random field visits during the harvest.

We work with the Quality teams to audit and authorize suppliers.

80%
of our suppliers follow the GlobalG.A.P. methodology

20%
are in the certification process

GRI 2-23, 2-24, 2-28, 304-2, 304-3

biodiversity

+1,300
volunteers for reforestation programs

6,000
trees in 10 hectares of Mexican forests, which were maintained during the year

At Grupo Bimbo, we are constantly working to improve our environmental performance. That is why we are fully aware of its vital importance at a global level and as part of our commitment to sustainability, we seek to manage our operations around biodiversity in a responsible manner.

With this commitment in mind, we have focused on managing biodiversity through concrete actions within our sustainable sourcing and Regenerative Agriculture initiatives.

We work closely with our farmers to minimize our environmental impact in the sourcing of raw materials. In this regard, we are implementing this regenerative agriculture initiative for our key ingredients to improve soil health, protect and conserve biodiversity, preserve the water cycle, sequester carbon, and promote farmers' quality of life.

ZERO DEFORESTATION

Our global Zero Deforestation commitment is an integral part of our sustainable sourcing program. We are dedicated to ensuring that our key inputs are certified.

At Grupo Bimbo we continue to closely monitor deforestation throughout our entire supply chain through **Starling**, a satellite tracking tool developed in collaboration with **Airbus and the Earthworm Foundation.**

We also established a Zero Deforestation policy and a Code of Conduct that all suppliers must sign and comply with.

With this objective in mind, we work to encourage the adoption of timber communities. We currently have a program in collaboration with Reforestamos México in a community located at the foot of the Iztaccihuatl and Popocatepetl volcanoes, with the objective of promoting ecotourism activities in this region and in other forests, thus contributing to their conservation.

FOUNDATIONS

At Grupo Bimbo we comply with high internal standards essential to our culture, allowing us to maintain global leadership under excellence in various criteria and a firm commitment to nourishing a better world, Baked For You, Baked For Life, and Baked For Nature.

ENVIRONMENTAL STANDARDS AND SUSTAINABLE BUILDINGS

QUALITY AND FOOD SAFETY

HUMAN RIGHTS AND LABOR STANDARDS

SUSTAINABLE SOURCING OF RAW MATERIALS

environmental standards

We are committed to developing a responsible and sustainable business, rooted in a culture of operational responsibility.

Our strategy's Foundations represent internal policies and standards that have been developed successfully, hence contributing to our operational culture and, and allowing us to achieveing excellence and being leaders in sustainability.

OUR COMMITMENT

LEGAL COMPLIANCE

100%

of our business units comply with the legal regulations of the countries where we operate and, as well as with our own standards.

100%

of our work centers with sustainable building analyses through internal policies and standards that allow us to develop improvement plans focused on each business unit's areas of opportunity.

NATURAL CAPITAL

Implement at least one project to conserve and/or improve biodiversity in each business unit.

2023 PROGRESS

We seek to comply with legal and high environmental standards in our operations. We implement policies that ensure traceability not only internally, but also throughout our supply chain.

See Global Environmental Policy here.

mandatory sustainable practices in all our bakeries

Oven efficiency

By using high-efficiency burners, we optimized and upgraded our oven control system and improved the burner's calibration procedure.

Heat recovery systems

We installed Heat Recovery Systems (HRS) in chimneys and compressors. We used mineral wool isolation to optimize efficiency in combustion and refrigeration equipment.

Heating systems

We replaced boilers through with innovative solutions, implementing highly efficient heating systems in working environments with extreme climatic conditions.

Electric efficiency

We incorporated highly efficient air compressors and motors as well as effective conveyor stops. We maximized the use of natural light and LED technology as well as air conditioning systems in essential areas, and employed air-cooled compressors.

Measuring electric consumption

We measured our electric consumption using capacitors and a monitoring system (GB Connected Energy), which is connected to all our production lines to monitor and measure this in an efficient manner.

Air removal

We are committed to efficient and sustainable cleaning practices. To avoid the use of compressed air, we implement vacuum systems in crucial areas, such as the handling of minor ingredients and packaging areas, among others.

Closed water cycles and treatment

We implemented closed water cycles and specific water treatments for dosing machines and pan washers, among others. We aim to maximize the number of internal water cycles before discharge.

Recovery in the value chain

We recovered products, secondary ingredients, and dough during our production processes. We also implemented an efficient waste separation and recycling system to effectively improve extraction and treatment.

Renewable electricity

We strive for the exclusive use of renewable electricity in all our facilities.

Dry steam cleaning

We opt for dry steam band cleaners, transporters, and other equipment essential to the operation. This choice contributes to our dry-cleaning initiative by reducing or eliminating water use.

sustainable buildings

In addition to mandatory practices, we continue to evaluate sustainability in our buildings, which include bakeries, sales centers, and distribution centers. These criteria are aligned with our global standard, which is based on various international standards such as LEED certifications. We use this assessment's results every year to define plans to promote the improvement of our buildings' maturity level.

LEVEL 1
We make sure to comply with the minimum operational and legal requirements in terms of sustainability, making the minimum investments required for corresponding improvements.

LEVEL 2
We measure our buildings' sustainability impacts and take action, which could imply a moderate investment for their improvement.

LEVEL 3
We implement comprehensive management focused on continuous improvement, highlighting significant investment projects meant to boost our development.

GRI 2-27, 3-3, FP2
SASB FB-PF-250a.I., FB-PF-250a.2.

quality and food safety

We work every day to offer products made with the highest and strictest quality and safety standards. We are committed to positioning ourselves as consumers' favorite choice across all our product categories, while aligning our Quality and Safety strategy with Grupo Bimbo's strategy, culture, and philosophy.

OUR COMMITMENTS

2025

100%
of our products are produced in bakeries and other plants that are GFSI (Global Food Safety Initiative) certified.

100%
of our bakeries and other plants are audited to ensure compliance with the highest standards of quality and food safety.

2023 PROGRESS

2023

95%
of our products are manufactured in GFSI-certified bakeries and plants.

81%
of our bakeries and other plants have been audited to ensure compliance with the highest standards of quality and food safety.

global food quality and safety system

We are in **a transition process, continuously working** to strengthen and implement our Quality and Safety strategy. We want to have better control and minimize related risks.

In 2023 we started to transition from the Global Standard for Food Safety (EGIA) to the **implementation of our new Global Quality and Safety System**, which establishes clear priorities and strategic KPIs along our entire value chain.

Before the creation and execution of this program, our strategy was focused on manufacturing. Now we intend to cover our entire value chain, monitoring our products closely and guaranteeing the highest quality and safety. This will start with listening to our customers' opinions and concerns, all the way to the sale center.

OUR GLOBAL SYSTEM IS STRUCTURED ON FIVE FUNDAMENTAL PILLARS:

01

QUALITY PILLAR

It includes standards related to Product Control, Process Control, and Consumer Care.

02

SAFETY PILLAR

It includes standards related to Prerequisites, HACCP, Food Defense Program, Food Safety Plan, and Hazard Analysis for Food Safety.

03

CULTURE AND COMPETENCES PILLAR

It includes the standards of Training and Management of the Quality and Safety System.

04

EXTERNAL OPERATIONS PILLAR

It includes standards focused on the Materials Control Program, Supplier Management, Co-Manufacturing Management, Warehousing, and Product Distribution.

05

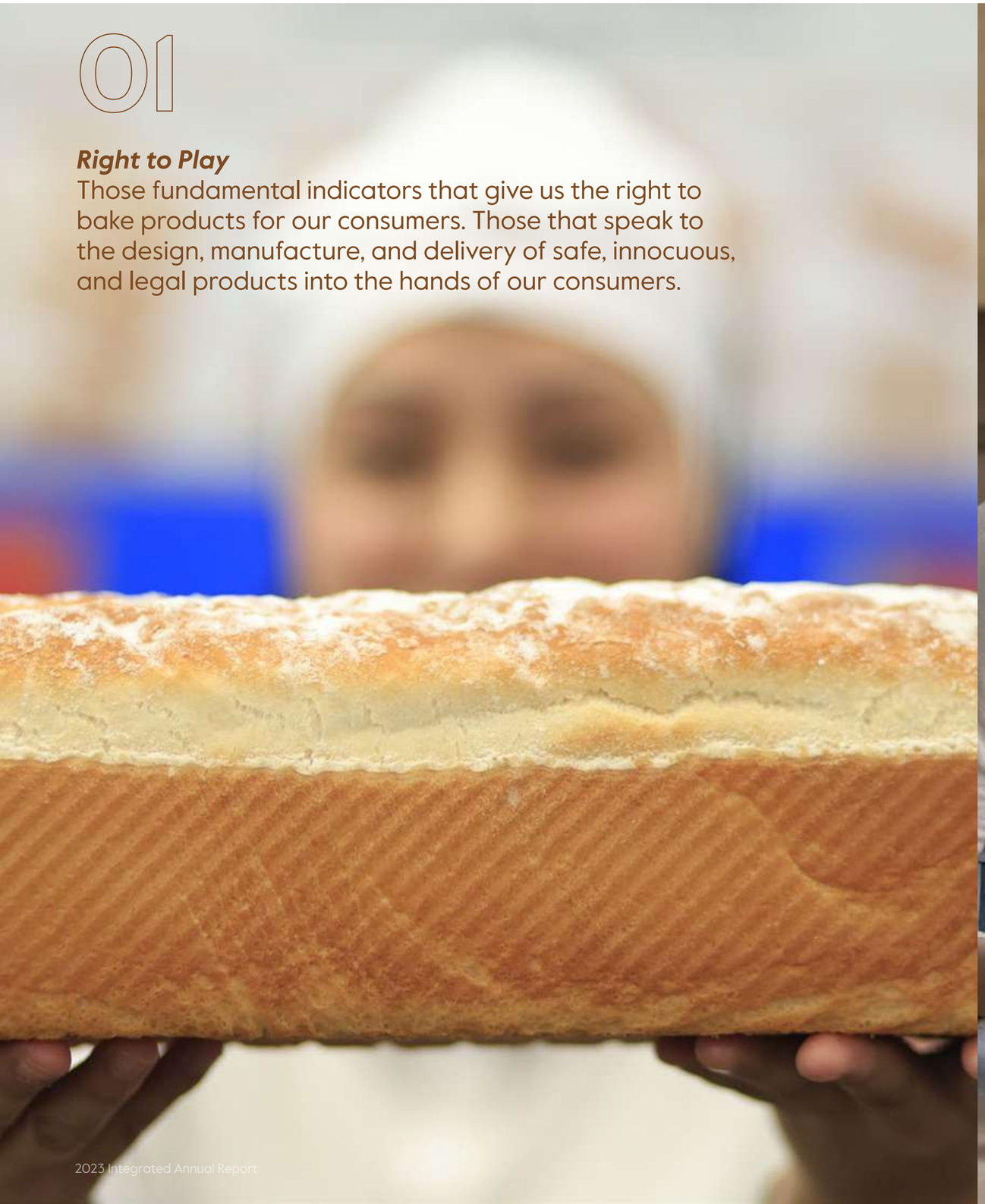
TECHNICAL AUDIT PILLAR

It includes the standards focused on Management Commitment and Audit and Inspection Program.

The quality and safety strategy's implementation is monitored through KPIs broken down into 2 categories:

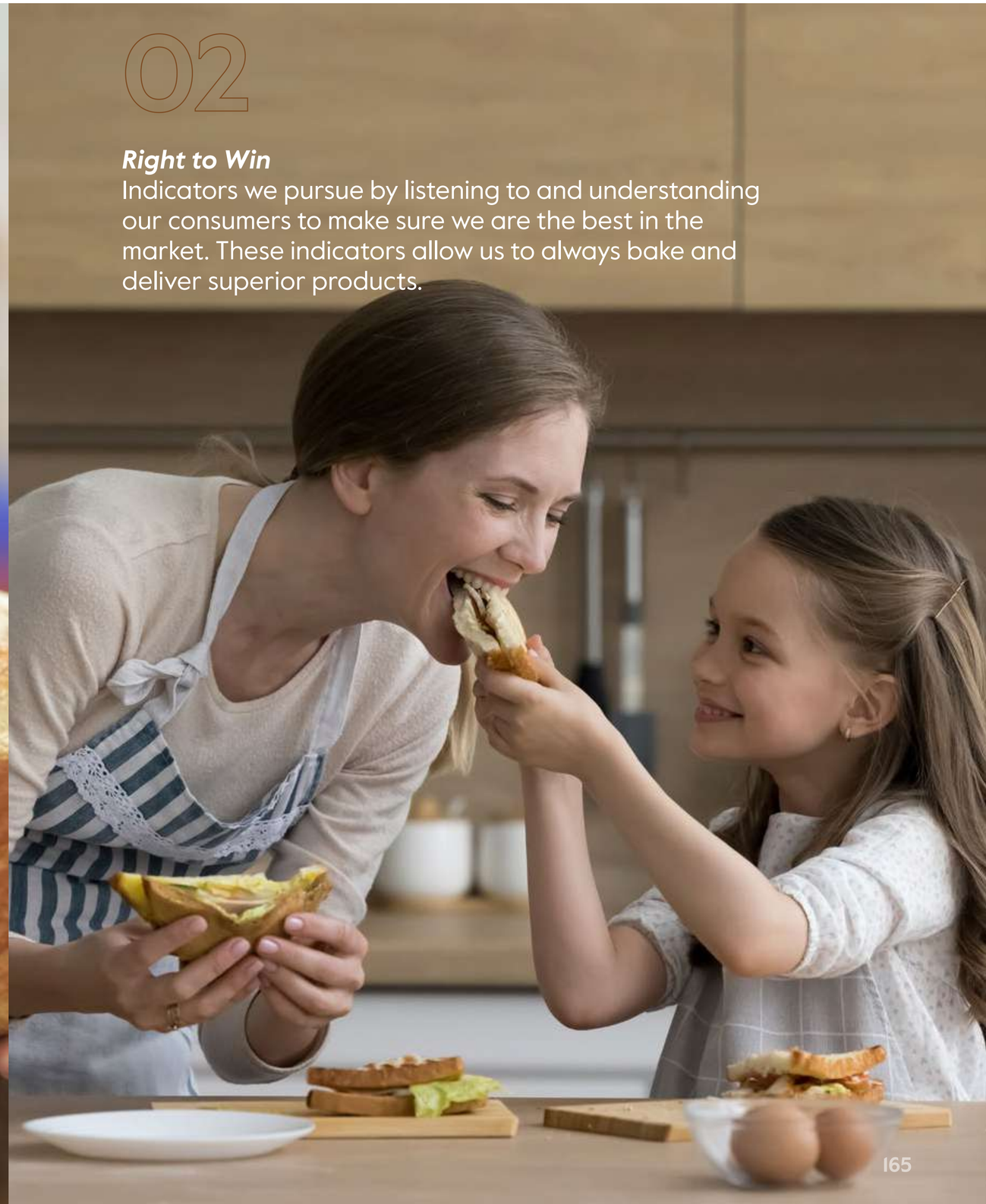
01

Right to Play
Those fundamental indicators that give us the right to bake products for our consumers. Those that speak to the design, manufacture, and delivery of safe, innocuous, and legal products into the hands of our consumers.



02

Right to Win
Indicators we pursue by listening to and understanding our consumers to make sure we are the best in the market. These indicators allow us to always bake and deliver superior products.



This year we achieved in GB-on the publication of the **first seven global standards that will make up our Global System.** We will continue to strengthen and broaden our guidelines and standards to guarantee the quality and safety of our products, considering the following topics:

01

Water control

Establishes the safety requirements for drinking water used as an ingredient in our products, in direct contact with products, or indirect contact through surfaces products encounter. Defines permitted uses for conditioned rainwater, stormwater, and treated industrial wastewater.

02

Sanitary Design in Facilities

Considers requirements and conditions related to the design of any Production Center's sanitary infrastructure to prevent physical, chemical, and microbiological contamination of foods.

03

Superior Evaluation 60-40

Defines general guidelines to carry out 60-40 Superior Evaluations on both new and existing products from the current portfolio.

04

Product Score

Defines general activities that must be carried out to validate the compliance of the products we manufacture and deliver with the Superior Golden Standard. With this, we aim to gain customers' significant preference for our products over our competitors'.

05

Superior Gold Standard

Defines general activities that must be carried out to validate the compliance of the products we manufacture and deliver with the Superior Golden Standard. With this, we aim to gain customers' significant preference for our products over our competitors'.

06

Good Manufacturing Practices

Considers general manufacturing conditions and practices that all Grupo Bimbo's Production Centers must comply with to produce safe and satisfying food for consumers.

07

Audits and Inspections performed at Production Center

Establishes standards to execute audits and inspections so each production center can evaluate its compliance with and continuous application of the Global Food Safety and Quality Management's standards, policies, and procedures.

In our 2025 work plan, we've committed to transitioning completely from EGIA standards to global standards. This underscores our ongoing dedication to crafting new, comprehensive standards, essential for establishing a Quality and Safety governance framework that is applicable across the entire company. This transition aligns our Quality and Safety strategy with our Vision and Mission, reinforcing our aim to strengthen Quality and Safety processes as pivotal capabilities in achieving our goals and objectives.

GRI 2-27, FP2_23, FP5_23
SASB FB-PF-250a.I., FB-PF-250a.2., FB-PF-430a.I.

producing under the highest standards

Thanks to the implementation and monitoring of our Global Quality and Safety System, in 2023 we achieved important advances and executed key actions that allowed us to reinforce our strategy.

According to the Global Operations Department's count of Grupo Bimbo's plants, our production is distributed among 202 plants, of which 182 are GFSI* certified. The remaining plants are required to make a projection and work plan to advance in this certificate's requirements.

Each of our plants is currently responsible for keeping track of the information collected within their work centers (such as GFSI non-conformities and non-compliance with regulations, among other important points). We are creating a work plan to make the process of collecting, analyzing, and accessing this information easier in a more coordinated manner.

During the year, **we carried out 29 audits** where we reviewed the status of the Global System's implementation. 22 of these were for production centers (bakeries and plants) and 7 for Organizations. When deemed necessary, we formed action plans to close gaps among plant associates by promoting a quality and safety awareness and culture. We also followed up on indicators and new technologies to support the system's implementation.

95%
of our total production manufactured in GFSI-certified plants by 2023

* This calculation does not include our new acquisition in Romania or our 3 joint ventures (which are also GFSI certified). In addition, in accordance with our commitments, those co-manufactures with which Grupo Bimbo works are required to obtain GFSI certification.

GRI FB-PF-250a.4., FB-PF-430a.I.

In 2023, 27 product recalls were carried out in different Organizations like Bimbo Brazil, Bimbo Latincentro, Bimbo Mexico, Bimbo QSR, El Globo, and Bimbo Asia.

It is essential that our entire supply chain is aligned with our commitments. Therefore, we ask our suppliers to be GFSI certified. We work to ensure that our inputs follow rigorous safety standards. More than 75% of our suppliers were certified this year (vs. 72% in 2022).

SUPPLIER CERTIFICATION BY ORGANIZATION:

Organización	2022 % de ingredientes	2023 % de ingredientes
Bimbo India	7.0%	9.8%
Bimbo Latin Sur	58.0%	53.0%
Bimbo Latin Centro	53.0%	69.0%
Bimbo Brazil	73.0%	72.0%
Bimbo Mexico	69.3%	72.2%
Barcel	71.0%	74.0%
Bimbo QSR	65.0%	75.0%
Bimbo China	68.0%	92.0%
Bimbo EMEA	96.9%	95.6%
Bimbo Canada	98.0%	98.0%
Bimbo United Kingdom	99.0%	99.0%
Bimbo Bakeries USA	100.0%	100.0%
Total	71.5%	75.8%

managing our product quality

One of our main interests is that our consumers are satisfied with our products. We strive to ensure that, in the event of any complaints or dissatisfaction, they have resources to let us know about them. We have a series of internal mechanisms and regulations to define these processes from start to finish.

We have a Global Crisis Management **Policy at the corporate level**, focused on defining guidelines to act in case of any incident that may affect people, corporate and brand reputation, our assets, and/or the environment.

To have a common framework, the Crisis Management Manual provides measures that need be followed to remedy and mitigate any negative impact in a product crisis. This includes cases of adulteration, consumer boycott, contamination with foreign matter, quality and safety defects, consumer intoxication, among others. Depending on the case, each Organization's committees describe the measures to be taken based on the incident's classification to mitigate the negative impact on our brands and business.

Every year, the Organizations' crisis committees carry out simulation exercises to be prepared for any eventuality.

We comply with requirements to provide contact information (telephone or digital) on our packaging to receive and manage consumer comments and complaints.

PROCESS FOR RECEIVING COMPLAINTS

01

We receive the call.

02

We direct the complaint to the corresponding attention center in each country or region.

03

We collect detailed information on the complaint.

04

Call center processes the information to determine the complaint's seriousness.

05

We conduct data analysis to generate a report and classify the case depending on the risk level:

a. Quality complaints (sensory, texture, appearance)
b. Safety complaints (foreign material)

With the information obtained from these complaints, we also perform a trend analysis in each of our plants to identify consumers' priority problems and needs, design individual action plans (by bakery/plant and production line) and correct product unconformities.

81%
of the total Quality and Safety cases received in our channels were resolved.

In our Quality and Safety Business Plan we defined a goal to reduce complaints, as well as a target to have 0 recalls in our Right to Play indicators.

Each plant and Organization, according to their complaint reduction goals, are responsible for analyzing their own trends and defining the necessary action plans to avoid the recurrence of incidents.

A "Complaints per Million" indicator is reported monthly to Senior Management. This indicator is part of our business plan indicators for each Quality and Safety leader by Organization, plant, and corresponding area. We believe that our indicators help us to follow up and monitor the effectiveness of the mechanisms in place to deal with consumer complaints.

success stories

QUALITY AND FOOD SAFETY SCHOOL

As part of our Craft Academy*, we launched the Quality and Food Safety School at the Craft Academy (Junior Level) from September to November.

QUALITY & FOOD SAFETY SUMMIT 2023 Mérida, Yucatán

We held our annual Quality & Food Safety Summit in Mérida, Yucatán, Mexico, from September 4th to 7th. 122 Q&FS associates from 11 organizations attended this summit, as well as global leaders from Functional Areas.

Among the topics discussed were advancements in the quality and safety strategy, as well as next steps to be taken across organizations during 2024.

In this event our associates had the opportunity to connect, make synergies, and align purposes to ensure that our consumers receive an increasingly superior quality from our products.

human rights and labor standards

At Grupo Bimbo we know that our actions contribute to the well-being, development, and human dignity of the people who participate in our value chain.

We are a company that makes decisions considering our commitment to upholding our stakeholders' rights. The harmonization between international human rights treaties, local legislation, and our objectives is undoubtedly our best strategy to grow responsibly.

GRI FP2_23, 408-1
SASB FB-PF-250a

consolidating our public commitments

We reaffirmed our commitment to prevent, detect, and help eradicate serious problems that transcend beyond our value chain.

We maintained our zero-tolerance stance on forced and child labor during 2023. We implemented effective audits and management systems to identify any conduct contrary to our public commitments.

CHILD LABOR

In line with international commitments, and in compliance with local laws, we implemented actions to prevent child labor in our suppliers

61%
of our associates belong to a collective bargaining contract or agreement.

FORCED LABOR
To ensure that our value chain does not generate behaviors that threaten decent work, we have consolidated our main policies for associates and suppliers:

- Associate relations policy
- Global human rights policy
- Code of ethics
- Code of conduct for suppliers
- Grievance process

This allows us to prevent arbitrary behavior and establishes limits for those who are part of our business.

Best practices for fostering constructive and trusting supplier relationships

Through our **Supplier recognition initiative**, we trained suppliers who needed to improve their performance related to sustainable palm oil. This type of training allows us to:

- Promote constructive and trusting relationships with stakeholders.
- Facilitate learning tools to identify and manage challenges and/or impacts related to responsible sourcing.
- Establish a consistent and institutionalized way to provide feedback to suppliers.

FREE ASSOCIATION AND COLLECTIVE BARGAINING
By the end of 2023, 61% of our associates belonged to a collective bargaining agreement. We are proud to continue providing openness for our associates to exercise their rights in accordance with local legislation.

Our associates are and will continue to be a key element for our business's development and growth. Strengthening their individual and collective rights is a strategic necessity.

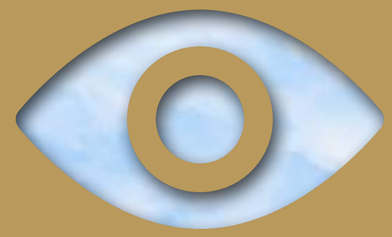
GRI 2-23, 2-24

human rights in our value chain

Committed to human rights, we are proud to integrate actions that drive our corporate strategy.

COMPROMISE

We create policies that contribute to business goals while respecting the human rights of all our stakeholders.



MONITORING

We implement best practices to monitor compliance with our internal policies, codes, and regulations daily.

COMMUNICATION

We establish communication channels to identify irregularities that go against our commitments and are harmful to our stakeholders' human rights. We employ additional participatory mechanisms to actively listen to our stakeholders.

Due diligence

We continued to identify the main existing risks in our value chain to design strategies to prevent and mitigate negative impacts that could arise. In addition to the key issues that we have previously addressed in our due diligence processes, we are focusing more on human rights risks and opportunities.

GRI 414-1, 414-2

best practices on human rights

We are proud to be part of the development of families, communities, and societies where we operate. We implement best practices tailored to the needs and realities of each of our stakeholders:

Associates
SOCIAL SAFETY

We conduct internal reviews during periodic visits to functional, corporate, or regional office operations.

This allows us to verify the effective compliance of our processes and management system in terms of human and labor rights, and thus prevent any labor risks.

ACHIEVEMENTS

We achieved another year without any risk of forced labor or child labor in accordance with the Internal Labor Policy. We maintained the practice of implementing programs focused on Safety, Wellness, Diversity, and Inclusion, among other topics that help create safe, inclusive, and collaborative work environments. We want our support to be an essential part of all our associates' well-being.

Clients
DATA PROTECTION

We know that our customers inspire us to create and improve our processes. In accordance with consumers laws, we implemented best practices to protect personal data and take appropriate care when managing our customers' information.

We promote an internal culture capable of ensuring the protection of our customers' rights. We collect only information that is relevant to the improvement of our products.

We adhere to local legislation, including consumer laws and other relevant regulations pertinent to our business operations.

Suppliers
SOCIAL MANAGEMENT OF OUR SUPPLIERS

To strengthen the supply chain and avoid irregularities, we continue to consolidate best practices to adapt to regional needs and promote supplier diversity.

This allows us to verify the effective compliance of our process and management system in terms of human and labor rights, and thus prevent any labor risks. We continue to employ our Supplier Code of Conduct and supply chain exercise in Mexico.

Community
SOCIAL PROJECTS

With the participation of local communities, we implemented projects focused on:

- Eradicating poverty and social inequality
- Fostering economic growth where we operate
- Supporting farmers and youth.

We are expanding our social programs focused on our five action areas:

1. Education
2. Safety
3. Well-being
4. Physical activity
5. Environment

BEST PRACTICES

- We continue to promote best practices that strengthen our commitment to human rights, always in favor of our main stakeholders.
- We exceed local wage benefit requirements in all our operation areas.
- We promote the collective rights of our associates at a global level.
- 100% of suppliers are aware of our Supplier Code of Conduct.
- 100% of associates are familiar with our Code of Ethics.

We continue to promote best practices with our main sugar supplier in Mexico. This year we developed the self-assessment phase to create action plans for sugar mills.

GRI 2-27, 3-3, 204-1, FPI, FP2
SASB FB-PF-430a.I.

sustainable sourcing of raw materials

At our foundation lies an unwavering commitment to the responsible sourcing of strategic raw materials.

We guarantee our supply chain follows sustainable sourcing best practices. We collaborate closely with our suppliers, moving toward the joint achievement of our sustainability goals.

OUR COMMITMENT

PALM OIL

2023

100%
with RSPO* certification

2025

97%
traceability

100%
of direct palm supply free from deforestation and conversion

100%
of direct soybean oil supply free from deforestation and conversion

PAPER AND CARDBOARD

2025

100%
of paper and cardboard packaging will come from certified, sustainable, or recycled sources.

* RSPO **Book and claim** as a complement to the plans for satellite monitoring, traceability, follow-up with key suppliers and landscape improvement.

2023 PROGRESS

100%

96%
traceability

60%
of our volume is deforestation-free

89%
of our volume comes from regions at low risk of deforestation

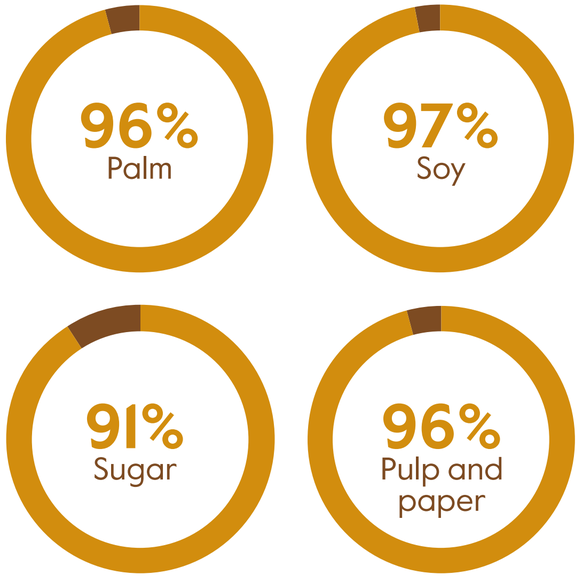
95.9%

We continued to implement our Global Agriculture Policy during 2023, consolidating traceability of our key raw materials.

We identify and define our most critical ingredients, guided by their environmental and social impact, with the goal of ensuring well-being throughout our supply chain and guaranteeing continuity of supply in the future.

Find out more about our Global Agriculture Policy by clicking **here>>**

We have achieved a percentage of the volume purchased from suppliers that comply with the Global Agriculture Policy of:



It is worth highlighting that, in collaboration with the Agribusiness, Sustainability, Finance, Emissions, and Procurement teams, we established the Responsible Sourcing Council. Through this council, we define key ingredients, mainly based on raw material sourcing (80%), along with specific company goals and priorities.

OUR COMMITMENT

PRODUCTS OF ANIMAL ORIGIN

2025

Gradually transition to an egg supply from

100%

cage-free poultry.

PROGRESS

17%
progress towards our global goal

97%
soybean traceability

GRI 2-23, FP2
SASB FB-PF-430a.1.

palm oil

100%
RSPO Certified

In 2019, we committed to procuring RSPO-certified palm oil that was at least under the "Book and Claim" scheme by 2023. We are proud to have reached that goal. This milestone reflects our continued dedication to sustainability and our participation in key platforms that promote responsible practices in the palm oil industry.

We continued to implement our Global Palm Oil Policy during this year, reiterating our commitment to best practices in raw material sourcing. We actively promoted our No Deforestation, No Peat Extraction Expansion and Non-Exploitation (NDPE) initiatives. To ensure our policy is applied effectively, we assess sustainability-related risks in aspects affecting Tier I suppliers who do direct business with us.

To achieve our goals, we focus on the collaboration, strengthening, and transparency with our supply chain, working closely with our key suppliers.

For this we have:

- **Traceability down to the mill and plantation level**
- **Implementing a plan and a supplier commitment**
- **Supporting transformational initiatives on labor and social issues**
- **Supporting initiatives focused on land management and conservation**
- **Implementing mechanisms to manage grievances**
- **Verification and monitoring processes of NDPE (No Deforestation, No Peat, No Exploitation) commitments**

GRI 2-24

Our suppliers have made significant progress in implementing their No Deforestation, No Peat Development, and No Exploitation (NDPE) commitments.

Once we perform the EPI **(En Policy Implementation)** assessment, the results allow us to classify our suppliers into 3 levels of compliance addressing specific actions, according to their level of maturity:

- Robust
- Moderate
- Initiation

The EPI assessment helps us to identify the commitment level of our suppliers, and if they have adopted a responsible sourcing policy.

As a result, II palm EPI suppliers developed action plans based on the priorities discussed in the outcome sessions.

In 2023, we conducted two specialized trainings for palm oil suppliers pursuing to improve their performance as part of the **Supplier Recognition Initiative program.** The trainings content was designed based on the results obtained in the 2022 EPI. The topics covered were:

- Establishing a NDPE **(No Deforestation, No Peat, and No Exploitation)** policy.
- Complaint mechanism and non-conforming supplier processes.

The EPI assessment helps us identify our suppliers' commitment level, and if they have adopted a responsible sourcing policy.

GRI 2-28

We acknowledge the positive impact that generating links and alliances with other groups can have,

which is why we are part of:

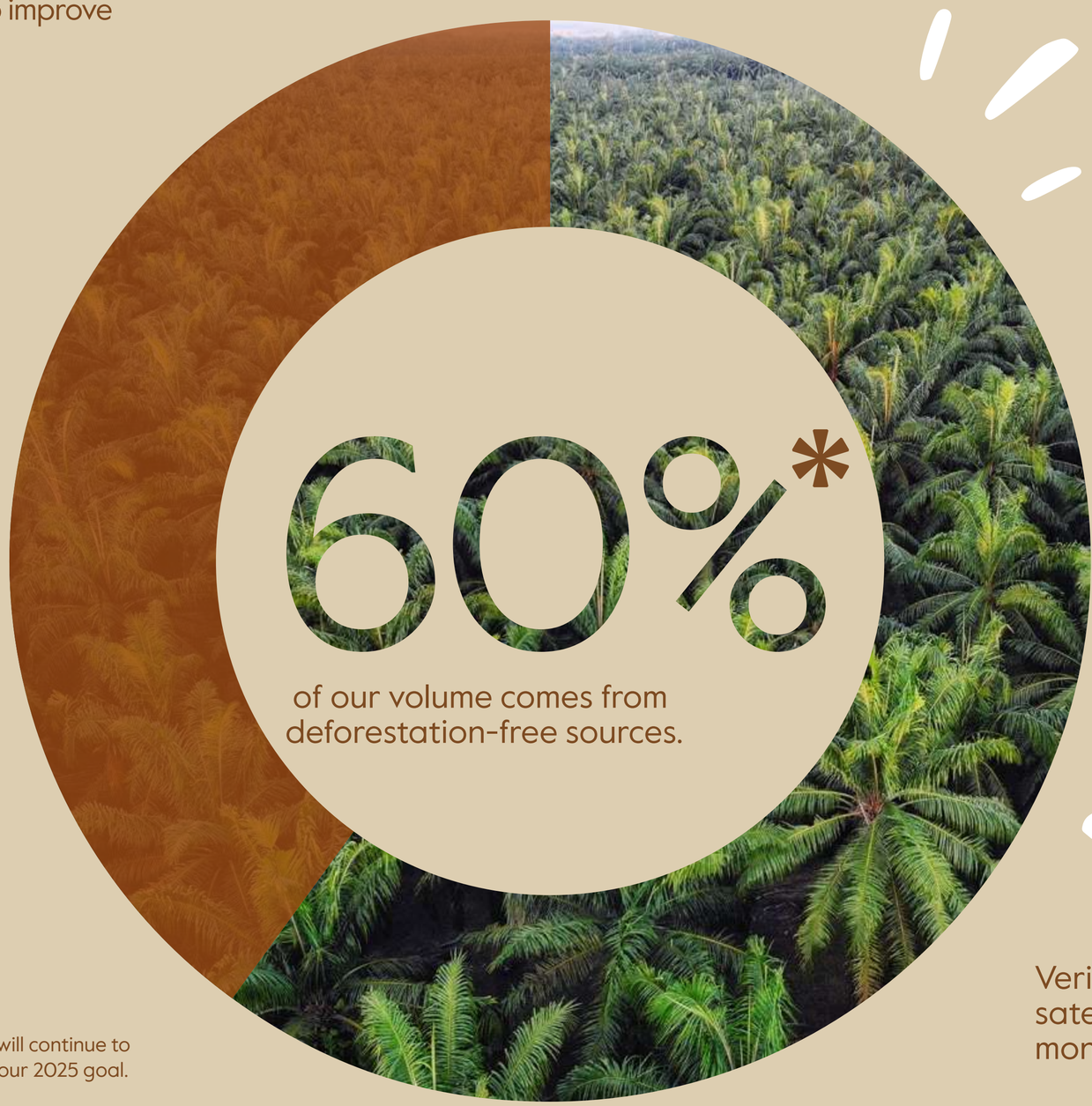
North American Sustainable Palm Oil Network (NASPON)
Promotes sustainability in production and consumption of palm oil in North America. Collaborating with companies, organizations, and governments to set standards, promote sustainable practices and facilitate the transition to a more responsible and transparent supply chain.

Roundtable on Sustainable Palm Oil (RSPO) promotes responsible palm oil production through standards, certification, and promote best practices. They also facilitate dialogue between companies, NGOs, governments, and communities to address environmental and social challenges in the industry.

CGF's Forest Positive Coalition for Palm and Soy
Has the goals of accelerating the elimination of deforestation in individual supply chains, setting higher expectations for traders across their supply base, driving transformational change in key commodity landscapes, and defining measurable results to track and report. To learn more about Forest Positive, click here

SATELLITE MONITORING

Using the Starling satellite tracking tool, developed by Airbus and Earthworm Foundation, Grupo Bimbo continues to monitor deforestation in our supply chain. This approach applies to key palm suppliers and complements our ongoing efforts to evaluate and enhance practices with our suppliers. We are committed to increasing data transparency and respond effectively to identify deforestation alerts as we continue our efforts to improve this issue.



Verified by satellite monitoring.

* The remaining 40% is the volume for which we can improve data. We will continue to engage with our suppliers to achieve greater traceability and meet our 2025 goal.

LANDSCAPE INITIATIVE: CHIAPAS, MEXICO

Chiapas is the second most biodiverse and forested state in Mexico, contributing approximately half of the country's palm oil production. It is also the main palm oil supply region in Latin America for Grupo Bimbo, which is why we decided to focus on this region. This initiative aims to protect areas of high conservation value, and to design livelihood options and business models that work for both local people and nature.

In 2023, our focus was on organizing lines of action, which included incorporating small-scale palm producers and engaging key stakeholders within the landscape.

Our lines of action are:

Forest protection: we seek a transition to sustainable agricultural practices and viable economic alternatives, collaborating with the community to evaluate new opportunities.

- **20 hectares identified for productive reconversion and/or restoration within the Encrucijada Reserve.**

Supply chain transformation: we work to strengthen producers' resilience through collaboration, training, and product diversification, offering sustainable options and ensuring the region's economic viability.

- **3 mills are implementing no deforestation policies and action plans.**
- **56 farms have implemented holistic agricultural plans.**
- **29 families with increased income and food safety.**

Regenerative agriculture: we conducted research and training initiatives to improve soil health and optimizing crop management in the region, strengthening producers' capabilities to increase the productivity and sustainability of their agricultural activities.

- **28 farms reduced their use of agrochemicals and improved soil and riparian zone management.**
- **50 palm oil producers applied regenerative agriculture practices.**

The landscape project's extent:

339,000
ha of landscape extension
32,000 hectares under palm cultivation

89%
comes from low-risk countries, such as the **United States and Canada.**

Natural area: La Encrucijada **(approx. 60,000 ha of wetlands or tropical peatland)** with key biodiversity

+1,500
small producers

100% of our palm oil volume is certified with RSPO standards, at least under the “Book and Claim” scheme.

95.56% Direct palm and 86.62% Indirect palm from mill level traceability (TTM).

67.52% Direct palm and 42.19% Indirect palm with traceability at plantation level (TTP).

success stories

LANDSCAPE INITIATIVE: CHIAPAS, MEXICO

We focused on structuring lines of action and inclusion of small producers and main stakeholders in Chiapas, a key region for palm oil production. Actions included forest protection, with 20 hectares identified for reconversion and restoration; supply chain transformation; and regenerative agriculture, with 28 farms improving soil management and 50 producers applying regenerative practices. These efforts seek to strengthen the resilience of producers and ensure the region’s economic viability.

PROMOTING SOCIAL EXCELLENCE IN GUATEMALA

Workshops were held on community relations and conflict management, online seminars on European Union due diligence regulations, and advice on grievance mechanisms and human rights policies. We worked individually with companies according to their needs and interests, and new suppliers were included in capacity-building programs.

This year we continue with our landscape’s projects. The main goal is to promote social development in the areas where we obtain our resources from.

soy

Since 2019, our focus has been on responsible soy sourcing. This includes continuously strengthening mapping, engagement programs, and transformation support. By 2023 we mapped 97% of our supply chain, identifying associated supply chain challenges.

With this exercise we found that:

89%
of soybeans come from low-risk countries, such as the United States and Canada.

6%
comes from high-risk countries, such as Brazil, Argentina, and Bolivia.

We changed these regions in 2023 and had a significant increase in soybeans from low-risk areas, while reducing soybeans from high-risk areas in 2023. We continue to collaborate with our high-risk suppliers to strengthen our supply chain, transparency, and constant monitoring to drive responsible sourcing.

In
2023

97%
of our supply chain was mapped

89%
comes from low-risk countries, such as the United States and Canada

6%
from high-risk countries, such as Brazil, Argentina, and Bolivia

4%
of untraceable origin

We are committed to implement the Global Agriculture Policy and the expectations of the Consumer Goods Forum. To learn more, see our Global Agriculture Policy here.

success stories

Soybeans represent a critical ingredient for us, both in our operations and sustainability strategy. Sorriso, Brazil, a leading region for soybean production, plays a particularly significant role in this effort.

In 2022, we began our actions to restore the water springs of the Lira River. We are proud that we gave continuity and closure to this project during 2023.

This initiative looks to guarantee water supply for both the population and local agriculture. The recovery of watercourses is essential to maintain balance of the natural hydrological cycle, which in turn is crucial for the development of large-scale agriculture in Brazil's rainfed regions.

sugar and cocoa

Through the EPI **(Engagement for Policy Implementation)** initiative, we promote the adherence of sugar suppliers to the Global Agriculture Policy. Maintaining 58% of the global sugarcane volume under our management, we systematically assess our two strategic suppliers through desk audits.

We encourage dialogue focused on identifying areas for improvement, motivating our suppliers to develop action plans that address these opportunities and foster continuous improvement.

In our quest to promote better social management and labor conditions in sugarcane processing, we launched a comprehensive guide for our key Mexican sugar supplier in 2023.

Since 2022, we have intensified our understanding of our cocoa supply chain through an extensive traceability exercise, covering 94% of the volume. We are currently working on traceability, as well as evaluating strategies to generate a positive impact on the cocoa industry from our consumption and in collaboration with our suppliers.

94%
volume
traceability

58%
of global
sugarcane volume

We identified key sourcing regions and addressed the associated social and environmental challenges.

success stories

In 2023, we finalized a human rights guide for our main sugar supplier in Mexico. This initiative aims to strengthen social management practices within their sugar mill, specifically addressing potential labor rights violations.

Our guide equips suppliers with essential resources for integrating ethical labor standards into their operations. This approach is currently in its trial period at one of our mills in southeastern Mexico, where they have successfully completed the self-assessment phase. The next step is to support them in developing internal procedures to institutionalize these practices across the corporation. This ensures sustainable operations and sets the stage for replication across various regions.

GRI 2-15, 3-3

sustainable sourcing

We have a Supplier Code of Conduct that goes beyond legal compliance and embraces a sustainable approach. This code is a prerequisite for engaging in any business partnership. By committing to align themselves to our code, suppliers agree to comply with social, environmental, and ethical standards.

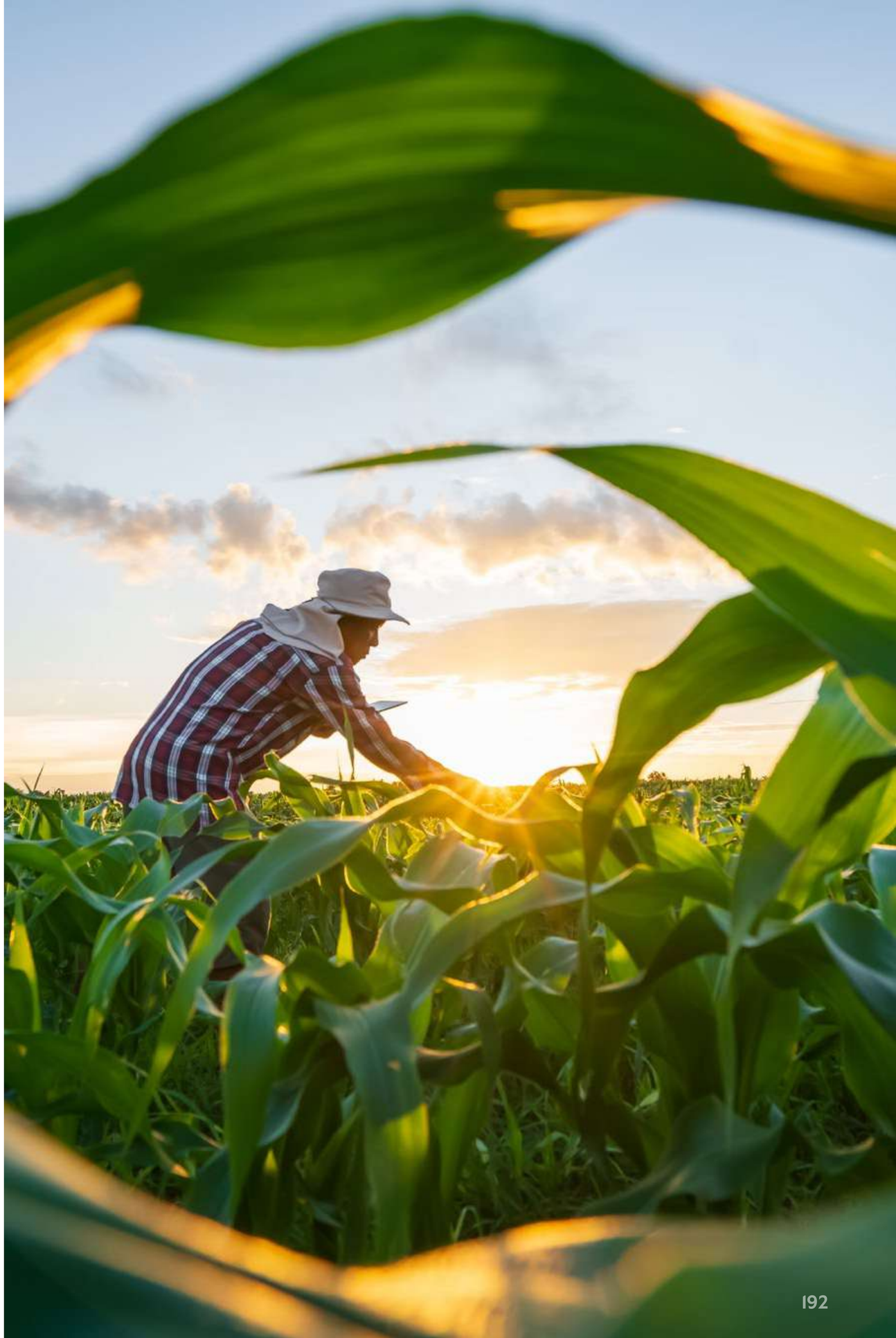
Our Code of Conduct addresses issues such as:

- **Sustainable Sourcing**
- **Ethical behavior and shared commitment**
- **Anti-bribery and anti-corruption practices**
- **Conflict of interest**
- **Fraud and criminal conduct**
- **Labor regulations and guidance**
- **Quality and safety**
- **Traceability**
- **Health and Safety**
- **Transparency and accounting records**
- **Environmental care**
- **Intellectual property and reputation**
- **Communication channels**

Learn more about our Code of Conduct for Suppliers by **clicking here >>**

We also conduct internal awareness sessions on sustainability matters across various purchasing categories with the support of our leaders in:

- **Packaging**
- **Palm and soybean oil**
- **Ingredients**
- **Indirect**



GRI 2-23, 2-24

supplier assessment and traceability

We publicly disclosed our supply chain management strategy through the publication of an action plan. This document details the actions planned for the year, highlighting our responsible sourcing commitments to inform stakeholders.

For materials that are identified as critical, we conducted a traceability exercise. We consulted all internal regions and volumes purchased, and then asked suppliers to collaborate with details and specifications of the sourcing regions. This annual exercise gives us valuable insight into the sourcing regions and their challenges. It also allows us to know how strong and transparent the agricultural supply chain is for each of the inputs we are analyzing.

We publish progress reports on the implementation of both the Global Agriculture Policy and the Global Palm Oil Policy every six months, showcasing advancements in line with our annual action plan. These reports communicate progress on our commitments to responsible sourcing and transparency in the agricultural supply chain, while also addressing associated risks.

Learn more about our Global Agriculture Policy by clicking **here >>**

Learn more about our Global Palm Oil Policy by clicking **here >>**

We conduct an annual **Engagement for Policy Implementation** (EPI) assessment with our strategic agricultural suppliers to understand their level of sustainability maturity and collaborate in building action plans with them. We seek to promote continuous improvement in environmental and social standards, identifying critical suppliers through traceability and EPI exercises.

It is noteworthy that in the EPI assessment, different methodologies are incorporated depending on the industry. For example:

- **Palm oil is reviewed under the CERES methodology, aligned with CGF guidance**
- **For soy we use the CGF guidance and our experience with palm oil**
- **In sugar we use the Corporate Social Responsibility checklist as a guide for Canadian mining companies abroad, with a focus on Human Rights**

During the presentation of Palm Oil's 2022 EPI results, actions were defined to help the supplier improve its performance in line with our expectations and industry best practices. In 2023 we continued to implement them. We expect this to benefit the supplier's development, the shared supply chain and, with it, future EPI assessments and the achievement of our goals.

EPI covers environmental and social aspects such as policies related to child labor, discrimination, forced labor, freedom of association, collective bargaining, human rights, diversity, equity, and inclusion.

low-emission supply chain

Within our goals to reduce our carbon footprint, we focus on 3 scopes. Although Scope 3 is beyond our control, we assume the responsibility of building commitment with our suppliers, as these activities are linked to our operation. This is even more relevant as Scope 3 is the most significant part of our carbon footprint, related to sourcing and agriculture.

We developed a platform where suppliers share key information. As an initial exercise, we selected the top 100 ingredient suppliers globally and established a roadmap based on individual conversations with each supplier to identify actions for improvement and/or collaboration. During our conversations, we presented our strategy and goals, sharing our actions to reduce emissions. As a result of these sessions, we identified the steps required to raise our suppliers' maturity in sustainability to more advanced levels.

We have an internal communication program to share our achievements in responsible sourcing. In this program, we highlight the best practices implemented by the Procurement team in our different Organizations.

FOR SUPPLIERS IN INDUSTRIAL (NON-AGRICULTURAL) CATEGORIES

We encourage our suppliers to provide information on their environmental management performance through the CDP Supply Chain program's climate change and forest questionnaires.

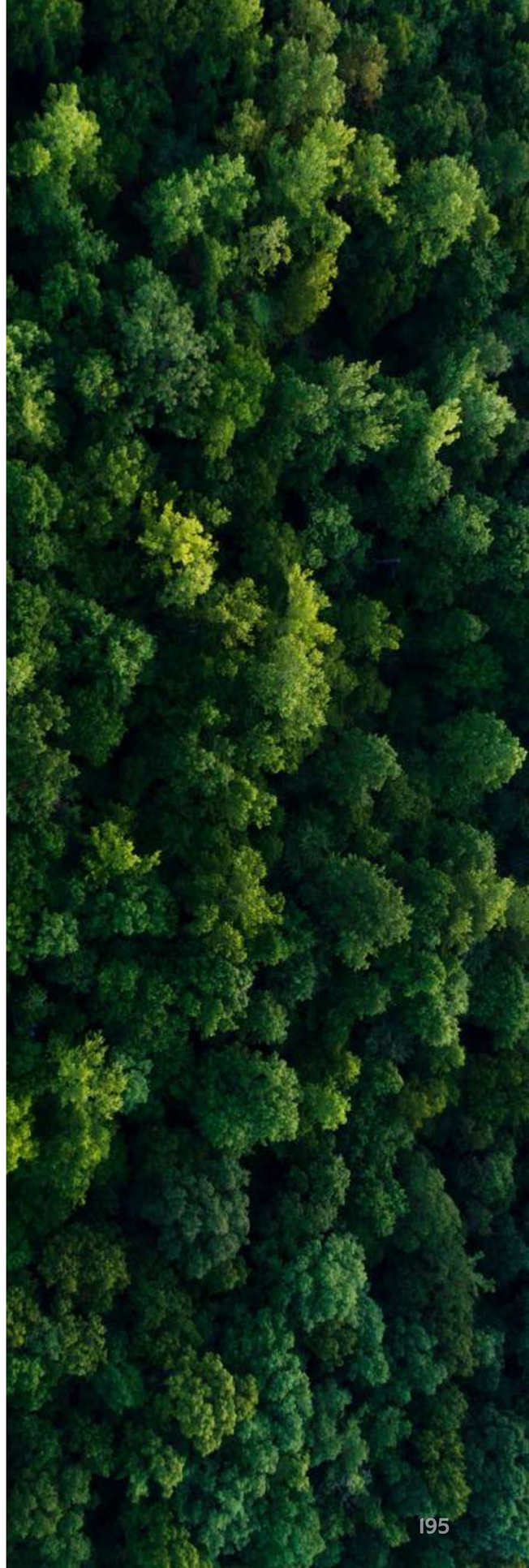
233 through CDP (non-agricultural inputs)

* Assessments correspond to industrial categories: packaging and indirect.

Under the CDP - Supply Chain program, we provide suppliers with a feedback form with their results and benchmarking with other participants in the same exercise. In addition to fulfilling this commitment with our suppliers, we conducted training tailored to their levels of maturity in environmental management.

Among the trainings offered were:

- **Why is it important to have a sustainability strategy?**
- **Transition plans and climate change goals**
- **Climate change commitments and value chain engagement**
- **Forests, traceability, and its importance**
- **Forests, no-deforestation targets, and CDP forest questionnaire**
- **Forests, landscape, and jurisdictional projects**



GRI 2-23, 2-24, 2-28, 2-29

paper and cardboard

Our main strategy to be deforestation-free is to source from recycled materials. However, we strengthen these actions by purchasing some materials that have international certifications. By 2023, we accomplished a 97% use of recycled or certified materials in our packaging. We are developing solutions and plans to reach 100% by 2025. As a complementary strategy, we conducted a traceability exercise for the “corrugated cardboard” and “folding cardboard” categories to identify the countries where virgin fibers are harvested and where the recycled material comes from. With this, we identified opportunities for improvement in these materials’ sustainability.

37% of the paper and cardboard used during 2023 came from recycled sources.

97%
of volume paper and cardboard came from certified sustainable and/ or recycled sources

GRI 2-23, 2-24

institutional relations and stakeholder management

The Corporate Affairs Department oversees institutional positioning with the different stakeholders we have a relationship with. It is directly responsible for the management of the following stakeholders:

Public Sector Authorities and Institutions
Our interaction ranges from international to local levels, including public institution officials and legislators, adhering to regulatory compliance and norms to participate in discussions on public policy relevant to our sector.

Business Associations and Chambers
We collaborate with groups of companies and industries associated for a common purpose, not for profit, and democratically managed by their partners or members.

Non-Governmental Organizations (NGO)
Defined as any non-profit group of voluntary citizens, independent from the public administration, whose tasks are oriented and directed by people with a common interest.

We engage with stakeholders with whom we have a shared purpose, focused on our business and sustainability objectives.

Actively engaging with them allows us to build common agendas, share best practices and promote the adoption of better standards.

Grupo Bimbo periodically conducts a materiality analysis. One of the main objectives of this exercise is to deepen relations with our strategic stakeholders, involving the different areas related to them and consulting directly with the groups themselves. It is especially focused on the perception of our strengths and opportunities, as well as our own ESG track record (environmental, social and governance topics).

We ensure that interactions with each stakeholder group are productive and conducted with the utmost integrity, rigorously adhering to our global policies: FGB-CA-01 Global Policy on Relationships with Public Sector Authorities and Institutions, FGB-CA-02 Global Policy on Relationships with Non-Governmental Organizations, and FGB-CA-03 Global Policy on Relationships with Business Associations and Chambers of Commerce.

This commitment ensures that the relationships we cultivate are not only productive, but also sustainable and responsible.

animal welfare

Since 2015, we have been deeply engaged in our operating markets, collaborating closely with partners to integrate production practices that prioritize animal welfare.

Our plans to achieve this goal have been affected by conditions beyond our control that have impacted the global context and the supply of this type of egg, such as the avian flu, the pandemic caused by COVID-19, and armed and social conflicts in various parts of the world. Since 2015, Grupo Bimbo's expansion translated into being present in 12 new countries. This has led to rethinking work plans and implementing actions that were not originally contemplated in our commitment. Despite this, in 2023 we achieved 17% progress of our global goal, surpassing the 15% we originally projected.

It is important to note that we have carried out this process with the support of our allies and various civil society organizations with expertise in the field, including **Humane Society International** (HSI), which has provided us with information and recommendations.

We are currently seeing tangible improvements in the egg market, with greater availability. We observe the evolution of our supply sources towards the production of free-range eggs.

Looking towards the future, we have mapped out our path for 2024 and 2025, anticipating more significant challenges.

We have successfully initiated this transformation through strategic negotiations and constructive dialogues, forging robust partnerships with our business associates and suppliers. We strive to communicate our vision; explain the direction we are taking and understand the market's needs.

Our approach seeks to ensure the birds' stability and quality of life, beyond our environmental ambitions. A less stressed animal not only produces better quality eggs, but also contributes to the nutritional excellence of our end products, such as cakes and breads.

By 2024, we aim to reach 46% of our goal.

success stories

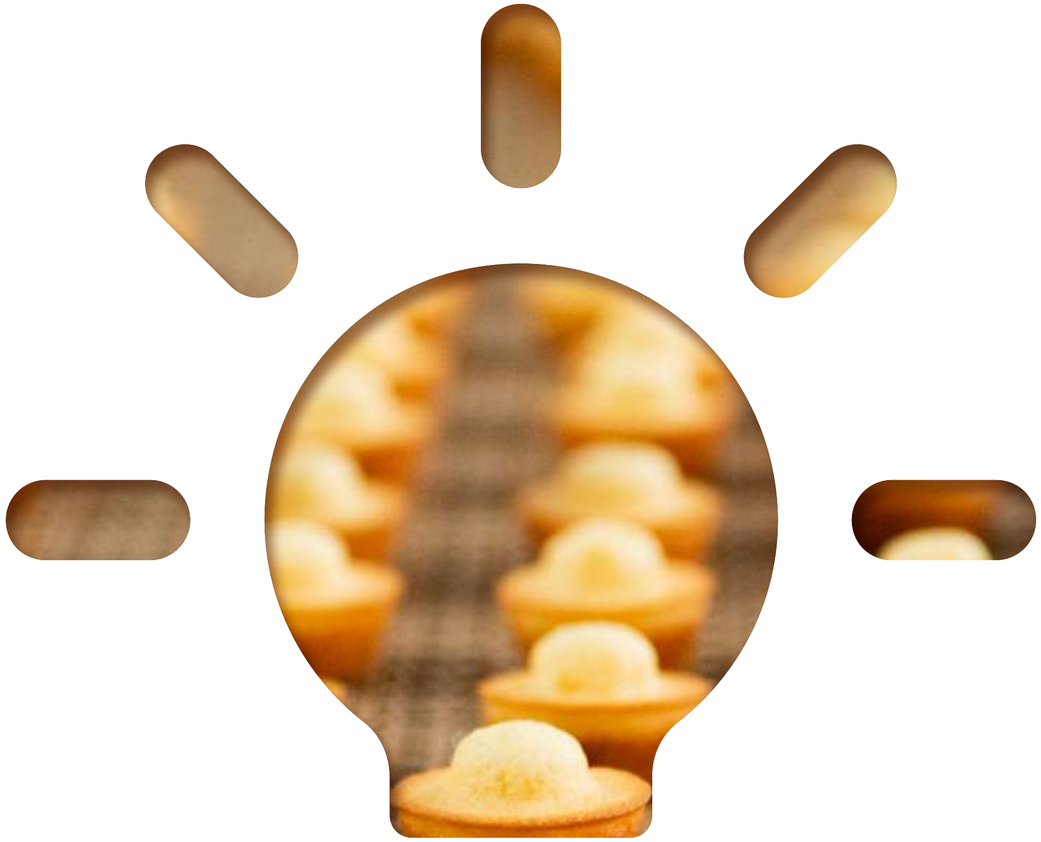
EGGS FROM 100% CAGE-FREE POULTRY

This year, Bimbo Mexico reached 28% of its gradual transition to a 100% cage-free egg supply. Growth will continue in 2024. This success represents a milestone for us, marking a significant change in the local industry. We have found new possibilities by recognizing benefits not only for animals, but also for the entire industry. This has allowed us to evolve and bring value along the chain, benefiting the animal, producer, processor, creators of the final product and, finally, the consumer.

cross-sectional areas

Promoting research into new technologies while monitoring inventions that could help transform our operations.

innovation at Grupo Bimbo



We have integrated an Innovation Ecosystem focused to create new proposals for our consumers and, at the same time, transform our value chain. We strive to strengthen the path to fulfill our strategic goals and objectives.

MAIN ACHIEVEMENTS IN 2023

We increased our innovation index by 10.3% during 2023, boosting the creation and continuous improvement of our supply.

Striving to meet the necessities and demands of our consumers with excellence and quality, a fundamental pillar that fosters the constant improvement of our products is innovation. Thanks to it, we can adapt to the market's changing expectations, which, with its dynamism and technological evolution, it generates a challenge that we are ready to address.

Our vision does not stop there. We aim to extend this transformation to all our stakeholders through our evolving value chain. We adapt our initiatives to the changing environments of the different countries in which we operate.

We have established an internal system that guides the efforts of the whole Ecosystem, focusing on the key opportunities and priority challenges that arise. We focus both internally and externally. Internally, several teams work with different approaches and scopes. The most significant team for this effort, although not the only one, is Research and Development.

Our mission

We know that it is a great challenge to prioritize innovation over daily needs and contingencies. We seek to collaborate and empower with startups to co-create the future of food. We maintain Grupo Bimbo's responsible approach to society and the environment, adding value to our strategy.

Our Corporate Governance

Bimbo Ventures is overseen by a committee called the Ventures Committee. This committee meets quarterly to evaluate and assess investments and new projects to be undertaken.

This committee is integrated by eight members of Grupo Bimbo's Steering Commitee. Their skills and extraordinary qualities allow us to successfully reach our goals and objectives as a leading company in innovation.

Its functions are:

- **Approve Investments**
  This committee studies each project to assess the contribution that would bring to Grupo Bimbo's strategy. It is defined internally, analyzing the viability of each possible investment.

- **Follow-up on results (evaluation and follow-up)**
  The sessions also inform key stakeholders about the progress of ongoing projects. We seek to identify best practices in financial growth and sustainability. Methodologies and successful strategies are replicated in those cases that need it.

In addition, there is an annual report to the committee showing the performance of the portfolio in financial and valuation terms.

Our innovation and entrepreneurship ecosystems

We are proud to participate in innovation and entrepreneurship ecosystems around the world. We consider the characteristics and needs of the economic regions where we operate to identify the best startups to add to our products:

Number of investments by country

- 14 United States
- 24 Mexico
- 1 Argentina
- 1 Chile
- 2 Colombia
- 1 Ecuador
- 1 Uruguay
- 1 Finland
- 3 France
- 1 Greece
- 1 Ireland
- 3 Israel
- 2 Luxembourg
- 2 Netherlands

Our main approaches

We seek to invest in projects that strengthen our strategy, considering three areas of focus:

Functional

Better-for-you alternatives and nutritional powerhouses

During 2023, we invested in startups focused on global health products and well-being strategy

Sustainable

Caring for people and the planet

In 2023, the portfolio companies contributed to the sustainability goal by working on projects to reduce carbon emissions or substitute animal-based ingredients

Experimental

Indulgence, immersion, and next-level engagement

The portfolio companies support improvement of processes throughout the supply chain (automation), as well as operational efficiency projects

Our verticals

We invest in small and medium-sized companies aligned with the investment verticals established by Grupo Bimbo:

online sales

We work daily to put our delicious and nutritious products in the hands of everyone.

Aligned with our vision and mission, the accessibility and affordability of our products is fundamental. Since the global COVID-19 pandemic, online sales mediums have taken a leading role for us, achieving double-digit growth for the year in this segment.

Currently, we have three digital channels that are part of our sales ecosystem:

Brick and click:

Platforms of our self-service customers.

They generate approximately **62.8%** of online sales

Delivery aggregators:

Mobile home delivery applications.

Generate approximately **26.7%** of online sales

Pure play:

Customers without physical facilities, focused solely on online sales.

Generate approximately **10.5%** of online sales

bimbo ventures

In 2017 we created “Bimbo Ventures”, a Corporate Venture Capital fund that supports Startups (small and medium-sized companies recently created) with disruptive technology and/or products that can have a positive impact on the communities where we operate.

Aligned with our vision and mission, accessibility and affordability of our products is fundamental. Since the global pandemic COVID-19, online sales channels have taken a leading role for us, achieving double-digit growth for the year in this segment.

During 2023 we made

31

TRANSACTIONS
(10 new investments in startups around the world, 2 new investment funds, and 19 secondary investments).

Leveraging our resources, we focus on cultivating partnerships with companies that add to the processes and improvement of our products through 3 areas:

Venture Client:

management of synergy projects between startups and Grupo Bimbo

Venture Capital:

analysis, assembly, and execution of investment cases, as well as relationship with investment target companies prior to being in the portfolio

Open Innovation:

management of open innovation initiatives

some success stories

Considering our Business Plan, under the concept “6 Disruptive Investments and/or Projects to support H&W and R&D”, we made seven investments focused on H&W / R&D (Crops & Bros, Olyra, Oobli, Eranova, Zero Carb Company, Healthy Brand, Cinca), as well as the launch of products under Grupo Bimbo brands with the support of three startups (Cinca, Soskende and Fruitex).

01.

1. **Product launch in collaboration with Sanissimo – Cinca**

02.

2. **Product launch in collaboration with I Feel Food – Soskende**

03.

3. **Product launch in collaboration with – Fruitex**

GB connected

GB Connected Sustainability is a global solution that allows to automatically collect and digitalize information on consumption at a general level and critical processes of electricity, gas and water in our production, distribution, and sales centers; through IIoT (Industrial Internet of Things) connection in real time. This solution gives us visibility and power to analyze and make decisions that improve the use of these resources, along with operational performance indicators.

Goal

Make operational decisions to increase the performance of sustainability indicators, based on information collected through IoT connectivity in real time.

corporate GOVERNANCE

Aware of the importance of having a solid structure, we have established robust corporate governance. This allows us to move forward with determination towards fulfilling our commitments, while ensuring that we meet our stakeholders' expectations.

We understand that effective governance is key to leading our sustainability efforts and fostering a culture of accountability and transparency throughout our operations.

BOARD
OF DIRECTORS

RISK
MANAGEMENT

GRI 2-9, 2-10, 2-11, 2-12, 2-13

corporate **governance**

BOARD OF DIRECTORS

The Board of Directors and the Top Management team are responsible for the Company's management, performing the functions established by the Law of Commercial Companies (*Ley General de Sociedades Mercantiles*) and the Securities Market Law (*Ley del Mercado de Valores*), in accordance with our corporate Bylaws.

APPOINTMENT AND SELECTION

Members of our Board of Directors are elected by our shareholders at the Annual Ordinary General Shareholders' Meeting as a rule, except when the Board of Directors appoints provisional directors in case of resignation or lack of appointment of substitutes.

The Board of Directors, appointed and ratified during the Annual Ordinary and Extraordinary Shareholders' Meeting, consists of 18 directors.

FUNCTIONS

Among its functions are establishing guidelines and the general strategy for conducting the business, as well as supervising compliance with these. It legally represents the Company and carries out acts and operations in accordance with the Bylaws.

The Board of Directors participated in the materiality study of 2022, reviews the Company's financial and operating results quarterly, and provides the corresponding approvals. It delegates to the sustainability governance structure the fulfillment of objectives and goals within the sustainability strategy, the management of social, environmental, and ethical impacts, and the preparation of reports on the performance of material issues.

BOARD MEMBERS

Daniel Javier Servitje Montull - Executive Chair
Edmundo Miguel Vallejo Venegas (I)
Guillermo Lerdo de Tejada Servitje
Jaime Antonio El Koury (I)
Jaime Chico Pardo
Javier de Pedro Espínola
Jordi Mariscal Servitje
José Ignacio Pérez Lizaur (I)
José Roberto Quiroz Mata
Juana Francisca de Chantal Llano Cadavid (I)
Lorenzo Sendra Creixell
Luis Jorba Servitje
María del Pilar Mariscal Servitje
María Eugenia Casar Pérez (I)
María Luisa Jorda Castro (I)
Mireya Jorba Aliacar
Raúl Obregón Servitje
Rogelio Miguel Rebolledo Rojas (I)

SECRETARY*

Luis Miguel Briola Clement
Secretary

Norma Isaura Castañeda Méndez
Alternate Secretary

39%
independent members

28%
female members

NOTES:
(I): Independent Director
*The Secretary and alternate Secretary are not members of the Board of Directors.
Effective organizational structure as of May 1, 2024.

GRI 2-9, 2-10, 2-11, 3-3, 405-1

INTERMEDIATE ADMINISTRATIVE BODIES

AUDIT AND CORPORATE PRACTICES COMMITTEE

President
Edmundo Miguel Vallejo Venegas

Members
Jaime Antonio El Koury
María Luisa Jorda Castro
Juana Francisca de Chantal Llano Cadavid
María Eugenia Casar Pérez

*100% of this committee's members are independent.

EVALUATION, COMPENSATION, AND NOMINATIONS COMMITTEE

President
Luis Jorba Servitje

Members
José Ignacio Pérez Lizaur
Edmundo Miguel Vallejo Venegas
Javier de Pedro Espínola
María Luisa Jorda Castro

FINANCE AND PLANNING COMMITTEE

President
Rogelio Miguel Rebolledo Rojas

Members
Andrés Obregón Servitje
Jaime Chico Pardo
Javier de Pedro Espínola
Luis Jorba Servitje
José Ignacio Pérez Lizaur
María del Pilar Mariscal Servitje
Daniel Javier Servitje Montull

STEERING COMMITTEE

CEO, Grupo Bimbo
Rafael Pamias Romero

CFO, Grupo Bimbo
Diego Gaxiola Cuevas

Chief People Officer, Grupo Bimbo
Juan Muldoon Barrena

Executive VP, Grupo Bimbo
Raúl Ignacio Obregón Servitje

Executive VP, Grupo Bimbo
Fernando Lerdo de Tejada Servitje

Executive VP, Grupo Bimbo
Mark Bendix

President, Bimbo México
José Manuel González Guzmán

President, Bimbo Bakeries USA
Tony Gavin

President, Barcel Global
Alejandro Rodríguez Bas

Chief Supply Chain Officer, Grupo Bimbo
Jorge Guillermo Zárate Lupercio

Organizational structure effective May 1st, 2024.

To learn more about the **bylaws, powers, resolutions, and seniority of the board and its members**, click here.

GRI 2-9, 2-11

BOARD OF DIRECTORS

Daniel Javier Servitje Montull
Mr. Servitje Montull is a member of the Board of Directors of Starbucks Corporation, Instituto Mexicano para la Competitividad, A.C., The Global Consumer Goods Forum, The Latin America Conservation Council (The Nature Conservancy), and Aura Solar.

Edmundo Miguel Vallejo Venegas
Mr. Vallejo Venegas is a business academic, counselor, lecturer, author, social promoter, and former President and CEO of GE Latin America.

Guillermo Lerdo de Tejada Servitje
Mr. Guillermo Lerdo de Tejada Servitje is Managing Partner of a firm specializing in wealth advisory and investments. He has extensive professional experience in the governmental sector, having held various executive and legislative responsibilities in Mexico.

Jaime Antonio El Koury
Mr. Jaime A. El Koury is the Legal Director of the Financial Oversight and Management Board for Puerto Rico, an official body created by the United States Congress. He serves as Alternate Director on the Board of Fomento Económico Mexicano, S.A.B. de C.V. and is a member of its Corporate Practices Committee. Additionally, Mr. El Koury serves as an Alternate Director and member of the Corporate Practices Committee on the Board of Coca-Cola FEMSA, S.A.B. de C.V. Previously, he was a partner at Cleary Gottlieb Steen & Hamilton LLP.

Jaime Chico Pardo
Mr. Chico Pardo is a member of the Advisory Board of BDT & MSD Partners. He previously served on the boards of Honeywell Intl., AT&T and American Funds Mutual Funds. He has also been a member of the University of Chicago Booth's Council since 2012.

He previously served as chairman of the board of Telmex and IDEAL.

Javier de Pedro Espínola
Over the past 30 years, he has served as a board member and shareholder in several private companies in sectors such as manufacturing and marketing of school supplies, mattresses, cushions, and real estate. Additionally, he serves as a counselor in charitable institutions including the José T Mata Foundation.

Jordi Mariscal Servitje
Mr. Mariscal Servitje is the founder of the production company La Casa de Cine. He has also worked as Director and Producer of films and documentaries.

José Ignacio Pérez Lizaur
Mr. Pérez Lizaur was until 2016 a member of the Board of Newell Brands in the USA (member of the Audit Committee and the Compensation Committee) and of Central American Bottling Corporation (CBC) in Central America and the Caribbean (Chairman of the Audit Committee). He was also a member of the Board of Walmex.

He currently devotes part of his time to various forms of participation in civil society.

José Roberto Quiroz Mata
Mr. Quiroz Mata has over 10 years of experience in brand development, marketing, and social media account management. He currently serves as Director of Property Management at Vander Getaways.

Juana Francisca de Chantal Llano Cadavid
Mrs. Llano Cadavid is a Board Director at Grupo Argos. Additionally, she has a long-standing career at Suramericana, where she has held various positions, and since 2020 she has been serving as President.

Lorenzo Sendra Creixell

Mr. Lorenzo Sendra held various positions within Grupo Bimbo for over 17 years, working in both the United States and South America. Currently, he has been serving as President for over 8 years at Accesorios DESA, a company selling accessories and spare parts for motorcycles, as well as Motoacces and Fussen, businesses selling motorcycles of the Suzuki and BMW brands..

Luis Jorba Servitje

Mr. Jorba Servitje is the CEO of Frialsa Frigoríficos, leaders in providing cold chain logistics services, with presence in Mexico and Peru. Mr. Jorba Servitje is a cousin of Daniel Javier Servitje Montull.

María del Pilar Mariscal Servitje

La licenciada Mariscal Servitje cuenta con una larga trayectoria en el sector empresarial y organizaciones de la sociedad civil. Actualmente desempeña el cargo de Dirección General de la Fundación León XIII, IAP.

María Eugenia Casar Pérez

Ms. Mariscal Servitje has a long career in the business sector and civil society organizations. Currently, she holds the position of CEO at the León XIII Foundation, IAP.

Ms. Casar worked for over 10 years at the United Nations (UN), where she held various positions related to the organization's budget and finances, including CFO of the United Nations, Representative of the Secretary-General for Investments of the United Nations Pension Fund, Deputy Secretary-General of the United Nations Development Programme, and Deputy Executive Director of the World Food Programme, based in Rome.

In Mexico, Ms. Casar has served as Executive Director of the Mexican Agency for International Development Cooperation (AMEXCID), Treasurer of the Federation, Chief Financial Officer of Banco del Ahorro Nacional y Servicios Financieros (BANSEFI), and in other positions within the Ministry of Finance and Public Credit and the National Banking and Securities Commission (CNBV).

She holds a Bachelor's degree in Public Accounting and a Master's degree in Business Administration, both from ITAM, where she also taught and served as Director of the Academic Division of Administration and Accounting. She is the author of several publications related to development financing.

Maria Luisa Jorda Castro

Ms. Jorda Castro is a member of the Board of Merlin Properties, serving as Chair of the Appointments and Remuneration Committee, and as a member of the Audit Committee. She is also a member of the Board of BANKINTER Group (Financial Institution), serving as Chair of the Risk and Compliance Committee, as well as a member of the Audit Committee, the Executive Committee, and the Sustainability and Nominations Committee (having previously served as Chair of the Audit Committee). Additionally, she is the Chair of the Technical Advisory Committee of the Institute of Internal Auditors of Spain, and a professor in the Board Program at ESADE Business School.

She has served as a board member and member of the Audit and Control Committee of Tubos Reunidos, S.A., a board member of the European Finance Bank (Unicaja Group) and Chair of its Audit Committee, and as a board member of Jazztel and Chair of the Audit Committee. She has also served as a Director of Orange Spain and member of its Audit Committee, and as a member of the Governing Board and member of the Audit Committee of the Institute of Directors and Administrators (ICA).

Ms. Jorda Castro has held various executive positions in her over 30-year career, belonging to various Management, Investment, and Audit Committees, including: Chief Financial Officer of the Deoleo Group, Director of Internal Audit and Corporate Governance of Metrovacesa, Chief Financial and Investment Officer of the ONCE Business Corporation, as well as other positions in the Real Estate and Food sectors.

Mireya Jorba Aliacar

Ms. Jorba has worked in the Strategic Planning Department of Grupo Financiero Interacciones, as well as in Grupo Bimbo's Global Treasury Department. She holds a Bachelor's Degree in Business Administration and Economics from Southern Methodist University, and a Diploma in Corporate Finance from ITAM.

Raúl Ignacio Obregón Servitje

Mr. Obregón Servitje has served as Global Chief Information and Transformation Officer since April 2017. He joined Grupo Bimbo in 2002 and, since then, he has held the positions of General Manager of Bimbo Latin Sur, Corporate Director of Sales, Director of Major Clients of Bimbo Mexico, General Manager of Bimbo Peru and has also worked at Bimbo Bakeries USA. Prior to joining Bimbo, Mr. Obregón Servitje worked at Citibank Mexico. Mr. Obregón Servitje holds a degree in Industrial Engineering from Universidad Iberoamericana, an MBA from Boston University, and specialized courses at Harvard Business School.

Rogelio Miguel Rebolledo Rojas

Mr. Rebolledo Rojas holds a degree in Chemical Engineering from UNAM and an MBA from the University of Iowa. Previously, he served on the Pepsi Bottling Group, Kellogg, Clorox, Best Buy, and Applebee's Boards in the United States, as well as in the Boards of Alfa and Jose Cuervo International in Mexico. For 30 years he held various key positions at PepsiCo, mainly in the international food division, being responsible for its expansion in Latin America, Asia, and Australia, until reaching the position of CEO of Frito Lay International. Upon his retirement from Frito Lay International in 2000, he held the position of CEO and President of PBG in Mexico until 2004.

Luis Miguel Briola Clément

Mr. Briola Clément joined Grupo Bimbo in 2004 and has served as its General Counsel and Secretary of the Board of since April 2005. Mr. Briola holds an Attorney degree from Escuela Libre de Derecho and a Master's degree from Columbia University.

Norma Isaura Castañeda Méndez

Ms. Castañeda Méndez joined Grupo Bimbo in 2007, acting as General Counsel. She holds a Law degree from Universidad Panamericana, a specialization certificate in Administrative Law from the same university and a Master of Laws from Duke University School of Law.

In the ordinary course of its business, the Company has conducted transactions with some of the companies where members of its Board of Directors work or have worked as relevant executives. These transactions have been conducted in market terms, and the Company does not consider any of them to be significant.

COLLECTIVE KNOWLEDGE AND SKILLS OF BOARD MEMBERS ON ESG ISSUES

It's important that our board members have knowledge and experience in sustainability, operations, and financial matters, as this enables them to make strategic and informed decisions that promote the resilience and effectiveness of the company, thereby contributing to long-term success and value for shareholders.

GRUPO BIMBO BOARD MEMBERS COMPETENCY MATRIX

General Information			Daniel Servitje	Edmundo Vallejo	Guillermo Lerdo de Tejada	Jaime El Koury	Jaime Chico	Javier De Pedro	Jordi Mariscal	José I. Pérez	José R. Quiroz	Juana de Chantal	Lorenzo Sendra	Luis Jorba	M. Pilar Mariscal	M. Eugenia Casar	M. Luisa Jorda	Mireya Jorba	Raúl Obregón	Rogelio Rebolledo
Gender	Men **72%**	Women **28%**	M	M	M	M	M	M	M	M	M	W	M	M	W	W	W	W	M	M
Nationality	🇲🇽 **83%**	Other **17%**	🇲🇽	🇲🇽	🇲🇽	🇺🇸	🇲🇽	🇲🇽	🇲🇽	🇲🇽	🇲🇽	🇨🇴	🇲🇽	🇲🇽	🇲🇽	🇲🇽	🇪🇸	🇲🇽	🇲🇽	🇲🇽
Independence	Yes **39%**	No **61%**	No	Yes	No	Yes	No	No	No	Yes	No	Yes	No	No	No	Yes	Yes	No	No	Yes
Age	58 years on average		65	66	39	70	74	60	52	72	35	44	50	65	54	64	60	43	51	79
Years on the Board	7 years on average		30	12	0	7	10	13	0	13	0	0	0	17	2	0	8	0	0	6

COMPETENCY MATRIX

BOARD MEMBERS

COLLECTIVE EXPERIENCE

GRUPO BIMBO'S COMMITTEES (P: PRESIDENT)

Audit and Corporate Practices	Edmundo Vallejo (P)	Jaime El Koury	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda		28%
Evaluation, Compensation, and Nominations	Edmundo Vallejo	Javier de Pedro	José I. Pérez	Luis Jorba (P)	M. Luisa Jorda		28%
Finance and Planning	Andrés Obregón Rogelio Rebolledo (P)	Daniel Servitje	Jaime Chico	Javier de Pedro	José I. Pérez	Luis Jorba	M. Pilar Mariscal	44%

OTHER BOARDS

Experience in other boards of publicly listed companies	Daniel Servitje Rogelio Rebolledo	Jaime El Koury	Jaime Chico	José I. Pérez	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda	83%
Currently sitting in another board of a publicly listed company	Daniel Servitje	Jaime El Koury	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda			72%

MANAGEMENT EXPERIENCE

C-suite Business Management in a global company / Corporate	Daniel Servitje M. Luisa Jorda	Edmundo Vallejo Raúl Obregón	Jaime Chico Rogelio Rebolledo	José I. Pérez	Juana de Chantal	Luis Jorba	M. Eugenia Casar	56%
C-suite Business Management in a venture	Javier de Pedro	José I. Pérez	José R. Quiroz	Lorenzo Sendra				22%
Managing director in a global company / Corporate	Javier de Pedro	José I. Pérez	Lorenzo Sendra	M. Eugenia Casar	M. Luisa Jorda	Raúl Obregón		33%
Managing Director in a venture	Javier de Pedro	Jordi Mariscal	José R. Quiroz	Lorenzo Sendra	M. Pilar Mariscal			28%
Senior positions in Government and Public Affairs	Guillermo Lerdo	Jaime El Koury	M. Eugenia Casar					17%

COMPETENCY MATRIX	BOARD MEMBERS							COLLECTIVE EXPERIENCE
INDUSTRY EXPERIENCE OR KNOWLEDGE								
Food and Beverages	Daniel Servitje Raúl Obregón	Javier de Pedro Rogelio Rebolledo	José R. Quiroz	Lorenzo Sendra	Luis Jorba	M. Eugenia Casar	M. Luisa Jorda	50%
Technology/Digital	Jaime Chico	José R. Quiroz	M. Luisa Jorda	Raúl Obregón				22%
Banking and Finance	Jaime Chico	Javier de Pedro	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda	Raúl Obregón		33%
Energy	Jaime Chico							6%
Retail	Javier de Pedro	José I. Pérez	José R. Quiroz	M. Eugenia Casar	M. Luisa Jorda			28%
Agroindustrial	Luis Jorba	M. Luisa Jorda						11%
Others	Edmundo Vallejo M. Luisa Jorda	Guillermo Lerdo	Javier de Pedro	Jordi Mariscal	Juana de Chantal	M. Pilar Mariscal	M. Eugenia Casar	44%
INTERNATIONAL EXPERIENCE								
North America	Daniel Servitje Lorenzo Sendra	Edmundo Vallejo M. Eugenia Casar	Jaime El Koury M. Luisa Jorda	Jaime Chico Raúl Obregón	Javier de Pedro Rogelio Rebolledo	José I. Pérez	José R. Quiroz	67%
Central / South America	Daniel Servitje M. Pilar Mariscal	Edmundo Vallejo M. Eugenia Casar	Jaime El Koury M. Luisa Jorda	Jaime Chico Raúl Obregón	José I. Pérez Rogelio Rebolledo	Juana de Chantal	Lorenzo Sendra	67%
Europe	Daniel Servitje	Jaime Chico	Jordi Mariscal	M. Luisa Jorda	Rogelio Rebolledo			28%
Asia	Daniel Servitje	José I. Pérez	M. Eugenia Casar	M. Luisa Jorda				22%
TECHNICAL SKILLS OR EXPERIENCE								
Finance	Jaime el Koury	Jaime Chico	Javier de Pedro	José R. Quiroz	M. Eugenia Casar	M. Luisa Jorda	Mireya Jorba	39%
Legal (legal / fiscal)	Guillermo Lerdo	Jaime El Koury	M. Luisa Jorda					17%
Strategic Planning	Daniel Servitje Luis Jorba	Guillermo Lerdo M. Eugenia Casar	Jaime Chico M. Luisa Jorda	Javier de Pedro Mireya Jorba	José R. Quiroz Raúl Obregón	Juana de Chantal Rogelio Rebolledo	Lorenzo Sendra	72%
Brand Development / Marketing and Sales	Daniel Servitje Rogelio Rebolledo	Edmundo Vallejo	Javier de Pedro	José I. Pérez	José R. Quiroz	Juana de Chantal	Lorenzo Sendra	44%

COMPETENCY MATRIX	BOARD MEMBERS							COLLECTIVE EXPERIENCE
TECHNICAL SKILLS OR EXPERIENCE								
Information Technologies and Cybersecurity	M. Luisa Jorda	Raúl Obregón						11%
Audit, Risk Management and/or Internal Control	Javier de Pedro	Juana de Chantal	M. Eugenia Casar	M. Luisa Jorda				22%
Human Resources and/or Compensation	Javier de Pedro	José I. Pérez	José R. Quiroz	Luis Jorba	M. Eugenia Casar	M. Luisa Jorda		33%
Industrial, Operations, Logistics, and/or Manufacturing	Jaime Chico	Javier de Pedro	José I. Pérez	José R. Quiroz	Luis Jorba	Raúl Obregón	Rogelio Rebolledo	39%
Operaciones Corporativas (Fusiones y Adquisiciones)	Guillermo Lerdo	Jaime El Koury	Jaime Chico	Javier de Pedro	José R. Quiroz	Luis Jorba	M. Luisa Jorda	39%
Others	Edmundo Vallejo	Jordi Mariscal						11%
CORPORATE GOVERNANCE								
Development of Strategies, Plans, and Policies	Daniel Servitje Juana de Chantal	Edmundo Vallejo Lorenzo Sendra	Guillermo Lerdo Luis Jorba	Jaime El Koury M. Luisa Jorda	Jaime Chico Raúl Obregón	Javier de Pedro Rogelio Rebolledo	José I. Pérez	72%
Development of Codes of Ethics and Standards of Coduct	Guillermo Lerdo	Jaime El Koury	Javier de Pedro	José I. Pérez	José R. Quiroz	M. Luisa Jorda	Raúl Obregón	39%
Supervision of Senior Management in the fulfillment of their duties	Daniel Servitje Lorenzo Sendra	Edmundo Vallejo M. Luisa Jorda	Jaime El Koury Rogelio Rebolledo	Jaime Chico	Javier de Pedro	José I. Pérez	José R. Quiroz	56%
Experience in Organizational Culture and Talent topics	Daniel Servitje	Edmundo Vallejo	Jaime el Koury	José I. Pérez	José R. Quiroz	M. Eugenia Casar		33%
Experience in the Control and Management of Corporate Governance Risks	Guillermo Lerdo	Jaime el Koury	Jaime Chico	Javier de Pedro	José I. Pérez	M. Luisa Jorda	Rogelio Rebolledo	39%
Monitoring and Periodic Review of Results	Daniel Servitje M. Eugenia Casar	Jaime el Koury M. Luisa Jorda	Javier de Pedro Rogelio Rebolledo	José I. Pérez	José R. Quiroz	Lorenzo Sendra	Luis Jorba	56%
Experience in Companies that are Traded, Regulated, and with Corporate Governance	Daniel Servitje	Jaime el Koury	Jaime Chico	Javier de Pedro	José I. Pérez	Juana de Chantal	M. Luisa Jorda	39%

COMPETENCY MATRIX	BOARD MEMBERS							COLLECTIVE EXPERIENCE
CORPORATE COMPLIANCE								
Anticorruption	Jaime El Koury	M. Luisa Jorda	Rogelio Rebolledo					17%
Money Laundering	Javier de Pedro	M. Luisa Jorda						11%
Data Protection	Jaime Chico	Javier de Pedro	M. Luisa Jorda					17%
Regulatory Compliance	Guillermo Lerdo Rogelio Rebolledo	Jaime El Koury	Jaime Chico	Javier de Pedro	M. Eugenia Casar	M. Luisa Jorda	Raúl Obregón	44%
ENVIRONMENTAL / SUSTAINABLE								
Climate Change	Daniel Servitje	Jordi Mariscal	José R. Quiroz	Juana de Chantal	M. Luisa Jorda	Raúl Obregón		33%
Renewable Energy	Daniel Servitje	Jaime Chico	Jordi Mariscal	Luis Jorba				22%
Agricultural/Food Security	Daniel Servitje	José I. Pérez	Luis Jorba	Raúl Obregón	Rogelio Rebolledo			28%
Circular Economy, Waste Reduction, Sustainable Packaging	Jordi Mariscal	José I. Pérez						11%
Water Consumption Reduction	Jordi Mariscal	Luis Jorba						11%
Biodiversity	Daniel Servitje	Jordi Mariscal						11%
Sustainable Sourcing of Raw Materials	Javier de Pedro	José I. Pérez	Rogelio Rebolledo					17%
International Standards (eg. GRI, environmental)	M. Eugenia Casar	M. Luisa Jorda	Rogelio Rebolledo					17%
Nutritional Standards and Policies	Jaime Chico	Rogelio Rebolledo						11%
SOCIAL								
Human Rights and Labor Standards	Guillermo Lerdo	Javier de Pedro	Luis Jorba					17%
Diversity, Equity, and Belonging	Jaime Chico M. Luisa Jorda	Javier de Pedro Raúl Obregón	José I. Pérez Rogelio Rebolledo	José R. Quiroz	Juana de Chantal	M. Pilar Mariscal	M. Eugenia Casar	56%
Social Impact or Volunteering Projects	Edmundo Vallejo	Guillermo Lerdo	Jaime Chico	José I. Pérez	Juana de Chantal	M. Eugenia Casar		33%
Occupational Safety and Well-being	Daniel Servitje	Javier de Pedro	José R. Quiroz	M. Luisa Jorda	Rogelio Rebolledo			28%
Talent Management	Daniel Servitje M. Luisa Jorda	Edmundo Vallejo Raúl Obregón	Javier de Pedro Rogelio Rebolledo	José I. Pérez	José R. Quiroz	Juana de Chantal	Luis Jorba	56%
Compensation	Daniel Servitje	Javier de Pedro	José I. Pérez	Luis Jorba	M. Luisa Jorda	Rogelio Rebolledo		33%

GRI 2-23, 2-24

monitoring and management of environmental impacts

Our dedication to vigilance and adaptability in the face of a changing environment allows us not only to protect our operations and reputation, but also to progress towards our long-term sustainability and growth objectives.

We understand the critical importance of closely monitoring the economic, political, and social environment in which we work, assessing how these factors can affect both our operations and our reputation.

Global Corporate Affairs is responsible for monitoring our environment. We have a direct escalation process to the Steering Committee in which we communicate critical concerns, as well as proposed actions for decision-making to avoid or minimize the impact of identified risks.

The nature of critical concerns derives from regulatory issues, legislative initiatives, the political, social, and economic environment and juncture, as well as any other disruptive events, such as natural disasters. In 2023, 56 relevant issues were communicated to the company's Steering Committee.

To manage these concerns and risks, the Global Corporate Affairs Department has various tools at its disposal:

New Regulations Report:
A report in which Organizations monitor and communicate the status and outlook of regulatory issues in the different countries where we operate, assigning them a risk level based on the criteria established by the Global Internal Control Management.

Global Crisis Management Policy and Global Crisis Management Handbook
They establish the protocols for action in the event of a crisis in accordance with the best international standards.

Risk maps developed at a Company level
Mechanisms for monitoring, analysis, and coordination of actions to address these issues.

This comprehensive strategy strengthens our ability to anticipate and effectively manage challenges, ensuring that we continue to operate efficiently, maintaining our leadership in the global market.

stakeholder engagement

Through the Connection Center we are in constant contact with our customers and consumers to better understand their behaviors. It is our main source of data intelligence to have a better understanding of their preferences and provide them with the best option.

Stakeholders	Main concerns	Communication channels	Frequency
Directors and Associates	Healthy work environment and growth opportunities	Internal meetings, intranet, website.	Recurring, annual
Board members	Financial performance and transparency in decision making	Board meetings, website.	Recurring, quarterly, annual
Investors	Transparency in financial information	Media coverage, quarterly reports, annual reports, press releases.	Recurring, quarterly, annual
Suppliers	Fair trade relations	Supplier portals, face-to-face and online meetings, corporate/plant tours.	Recurring, monthly, annual
Government	Compliance with laws and contribution to the community	Non-financial reports that include regulatory compliance.	Variable, when required
Customers	Product quality and safety. Fair prices.	Website, social networks, customer service platform, satisfaction surveys.	Recurring
Distributors	Inventory availability and efficient logistics	Meetings and visits, online platform for distributors.	Recurring, monthly, annual
NGOs	Collaboration in community and development projects	Website, social networks, local events, and community projects.	Variable, when required
Media	Access and transparency of relevant and updated information	Social networks, website, press releases and news.	Recurring

GRI 2-12, 2-13

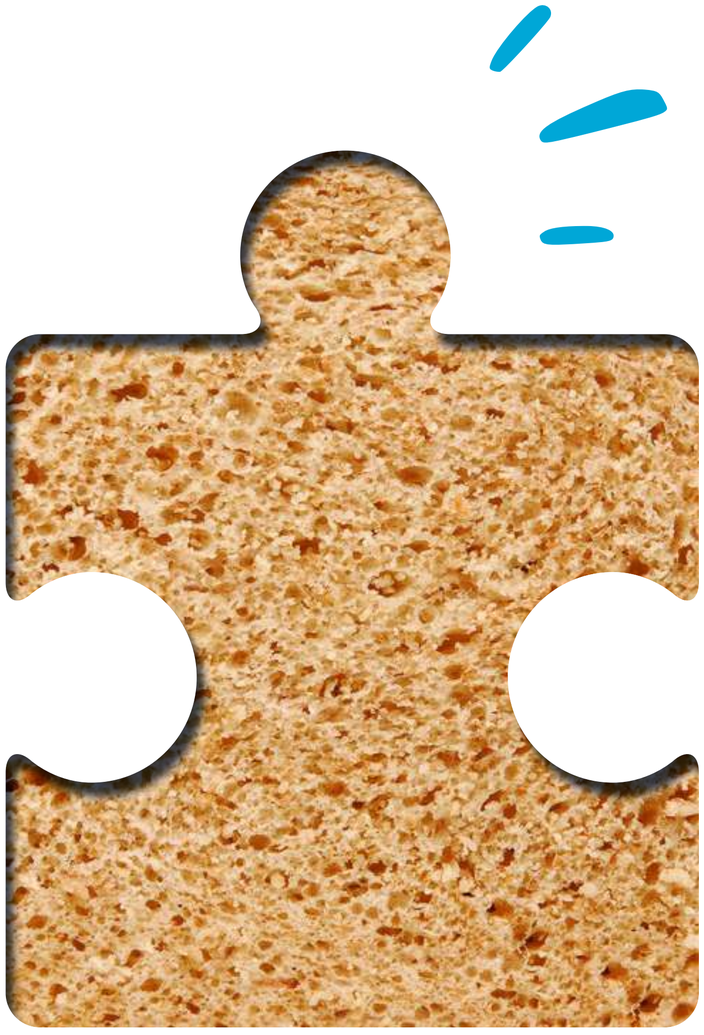
risk **management**

At Grupo Bimbo we understand the importance of managing risks efficiently and proactively. We recognize that effective risk management is fundamental to the sustainable success of our company, the protection of the environment and the well-being of the communities in which we operate.

We have established a global Risk Committee dedicated to risk management.

The Risk Committee meets twice a year to conduct a risk identification and, where appropriate, updating exercise. These sessions are crucial to maintain an updated view of the risks we face, as well as to ensure effective risk management at Grupo Bimbo.

This process allows us to proactively identify, evaluate and mitigate risks, ensuring the resilience, and sustainability of our operations.



RISK MANAGEMENT PROCESS

Effectively addressing and managing risk is fundamental to the success and sustainability of our business. Our commitment to this is reflected in our risk management process, which is based on the Enterprise Risk Management (COSO ERM) methodology. This methodology addresses the risks inherent to our processes, including their identification, assessment, treatment, monitoring, communication, and reporting.

Grupo Bimbo's Risk Committee is responsible for managing both strategic and operational risks in all our business units.

Our process focuses on the following key steps:

Risk Identification
We conduct a continuous and comprehensive analysis to identify potential risks in several key areas. We cover everything from day-to-day operations, to external factors that may influence our business.

Probability, Impact, and Control Management Analysis
After identifying risks, we evaluate not only their probability of occurrence and potential impact, but also the level of control over each one. This helps us prioritize each risk according to its relevance to focus efforts and resources more efficiently.

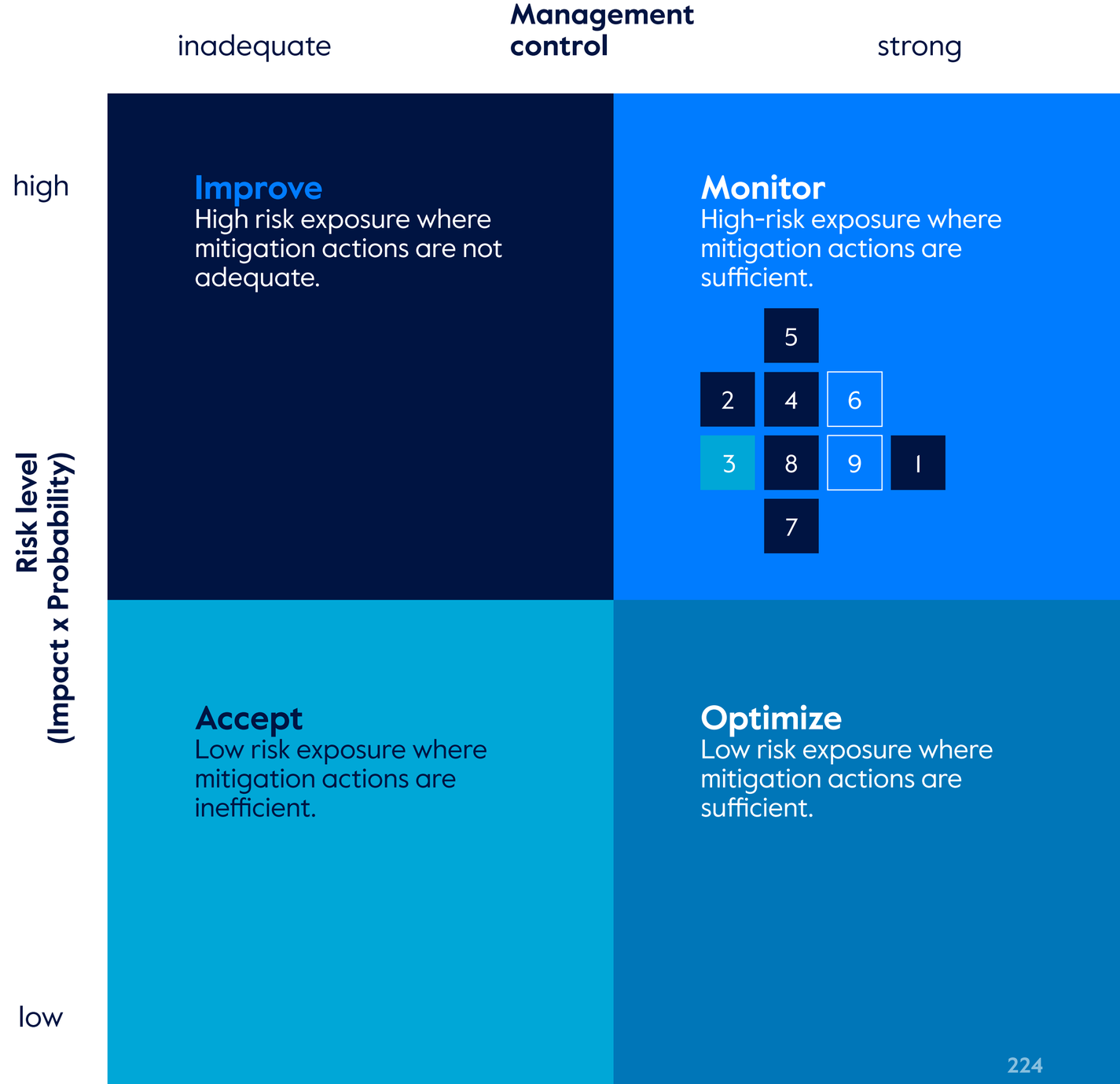
Mitigation Strategies Design
Based on the previous analysis, we developed strategies to minimize or eliminate risks. These strategies are the result of collaborative work between different departments and experts, ensuring a comprehensive and effective response.

Implementation and Monitoring
We then implement the mitigation strategies, constantly monitoring their results. This continuous monitoring allows us to adjust our tactics and respond flexibly to changes in the environment.

Reporting and Communication
The Global Internal Control and Risk Management Division reports to the company's management at least quarterly on the status of business risk management.

GLOBAL RISKS 2023

2023 was marked by a complex environment, marked by global political and economic conflicts. At Grupo Bimbo, we recognize the importance of facing these challenges strategically. Following our rigorous risk management process, we identified the key risks for this year.



Rate of occurrence
Slow
Medium
Fast

Management Control

1. Geopolitical conflicts/problems with raw materials
2. Macroeconomic Environment in Mexico and LATAM
3. Legal issues
4. Food safety
5. Cybersecurity
6. Talent shortage, attraction, and competition
7. Diversity and Inclusion
8. Fire incidents
9. Serious Injuries

MANAGEMENT AND MITIGATION

Acknowledging the importance of a proactive response, we established specific strategies for each risk, thus ensuring the resilience and stability of our operations.

Geopolitical conflicts / Problems with the supply of raw materials

At Grupo Bimbo, we are aware of the importance of being prepared to face disruptions in our supply chain. Therefore, we strengthen our relationships with suppliers and emphasize the importance of maintaining open communication to guarantee the continuity of our operations.

Cybersecurity

Cybersecurity is a major concern today. To align ourselves with best practices in this regard, we established a corporate governance model to manage and report on cybersecurity levels. In addition, we use specific tools with the aim of protecting data, preserving stakeholder trust, and complying with relevant regulations.

Macroeconomic environment in Mexico and LATAM

Geo-economic, political, and social factors are of great interest to us, aligned with our commitment to nourish a better world. Understanding the risks presented by the volatility of macroeconomic variables, we have developed coverage strategies with the purpose of guaranteeing our business plan' stability.

Fire incidents

Due to the nature of our operations, we are exposed to possible fire outbreaks. To address this situation, we conduct training and education for our associates. We also perform on-site audits and risk assessments at high-impact facilities to ensure adequate fire safety and preparedness.

Food safety

The quality of our products is of utmost importance to us. To achieve the food safety standards we strive for, we implement, review, and continuously monitor global standards and industry best practices.

Serious injuries

Our associates' safety is of the utmost importance. For this reason, we constantly reinforce safety observations and conduct safety inspections at our workplaces. Risk analysis is a routine part of our work to ensure a safe working environment.

Legal issues

We are committed to complying with laws and regulations in each of the locations where we have a presence. For this reason, we have designed mechanisms to monitor compliance with local, national, and global laws. This practice has allowed us to take timely action to avoid sanctions and, above all, to participate and contribute in a meaningful way to society.

Diversity and Inclusion

We are convinced that diversity enriches us, and inclusion strengthens us. We work constantly to promote a culture of diversity and inclusion to be a company that benefits from diversity and does not lose competitiveness in the labor market.

Talent shortage, attraction, and competition

We are aware that talent is fundamental to achieving our goals. For this reason, we have developed training and development strategies for our team, thus promoting integral growth for each of our associates.

RISK MANAGEMENT ACHIEVEMENTS

We have made significant progress this year, proof of the effectiveness of our risk management approach.

INNOVATION IN REGULATION AND PREVENTION

In close collaboration with Corporate Affairs, we developed and strengthened the monitoring of new regulations. This effort was key to preventing significant risks, avoiding sanctions, and potential facility closures.

EFFECTIVE REGULATORY RISK REDUCTION

We achieved a reduction in the risks associated with regulatory compliance. This progress is the result of meticulous management and continuous adaptation to changes in the regulatory environment, thus ensuring compliance and efficiency in our operations.

IMPROVEMENTS IN FIRE SAFETY

Thanks to the implementation of an advanced methodology, we achieved a significant reduction in the occurrence of incipient fires.

IMPROVEMENTS IN FOOD SAFETY MANAGEMENT

We have made significant progress in optimizing conditions and practices to ensure the quality of our food.

GRI 201-2, 2-12, 2-13

Task Force on Climate-Related Financial Disclosures (TCFD)

CLIMATE RISKS

At Grupo Bimbo we are fully committed to identifying and managing the risks and opportunities related to climate change. We are aware of its impact on both the planet and the communities where we operate. Our approach seeks to strengthen resilience and ensure responsible growth, always aligning ourselves with our stakeholders' interests.

In accordance with the guidelines of the Task Force on Climate-related Financial Disclosures (TCFD), we conducted a detailed analysis to assess the financial impact of these risks and opportunities in the short, medium, and long term. This initiative underscores our commitment to efficient and transparent environmental management.

Identified Climate Risks

Exposure to Transition Risks

We have identified that one of the key climate risks is the increase in operating costs due to carbon pricing. These taxes, expected to rise in the future as part of global measures to reduce greenhouse gas emissions, could entail additional expenses for our company.

Exposure to Physical Risks

We have determined that water stress and extreme temperature rise are significant physical risks that could affect our operations in the future. These challenges add to others, such as wildfires and potential coastal flooding, which also present a risk to our facilities in various regions.

For a comprehensive and detailed assessment of climate risks, Grupo Bimbo collaborates with a specialized external provider. This analysis is performed following TCFD guidelines and has allowed us to identify transitional and physical risks that could impact our operations.

Strategy

We continue to advance our mission of transversally integrating business risk management with climate risk management. We recognize the close relationship between them and understand that their integration into the core of our strategy is fundamental. This synergy will allow us to strengthen our resilience, anticipate challenges and capitalize on opportunities in an ever-changing world.

Actively driving and leading the transition to a low-carbon economy will not only reduce our risks, but also open up valuable business opportunities and contribute to the long-term sustainability of our company. This approach also aligns with our commitment to Nourish a Better World, demonstrating our conviction to responsible and sustainable business management.

To learn in detail how we manage these risks, as well as the metrics and targets we have established for each of them, please refer to the material topics in the "Baked for Nature" chapter.

sustainability governance at Grupo Bimbo

GLOBAL GOVERNANCE

Coordination mechanisms, meetings, and working groups:

- Executive Sustainability Committee
- Global Sustainability Committee
- Global Working Groups **(Baked For You, Baked For Life, and Baked For Nature)**
- One-on-One Sessions (organizational Leaders / Global Initiative Leader)
- External Advisory Board

LOCAL GOVERNANCE

Regional committees are responsible for submitting periodic reports to the global sustainability team, which include:

- Detailed summary of regional performance against targets.
- Identification of targets where the region is ahead and behind schedule, including the reasons and action plan to achieve progress
- Identification of specific regional challenges and risks
- Additional projects beyond the sustainability strategy, with the goal of sharing case studies and success stories with other regions.
- Any additional human or financial resources needed to achieve the objectives.

For more details on the sustainability structure, click here

GRI 3-1

materiality study

At Grupo Bimbo, we periodically update our materiality analysis with a triple purpose:

01.

Deepen the relationship with our strategic stakeholders through direct consultations on their perception of the strengths and opportunities of the relationship, as well as progress in ESG (Environmental, Social and Governance) aspects. Permanent communication is established through different channels to keep our stakeholders informed about our performance.

02.

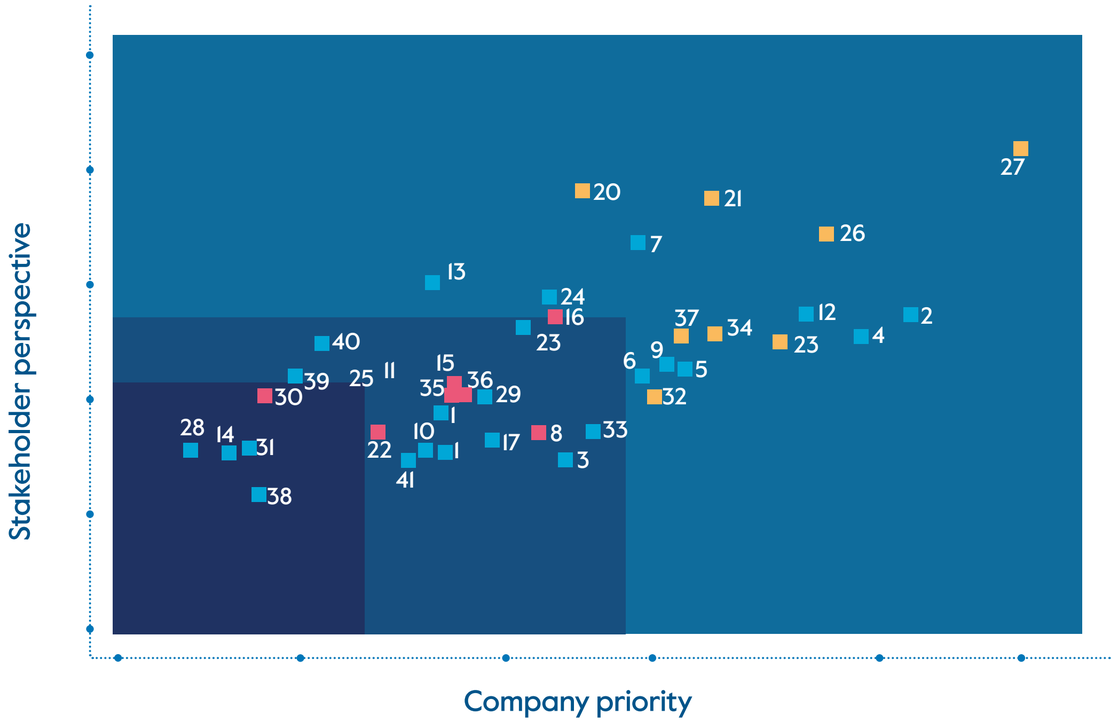
Identify the issues with the greatest environmental, social, and financial impact.

03.

Define the main focuses in the sustainability strategy launched in 2021 and update it regarding the expectations and needs of our stakeholders.

global integrated materiality matrix

As a result of this exercise, 16 main material topics were identified, of which 9 have double materiality.



Socio-environmental Materiality

- Material topics
- Potential material topics (short-term)
- Non-material topics

Financial Materiality

- Financial and impact material topics
- VALUE REPORTING FOUNDATION SASB STANDARDS

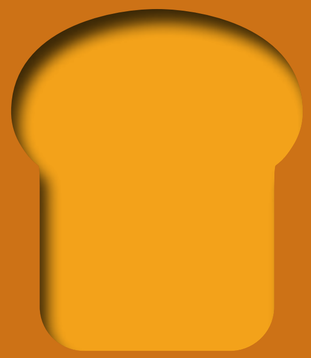
Materiality study conducted by Valora Consultores. Approved by the CSO and Global Sustainability VP.

N.	Material topics (16)
27	Consumer experience
26	Product safety and quality
21	Communication and responsible labeling
2	Organizational climate and culture
4	Diversity and equal opportunities
20	Innovation towards healthy products
12	Corporate governance
7	Ethics and integrity
19	Sustainable agricultural practices
34	Energy efficiency and renewable energy in processes
37	Sustainable packaging and circular economy
5	Health, safety and well-being
24	Nutrition and healthy living
9	Transparency and stakeholder engagement (accountability)
32	Climate change adaptation and mitigation (physical risks)
13	Responsible supply chain management practices

N.	Potentially Material Topics (18)
16	Rural development and local supplies
6	Legal compliance
23	Safety in the production and heat chain
33	Climate change adaptation and mitigation (transition risks)
29	SME development
15	Sustainable raw material sourcing
36	Sustainable logistics and distribution
8	Responsible use of innovation and new technologies
35	Waste management
3	Compensation and benefits (associates)
40	Philanthropy and social investment
11	Government relations
18	Technology to improve supply chain traceability
17	Human rights in the supply chain
25	Health and wellness activities
1	Training and career development
39	Local community involvement
30	Water management and stewardship

N.	Non-Material Topics (7)
10	Internal communication
22	Food waste
41	Attracting and retaining local talent
31	Biodiversity protection
14	Inclusion of sustainability aspects in company procurement processes
28	Consumer data privacy
38	Environmental challenges

baked



FOR YOU

baked

FOR LIFE

baked

FOR NATURE

Lines of action	Material Topics | Double Impact
Best nutritional profiles for all	• Innovation towards healthy products • Nutrition and healthy lifestyle • Consumer experience • Safety and quality of products
Transparent sustainable brands	• Communication and responsible labeling • Ethics and integrity • Transparency and commitment to stakeholders • Corporate governance • Responsible use of innovation and new technologies
Enabling healthier plant-based diets	• Innovation towards healthy products • Nutrition and healthy lifestyle • Sustainable sourcing of raw materials
Strengthening communities	• Rural development and local supplies
Caring for our people	• Organizational climate and culture • Diversity and equal opportunities • Health, safety, and well-being
Zero waste	• Sustainable packaging and circular economy • Food waste • Waste management
Regenerative agriculture	• Sustainable agricultural practices • Responsible management practices in the supply chain • Management and care of water
Net zero carbon emissions	• Climate change adaptation and mitigation (physical risks) • Energy efficiency and renewable energy in processes • Logistics and sustainable distribution

sustainable finance

Hand in hand with innovation and continuous improvement, we design strategic actions centered on sustainability.

2023 has been marked by our strong commitment to sustainability. We have focused on how our financial decisions can positively influence the planet.

As part of this, and to catalyze a major change n our associates' mindset, we have implemented strategic actions to ensure that both the design of new facilities and proposed asset acquisitions are guided by a sustainable vision. This approach ensures that best practices and the achievement of our sustainability objectives are paramount considerations when evaluating and authorizing a project.

Integrating sustainability criteria into our planning process has been a key part of our innovation. This has guided the Organizations within Grupo Bimbo to prioritize those investments that, in addition to being financially viable, also minimize the generation of emissions or waste and promote the responsible use of water. This strategic focus has had a significant impact on our CAPEX budget, where investments aimed at reducing our carbon footprint have been established as a priority. We are proud to highlight the progress we have made this year. We have taken the first steps towards becoming an organization that ensures that every investment decision is not only financially sound but also environmentally friendly.

SUSTAINABILITY-LINKED BONDS

Local Bonds

During 2023, Grupo Bimbo successfully placed Sustainability-linked Bonds in the Mexican market (*Certificados Bursátiles*) of $15 billion pesos, which represents the largest corporate issuance of sustainability-linked bonds (“SLBs”) in the history of the Mexican market.

The bonds are linked to Sustainability Performance Targets aligned to the net zero-carbon emission strategy of Scope 3, which accounts approximately for 90% of Grupo Bimbo’s carbon footprint. The Company obtained a second party opinion (SPO), who rated the Sustainability Performance Targets of this issuance as material and relevant, according to market standards.

The issuance included two series: the first series of Ps. 12,000 million, with a 10- year maturity and a 9.24% annual fixed rate; the second series of Ps. 3,000 million, with a 3-year maturity and an annual floating rate of 28-day TIIE +0.10%.

“We tapped the Mexican market once again, this time through our first ESG-labeled bond, ranking the fifth SLB for Scope 3 globally and the first in Latin America, in line with our ambitious global long-term sustainability strategy. This transaction strengthens our financial position while reaffirming our sustainability commitments, specifically our undertaking to become a net zero-carbon Company by 2050”,

Diego Gaxiola,
CFO of Grupo Bimbo

Committed Revolving Credit Facility

We renewed our sustainability-linked committed revolving credit facility (“RCF”), upsizing it from US $1.75 billion to US $1.93 billion.

This RCF is sustainability-linked and is focused on two areas which are part of the Company’s sustainability journey: energy and water.

This new RCF is a multi-currency dual-tranche facility. The first tranche is of up to US $875 million and matures in 2026, and the second tranche is of up to US $1.06 billion and matures in 2028.

“We are pleased with this transaction which reflects our commitment to maintain a healthy credit profile, while sustaining our fulsome liquidity and flexibility”,
said Diego Gaxiola, CFO of Grupo Bimbo.

our contributions to the Sustainable Development Goals (SDGs)

The Sustainable Development Goals (SDGs) offer a once-in-a-generation opportunity to create a better world. Established by the United Nations in 2015, the SDGs are not just global goals; they are a comprehensive plan of action to achieve a future where society and the planet can flourish in harmony by 2030.

At Grupo Bimbo, we consider the SDGs as essential pillars to foster a more sustainable and equitable future. Our commitment to these goals is deep and cross-cutting, contributing directly to 9 (2- Zero Hunger, 3-Good Health and Well-Being, 5-Gender Equality, 6-Clean Water and Sanitation, 7-Affordable and Clean Energy, 8-Decent Work and Economic Growth, 12-Responsible Production and Consumption, 13-Climate Action, 16-Peace, Justice and Strong Institutions) of the 17 SDGs. However, we pay special attention to two key areas that reflect our mission and capabilities: SDG 2 (Zero Hunger) and SDG 3 (Good Health and Well-being).

OUR CONTRIBUTION TO SDG 2

At Grupo Bimbo, we are committed to ending hunger, achieving food security, contributing to healthy and nutritious diets, and promoting sustainable agriculture. Our approach includes improving the nutritional profile of our products, providing nutritional education, optimizing our agricultural practices, and supporting small stores to improve their access to nutrition.

In 2023, we made significant progress in improving nutritional profiles, the transparency and sustainability of our brands, and the promotion of healthier plant-based diets. We understand that being able to face the great challenges ahead for humanity in coming years will only be possible by building healthy, resilient, fair, and sustainable food systems.

We are aware of our significant impact, as we are present at the tables of millions of families around the world.

GOAL	CONTRIBUTION
2.1 End hunger and ensure access to nutritious food	We offer products with high nutritional content, ensuring affordable options.
2.2 End all forms of malnutrition	We improve the nutritional profiles of our products, focusing on natural and simple recipes.
2.3 Double the agricultural productivity of small-scale food producers	We use ingredients grown under regenerative agriculture practices.
2.4 Ensure sustainable food production systems	We promote sustainability in our brands and production processes.
2.5 Maintain the genetic diversity of seeds and farm animals	We support biodiversity through the selection of local, diverse and sustainable ingredients.
2.a Increase investment in rural infrastructure and agricultural services	We continue to actively support small stores and business partners to improve nutritional access.

OUR CONTRIBUTION TO SDG 3

At Grupo Bimbo, we know that guaranteeing a healthy life and promoting well-being for all people of all ages is an integral responsibility. It includes everything from the nutritional quality of our products to the promotion of healthy lifestyles and the active care of our communities and associates.

Our actions and strategies are designed to have a positive and lasting impact on people's lives, not only through our products, but also through our active participation in improving communities and the well-being of our associates. We will continue to work tirelessly to broaden and strengthen this impact.

GOAL		CONTRIBUTION
3.4	Reduce premature mortality from non-communicable diseases	We continuously improve the nutritional profiles of our products to support healthy diets and prevent non-communicable diseases.
3.5	Prevention and treatment of substance abuse	We promote mental health and wellness among our associates, also addressing the prevention and treatment of substance abuse.
3.6	Halve the number deaths from road traffic accidents	We implement and maintain strict safety measures in all our transportation and logistics operations.
3.7	Universal access to sexual and reproductive health-care services	We have taken concrete steps to ensure access to sexual and reproductive health services for our workforce. In some countries we offer adoption support and provide insurance coverage for fertility services.
3.9	Reduce the number of deaths and illnesses from contamination	We carry out environmental initiatives and promote sustainable practices to reduce exposure to pollutants.
3.a	Tobacco Control	Although this aspect is not central to our operations, we support wellness initiatives that include the promotion of healthy, tobacco-free lifestyles.

INTEGRAL COMMITMENT

At Grupo Bimbo, we recognize that our operations offer us the unique opportunity to actively contribute to several Sustainable Development Goals. Our contributions reflect our commitment to sustainable and responsible development.

Gender Equality
We offer a safe, healthy, diverse, equitable, and inclusive workplace for all our associates. We actively promote the representation of women and other minority groups at risk of exclusion.

Clean water and sanitation
We reduce water use in our operations to conserve it. We ensure that our agricultural practices maximize water management and efficiency. All our plants and sites have effective wastewater treatment processes.

Affordable and non-polluting energy
We continue to work tirelessly, and we are close to meeting our goal of operating 100% on renewable electricity. We are reducing our dependence on fossil fuels and reducing CO_2 emissions in all our operations.

Decent work and economic growth
We promote a diverse, inclusive and accessible work environment for all our associates, without discrimination. We ensure that there are no violations of forced or child labor in our value chain.

Responsible production and consumption
We support a circular economy through sustainable packaging and food waste reduction programs. We increase the use of plant-based ingredients in our product formulations.

Climate action
We have successfully reduced carbon emissions and are focused on achieving net zero carbon emissions by 2050.

Through the **Good Neighbor program**, we increase community resilience and capacity to adapt to the effects of climate change.

Peace, justice and strong institutions
We ensure responsible business throughout our value chain through our business ethics and code of conduct.

Every step we take at Grupo Bimbo is guided by our strong commitment to these goals. We focus not only on the immediate impact of our actions, but also on their long-term contribution.

Grupo Bimbo consolidating an ethical culture

For us, maintaining trust, transparency and integrity with all our stakeholders is undoubtedly a priority. Hence, our beliefs, values and principles are key to the way we produce and offer our products every day.

That's why it is necessary to create an ethical culture of integrity and transparency through the creation of best practices that start from global public commitments to the monitoring of our small behaviors as a company.

POLICIES AND CODES OF ETHICS COMPLIANCE

We have a set of policies and codes capable of directing our efforts, resources and objectives to ethical and sustainable commitments.

To achieve this, all our associates are committed to the values and principles that govern our company. Looking to serve our communities is what drives us to improve.

At Bimbo, in accordance with the applicable regulations in each country where we operate and our values and principles, we provide codes in which our main stakeholders feel identified.

MAIN STAKEHOLDERS	
our consumers and clients	We are committed to informing our consumers about the nutritional values of each of our products.
our associates	We ensure the respect and exercise of their rights without any discrimination. We provide adequate spaces for their development and guarantee their safety and well-being.
our suppliers	We are governed by conducting honest and fair business, without discrimination and / or impositions. Each supplier is treated with respect, fairness, trust and affection.
with the government	We contribute to the respect of local laws and customs.
with society	We contribute to the generation and preservation of employment and the promotion of respect for the environment.

OUR ETHICS AND INTEGRITY CONSOLIDATE US IN THE MARKET AND IN SOCIETY

We consider the value of integrity as an essential element in the way we do business. We act with integrity every day, always safeguarding the Company's best interests. We value each other's goodwill: our conduct builds trust. We are committed to doing business ethically and honestly, free from all forms of corruption and bribery. We also encourage the proper conduct of all associates and third parties.

Our **Global Integrity Policy** reflects our stance and ethical rules on issues such as:

- Anti-corruption and anti-bribery, both in the private and public sectors.
- Limits established for the receipt and/or delivery of gifts, meals, travels and entertainment to individuals.
- Cash expenditures
- Donations and sponsorships
- Improper use of public resources
- Influence peddling

TRANSPARENCY AND INTEGRITY IN OUR BUSINESS TRANSACTIONS

During 2023 we had zero money laundering violations. Through the **Global Anti-Money Laundering Policy**, we establish the necessary guidelines aimed at ensuring that every collaborator and third party with whom we interact complies with all applicable anti-money laundering laws in all business dealings and relationships they conduct.

We have several best practices that allow us to avoid any irregularities related to money laundering:

- We conduct training for our associates
- We constantly communicate our integrity stance
- We have developed a methodology for the prevention of money laundering

HUMAN RIGHTS AS A KEY ELEMENT FOR OUR VALUE CHAIN

In order to promote respect for the human rights of all our stakeholders, we have made public commitments reflected in our Global Human Rights Policy.

In it, we establish a series of recognitions in favor of respecting the human rights of each person who participates in our value chain. We focus on the human dignity and rights of each individual and his or her community.

ERADICATE FORCED LABOR

At Bimbo, we have zero tolerance for conduct that fosters child abuse and labor slavery.

ABOLISH CHILD LABOR

Human rights are at the core of our actions. We continue to contribute to the elimination of issues that affect all societies today.

ELIMINATE HUMAN TRAFFICKING

We are aware that the best way to contribute to the abolition of these problems is by respecting international human rights treaties and the applicable legislation of each country where we operate.

DUE DILIGENCE

To contribute the elimination of these and other problems, we consider the application of due diligence as an efficient tool for identifying phenomena and behaviors that are detrimental to the exercise and enjoyment of human rights.

GRI 2-15

GUIDELINES FOR GOOD CONFLICT OF INTEREST MANAGEMENT

We have clear rules and procedures to deal with situations that may cause a conflict of interest to the detriment of our Company. We have a Global Conflict of Interest Policy that allows us to identify, declare and analyze each particular case.

Our Global Legal and Compliance Department is responsible for applying the general and specific guidelines of the policy, as well as updating and monitoring it. This management system allows us to guarantee transparency, clarity and efficiency.

Legal compliance in our business practices
OUR BUSINESS GROWTH HAND IN HAND WITH FREE COMPETITIVE BUSINESS PRACTICES

We have a Global Commercial Practices Policy that considers the legal provisions relating to free competition. Our objective is to strengthen our culture toward the promotion of fair business practices. We encourage our associates:

- The use of respectful, non-invasive, and non-exaggerated language.
- Obtaining market information from independents, respecting copyrights
- Objection to conversations that encourage absolute or relative monopolistic practices. If there is an instance of this, our collaborators leave the meeting and make sure that the reasons for their departure are recorded

GRI 418-1

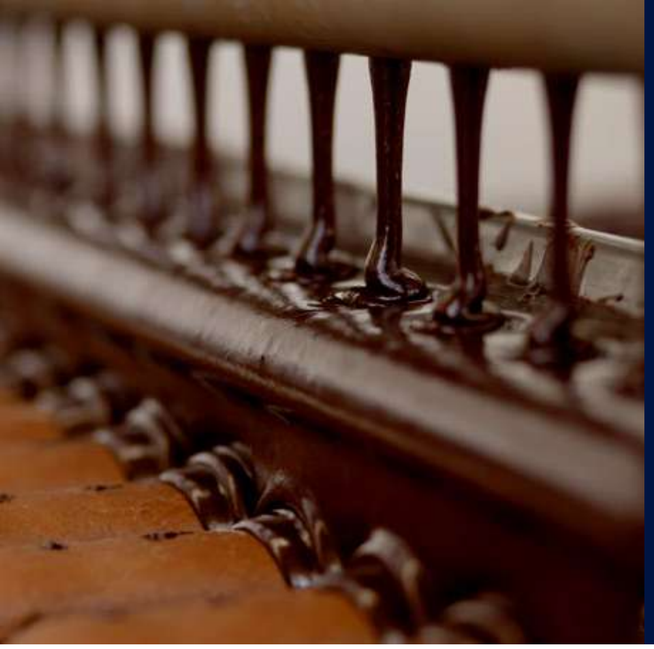
COMMITTED TO THE SECURITY OF PERSONAL DATA

We know that our stakeholders' right to data protection is a key reference for our culture of integrity and transparency. By legal requirement we know the importance of protecting and safeguarding the information collected in the company. We have a Global Personal Data Protection Policy that develops guidelines to ensure privacy and prevent any breach of personal data security.

Besides, we also set up preventive monitoring and training activities for our associates. In addition, we regulate the legitimacy of the processing of personal data to ensure their privacy and prevent any security breach.

In 2023, no substantiated complaints were received regarding breaches of customer privacy. In compliance with legal requirements, we developed the following actions:

- Training and communication to associates.
- Technological tools for monitoring personal data.



BUSINESS TECHNOLOGY: INNOVATION FOR THE PREVENTION OF DATA THEFT AND CYBER-ATTACKS

Business Technology arises from the need to prevent the risks that arise when collecting and storing information.

We are proud to share the results obtained thanks to the strengthening of Business Technology's procedures for the prevention of Data Theft and Cyber-attacks in favor of our stakeholders and our company.

We have significantly reduced the risk of information theft and cyber-attacks in our company, making us a benchmark in the sector.

comenta

We implement best practices through communication and training so that associates are aware of the tool and identify issues they should report.

Based on our beliefs, we continue to promote "Comenta", our hotline. This tool is aimed at our associates and suppliers to report any breach of our Code of Ethics or any of our policies. It is undoubtedly a reliable, efficient, and solid communication mechanism to prevent and correct any irregularities.

HOW DOES IT WORK?

Comenta is a communication channel that can be activated anywhere and anytime.

Each Organization has a committee whose responsibility is to ensure that all reports are investigated and responded to, where action plans are implemented. At a global level, we report on the complaints and pending cases every quarter. We seek and improve the implementation of strategies to mitigate relevant incidents.

We have 3 channels to report irregularities
Telephone: according to the country, available 24 hours a day.
E-mail: comenta@grupobimbo.com
Website: **Comenta Line**
Internal platforms (Teams, GB On, website).

In addition, we offer our associates an e-mail address to report any irregularity that may undermine the integrity and ethics of our company: compliance@grupobimbo.com.

REPORTS RECEIVED IN 2023

COMENTA

Closed	1,362
Open	303
Founded	506
Unfounded	856
Anonymous	718
With identity	947
Female	543
Male	877
Non-identified	245

REPORTED ISSUES

Labor relations	**976**
Integrity Policy	**224**
Diversity and inclusion	**126**
Safety and well-being	**114**
Sexual harassment	**84**
Violations of the code of ethics	**74**
Conflict of interest	**65**
Suppliers	**2**
Total	1,665

GRI 205-2

communication and training in ethics and integrity

We perform studies to identify and measure integrity, anti-money laundering and personal data protection risks. To do so, we consider factors such as the environment and type of business, processes with the highest exposure to integrity risks, and sales volumes.

In 2023 we performed studies in Panama, Mexico and Argentina, regions in which we were able to understand the Organizations' strengths, as well as the activities and processes that need to be reinforced to maintain a high level of integrity compliance.

We also analyzed risk processes. These analyses have shown a high degree of compliance and control in terms of personal data protection, demonstrating once again our commitment to regulatory compliance.

We know that being informed and trained prepares us to assume our commitments and face our challenges.

Members of our Board of Directors are briefed annually on the following documents related to ethics and integrity, in order to keep them updated:

- Code of Professional Ethics of the Mexican Stock Exchange Community
- Code of Best Corporate Practices
- Internal Regulations of the Mexican Stock Exchange
- Grupo Bimbo Code of Ethics
- Grupo Bimbo Global Integrity Policy

100%
of our staff has received and is aware of our anti-corruption policies and practices

27,779
associates received training on anti-corruption issues

100%
of the members of the highest governance body received communication of the Organization's anti-corruption policies and standards

GRI 2-24, 205-2

REINFORCING OUR CULTURE OF INTEGRITY EVERY DAY

At Grupo Bimbo we have been producing integrity capsules for years now, which include messages through short videos and posters that reinforce legal issues. This format has taken on greater relevance in work meetings as it reinforces the culture of integrity and transparency in everything we do.

We strengthen our culture every day to prevent gifts, donations, monopolistic practices, and the importance of protecting the personal data of our stakeholders.

Our associates received training on anti-corruption, anti-money laundering and economic competition issues:

TRAINING ON ANTI-CORRUPTION POLICIES AND PROCEDURES	Total associates	Top management	Supervisors	Operations and administrative	% of associates
Mexico	15,475	453	8,151	6,871	+90%
North America	4,894	439	3,826	629	+93%
Latin America	4,658	131	2,278	2,249	+97%
EAA	2,752	175	1,626	951	+91%
Total	27,779	1,198	15,881	10,700	+92%

COMPLIANCE PROGRAM

Our program focuses on 4 fundamental pillars for the regulatory compliance of our operations: anti-corruption, money laundering prevention, personal data protection and economic competition.

We know that an ethical culture can only be achieved when we implement good practices focused on regulatory and legal compliance in each country where we operate. To this end, the Global Legal and Compliance Department promotes, regulates, and standardizes integrity and transparency standards for the entire company through various programs and procedures.

For us, it is not only about legal compliance; acting with integrity is part of the company's seven beliefs, becoming a key part of our identity.

Our Compliance program is under the supervision of the Company's Senior Management, through the Ethics and Compliance Committee.

We have six main elements in our methodology that help us to have an effective compliance program:

- Leadership commitment
- Training and communication
- Risk analysis
- Due diligence
- Monitoring
- Policies and procedures

Our program is evaluated annually by an experienced firm to always comply with the highest standards of integrity. In 2023, the result of the evaluation was 4.95 out of 5.

For the seventh consecutive year, we were chosen by the **Ethisphere Institute** as one of the most ethical companies in the world.

All our suppliers adhere to our anti-corruption, audit rights, and training clauses, as well as our Supplier Code of Conduct.

	GOAL	SCOPE	FUNCTIONS
	Functions of the Ethics and Compliance Committee		
Regulatory Compliance Program	Consolidate processes and activities in strict compliance with internal and external regulations, seeking the incorporation of global best practices and the continuous improvement of the processes under its responsibility.	Applies to all Organizations and all associates.	Responsible for ensuring the correct implementation and monitoring of the compliance program, based on the Global Integrity Policy.
	Functions of the Global Compliance Management		
Investigations Procedure	Establish guidelines for conducting investigations exclusively on integrity issues involving a public official.	Applies to all Organizations and all associates.	Establish the steps to collect and evaluate information. Assign responsibilities. Investigate, remediate, and follow up on allegations of potential non-compliance or public corruption. Write a report on lack of integrity.
	Functions of the Global Audit Management in conjunction with Global Safety and Safety Management		
Global Procedure for Fraud Investigations and Determination of Corrective Actions	Establish mechanisms for planning, executing, reporting, and defining corrective actions resulting from investigations of acts and suspicions of fraud.	Applies to all Organizations and all associates.	Collect and manage cases related to fraud, theft, and private-to-private corruption.

communication and training on policies and procedures

CRITICAL CONCERNS

Committed to the company's responsible growth, the Global Corporate Affairs Department monitors and analyzes economic, political, and social factors where we operate.

We have a direct escalation process where the Steering Committee reports critical concerns and proposed actions to prevent or mitigate the risks identified in our value chain.

The Global Corporate Affairs Department has different tools to manage and mitigate different associated risks:

New Regulations Global Report

Report whose function is to monitor and communicate the outlook of regulatory and legislative issues in the different countries where we operate, assigning them a risk level based on established criteria.

Risk maps developed in each country

Mechanism that allows permanent monitoring, analysis, and coordination of actions to minimize or eliminate the impact of identified risks.

Regulatory Compliance

We conduct studies to identify and measure risks related to money laundering, integrity, and personal data protection, among others, to take measures and anticipate situations contrary to laws applicable in the countries where we operate and our own policies.

We also have our Audit Committee, which audits issues related to Crisis Management and Business Continuity in incidents and/or crises reported by the Organizations.

FRAUD RISK MANAGEMENT PROGRAM

Currently, the Global Internal Audit Department facilitates the program's implementation and works closely with the Global Security, People, Compliance, Internal Control, and Comptrollership Departments, who monitor its execution, updates, and improvements on a quarterly basis.

CORPORATE GOVERNANCE

Responsible for creating, updating, and monitoring a regulatory framework through the assignment of a responsible area and a policy and procedures committee.

RISK ASSESSMENT

Multidisciplinary teams that analyze and evaluate the potential fraud risks to which Grupo Bimbo's different Organizations may be vulnerable.

During 2023, we held workshops on risk identification.

PREVENTION AND DETECTION CONTROLS

Creation of various communication channels to identify and control risk factors generated in our value chain.

In 2023, we provided training to associates on the Global Policy, to prevent fraud risks in Grupo Bimbo.

PROCEDURE FOR FRAUD INVESTIGATIONS AND DETERMINATION OF CORRECTIVE ACTIONS

Includes best practices for investigating and resolving possible acts of fraud that may occur in Grupo Bimbo.

GRI 2-23, 206-1, 415-1

fair trade

Grupo Bimbo's culture of integrity is committed to implementing and promoting good practices that guarantee and ensure fair trade wherever we operate. To this end, we have public commitments and best practices that contribute to transparency in all our operations.

Business Practices and Competitiveness

We are proud to design, implement, and manage efficient mechanisms that enforce our good practices and supervise our associates' commercial relationships.

We respect free competition regulations in all the markets we participate in.

Public Policy

Based on our Global Integrity Policy, we do not provide financial or in-kind support to political parties and/or representatives.

In addition, our Code of Ethics recognizes that our actions are always aligned with the legislation where we operate.

We are committed to the legal security of all our stakeholders. We link our conduct to our principles of integrity and transparency.

In 2023, we were once again recognized as one of the most ethical companies in the world by The Ethisphere Institute. These facts confirm that we are on the right track, hand in hand with associates committed to our values.

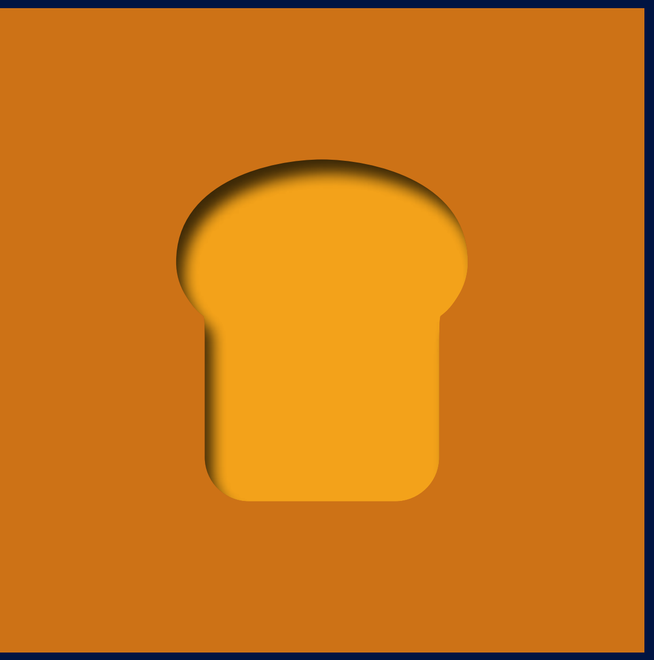
GRI 2-28

international associations

WE ARE PLEASED TO SHARE THE VARIOUS ASSOCIATIONS OUR COMPANY HAS COLLABORATED WITH OVER THE PAST YEAR. THESE ORGANIZATIONS ARE A TESTAMENT TO OUR COMMITMENT TO EXCELLENCE AND INNOVATION IN OUR INDUSTRY AND IN THE COMMUNITIES IN WHICH WE OPERATE. THROUGH THEM, WE NOT ONLY STRENGTHEN OUR RELATIONSHIPS WITH OTHER LEADING ORGANIZATIONS, BUT ALSO ACTIVELY CONTRIBUTE TO THE ADVANCEMENT AND DEVELOPMENT OF OUR INDUSTRY.

international Centro Integral de Mejoramiento de Maíz y el Trigo (CIMMYT), Consumer Goods Forum (CGF), International Food and Beverage Alliance (IFBA) **argentina** Asociación de Industrias de Marca (ADIM), Cámara de Comercio Argentino Mexicana (CAMEX), Cámara de Industriales de Productos Alimenticios (CIPA), Coordinadora de las Industrias de Productos Alimenticios (COPAL) **brazil** Associação Brasileira da Indústria de Alimentos (ABIA), Associação Brasileira das Indústrias de Biscoitos, Massas Alimentícias e Pães & Bolos Industrializados (ABIMAPI), Associação Brasileira de Anunciantes (ABA) **canada** Advertising Standards Canada (ASC), Alberta Association of Safety Partnerships, Baking Association of Canada, British Columbia Food & Beverage, Canada Plastics Pact, Canadian Aboriginal and Minority Supplier Council (CAMSC), Canadian Food Innovators, Canadian Franchise Association, Cereals Canada, Chambre de commerce et d'industrie Nouvelle-Beauce, Conseil Trans Alimentaire du Quebec (CTAQ) // Conseil de Boulangerie Québec, Food & Beverage Canada, Food & Beverage Ontario, Hamilton Chamber of Commerce, Importers & Exporters Canada (Canadian Association of Importers and Exporters), WEConnect International **chile** Asociación Gremial De Industrias Proveedoras, Asociación Nacional De Bebidas Refrescantes, Cámara De integración Chilena Mexicana (Cicmex), Unión Social De Empresarios Cristianos **china** China Association of Foreign Investment Enterprises, China Baked Food and Sugar Products Industry Association, China Chain Store & Franchise Association, Guangdong Food Safety Society **colombia** Cámara Colombo Americana (AMCHAM), Asociación de Industriales y Residentes del Occidente (ASO Occidente), Asociación de Empresarios Católicos de Colombia, Asociación Nacional de Empresarios de Colombia (ANDI), Cámara de Comercio México Colombiana, Asociación Para El Fomento Y Seguridad En Distribución Física (Defencarga) **south korea** RMHC Corea del Sur **costa rica** Cámara Costarricense de Industrias Alimenticias (CACIA), Cámara de Exportadores de Costa Rica, Cámara de Industrias de Costa Rica **ecuador** Asociación Nacional de Fabricantes de Alimentos y Bebidas (ANFAB), Cámara Binacional de Comercio Ecuador-México, Cámara de Comercio de Guayaquil, Cámara de Comercio de Quito, Cámara de Industrias de Guayaquil, Cámara Ecuatoriano Americana de Comercio Guayaquil, Mucho Mejor Ecuador **el salvador** Asociación Salvadoreña de Industriales, Cámara de Comercio e Industria de El Salvador **united states** American Bakers Association, Consumer Brands Association, The Food Industry Association (FMI), International Associates of Food Protection (IAFP), Muskingum Valley Human Resource Management Association (MVHRMA), Ohio Trucking Association, Safety Council, Society of Human Resource Management (SHRM), Women in Trucking, Zanesville-Muskingum Chamber of Commerce **spain** Asociación Multisectorial de Empresas (AME), Asociación Española de la Industria de Panadería, Bollería y Pastelería (ASEMAC), Asociación de Directivos de Comunicación (DIRCOM), Federación de la Industria de Alimentos y Bebidas (FIAB), PRODULCE (Asociación Española del Dulce), PROMARCA **france** Across The Counter Quality (ATCQ), Cercle d'Echanges de Boulangerie Pâtisserie (CEBP), Fédération des Entreprises de Boulangerie (Bakery French Federation) **guatemala** Cámara de Comercio e Industria Guatemalteco Mexicana, Cámara de Comercio de Guatemala, Cámara de Industria de Guatemala / Gremial de Alimentos y Bebidas de Guatemala **honduras** Asociación Nacional de Industriales (ANDI), Cámara de Comercio e Industria de Olancho, Cámara de Comercio e Industria de Tegucigalpa **italy** Associazione Produzione Pane Confezionato = Association of Packed Bread Production (APPC), Camera di Commercio di Modena (Chamber of Commerce of Modena), Camera di Commercio del Messico in Italia = Chamber of Commerce of Mexico in Italy (CaMexItal), Confindustria Emilia-Romagna **mexico** Asociación Mexicana de Energía Solar (ASOLMEX), Asociación Nacional de Fabricantes de Chocolates, Dulces y Similares A.C. (ASCHOCO), Asociación Nacional de Tiendas de Autoservicio y Departamentales (ANTAD), Asociación Nacional de Transporte Privado (ANTP), Cámara de la Industria de Transformación Nuevo León (CAINTRA), Cámara Nacional de la Industria de la Transformación (CANACINTRA), Cámara Nacional de Maíz Industrializado (CANAMI), Centro Mexicano para la Filantropía (CEMEFI), Comisión de Estudios del Sector Privado para el Desarrollo Sustentable (CESPEDES), Confederación de Cámaras Industriales de los Estados Unidos Mexicanos (CONCAMIN), Confederación Patronal de la República Mexicana (COPARMEX), Consejo Coordinador Empresarial (CCE), Consejo de Autorregulación y Ética Publicitaria (CONAR), Consejo de la Comunicación, Consejo Mexicano de Asuntos Internacionales (COMEXI), Consejo Mexicano de la Industria de Productos de Consumo (ConMéxico), Consejo Mexicano de Negocios (CMN), Consejo Nacional Agropecuario (CNA), Ecología y Compromiso Empresarial (ECOCE), Fundación Mexicana para la Salud (FUNSALUD), International Chamber of Commerce (ICC), Unión Social de Empresarios de México (USEM) **nicaragua** Cámara de Comercio e Industria Mexicana **peru** Cámara de Comercio de Lima, Sociedad Nacional de Industrias **portugal** Associação Nacional Comerciantes Industriais Produtos Alimentares (ANCIPA), Associação Portuguesa de Anunciantes (APAN), Camara Comércio Portuguesa, Asociación Portuguesa de Empresas de Productos de Marca (CENTROMARCA), Federación Portuguesa de Alimentación y Bebidas (FIPA), Forum Consumo **switzerland** Biscosuisse, Solothurner Handelskammer **turkey** Gebze Ticaret Odası (Gebze Chamber of Commerce), Gıda Güvenliği Derneği, Gıda Mühendisleri Odası (Chamber of Food Engineers), İstanbul Ticaret Borsası (İstanbul Mercantile Exchange), Kocaeli Sanayi Odası (Kocaeli Chamber of Industry) **uruguay** Cámara de Industrias del Uruguay, Deres (Red de empresas por el Desarrollo Sustentable), Red de Empresas Inclusivas **venezuela** Asociación Nacional de Anunciantes, Cámara de Alimentos de Venezuela (CAVIDEA), Cámara de Industria y Comercio (COINDUSTRIA), Cámara de Industriales de Guarenas (CIMAPZ), Cámara Venezolana - Americana (VENAMCHAM).

Annexes
EXCLUSIONS



BAKED FOR YOU

Best Nutritional Profiles

- **GRI 416-1** Products assessed
- **GRI 416-2** Non-compliance related to product health and safety
- **GRI FP6** Products sold with ingredient reductions
- **GRI FP7** Products sold with increased ingredients

Sustainable and Transparent Brands

- **GRI FP4_M Balanced Weekly Menu** describes a "Balanced Weekly Menu", "Value Your Diet", "Healthy Meal".

BAKED FOR LIFE

STRENGTHENING OUR COMMUNITIES

Bimbo Strategy: Actions in response to natural disasters

- **The delivery of support began in 2023 and was completed at the end of February 2024.**

Caring for our people

- **GRI 2-7:** The gender of external associates is not recorded, as they are not part of the Organizations' personnel registry.

  Specialized third party associates and freelancers are independent salespeople and are part of each organization's business strategy.

  The information of the following companies is not included, as they were still in the integration process in 2023:
  a) **Vel Pitar** (Romania - Acquisition announced in January 2023).
  b) **Natural Bakery** (Canada - Acquisition announced in April 2023)

- **GRI 2-21: Total annual compensation ratio**
  Total annual compensation considers the amount received annually in: base salary, guaranteed compensation, incentives, commissions, short and long-term bonuses. Does not include car benefits.

  The following are excluded from the calculation: operational associates, part-time, fixed-term, international assignees, and associates occupying regional positions in the countries considered.

  For the ratio of the percentage increase in total annual compensation, new revenues in 2023 are additionally excluded.

- **GRI 401-3: Parental leave:**
  We adhere to the regulatory requirements in each country where we have a presence.

- **GRI 403-5: Employee training on occupational health and safety.**
  A specific figure cannot be established with contractors due to variability.

- **GRI 403-8: Coverage of occupational health and safety management system**
  Romania (EMEA), Spain (BQ) and new acquisitions during 2023 are not included.

  Corporate, CSC and BIS operations are not included in the safety and wellbeing model.

- **GRI 403-9: Injuries due to work-related accidents**

- **GRI 403-10: Occupational illnesses and diseases**
  Accidents, illnesses, and occupational diseases of off-payroll personnel are not accounted for in Grupo Bimbo's results, but are investigated and reported.

  A specific figure cannot be established with contractors due to variability.

- **405-1: Diversity of governance bodies and employees.**
  Information for the following companies is not included, as they were still in the process of integration in 2023:
  a) **Vel Pitar** (Romania - Acquisition announced in January 2023).
  b) **Natural Bakery** (Canada - Acquisition announced in April 2023)

  Colorado Baker LLC information does not include levels, as the alignment and allocation of positions has not been completed.

- **GRI 406-1: Discrimination cases and corrective actions taken**
  Bimbo India and Romania are not considered.

- **GRI Sectorial Food Processing FP3: Labor Disputes and Strikes**
  Confidential information of Grupo Bimbo, the report of days lost for these reasons is kept internally and this information is not made public.

BAKED FOR NATURE

- **GRI 301-1 Materials used by weight or volume**
  The reported information covers the period from November to October.

- **GRI 303-3: Water withdrawal**

- **GRI 303-4: Water Discharge**

- **GRI 303-5: Water consumption**
  BQ, Brazil, Romania, and Popcornopolis are still in the process of migrating.

  Barcel Lerma: data recorded with Conagua.

  Barcel Coppel is considered part of North America.

- **GRI 306-1 Waste generation and significant waste-related impacts**
- **GRI 306-2 Management of significant waste- related impacts**
  The United States and Canada are not considered for these indicators.

- **SASB FB-PF-140a.1.: Water Consumption**
  Moldex operations are excluded because it does not produce food.

  BQ, Brazil, and Romania are still in the process of migrating to our digital data reporting tools.

  Bimbo Strategy: Food Waste Prevention Criteria
  LAC does not include Venezuela.

  Figures do not include tons disposed in Distribution Centers and Sales Centers.

  These figures do not include tons generated in BC Logistics and Sales Centers, nor do they include the value chain of ELG, Kazakhstan or Venezuela. Only Romania is added in the manufacturing node.

  FW generation does not include the value chain of Venezuela, Kazakhstan or ELG for any of the years. For 2023, the results of BC Logistics and Sales Centers were not considered and only Romania's manufacturing is added. The baseline is a combination of 2020, 2021, and 2022 results in the value chains of the GB organizations.

FOUNDATIONS

- **GRI 304-1: Operational sites owned, leased, or managed in, or adjacent to, protected areas or areas of high biodiversity value outside protected areas.**
  Romania excluded, only 219 sites were assessed.

- **SASB FB-PF-250a.2.: Ingredients from GFSI suppliers**
  Slight variations in data vs. previous year due to more specific information, now using the Trace Gains platform in most organizations (except LAS, Bimbo India, and Bimbo China).

- **GRI Sectorial food processing FP5: production at certified sites**
  The production of the newly acquired plants in Romania, as they are new acquisitions, and the plants of BQ Morocco, Switzerland and Kazakhstan, as they are joint ventures, are not considered.

CORPORATE GOVERNANCE

- **GRI 2-27: Compliance with laws and regulations.**
  Exclusión de Rumania.

- **GRI 2-28: Membership of associations**
  No information reported for Romania.

- **GRI 205-2: Communication and Training on Anti-corruption Policies and Procedures**
  Excluding Romania and Switzerland

- **GRI 205-3: Confirmed incidents of corruption and actions taken.**
  Bimbo India and Romania are not included, only cases concerning associates are reported.

- **GRI 415-1: Contribution to political parties and/or political representatives**
  Grupo Bimbo does NOT contribute financial or in-kind funding to political parties and/or political representatives in any of the countries in which it operates. See Global Integrity Policy.

Risk
ERM is not implemented in India. .

Sales
Only sales per Bimbo packaged product are considered. Sales of "El Globo" are excluded from the report.

Annexes
BAKED FOR LIFE

GRI 2-7, 2-8

Total number of associates by gender and category[1]

Category	Men	Women
Executives and senior managers	3,353	1,554
Supervisors	10,474	3,734
Operations and administrative	100,564	27,092
Others	96	43
	114,487	**32,423**

GRI 2-7, 2-8

Total number of associates by age and category[2]

Category	Less than 30	Between 30 and 50	Older than 50
Executives and senior managers	184	3,144	1,579
Supervisors	2,308	9,658	2,242
Operations and administrative	29,485	77,270	20,901
Others	30	70	39
	32,007	**90,072**	**24,761**

1. The information of the following companies is not included, as they were still in the process of being integrated in 2023:
   (a) Vel Pitar (Romania - New acquisition announced in January 2023).
   b) Natural Bakery (Canada - Acquisition announced in April 2023)
2. In August 2023, the information of KITTY INDUSTRIES PVT LTD and BARCEL DE EL SALVADOR SA DE CV is included. Also, Modern Foods' levels are broken down for this month. On the other hand, in September 2023 the information of Colorado Baker LLC was included, although without levels, since the alignment and assignment of positions has not been completed.

GRI 2-7, 2-8

Breakdown of working hours and contract types by region and gender[3]

	Full-time		Part-time	
Region	Men	Women	Men	Women
Mexico	61,881	17,101	0	0
United States / Canada	21,581	5,736	491	94
Latin America	17,581	6,065	121	49
Asia, Europe, Africa	12,383	3,160	449	218
		145,488		**1,422**

	Permanent Contract		Temporary Contract		Not specified	
Region	Men	Women	Men	Women	Men	Women
Mexico	60,479	16,086	1,402	1,015		
United States / Canada	1,585	660			5,170	20,487
Latin America	17,251	5,856	451	258		
Asia, Europe, Africa	12,375	3,219	457	159		
		117,511		**3,742**		**25,657**

GRI 2-7, 2-8

Breakdown of working hours and contract types by region and gender[3]

	Full-time		Part-time	
Region	Men	Women	Men	Women
Mexico	61,881	17,101	0	0
United States / Canada	21,581	5,736	491	94
Latin America	17,581	6,065	121	49
Asia, Europe, Africa	12,383	3,160	449	218
		145,488		**1,422**

3. In the Total Turnover and % of Total Non-permanent Associates, the information does not include departures due to internal changes, fixed term, restructuring and those who did not sign a contract.

GRI 202-2

Percentage of senior management from the local community

Region	Number of Managers	Local Managers	Percentage of senior management coming from the local community	Rounded Percentage
Asia, Europe, Africa	22	14	63.60%	64%
Latin America	28	22	78.60%	79%
Mexico	99	88	88.90%	89%
North America	72	68	94.40%	94%
Total GB	**221**	**192**	**86.90%**	**87%**

GRI 401-1

New associate hires and personnel turnover

Active Personnel during 2023

GRI REGION	Age Range	Male	Female	Grand Total
MEXICO	Less than 30	17,982	8,307	26,289
	Between 30 and 50	48,975	14,547	63,522
	Older than 50	9,632	1,299	10,931
Total MEXICO		76,589	24,153	100,742
North America	Less than 30	4,967	1,465	6,432
	Between 30 and 50	13,216	3,766	16,982
	Older than 50	9,868	2,466	12,334
Total North America		28,051	7,697	35,748
Latin America	Less than 30	5,593	2,710	8,303
	Between 30 and 50	14,462	4,636	19,098
	Older than 50	1,942	452	2,394
Total Latin America		21,997	7,798	29,795
Europe, Asia, and Africa	Less than 30	8,364	1,086	9,450
	Between 30 and 50	9,328	3,605	12,933
	Older than 50	2,440	986	3,426
Total Europe, Asia, and Africa		20,132	5,677	25,809
Grand Total		**146,769**	**45,325**	**192,094**

NOTES

1. The information of the following companies is not included, as they were still in the process of being integrated in 2023:
   (a) Vel Pitar (Romania - New acquisition announced in January 2023).
   b) Natural Bakery (Canada - Acquisition announced in April 2023)
2. In August 2023, the information of KITTY INDUSTRIES PVT LTD and BARCEL DE EL SALVADOR SA DE CV is included. Also, Modern Foods' levels are broken down for this month. On the other hand, in September 2023 the information of Colorado Baker LLC was included, although without levels, since the alignment and assignment of positions has not been completed.
3. In the Total Turnover and % of Total Non-permanent Associates, the information does not include departures due to internal changes, fixed term, restructuring and those who did not sign a contract.
4. In the Voluntary Turnover and % of Voluntary Non-permanence, in addition to the aforementioned causes, Dismissals, Retirement, Sickness and Death are not considered.

GRI 401-1

New associate hires and personnel turnover

		Total Personnel Turnover (2023 Terminations)			Voluntary Personnel Turnover (2023 Terminations)		
GRI Region	Age Range	Male	Female	Grand Total	Male	Female	Grand Total
Mexico	Less than 30	4,849	2,336	7,185	4,825	2,314	7,139
	Between 30 and 50	6,758	2,865	9,623	6,580	2,793	9,373
	Older than 50	1,052	258	1,310	723	201	924
Total Mexico		12,659	5,459	18,118	12,128	5,308	17,436
North America	Less than 30	1,557	465	2,022	1,541	465	2,006
	Between 30 and 50	2,413	683	3,096	2,386	675	3,061
	Older than 50	1,041	284	1,325	724	233	957
Total North America		5,011	1,432	6,443	4,651	1,373	6,024
Latin America	Less than 30	1,040	485	1,525	978	461	1,439
	Between 30 and 50	1,687	545	2,232	1,456	472	1,928
	Older than 50	122	39	161	69	13	82
Total Latin America		2,849	1,069	3,918	2,503	946	3,449
Europe, Asia, and Africa	Less than 30	2,559	120	2,679	2,504	107	2,611
	Between 30 and 50	1,276	289	1,565	1,085	238	1,323
	Older than 50	307	128	435	136	56	192
Total Europe, Asia, and Africa		4,142	537	4,679	3,725	401	4,126
Grand Total		**24,661**	**8,497**	**33,158**	**23,007**	**8,028**	**31,035**

NOTES
1. The information of the following companies is not included, as they were still in the process of being integrated in 2023:
   (a) Vel Pitar (Romania - New acquisition announced in January 2023).
   b) Natural Bakery (Canada - Acquisition announced in April 2023)
2. In August 2023, the information of KITTY INDUSTRIES PVT LTD and BARCEL DE EL SALVADOR SA DE CV is included. Also, Modern Foods' levels are broken down for this month. On the other hand, in September 2023 the information of Colorado Baker LLC was included, although without levels, since the alignment and assignment of positions has not been completed.
3. In the Total Turnover and % of Total Non-permanent Associates, the information does not include departures due to internal changes, fixed term, restructuring and those who did not sign a contract.
4. In the Voluntary Turnover and % of Voluntary Non-permanence, in addition to the aforementioned causes, Dismissals, Retirement, Sickness and Death are not considered.

GRI 401-1

New associate hires and personnel turnover

New Hires during 2023

GRI REGION	Age Range	Male	Female	Grand Total
Mexico	Less than 30	7,914	3,842	11,756
	Between 30 and 50	6,600	3,827	10,427
	Older than 50	213	176	389
Total Mexico		14,727	7,845	22,572
North America	Less than 30	2,279	692	2,971
	Between 30 and 50	3,171	938	4,109
	Older than 50	876	269	1,145
Total North America		6,326	1,899	8,225
Latin America	Less than 30	2,199	1,112	3,311
	Between 30 and 50	2,201	982	3,183
	Older than 50	116	37	153
Total Latin America		4,516	2,131	6,647
Europe, Asia, and Africa	Less than 30	4,775	764	5,539
	Between 30 and 50	2,945	1,287	4,232
	Older than 50	375	187	562
Total Europe, Asia, and Africa		8,095	2,238	10,333
Grand Total		**33,664**	**14,113**	**47,777**

NOTAS
1. La información de las siguientes empresas no se incluye, ya que en 2023 continuaban en proceso de integración:
   a) Vel Pitar (Rumania – Nueva adquisición anunciada en Enero 2023)
   b) Natural Bakery (Canadá – Adquisición anunciada en Abril 2023)
2. En Agosto 2023 se incluye la información de KITTY INDUSTRIES PVT LTD y de BARCEL DE EL SALVADOR SA DE CV. Asimismo, se desglosan los niveles de Modern Foods en este mes. Por otra parte, en septiembre 2023 se integra la información de la empresa Colorado Baker LLC, aunque sin niveles, ya que no ha concluido la alineación y asignación de Puestos
3. En la Rotación Total y % de no Permanencia Total, no se consideran las bajas por cambios internos, tiempo determinado, reestructura y a quienes no firmaron contrato.
4. En la Rotación Voluntaria y % de no Permanencia Vountaria, además de las causales antes mencionadas, no se consideran los Despidos, Jubilación, Enfermedad y Muerte.

GRI 401-1

New associate hires and personnel turnover

GRI Region	Age Range	Total number of new associates who left their new job before the end of the Ist year (Total Turnover)			Total number of new associates who left their new job before the end of the Ist year (Voluntary Turnover)		
		Male	Female	Grand Total	Male	Female	Grand Total
Mexico	Less than 30	2,432	1,202	3,634	2,429	1,196	3,625
	Between 30 and 50	1,951	1,239	3,190	1,940	1,219	3,159
	Older than 50	83	77	160	83	77	160
Total Mexico		4,466	2,518	6,984	4,452	2,492	6,944
North America	Less than 30	850	268	1,118	842	268	1,110
	Between 30 and 50	1,094	298	1,392	1,091	294	1,385
	Older than 50	257	91	348	253	91	344
Total North America		2,201	657	2,858	2,186	653	2,839
Latin America	Less than 30	491	209	700	476	202	678
	Between 30 and 50	432	177	609	406	167	573
	Older than 50	9	4	13	9	4	13
Total Latin America		932	390	1,322	891	373	1,264
Europe, Asia, and Africa	Less than 30	1,288	48	1,336	1,253	44	1,297
	Between 30 and 50	524	84	608	444	79	523
	Older than 50	39	11	50	27	9	36
Total Europe, Asia, and Africa		1,851	143	1,994	1,724	132	1,856
Grand Total		**9,450**	**3,708**	**13,158**	**9,253**	**3,650**	**12,903**

NOTES
1. La información de las siguientes empresas no se incluye, ya que en 2023 continuaban en proceso de integración:
   I. The information of the following companies is not included, as they were still in the process of being integrated in 2023:
   (a) Vel Pitar (Romania - New acquisition announced in January 2023).
   b) Natural Bakery (Canada - Acquisition announced in April 2023)
2. In August 2023, the information of KITTY INDUSTRIES PVT LTD and BARCEL DE EL SALVADOR SA DE CV is included. Also, Modern Foods' levels are broken down for this month. On the other hand, in September 2023 the information of Colorado Baker LLC was included, although without levels, since the alignment and assignment of positions has not been completed.
3. In the Total Turnover and % of Total Non-permanent Associates, the information does not include departures due to internal changes, fixed term, restructuring and those who did not sign a contract.
4. In the Voluntary Turnover and % of Voluntary Non-permanence, in addition to the aforementioned causes, Dismissals, Retirement, Sickness and Death are not considered.

GRI 401-1

New associate hires and personnel turnover

GRI Region	Age Range	Non-permanence rate 2023 Total Male	Non-permanence rate 2023 Total Female	Non-permanence rate 2023 Total Grand Total	Non-permanence rate 2023 Voluntary Male	Non-permanence rate 2023 Voluntary Female	Non-permanence rate 2023 Voluntary Grand Total
Mexico	Less than 30	27%	28%	27.3%	27%	28%	27%
	Between 30 and 50	14%	20%	15%	13%	19%	15%
	Older than 50	11%	20%	12%	8%	15%	8%
Total Mexico		17%	23%	18%	16%	22%	17%
North America	Less than 30	31%	32%	31%	31%	32%	31%
	Between 30 and 50	18%	18%	18%	18%	18%	18%
	Older than 50	11%	12%	11%	7%	9%	8%
Total North America		18%	19%	18%	17%	18%	17%
Latin America	Less than 30	19%	18%	18%	17%	17%	17%
	Between 30 and 50	12%	12%	12%	10%	10%	10%
	Older than 50	6%	9%	7%	4%	3%	3%
Total Latin America		13%	14%	13%	11%	12%	12%
Europe, Asia, and Africa	Less than 30	31%	11%	28%	30%	10%	28%
	Between 30 and 50	14%	8%	12%	12%	7%	10%
	Older than 50	13%	13%	13%	6%	6%	6%
Total Europe, Asia, and Africa		21%	9%	18%	19%	7%	16%
Grand Total		**17%**	**19%**	**17%**	**16%**	**18%**	**16%**

NOTES
1. The information of the following companies is not included, as they were still in the process of being integrated in 2023:
   (a) Vel Pitar (Romania - New acquisition announced in January 2023).
   b) Natural Bakery (Canada - Acquisition announced in April 2023)
2. In August 2023, the information of KITTY INDUSTRIES PVT LTD and BARCEL DE EL SALVADOR SA DE CV is included. Also, Modern Foods' levels are broken down for this month. On the other hand, in September 2023 the information of Colorado Baker LLC was included, although without levels, since the alignment and assignment of positions has not been completed.
3. In the Total Turnover and % of Total Non-permanent Associates, the information does not include departures due to internal changes, fixed term, restructuring and those who did not sign a contract.
4. In the Voluntary Turnover and % of Voluntary Non-permanence, in addition to the aforementioned causes, Dismissals, Retirement, Sickness and Death are not considered.

GRI 401-1

New associate hires and personnel turnover

		2023 New associates index		
GRI REGION	**Age Range**	**Male**	**Female**	**Grand Total**
Mexico	Less than 30	7,914	3,842	11,756
	Between 30 and 50	13%	26%	16%
	Older than 50	2%	14%	4%
Total Mexico		19%	32%	22%
North America	Less than 30	46%	47%	46%
	Between 30 and 50	24%	25%	24%
	Older than 50	9%	11%	9%
Total North America		23%	25%	23%
Latin America	Less than 30	39%	41%	40%
	Between 30 and 50	15%	21%	17%
	Older than 50	6%	8%	6%
Total Latin America		21%	27%	22%
Europe, Asia, and Africa	Less than 30	57%	70%	59%
	Between 30 and 50	32%	36%	33%
	Older than 50	15%	19%	16%
Total Europe, Asia, and Africa		40%	39%	40%
Grand Total		**23%**	**31%**	**25%**

NOTES
1. The information of the following companies is not included, as they were still in the process of being integrated in 2023:
   (a) Vel Pitar (Romania - New acquisition announced in January 2023).
   b) Natural Bakery (Canada - Acquisition announced in April 2023)
2. In August 2023, the information of KITTY INDUSTRIES PVT LTD and BARCEL DE EL SALVADOR SA DE CV is included. Also, Modern Foods' levels are broken down for this month. On the other hand, in September 2023 the information of Colorado Baker LLC was included, although without levels, since the alignment and assignment of positions has not been completed.
3. In the Total Turnover and % of Total Non-permanent Associates, the information does not include departures due to internal changes, fixed term, restructuring and those who did not sign a contract.
4. In the Voluntary Turnover and % of Voluntary Non-permanence, in addition to the aforementioned causes, Dismissals, Retirement, Sickness and Death are not considered.

	Health and emergency management training courses	Total hours of training	Average hours of training	Program Scope (Associates, contractors, or both)	Brief description of program
GRI 403-5 Associate training on occupational health and safety	**1. Wellness school**	58.59	2.17	Internal associates	Program focused on health, nutrition, physical activity, and life balance to promote the adoption of healthy habits and a more balanced lifestyle, thus contributing to overall wellbeing.
	2. Fire extinguisher handling	105.75	0.75	Internal associates	This course will allow our associates to know the use and handling of fire extinguishers and what type should be used in different situations.
	3. SWAT team and emergency brigade manual	475.08	4.28	Internal associates	SWAT teams and emergency brigades are essential in a production center. In this course associates learn about their roles and responsibilities, as well as their general role in fire prevention.
	4. Well-being policy and model			Internal associates	Comprehensive strategy that defines clear guidelines and assigns specific responsibilities to proactively promote health and wellness in Grupo Bimbo.
	5. Electrical risks	36	3	Internal associates	In this course associates learn about the most common causes of electrical fires and how to prevent them.
	6. Sales leaders report	1.68	0.42	Internal associates	Our purpose is to present the pillars and elements of our Safety and Wellness strategy for the sales center as well as the Wellness model elements.
	7. Safe distances for machinery and equipment protection	2.64	0.33	Internal associates	This course contains the minimum safety standards that equipment must meet to avoid serious accidents, as well as the types of devices implemented in Grupo Bimbo for injury prevention.
	8. My worst nightmare (fire webinar)	38.5	0.77	Internal associates	Our CEO Daniel Sertvitje shared his main concern regarding safety and why fire prevention should be a top priority for all leaders.
	9. S&B Model	268.95	1.65	Colaboradores internos	Do you know our security model and Grupo Bimbo prevention strategies? In this course associates learn about its components and leaders' responsibilities.
	Total	**987.19**	**1.91**		

		Total associates
GRI 403-9, 403-10 Work-related accidents, injuries, illnesses, and diseases at Grupo Bimbo during 2023	Fatalities resulting from work-related injuries	6
	Occupational injuries with major consequences (excluding fatalities)	13
	Recordable injuries per million hours worked	3,126
	Fatalities resulting from work-related illnesses and diseases	0
	Recordable occupational diseases and illnesses	0

	WORK-RELATED INJURIES	Total associates	Associate Rate	Whether the rates are calculated per 200,000 or per 1,000,000 hours worked	Total Contractors	Contractor Rate
GRI 403-9 Work accident injuries	**Injuries due to work-related accidents**	6	0.0034	200,000	Contractors: No specific figure can be established due to the variability of contractors.	Contractors: No specific figure can be established due to the variability of contractors.
	Fatalities resulting from work-related injuries	13	0.0074	200,000	Contractors: No specific figure can be established due to the variability of contractors.	Contractors: No specific figure can be established due to the variability of contractors.
	Occupational injuries with major consequences (excluding fatalities)	3,126	8.97	1,000,000	Contractors: No specific figure can be established due to the variability of contractors.	Contractors: No specific figure can be established due to the variability of contractors.
	Recordable occupational injuries	3,126	1.79	200,000	Contractors: No specific figure can be established due to the variability of contractors.	Contractors: No specific figure can be established due to the variability of contractors.
	Number of hours worked	348,483,763	2,402.25	200,000	Contractors: No specific figure can be established due to the variability of contractors.	Contratistas: No se puede establecer una cifra específica debido a la variabilidad de contratistas
	Cuts, falls, slips, back pain, muscle tears, bruised fingers, bumps, bruises	2,406	1.38	200,000	Contractors: No specific figure can be established due to the variability of contractors.	Contratistas: No se puede establecer una cifra específica debido a la variabilidad de contratistas
	1. LTIFR 2. LTIR	2,579	1.48	200,000	Contractors: No specific figure can be established due to the variability of contractors.	Contratistas: No se puede establecer una cifra específica debido a la variabilidad de contratistas

GRI 403-10

Occupational illnesses and diseases

Occupational diseases and illnesses	Associates	Contractors
Deaths resulting from an occupational disease or occupational illness	0	Contractors: No specific figure can be established due to the variability of contractors.
Cases of recordable occupational diseases and illnesses	0	Contractors: No specific figure can be established due to the variability of contractors.

Alternative methodology	Unit	Reporting year
I. Lost workday rate.	1.48	2023
Restricted transfer rate per day		
Data coverage (in % of associates, operations, or revenue)	100%	2023

GRI 405-1

Gender, age, and category

CATEGORY BY AGE (Men)	Total associates	Percentage of associates	Less than 30	Between 30 and 50	Older than 50
Operations and administrative	100,564	88%	22,117	61,034	17,413
Supervisors	10,474	9%	1,299	7,261	1,914
Executives and senior managers	3,353	3%	84	2,008	1,261
Others	96	0%	17	52	27
Total	**114,487**	**100%**	**23,517**	**70,355**	**20,615**

CATEGORY BY AGE (Women)	Total associates	Percentage of associates	Less than 30	Between 30 and 50	Older than 50
Operations and administrative	100,564	88%	22,117	61,034	17,413
Supervisors	10,474	9%	1,299	7,261	1,914
Executives and senior managers	3,353	3%	84	2,008	1,261
Others	96	0%	17	52	27
Total	**114,487**	**100%**	**23,517**	**70,355**	**20,615**

		Percentage
GRI 405-1 Percentage of women by category[4]	Share of Women in total workforce (as % of total workforce)	22%
	Share of Women in all management positions, including management, middle and senior management (as % of total management positions)	19%
	Percentage of women in management positions, i.e. first level of management (as % of total junior management positions)	24%
	Percentage of women in managerial positions, i.e. at most two levels from the CEO or comparable positions (as % of total senior management positions)	9%
	Percentage of women in managerial positions in revenue-generating functions (e.g. sales) as a % of all such managers (i.e. excluding support functions such as HR, IT, Legal, etc.)	19.4%
	Percentage of Women in STEM-related positions (as % of all such positions)	21.2%

4 I. The information of the following companies is not included, as they were still in the process of being integrated in 2023:
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b) Natural Bakery (Canada - Acquisition announced in April 2023).
2. Colorado Baker LLC information does not include levels, as alignment and allocation of Positions has not been completed.

Annexes
BAKED FOR NATURE

MATERIALS

GRI 301-1

Materiales used by weight and volume

MATERIALS BY WEIGHT AND VOLUME (METRIC TONS)

Total*	310,263	Renewable (paper and cardboard)	213,266
		Non renewable (plastic)	96,997

RECYCLED (METRIC TONS)

Pulp and paper from recycled sources	157,237

* Includes paper, cardboard, and plastic

ENERGY

GRI 302-1

Energy consumption within the organization

TOTAL ENERGY CONSUMPTION WITHIN THE ORGANIZATION

Grupo Bimbo in GJ	2019	2020	2021	2022	2023
Total fuel consumption from non-renewable sources	24,253,174	23,848,493	24,983,563	25,028,448	25,281,933
Total fuel consumption from renewable sources	0	0	0	0	0
Electricity consumption	5,079,950	5,107,869	5,243,237	5,321,296	5,668,133
Total energy consumption	**29,333,124**	**28,956,362**	**30,226,800**	**30,349,743**	**30,950,066**

TOTAL ENERGY CONSUMPTION OUTSIDE THE ORGANIZATION

GRI 302-2

Energy consumption outside the organization

Grupo Bimbo in GJ	2019	2020	2021	2022	2023
Total fuel consumption from non-renewable sources	6,698,414	6,439,760	7,251,423	7,318,904	7,083,203
Total fuel consumption from renewable sources	-	-	-	-	-
Electricity consumption	-	-	-	-	-
Total energy consumption	**6,698,414**	**6,439,760**	**7,251,423**	**7,318,904**	**7,083,203**

FUELS

Historical fuel consumption (kWh)

Energy consumption kWh	2019	2020	2021	2022	2023
#2 Fuel Oil	13,350,100	12,479,760	10,033,088	5,556,783	17,196,581
Diesel Fuel (Non-road Grade)	36,578,237	37,706,114	22,148,009	10,034,939	14,411,084
Generator Diesel Fuel	5,536,959	10,508,549	9,031,931	361,041	1,332,874
Natural Gas	2,713,873,213	2,777,340,764	2,819,441,392	2,938,768,645	3,038,394,520
Propane	183,393,619	209,719,814	232,130,381	261,781,620	248,558,481
kWh Subtotal in Plants	2,952,732,129	3,047,755,001	3,092,784,801	3,216,503,029	3,319,893,541
Diesel	1,145,939,160	1,049,066,022	1,079,810,172	1,027,061,841	1,071,986,270
Gasoline	709,854,813	664,920,336	678,138,721	629,896,098	604,723,141
LPG	15,652,007	16,351,356	16,206,433	16,530,743	17,156,224
CNG	51,007,662	56,930,123	58,131,237	43,352,540	52,438,445
Ethanol	1,136,561	736,179	522,995	200,819	339,355
kWh Subtotal in Vehicles	1,923,590,203	1,788,004,016	1,832,809,558	1,717,042,041	1,746,643,435
Diesel in 3rd party vehicles	1,837,420,072	1,767,795,743	1,991,830,881	1,993,931,611	1,923,617,415
Gasoline in 3rd party vehicles	9,661	25,349	18,127	0	0
LPG in 3rd party vehicles	332,024	247,970	118,836	2,565,688	7,421,520
CNG in 3rd party vehicles	22,908,806	20,753,195	22,316,450	36,531,636	36,517,361
Ethanol in 3rd party vehicles	0	0	0	0	0
kWh Sub-total in 3P Vehicles	1,860,670,563	1,788,822,257	2,014,284,294	2,033,028,936	1,967,556,297
Total direct consumption of energy from non-renewable primary sources (purchased)	**6,736,992,895**	**6,624,581,274**	**6,939,878,653**	**6,966,574,005**	**7,034,093,272**

ELECTRICTY

Historial energy consumption (kWh)	Grupo Bimbo in kWh	2019	2020	2021	2022	2023
	Total indirect consumption of energy from suppliers.**	903,954,374	564,565,370	391,008,240	219,927,436	131,765,349
	Renewable energy*	507,142,847	854,287,209	1,065,446,467	1,258,210,316	1,442,716,063
	Total*	**1,411,097,220**	**1,418,852,579**	**1,456,454,707**	**1,478,137,752**	**1,574,481,412**
	% Renewable Energy	**35.94%**	**60.21%**	**73.15%**	**85.12%**	**91.63%**

*Consolidated Renewable Base and Match vs BEST of each organization
1 kWh = 0.0036 GJ
** Plant Consumption, from suppliers Example CFE for Mexico

FUELS

Historical fuel consumption (GJ)	Energy consumption GJ	2019	2020	2021	2022	2023
	#2 Fuel Oil	48,060	44,927	36,119	20,004	61,908
	Diesel Fuel (Non-road Grade)	131,682	135,742	79,733	36,977	51,880
	Generator Diesel Fuel	19,933	37,831	32,515	1,300	4,798
	Natural Gas	9,769,944	9,998,427	10,149,989	10,456,801	10,938,220
	Propane	660,217	754,991	835,669	942,199	894,811
	GJ Subtotal in Plants	10,629,836	10,971,918	11,134,025	11,457,281	11,951,617
	Diesel	4,125,381	3,776,638	3,887,317	3,767,986	3,814,464
	Gasoline	2,555,477	2,393,713	2,441,299	2,267,971	2,206,215
	LPG	56,347	58,865	58,343	59,511	61,777
	CNG	183,628	204,948	209,272	156,071	163,436
	Ethanol	4,092	2,650	1,883	723	1,222
	GJ Subtotal in Vehicles	6,924,925	6,436,814	6,598,114	6,252,262	6,247,114
	Diesel in 3rd party vehicles	6,614,712	6,364,065	7,170,591	7,178,154	6,925,023
	Gasoline in 3rd party vehicles	35	91	65	0	0
	LPG in 3rd party vehicles	1,195	893	428	9,236	26,717
	CNG in 3rd party vehicles	82,472	74,712	80,339	131,514	131,463
	Ethanol in 3rd party vehicles	0	0	0	0	0
	GJ Sub-total in 3P Vehicles	6,698,414	6,439,760	7,251,423	7,318,904	7,083,203
	Total direct consumption of energy from non-renewable primary sources (purchased)	**24,253,174**	**23,848,493**	**24,983,563**	**25,028,448**	**25,281,933**

ELECTRICITY

Historical energy consumption (GJ)

Grupo Bimbo in GJ	2019	2020	2021	2022	2023
Total indirect consumption of energy from suppliers.**	3,254,236	2,032,435	1,407,630	791,739	474,355
Renewable energy*	1,825,714	3,075,434	3,835,607	4,529,557	5,193,778
Total*	**5,079,950**	**5,107,869**	**5,243,237**	**5,321,296**	**5,668,133**
% Renewable Energy	**35.94%**	**60.21%**	**73.15%**	**85.12%**	**91.63%**

*Consolidated Renewable Base and Match vs BEST of each organization
1 kWh = 0.0036 GJ
** Plant Consumption, from suppliers Example CFE for Mexico

TOTAL ENERGY

Historical energy consumption (GJ)

Grupo Bimbo in GJ	2019	2020	2021	2022	2023
Total Fuel Consumption from non-renewable sources	24,253,174	23,848,493	24,983,563	25,028,448	25,281,933
Total Fuel Consumption from renewable sources	0	0	0	0	0
Electricity Consumption	5,079,950	5,107,869	5,243,237	5,321,296	5,668,133
Total Energy Consumption	**29,333,124**	**28,956,362**	**30,226,800**	**30,349,743**	**30,950,066**

TOTAL ENERGY WITHIN THE ORG

Grupo Bimbo in GJ	2019	2020	2021	2022	2023
Total Fuel Consumption from non-renewable sources	17,554,760	17,408,732	17,732,140	17,709,543	18,198,730
Total Fuel Consumption from renewable sources	-	-	-	-	0
Electricity Consumption	5,079,950	5,107,869	5,243,237	5,321,296	5,668,133
Total Energy Consumption	**22,634,710**	**22,516,602**	**22,975,377**	**23,030,839**	**23,866,864**

TOTAL ENERGY OUTSIDE THE ORG

Grupo Bimbo in GJ	2019	2020	2021	2022	2023
Total Fuel Consumption from non-renewable sources	6,698,414	6,439,760	7,251,423	7,318,904	7,083,203
Total Fuel Consumption from renewable sources	-	-	-	-	-
Electricity Consumption	-	-	-	-	-
Total Energy Consumption	**6,698,414**	**6,439,760**	**7,251,423**	**7,318,904**	**7,083,203**

302-3
Energy intensity

ENERGY INTENSITY RATIO	2019	2020	2021	2022	2023
Total Fuel Consumption GJ*	17,554,760	17,408,732	17,732,140	17,709,543	18,198,730
Total Energy Consumption GJ	17,554,760	17,408,732	17,732,140	17,709,543	18,198,730
TPE (tons)	4,693,880	5,025,741	5,164,538	5,268,678	5,310,043
Ratio*	**3.74**	**3.46**	**3.43**	**3.36**	**3.43**

*Vehicles included

WATER

GRI 303-3, 303-4, 303-5

Water extraction, discharge, and consumption

	WATER IMPACTS NORTH AMERICA					WATER IMPACTS LA+MEX					WATER IMPACTS EUROPE, ASIA AND AFRICA				
MEGALITERS	**2019**	**2020**	**2021**	**2022**	**2023**	**2019**	**2020**	**2021**	**2022**	**2023**	**2019**	**2020**	**2021**	**2022**	**2023**
Well Water	0	0	0	0	0	983	916	976	1,070	1,107	0	16	88	72	102
Mains Water	2,373	2,504	2,477	2,604	2,270	1,167	1,199	1,223	1,232	1,137	836	1,105	1,129	1,186	1,232
Rainwater	0	0	0	0	0	3	7	12	10	1.4	0	0	0	0	0
Piped Water	0	0	0	0	0	28	31	27	45	50	0	0	0	0	0
Treated Water*	0	0	0	0	10	598	646	657	842	789	0	0	68	137	142
Reused Water*	0	0	0	0	0	467	521	527	578	606	0	0	23	28	25
Treated Water Discharged	0	0	0	0	10	130	125	130	264	183	0	0	45	109	117
Recycled Water (POS)	0	4	6	2	0	89	100	0.39	0.32	150	0	0	0	0	0
Total Drinkable	2,373	2,504	2,477	2,604	2,270	2,180	2,153	2,238	2,357	2,296	836	1,121	1,217	1,259	1,334
Total Treated	0	0	0	0	10	598	646	657	842	789	0	0	68	137	206
Total Reused	0	0	0	0	0	467	521	527	578	606	0	0	23	28	85

CARBON TRUST VERIFIED WATER

NOTE: The Carbon Trust has verified that Grupo Bimbo has measured their water footprint in accordance with the measurement requirements of the Carbon Trust Water Standard.

WATER RESOURCES UTILIZATION GLOBAL WATER (MEGA LITERS)	NA	LATAM+MEX	EUROPE, ASIA AND AFRICA	GRUPO BIMBO
Surface and Groundwater	-	1,107	102	1,209
Rainwater	-	6	-	6
Municipal Water Consumption*	2,270	1,194	1,232	4,695

*Includes Sales Centers Consumption

INDICADOR GB	1.1788m³/TPE

WATER RESOURCES USAGE (MEGA LITERS)	NA	LATAM+MEX	EUROPE, ASIA AND AFRICA	GRUPO BIMBO
Well Water	0	1,107	102	1,209
Municipal Water	2,270	1,137	1,232	4,638
Piped Water	0	50	0	50
Rainwater Harvesting	0	1	0	1
Treated Water	10	789	142	931
Reused Water	0	606	25	631
Treated Water Discharged*	10	183	117	310
Municipal Water (Sales Centers)	0	6	0	6
CeVes Rainwater Harvesting	0	4	0	4
Total Plants + CeVes	2,270	2,307	1,334	5,910

Water stress at Grupo Bimbo (Megaliters)

	WATER IMPACTS NORTH AMERICA AT WATER STRESSED SITES (ML)					WATER IMPACT LA+MEX AT WATER STRESSED SITES (ML)				
MEGALITERS	2019	2020	2021	2022	2023	2019	2020	2021	2022	2023
Well Water	0	0	0	0	0	756	719	814	910	847
Mains Water	614	634	613	643	999	613	631	575	578	701
Rainwater	0	0	0	0	0	0	0	0	0	1
Piped Water	0	0	0	0	0	28	17	27	35	42
Treated Water*	0	0	0	0	0	400	434	454	583	592
Reused Water*	0	0	0	0	0	341	391	484	575	534
Treated Water Discharged	0	0	0	0	0	59	44	35	136	58
Total Drinkable	614	634	613	643	999	1,396	1,367	1,416	1,524	1,591
Total Treated	0	0	0	0	0	400	434	454	583	592
Total Reused	0	0	0	0	0	341	391	419	447	534

	WATER IMPACT EUROPE, ASIA AND AFRICA AT WATER STRESSED SITES (ML)					WATER IMPACT GB AT WATER STRESSED SITES (ML)				
MEGALITERS	2019	2020	2021	2022	2023	2019	2020	2021	2022	2023
Well Water	0	13	85	68	102	756	732	899	978	949
Mains Water	595	705	651	625	820	1,821	1,970	1,840	1,847	2,520
Rainwater	0	0	0	0	0	0	0	0	0	3
Piped Water	0	0	0	0	0	28	17	27	35	42
Treated Water*	0	0	64	127	129	400	434	519	710	721
Reused Water*	0	0	22	23	25	341	391	441	470	559
Treated Water Discharged	0	0	42	104	104	59	44	77	240	162
Total Drinkable	595	718	736	693	922	2,604	2,720	2,766	2,860	3,513
Total Treated	0	0	64	127	129	400	434	519	710	721
Total Reused	0	0	22	23	25	341	391	441	470	559

WATER RESOURCES USAGE WATER IN SCARCITY SITES IN PLANTS (MEGA LITERS)	NA	LATAM+MEX	EUROPE, ASIA AND AFRICA	GRUPO BIMBO
Well Water	0	847	102	949
Municipal Water	999	701	820	2,520
Piped Water	0	42	0	42
Rainwater	0	3	0	3
Treated Water	0	592	129	721
Reused Water	0	534	25	559
Wastewater*	0	58	104	162
Total Water Consumption in Scarcity Sites	999	1,591	922	3,513

WATER SOURCE	2019	2020	2021	2022	2023
Treated Water	598.08	629.29	674.59	928.07	931.30
Reused Water	467.47	520.941	538.47	582.02	635.12
% vs Baseline	74.3%	82.8%	85.6%	92.5%	100%

EMISSIONS

305-1

Direct GHG Emissions (scope 1),

305-2

Indirect GHG Emissions (scope 2),

305-3

Other Indirect GHG Emissions (scope 3)

CO_2e Emissions (Tons)	2019	2020	2021	2022	2023
Grupo Bimbo					
Fuel oil in plants	3,732	3,488	2,804	1,585	4,905
Diesel in plants	11,305	12,954	8,394	2,864	4,219
Natural Gas in plants	524,203	537,118	546,289	570,275	591,735
LP Gas in plants	42,363	48,527	53,698	60,581	57,494
CO_2 Sub-total in Plants	581,602	602,087	611,185	635,306	658,353
Diesel in vehicles	309,248	282,811	290,430	276,233	288,629
Gasoline in vehicles	177,872	166,146	169,470	164,750	155,989
LPG in vehicles	3,378	3,525	3,486	3,369	3,661
CNG in vehicles	9,899	11,134	11,528	10,039	7,268
Ethanol in vehicles	2	1	1	0	1
CO_2 Subtotal in vehicles	500,399	463,617	474,914	454,391	455,548
CO_2 Sub-total in Wastewater Treatment	-	-	-	-	8,632
CO_2 Subtotal in refrigerants	-	-	-	-	18,939
CO_2e total direct emissions (scope 1)	**1,082,002**	**1,065,703**	**1,086,099**	**1,089,697**	**1,141,473**
Electricity	332,963	198,346	128,019	61,393	36,575
CO_2e total indirect emissions (scope 2)	**332,963**	**198,346**	**128,019**	**61,393**	**36,575**
Diesel in 3rd party vehicles	471,741	454,109	512,022	532,599	493,230
Gasoline in 3rd party vehicles	2	6	5	0	0
LPG in 3rd party vehicles	76	57	26	15	7
CNG in 3rd party vehicles	4,148	3,757	4,116	7,974	5,420
Ethanol in 3rd party vehicles	0	0	0	0	0
Intermodal	-	-	-	-	36,820
Total CO_2e emissions in Third-Party Vehicles (scope 3)	475,967	457,930	516,169	540,588	535,477
Purchased Goods and Services	-	-	-	-	6,132,858
Capital Goods	-	-	-	-	678,694
Fuel and Energy Activities	-	-	-	-	316,239
Upstream Transportation & Distribution	475,967	457,930	516,169	540,588	535,477
Waste Generated in Operations	-	-	-	-	9,778
Business Travel	-	-	-	-	95,798
Employee Commuting	-	-	-	-	57,651
End-of-Life Treatment of Sold Products	-	-	-	-	486,918
Investments	-	-	-	-	530,565
CO_2 total scope 3	**475,967**	**457,930**	**516,169**	**540,588**	**8,843,978**
TOTAL CO_2e EMISSIONS	**1,890,932**	**1,721,980**	**1,730,287**	**1,691,678**	**10,022,026**

GRI 305-4

CO_2e Emissions Intensity (Tons) KPI

SCOPE 1 (HISTORICAL)

CO_2e INTENSITY RATIO	2019	2020	2021	2022	2023
Total Fuel Consumption GJ*	17,554,760	17,408,732	17,732,140	17,709,543	18,198,730
Total Energy Consumption GJ	17,554,760	17,408,732	17,732,140	17,709,543	18,198,730
TPE (tons)	4,693,880	5,025,741	5,164,538	5,268,678	5,310,043
Ratio*	**3.74**	**3.46**	**3.43**	**3.36**	**3.43**

*Only Vehicles & Stationary Fuels included from 2019 - 2022
*Vehicles, Stationary Fuels, Wastewater & Refrigerants included in 2023

SCOPE 1 (HISTORICAL)
CO_2e Emissions (Ton) KPI

CO_2e INTENSITY RATIO	2019	2020	2021	2022	2023
Total CO_2e Emissions (tons)	1,082,002	1,065,703	1,086,099	1,089,697	1,141,473
TPE	4,693,880	5,025,741	5,164,538	5,268,678	5,310,043
Ratio	**0.23**	**0.21**	**0.21**	**0.20**	**0.21**

*Only Vehicles & Stationary Fuels included from 2019 - 2022
*Vehicles, Stationary Fuels, Wastewater & Refrigerants included in 2023

SCOPE 1 (2023)

CO_2e INTENSITY RATIO	Mexico	North America	Latin America	Europe, Asia, and Africa	GB
Total CO_2e Emissions (Tons)	553,316.37	323,433.33	117,652.73	138,334.31	1,132,736.74
TPE	1,657,641.46	1,917,150.47	708,317.93	1,026,933.58	5,310,043.44
Ratio	**0.33**	**0.17**	**0.17**	**0.13**	**0.21**

*Only Vehicles & Stationary Fuels included from 2019 - 2022
*Vehicles, Stationary Fuels, Wastewater & Refrigerants included in 2023

SCOPE 2 (HISTORICAL)

CO_2e INTENSITY RATIO	2019	2020	2021	2022	2023
Total CO_2e Emissions (Tons)	332,963	198,346	128,019	61,393	36,575
TPE	4,693,880	5,025,741	5,164,538	5,268,678	5,310,043
Ratio	0.07	0.04	0.02	0.01	0.01

SCOPE 2 (2023)

CO_2e INTENSITY RATIO	Mexico	North America	Latin America	Europe, Asia, and Africa	GB
Total CO_2e Emissions (Tons)	-	12,428.12	2,438.71	17,898.43	32,765.26
TPE	1,657,641.46	1,917,150.47	708,317.93	1,026,933.58	5,310,043.44
Ratio	0.00	0.01	0.00	0.02	0.01

SCOPE 3 (HISTORICAL)

CO_2e INTENSITY RATIO	2019	2020	2021	2022	2023
Total CO_2e Emissions (Tons)	475,967	457,930	516,169	540,588	8,843,977
TPE	4,693,880	5,025,741	5,164,538	5,268,678	5,310,043
Ratio	0.10	0.09	0.10	0.10	1.67

*Scope 3 only considers third party vehicles from 2019 to 2022
*Scope 3 includes all categories that apply for Grupo Bimbo in 2023

SCOPE 3 (2023)

CO_2e INTENSITY RATIO	Mexico	North America	Latin America	Europe, Asia, and Africa	GB
Total CO_2e Emissions (Tons)	2,968,785	2,700.099	1,654,849	1,200,319	8,843,977
TPE	1,657,641	1,917,150	708,318	1,026,934	5,310,043
Ratio	1.75	1.41	2.34	1.17	1.67

SCOPE 1, 2 & 3 (HISTORICAL)

CO_2e INTENSITY RATIO	2019	2020	2021	2022	2023
Total CO_2e Emissions (Tons)	1,890,932	1,721,980	1,730,287	1,691,678	10,022,026
TPE	4,693,880	5,025,741	5,164,538	5,268,678	5,310,043
Ratio	0.40	0.34	0.34	0.32	1.89

*Scope 3 only considers third party vehicles from 2019 to 2022
*Scope 3 includes all categories that apply for Grupo Bimbo in 2023

SCOPE 1, 2 & 3 (2023)

CO_2e INTENSITY RATIO	Mexico	North America	Latin America	Europe, Asia, and Africa	GB
Total CO_2e Emissions (Tons)	3,469,738	3,033,028	1,776,881	1,362,453	10,022,026
TPE	1,657,641	1,917,150	708,318	1,026,934	5,310,043
Ratio	**2.08**	**1.58**	**2.51**	**1.33**	**1.89**

INDICATORS* (HISTORICAL)

	2019	2020	2021	2022	2023
Electric energy (kwh/TPE)	301	282	282	281	297
Thermal energy (Gcal/TPE)	0.54	0.52	0.52	0.52	0.54

INDICATORS* (2023)

	Mexico	North America	Latin America	Europe, Asia, and Africa	GB
Electric energy (kwh/TPE)	242	331	323	302	297
Thermal energy (Gcal/TPE)	0.63	0.52	0.47	0.47	0.54

*Only from factories
**In the verification process by Carbon Trust, so there could be a slight variation vs. what has been reported in previous years.

GRI 305-7

Nitrogen oxides (NOX), sulfur oxides (SOX), and other significant air emissions

NOX, SOX, COVs, PM10, PM2.5	Mexico	North America	Latin America	Europe, Asia, and Africa	GB
NOX (kg)	177,930	165,993	36,917	242,252	623,092
SOX (kg)	1,068	1,049	221	1,4534	3,792
COVs (kg)	9,786	9,616	2,030	13,324	34,757
PM10 (kg)	13,523	13,288	2,806	18,411	48,027
PM2.5 (kg)	13,523	13,288	2,806	18,411	48,027

WASTE

306-3 Waste generated,

306-4 Waste diverted from disposal,

306-5 Waste directed to disposal

WASTE GENERATED (METRIC TONS)	2019	2020	2021	2022	2023
Recyclable	296,903	339,160	361,319	383,864	375,217
Non Recyclable	18,093	18,300	17,882	13,805	10,943
Hazardous*	2,440	1,044	1,089	1,272	560
Recycled**	291,602	326,741	351,081	376,395	386,852
Total	317,436	358,594	380,289	398,941	406,865
% Recycled	92%	91%	92%	94%	95%

*All hazardous waste is recycled and managed in accordance with the legislation of each country in which we operate.
**Recyclable waste effectively recycled

FOOD LOSS AND WASTE	Total Quantity
a) Total weight of all food loss and waste	471.033
b) Total weight of food loss and volumes of waste used for alternative purposes	470.169
c) Total discarded (a - b)	864.01
d) Food loss and waste intensity	0.016%
e) Coverage is reported throughout the entire value chain	86%

NAME	DEFINITION
recyclables	waste that can be recycled
non-recyclables	waste that cannot be recycled
hazardous	waste that can have a negative impact on the environment
recycled	all recycled waste (hazardous and non-hazardous)
total	total waste generated (recyclables, non-recyclables, hazardous, and special handling)

Index GRI

Global Reporting Initiative

Index
GRI

GRI Standard	Content	Answer in table, omission and/or clarification	Page
Grupo Bimbo, S.A.B. de C.V. has prepared this report in accordance with the GRI Standards from January 1, 2023 to December 31, 2023.			
GRI 1: FOUNDATIONS 2021			
GRI 2: GENERAL DISCLOSURES 2021			
1. The organization and its reporting practices			
GRI 2 GENERAL DISCLOSURES 2021	2-1	Organizational details	9-10, 14-15
	2-2	Entities included in the organization's sustainability reporting	294
	2-3	Reporting period, frequency and contact point	294
	2-4	Restatements of information	294
	2-5	External assurance	294
2. Activities and workers			
GRI 2 GENERAL DISCLOSURES 2021	2-6	Activities, value chain and other business relationships	9-10, 14-15
	2-7	Employees	90, 253, 257-258
	2-8	Workers who are not employees	90, 257-258

GRI Standard		Content	Answer in table, omission and/or clarification	Page
3. Governance				
GRI 2 GENERAL DISCLOSURES 2021	2-9	Governance structure and composition		210-212
	2-10	Nomination and selection of the highest governance body		210-211
	2-11	Chair of the highest governance body		210-212
	2-12	Role of the highest governance body in overseeing the management of impacts		210, 222-228, 234
	2-13	Delegation of responsibility for managing impacts		210, 222-228, 234
	2-14	Role of the highest governance body in sustainability reporting		228
	2-15	Conflicts of interest		192, 238, 241, 243
	2-16	Communication of critical concerns		243, 248
	2-17	Collective knowledge of the highest governance body		215-219
	2-18	Evaluation of the performance of the highest governance body		
	2-19	Remuneration policies		
	2-20	Process to determine remuneration		
	2-21	Annual total compensation ratio		107, 253
4. Strategy, policies and practices				
GRI 2 GENERAL DISCLOSURES 2021	2-22	Statement on sustainable development strategy		11-13
	2-23	Policy commitments		50, 54-56, 92, 100, 111, 157, 159, 169, 175-176, 180-181, 188, 193, 196-197, 220, 238-241, 250
	2-24	Embedding policy commitments		55, 100, 157, 176, 183, 193, 196-197, 220, 238-239, 241, 245, 248
	2-25	Processes to remediate negative impacts		170, 243
	2-26	Mechanisms for seeking advice and raising concerns		243
	2-27	Compliance with laws and regulations		31, 33, 37, 39-40, 53, 159, 163, 167, 179, 241, 246, 256
	2-28	Membership associations		30, 125, 157, 184, 196, 251, 256

GRI Standard		Content	Answer in table, omission and/or clarification	Page
5. Stakeholder engagement				
GRI 2: GENERAL DISCLOSURES 2021	2-29	Approach to stakeholder engagement		58, 196, 221
	2-30	Collective bargaining agreements		175
GRI 3: MATERIAL TOPICS 2021				
GRI 3: MATERIAL TOPICS 2021	3-1	Process to determine material topics		229
	3-2	List of material topics		230-231
	3-3	Management of material topics		232
GRI 200 ECONOMIC STANDARDS				
GRI 201 Economic Performance 2016	201-1	Direct economic value generated and distributed		16-20
	201-2	Financial implications and other risks and opportunities due to climate change		227
	201-3	Defined benefit plan obligations and other retirement plans	It is very important for us to accompany those associates who are about to leave the company and to support them in their transition process. We develop orientation courses that facilitate them with this process, either towards continued employability or towards a future dedicated to enjoying the personal and family aspects of their lives. The programs we have for them are: • A Healthy Financial Future: Aimed at all associates up to the age of 54. • Let's Talk About My Future: Aimed at associates between 55 and 59 years of age. • Life Plan: Dedicated to all associates aged 60 and over. • 60 years of age or older.	Answer in table
	201-4	Financial assistance received from government	N/A	Answer in table
GRI 202 Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage		107
	202-2	Proportion of senior management hired from the local community		90, 259
GRI 203 Indirect Economic Impacts 2016	203-1	Infrastructure investments and services supported		78, 81-82, 87, 159
	203-2	Significant indirect economic impacts		74-79, 82-88, 120, 159
GRI 204 Procurement Practices 2016	204-1	Proportion of spending on local suppliers		179

GRI Standard		Content	Answer in table, omission and/or clarification	Page
GRI 205 Anti-corruption 2016	205-1	Operations assessed for risks related to corruption		249
	205-2	Communication and training about anti-corruption policies and procedures		178, 244-245, 256
	205-3	Confirmed incidents of corruption and actions taken		244, 256
GRI 206 Anti-competitive Behavior 2016	206-1	Legal actions for anti-competitive behavior, anti-trust, and monopoly practices		250
GRI 207 Tax 2019	207-1	Approach to tax	Please refer to the Financial Report of this Integrated Annual Report.	Answer in table
	207-2	Tax governance, control, and risk management		
	207-3	Stakeholder engagement and management of concerns related to tax		
	207-4	Country-by-country reporting		
GRI 300 ENVIRONMENTAL STANDARDS				
GRI 301 Materials 2016	301-1	Materials used by weight or volume		254, 269
	301-2	Recycled input materials used		122
	301-3	Reclaimed products and their packaging materials	The waste reported corresponds to post-consumption waste. Our packaging cannot be reused, so we do not have this data.	Answer in table
GRI 302 Energy 2016	302-1	Energy consumption within the organization		269
	302-2	Energy consumption outside of the organization		270
	302-3	Energy intensity		272
	302-4	Reduction of energy consumption		144-145
	302-5	Reductions in energy requirements of products and services		138, 144-145
GRI 303 Water and Effluents 2018	303-1	Interactions with water as a shared resource		133-135
	303-2	Management of water discharge- related impacts		133-136
	303-3	Water withdrawal		136, 254, 273
	303-4	Water discharge		136, 254, 273
	303-5	Water consumption		136, 254, 273

GRI Standard		Content	Answer in table, omission and/or clarification	Page
GRI 304 Biodiversity 2016	304-1	Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	N/A	255
	304-2	Significant impacts of activities, products and services on biodiversity		157
	304-3	Habitats protected or restored		157
	304-4	IUCN Red List species and national conservation list species with habitats in areas affected by operations	N/A	Answer in table
GRI 305 Emissions 2016	305-1	Direct (Scope I) GHG emissions		139, 277
	305-2	Energy indirect (Scope 2) GHG emissions		139, 277
	305-3	ther indirect (Scope 3) GHG emissions		139, 277
	305-4	GHG emissions intensity		278-280
	305-5	Reduction of GHG emissions		138
	305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions		280
GRI 306 Waste 2020	306-1	Waste generation and significant waste-related impacts		122-126, 128, 255
	306-2	Management of significant waste- related impacts		122-126, 128, 255
	306-3	Waste generated		127, 281
	306-4	Waste diverted from disposal		127, 281
	306-5	Waste directed to disposal		127, 281
GRI 308 Supplier Environmental Assessment 2016	308-1	New suppliers that were screened using environmental criteria		124, 146, 152, 156
	308-2	Negative environmental impacts in the supply chain and actions taken		124, 146, 150-152

GRI Standard		Content	Answer in table, omission and/or clarification	Page
GRI 400 SOCIAL STANDARDS				
GRI 401 Employment 2016	401-1	New employee hires and employee turnover		101, 259-264
	401-2	Benefits provided to full-time employees that are not provided to temporary or part- time employees		107-109
	401-3	Parental leave		107-108, 253
GRI 403 Occupational Health and Safety 2018	403-1	Occupational health and safety management system		110, 254, 266-267
	403-2	Hazard identification, risk assessment, and incident investigation		110-111
	403-3	Occupational health services		110, 116
	403-4	Worker participation, consultation, and communication on occupational health and safety	For Grupo Bimbo is important to know first-hand the efficiency of our safety and wellness strategies; to this end, we periodically carry out consultations called “pulses”, which allow us to receive feedback from our associates and identify areas of opportunity for improvement and even detect the need to create new initiatives.	110, 114
	403-5	Worker training on occupational health and safety		110, 112, 253, 265
	403-6	Promotion of worker health		110, 113-119
	403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships		74, 89, 110-111
	403-8	Workers covered by an occupational health and safety management system	Grupo Bimbo's health and safety management system covers 100% of its operations and workforce.	110, 253
	403-9	Work-related injuries		110-111, 253, 266
	403-10	Work-related ill health		254, 266-267

GRI Standard		Content	Answer in table, omission and/or clarification	Page
GRI 404 Training and Education 2016	404-1	Average hours of training per year per employee		101-102, 105
	404-2	Programs for upgrading employee skills and transition assistance programs		102
	404-3	Percentage of employees receiving regular performance and career development reviews		105
GRI 405 Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees		90-91, 95, 211, 254, 267-268
	405-2	Ratio of basic salary and remuneration of women to men		97
GRI 406 Non-discrimination 2016	406-1	Incidents of discrimination and corrective actions taken		243, 254
GRI 407 Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk		175, 240
GRI 408 Child Labor 2016	408-1	Operations and suppliers at significant risk for incidents of child labor		174, 240
GRI 409 Forced or Compulsory Labor 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labor		175, 240
GRI 410 Security Practices 2016	410-1	Security personnel trained in human rights policies or procedures	N/A	Answer in table
GRI 411 Rights of Indigenous Peoples 2016	411-1	Incidents of violations involving rights of indigenous peoples	N/A	Answer in table
GRI 413 Local Communities 2016	413-1	Operations with local community engagement, impact assessments, and development programs		76-88, 159
	413-2	Operations with significant actual and potential negative impacts on local communities	N/A	Answer in table
GRI 414 Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria		177
	414-2	Negative social impacts in the supply chain and actions taken		177

GRI Standard		Content	Answer in table, omission and/or clarification	Page
GRI 415 Public Policy 2016	415-1	Political contributions		251, 256
GRI 416 Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories		24-25, 44-45, 61, 252
	416-2	Incidents of non-compliance concerning the health and safety impacts of products and services		25, 252
GRI 417 Marketing and Labeling 2016	417-1	Requirements for product and service information and labeling		39-40, 50
	417-2	Incidents of non-compliance concerning product and service information and labeling		52-53
	417-3	Incidents of non-compliance concerning marketing communications		49
GRI 418 Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data		226

FPI
sector disclosures

GRI Standard	Content	Answer in table, omission, clarification and/or page
Procurement/Sourcing		
FPI	Percentage of purchased volume from suppliers compliant with company's sourcing policy	180, 185, 190
FP2	Percentage of purchased volume from suppliers compliant with company's sourcing policy	30, 163, 167, 174, 179, 181
FP3	Percentage of purchased volume from suppliers compliant with company's sourcing policy	254
Society		
Former FP4	Nature, scope and effectiveness of any programs and practices (in-kind contributions, volunteer initiatives, knowledge transfer, partnerships and product development) that promote access to healthy lifestyles; the prevention of chronic disease; access to healthy, nutritious and affordable food; and improved welfare for communities in need	24-25, 57, 60, 63, 83, 85-86, 88, 113-114, 252
Animal Welfare		
FP9	Percentage and total of animals raised and/or processed, by species and breed type	N/A
FP10	Policies and practices, by species and breed type, related to physical alterations and the use of anaesthetic	N/A
FP11	Percentage and total of animals raised and/ or processed, by species and breed type, per housing type	N/A
FP12	Policies and practices on antibiotic, anti-inflammatory, hormone, and/or growth promotion treatments, by species and breed type	N/A
Customer Health and Safety		
FP5	Percentage of production volume manufactured in sites certified by an independent third party according to internationally recognized food safety management system standards	167, 255
FP6	Percentage of total sales volume of consumer products, by product category, that are lowered in saturated fat, trans fats, sodium and added sugars	252
FP7	Percentage of total sales volume of consumer products, by product category, that contain increased nutritious ingredients like fiber, vitamins, minerals, phytochemicals or functional food additives	44-45, 252
FP8	Policies and practices on communication to consumers about ingredients and nutritional information beyond legal requirements	24-25, 39-40, 49, 56, 63
G4-PR1	Percentage of significant product and service categories for which health and safety impacts are assessed for improvement	36-37, 44-45

SASB:
Alimentos Procesados

GRI Standard	Content	Answer in table, omission, clarification and/or page
Energy Management		
FB-PF-130a.1.	Total amount of energy consumed (gigajoules, GJ) | includes energy purchased from external sources and energy produced by the entity itself. Percentage of energy consumed that comes from the electricity grid. Percentage of energy consumed that is renewable energy | includes fuel consumed by the entity, renewable energy produced directly and purchased by the entity.	N/A
Water Management		
FB-PF-140a.1.	Amount of water withdrawn from any source (thousands of cubic meters). Amount of water withdrawn at locations with high or extremely high initial water stress as a percentage of total water withdrawn.	133, 136, 255
FB-PF-140a.2.	Total number of instances of non-compliance, including violations of technology-based standards and instances of exceeding quantity or quality-based standards.	N/A
FB-PF-140a.3.	Description of water management risks associated with abstraction, consumption, and discharge of water or wastewater. Short- and long-term strategies to mitigate water management risks (whether the target is absolute or intensity-based, efficiency initiatives and innovations, tools and technologies applied.	133-135
Food Safety		
FB-PF-250a.1.	Non-compliance rates of your facilities with Global Food Safety Initiative (GFSI) recognized food safety certification programs. Corrective action rates associated with your facilities and major and minor non-conformities.	163, 167
FB-PF-250a.2.	Percentage of ingredients sourced from Tier I supplier facilities (suppliers that transact directly with the entity) that are certified by a GFSI-recognized food safety certification program | does not include packaging materials or other goods and inputs that do not seal food or ingredients.	163, 167, 255
FB-PF-250a.3.	Total number of violation notifications received that justify violation of advisory and administrative codes, statute or other requirements related to food safety. Corrected percentage of notifications received that are food safety related.	N/A
FB-PF-250a.4.	Total number of food safety-related product recalls (refers to the recall of a marketed product when there is reason to believe that a food could make consumers ill. Total quantity (metric tons) of food products subject to a recall.	168, 171

GRI Standard	Content	Answer in table, omission, clarification and/or page
Health & Nutrition		
FB-PF-260a.1.	Total revenues from sales of those products whose labeling or marketing is focused on promoting health and nutrition attributes	N/A
FB-PF-260a.2.	Analysis of the process of identification and management of products and ingredients related to nutritional and health concerns of consumers.	28-29, 32
Product Labelling & Marketing		
FB-PF-270a.1.	Percentage of advertisements targeted to children (defined as children under 12 years of age, through media such as: television, radio, internet, press, video games, etc.). Percentage of advertisements targeted to children that promote products that meet the CFBAI unified nutritional criteria.	49, 54
FB-PF-270a.2.	Revenues from products sold during the reporting period that are labeled as containing genetically modified organisms (GMOs), and separately as non-GMO.	N/A
FB-PF-270a.3.	Total number of confirmed incidents of non-compliance with regulatory codes, laws or other labeling or marketing requirements.	N/A
FB-PF-270a.4.	Total amount of monetary losses incurred during the reporting period as a result of legal proceedings related to marketing or labeling practices.	N/A
Packaging Lifecycle Management		
FB-PF-410a.1.	Total weight of packaging purchased by the entity, in metric tons. Percentage of packaging, by weight, made from recycled or renewable materials. Percentage of packaging by weight that is recyclable, reusable, or compostable.	N/A
FB-PF-410a.2.	Strategies to reduce the environmental impact of packaging throughout its life cycle, such as optimizing the weight and volume of packaging for a given application, or the use of alternative materials that are recycled, recyclable, reusable or compostable. Environmental and social impacts of the ingredient supply chain	121-125, 127
Environmental & Social Impacts of Ingredient Supply Chain		
FB-PF-430a.1.	Percentage of food ingredients supplied that are certified to a third party environmental or social standard.	156, 166-168, 179, 181
FB-PF-430a.2.	Rate of non-compliance of suppliers' facilities with external social and environmental auditing standards or suppliers' own internally developed codes of conduct. Rate of corrective actions associated with suppliers' facilities.	N/A
Ingredient Sourcing		
FB-PF-440a.1.	Percentage of food ingredients from regions with high or extremely high initial water stress.	N/A
FB-PF-440a.2.	List of priority food ingredients for the business. Strategic approach to managing environmental and social risks arising from your highest priority food ingredients.	N/A

Independent Limited Assurance Report on Key Sustainability Performance Indicators (Non-Financial Information)

To the Board of Directors of Corporativo Bimbo, S. A. de C. V.:

We were engaged by the Management of Corporativo Bimbo, S. A. de C. V. (hereinafter "Bimbo") to report in the form of an independent conclusion of limited assurance on Key Sustainability Performance Indicators (Non-Financial Information) prepared and presented by Bimbo's Global Research and Development Direction and Global Sustainability Direction, that are detailed in the Annex A attached to this report (the "Indicators"), and have been included in Bimbo's Annual Report 2023 ("the Report") for the period from January 1 to December 31, 2023.

MANAGEMENT'S RESPONSIBILITIES

Bimbo's Global Research and Development Direction and Global Sustainability Direction are responsible for the preparation and presentation of the Indicators included in the Annex A of this report, in accordance with the standards of the Global Reporting Initiative (GRI) and Bimbo's "Best Nutritional Profiles" Guidelines (jointly, the "Criteria"); as well as the information included in them, and to establish and maintain appropriate internal control systems from which the information subject to our review is derived.

Management of Bimbo is responsible for preventing and detecting fraud, and for identifying and ensuring that Bimbo complies with the laws and regulations applicable to its activities.

Bimbo's Global Research and Development Direction and Global Sustainability Direction are also responsible for ensuring that the personnel involved in the preparation and presentation of the Indicators are properly trained, information systems are properly updated and that any changes in the presentation of data and/or in the form of reporting, encompass all significant reporting units.

OUR RESPONSIBILITIES

Our responsibility is to carry out a limited assurance engagement and express an independent conclusion of limited assurance based on the work performed and evidence obtained. We conducted our engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000, "Assurance Engagements Other than Audits or Reviews of Historical Financial Information," issued by International Auditing and Assurance Standards Board, this standard requires that we plan and perform our procedures to obtain a limited assurance regarding whether, based on our work and the evidence obtained, nothing has come to our attention that causes us to believe that the Indicators contained in the Report for the period from January 1 to December 31, 2023, are not presented, in all material respects, in accordance with the Criteria.

KPMG Cárdenas Dosal, S. C. ("the firm") applies International Standard on Quality Management 1 and, therefore, maintains a comprehensive system of quality management, including policies and procedures on compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

We have complied with the independence and other ethical requirements of the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants, (including International Independence Standards) (IESBA Code), which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behavior.

The procedures selected depend on our knowledge and experience of the Indicators and other engagement circumstances, and our consideration of the areas in which material errors may occur.

When obtaining an understanding of the Indicators, contained in the Report, and other work circumstances, we have considered the process used to prepare and present the Indicators, in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing a conclusion as to the effectiveness of Bimbo's internal control over the preparation of the Indicators presented in the Report.

Our engagement also includes assessing the appropriateness of the main subject, the suitability of the criteria used by Bimbo in the preparation and presentation of the Indicators, assessing the appropriateness of the methods, policies, and procedures, as well as models used.

The procedures performed in a limited assurance engagement vary in nature, timeliness, and scope than in a reasonable assurance engagement, and consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained in the case of a reasonable assurance engagement.

CRITERIA

The criteria on which the preparation of the Key Sustainability Performance Indicators has been evaluated refer to the established requirements in the GRI and Bimbo's "Best Nutritional Profiles" Guidelines.

CONCLUSION

Our conclusion has been formed on the basis of, and is subject to, the matters outlined in this report.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusions.

Based on our review and the evidence obtained, nothing has come to our attention that causes us to believe that the Key Sustainability Performance Indicators detailed in the Annex A attached to this assurance report, prepared by Bimbo's Global Research and Development Direction and Global Sustainability Direction and contained in the Bimbo's Annual Report 2023, are not prepared in all material aspects, in accordance with the Criteria for the period from January I to December 31, 2023.

RESTRICTION OF USE OF OUR REPORT

Our report should not be regarded as suitable to be used or relied on by any party to acquire rights against us other than the Board of Director and Bimbo's Global Research and Development Direction and Global Sustainability Direction for any purpose or in any other context. Any party other than the Board of Directors and Bimbo's Global Research and Development Direction and Global Sustainability Direction who obtains access to our report or a copy thereof and chooses to rely on our report (or any part thereof) will do so at its own risk. To the extent permitted by law, we do not accept or assume any responsibility and disclaim any liability to any party other than Bimbo for our work, for this independent limited assurance report, or for the conclusions we have reached.

KPMG CÁRDENAS DOSAL, S. C.

Joaquin Alejandro Aguilera Dávila
Partner
Mexico City, July 01, 2024

Annex A

The indicators considered as the underlying subject matter of our assurance engagement are the following:

Standard		Content	Indicator
"GRI 301 Materials 2016"	301-1	Materials used by weight or volume	· Percentage of renewable materials (paper and carboard) used for packaging · Percentage of non-renewable materials (plastics) used for packaging
	301-2	Recycled input materials used	· Percentage of renewable packaging that comes from recycled or certified sources
	301-3	Reclaimed products and their packaging materials	· Tons of recovered packaging by post-consumer programs
“GRI 303 Water and effluents 2018”	303-1	Interactions with water as a shared resource	· Description
	303-2	Management of water discharge-related impacts	· Description
	303-3	Water withdrawal	· Megaliters of water withdrawal, by source · Megaliters of water withdrawal in areas with water stress, by source
“GRI 306 Waste 2020”	306-1	Waste generation and significant waste- related impacts	· Description
	306-2	Management of significant waste-related impacts	· Description
	306-3	Waste generated	· Tons of waste generated, by type
	306-4	Waste diverted from disposal	· Tons of waste diverted from disposal, by type and recovery operation
	306-5	Waste directed to disposal	· Tons of waste directed to disposal, by type and disposal operation
“GRI 416 Customer Health and Safety 2016”	416-1	Assessment of the health and safety impacts of product and service categories	· Description
"GRI 3-3 Management of material impacts"	FP6	Percentage of total sales volume of consumer products, by product category, that are lowered in saturated fat, trans fats, sodium and added sugars	· Percentage of compliance in daily consumption products (SKU in Compliance/Total SKUs) by nutrient
	FP6	Percentage of total sales volume of consumer products, by product category, that are lowered in saturated fat, trans fats, sodium and added sugars	· Percentage of compliance in daily consumption products (SKU in Compliance/Total SKUs) · Percentage of sales that come from food with ≥3.5 stars per the HSR standard
	FP7	Percentage of total sales volume of consumer products, by product category, that contain increased nutritious ingredients like fiber, vitamins, minerals, phytochemicals, or functional food additives	· Percentage of compliance in daily consumption products (SKU in Compliance/Total SKUs) · Percentage of sales that come from food with ≥3.5 stars per the HSR standard

Standard		Content	Indicator
"Best Nutritional Profiles"	Goal 1	100% of our daily consumption portfolio will comply with our internal guidelines, Nutritional Guidelines 2023 on maximum sodium, saturated and trans fatty acids, and added sugar content"	· Percentage progress vs. goal
	Goal 2	100% of our daily consumption portfolio will be free from artificial colors and flavors included in our guide Nutritional Guidelines 2023.	· Percentage progress vs. goal
	Goal 3	100% of our specialty grain breads and buns meet our positive nutrition parameters Health Star Rating System (HSR) included in our guide Nutritional Guidelines 2023.	· Percentage progress vs. goal
	Goal 4	100% of daily portfolio of breads, buns and breakfast that has simple and natural recipes (free of ingredients negatively perceived by the consumer listed in our Nutritional Guidelines 2023.)	· Percentage progress vs. goal
	Goal 5	100% of daily portfolio of breads, buns and breakfast that has positive nutrition (consider the score of 0.5 to 5 stars based on the Health Star Rating System (HSR) that evaluates positive and risk nutrients in foods included in our Nutritional Guidelines 2023 guide.), the formula used is as follows: Final HSR score = HSR baseline points - (HSR V points) - (HSR P points if elegible) - (HSR F points if elegible)	· Percentage progress vs. goal
	Goal 6	90% of daily portfolio of white breads, buns and breakfasts that have 2g or more of fiber in 100g included in our Nutritional Guidelines 2023.	· Percentage progress vs. goal
	Goal 7	100% of top-selling products in the occasional portfolio that meet any of the following: - limit of saturated fats, trans fats, added sugars and sodium - portion controlled - positive nutrition and/or free of artificial flavors and colors - significant reduction of critical nutrient (>= 25%) included in our Nutritional Guidelines 2023.	· Percentage progress vs. goal
	Goal 8	100% of portfolio that contains equal to or less than 2g industrial trans fats/100g total fats.	· Percentage progress vs. goal
	Goal 9	100% of portfolio that does not have partially hydrogenated fats and/or oils	· Percentage progress vs. goal

GRI 2-1, 2-2, 2-3, 2-4, 2-5

about this report

THE PURPOSE OF THIS ANNUAL REPORT IS TO SHARE THE FULFILLMENT OF OUR CORPORATE PURPOSE WITH OUR STAKEHOLDERS THROUGH THE ACHIEVEMENTS AND PROGRESS WE MADE, WHICH WERE GUIDED BY OUR BUSINESS AND SUSTAINABILITY STRATEGY.

This report contains Grupo Bimbo's overall economic, social, environmental, and financial results for the period from January 1 to December 31, 2023. The last report was issued for the same period corresponding to 2022.

It has been prepared in accordance with:

- GRI Standards (Global Reporting Initiative),
- Sustainability Accounting Standards Board (SASB) reporting framework,
- Information requested by the Mexican Stock Exchange through S&P Global to be part of the Sustainable Index,
- Information obtained in response to requests about our material topics and stakeholders,
- The United Nations Global Compact's 10 Principles and 17 Sustainable Development Goals.

Consistent with our principles of caring for the environment, we have prepared this document in digital format. For the 13th time, we report the results of our activities conducted in Mexico, North America, Latin America, Europe, Asia, and Africa. The information obtained from the areas specialized in different GRI indicators was submitted to an internal audit process to validate both qualitative and quantitative information. The financial information was submitted to an external verification process.

During this last period, there are no significant changes with respect to the previous periods reported in materiality and coverage. Data and information updated as of May 14, 2024.

Consolidated Financial **STATEMENTS**

GRUPO BIMBO, S.A.B. DE C.V. AND SUBSIDIARIES
Consolidated Financial Statements
December 31, 2023, 2022 and 2021

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Independent Auditor's Report

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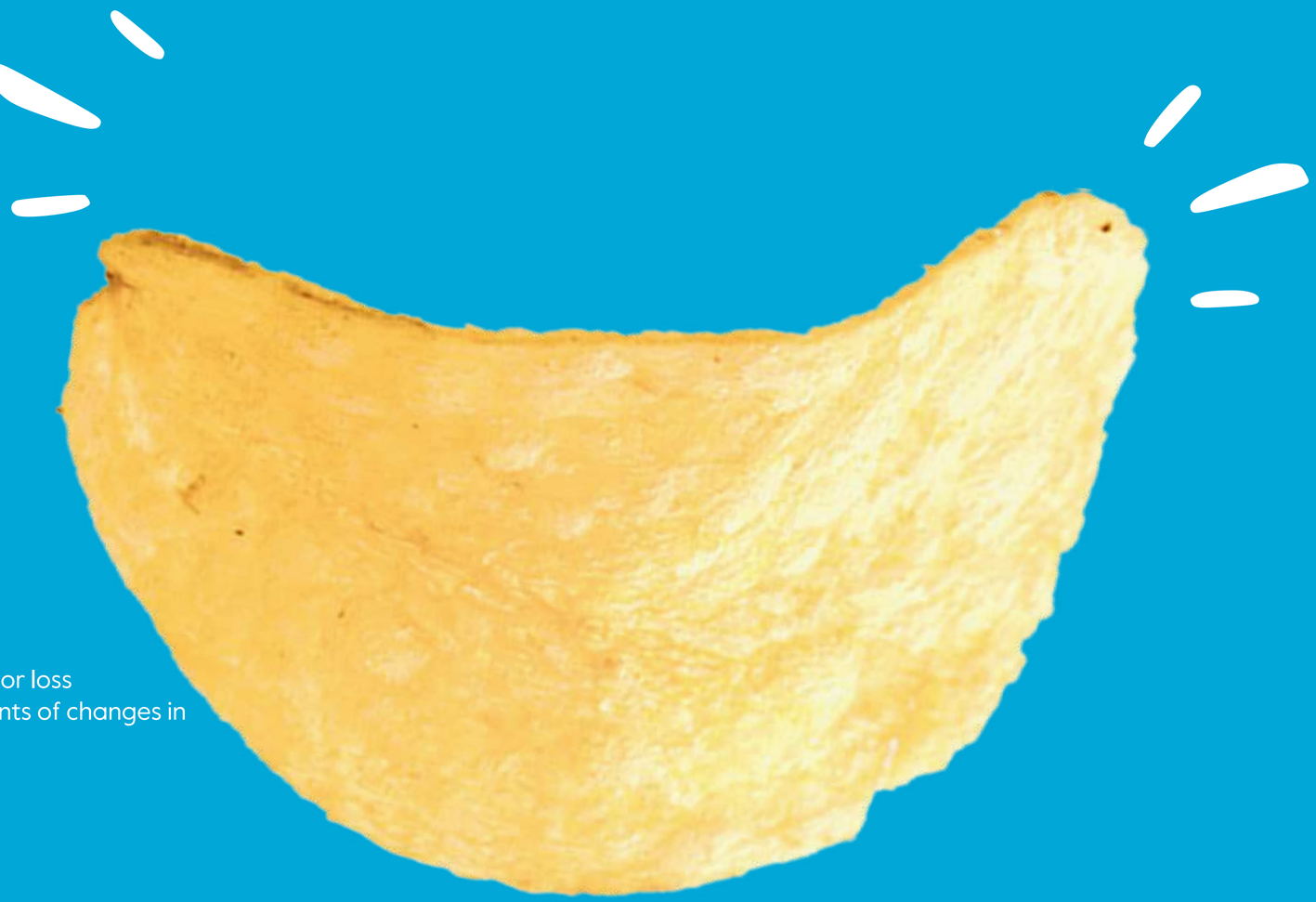

Independent auditor's report

To the Board of Directors and Shareholders o
f Grupo Bimbo, S.A.B. de C.V. and Subsidiaries

OPINION

We have audited the accompanying consolidated financial statements of Grupo Bimbo, S.A.B. de C.V. and Subsidiaries (the Company), which comprise the consolidated statement of financial position as of 31 December 2023, 2022 and 2021, and the consolidated statements of profit or loss, consolidated statements of other comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of Grupo Bimbo, S.A.B. de C.V. and Subsidiaries as of 31 December 2023, 2022 and 2021, and its consolidated results and cash flows for the years then ended in accordance with International Financial Reporting Standards (IFRS).

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and the ethical requirements that are relevant to our audit of the consolidated financial statements in Mexico in accordance with the Código de Ética Profesional del Instituto Mexicano de Contadores Públicos (IMCP Code), and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements as of December 31, 2023. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements" section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the accompanying consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

ASSESSMENT OF IMPAIRMENT IN THE VALUE OF GOODWILL AND INTANGIBLE ASSETS WITH INDEFINITE USEFUL LIVES

Description of key audit matter

As described in Notes 11 and 12 to the consolidated financial statements, the Company recognized goodwill and intangible assets of Ps. 117,101 million as of December 31, 2023. Impairment exists when the carrying amount of an asset or cash generating unit (CGU) exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. Goodwill and intangible assets with indefinite useful lives are tested for impairment annually at the cash generating unit level.

The analysis of impairment in the value of goodwill and intangible assets with indefinite useful lives was significant to our audit, since the value of such assets is significant with respect to the consolidated financial statements. In addition, the calculation of the recoverable value of the assets requires significant and complex judgements and estimates by management, that are sensitive to the weighted average cost of capital rate, the revenue growth rate and operating margins, which are affected by future economic and market conditions, particularly in emerging economies. In addition, the calculation of the recoverable amount is subject to the risk that the future cash flows used in the calculation may differ from the expected amounts, or the results may be different from the originally estimated values.

How our audit addressed the matter

Among other audit procedures applied, we involved our internal specialists to assist us in the assessment of the key assumptions and methods used by Company management in the impairment testing.

We also assessed the key assumptions used by management in preparing financial projections, primarily with regard to the annual revenue growth rates and projections of costs, along with other key assumptions used to prepare the impairment tests, and we compared them with publicly available information obtained from market participants, current and historical results and relevant industry trends.

We obtained the business plans that the Company used as a basis to determine its future cash flow estimates for the impairment testing of the CGUs within the audit scope.

We assessed the reasonableness of the disclosures included in the Company's consolidated financial statements.

BUSINESS COMBINATIONS

Description of the key audit matter

As described in Note I to the consolidated financial statements, in 2023 the Company's allocation of the purchase price among the net assets acquired in business combinations from prior years gave rise to an adjustment to the preliminary distribution of Ps. I74 million.

We consider that the definitive allocation of the purchase price in business combinations is a key audit matter due to the complexity of the key assumptions used in estimating the fair value of the assets acquired, determining the discount rate and measuring the assets identified as part of the transaction. The fair value determination is sensitive to assumptions used by management and financial projections, discount rates and other assumptions used in fair value measurement models.

How our audit addressed the matter

For business combinations carried out in 2023 for which the Company completed the definitive allocation of the purchase price among the net assets acquired, among other procedures, we involved our internal specialists to assist in the assessment of the key assumptions and methodology used by the Company management, primarily in determining the fair value of property, plant and equipment, and intangible assets with definite and indefinite useful lives.

We also assessed the key assumptions used by management, with regard to the annual growth rates and cost projections, along with other key assumptions used in measuring the fair value of intangible assets and we compared them with publicly available information obtained from market participants and relevant industry trends.

We obtained the business plans that the Company used as a basis to determine its future cash flow estimates for the fair value measurement of intangible assets.

We assessed the reasonableness of the disclosures regarding the Company's business combinations in the consolidated financial statements.

Other information included in the Company's 2023 annual report

Management is responsible for the other information. The other information comprises the information included in the annual report filed with the National Banking and Securities Commission (the CNBV by its acronym in spanish) and the annual report submitted to the shareholders, but does not include the consolidated financial statements and our auditor's report thereon. We expect to obtain the other information after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated, and in addition, we are required to issue our statement on the Annual Report required by the Commission. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the accompanying consolidated financial statements in accordance with IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISA, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner in charge of the audit resulting in this independent auditor's report is the undersigned.

Mancera, S.C.
Integrante de Ernst & Young Global Limited

C.P.C. Enrique Antonio García Camargo

20 March 2024
Mexico City, Mexico

Audit Committee Letters and Corporate Practices

To the Board of Directors of Grupo Bimbo, S.A.B. de C.V.

In my capacity as chairman of the Audit and Corporate Practices Committee (the “Committee”) of Grupo Bimbo, S.A.B. de C.V. (the “Company”), and in accordance with point e), section II of Article 42 of the Securities Market Act, I hereby present you the opinion of the Committee regarding the content of the report of the Chief Executive Officer regarding the financial situation and results of the Company for the year ended December 31, 2023.

In the opinion of the Committee, the accounting and information policies and criteria followed by the Company and used to prepare the consolidated financial information are appropriate and sufficient, and consistent with international financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial situation and results of the Company as of December 31, 2023 and for the year ended on that date.

Sincerely,

Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V..

Mexico City, March 20th, 2024

To the Board of Directors ofGrupo Bimbo, S. A. B. de C. V.

Dear members of the Board of Directors.
To comply with the “Ley del Mercado de Valores”, the charters of the Company and the Regulations of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V. ("the Group", "the Company", "the Society"), I submit to you the report of the activities carried out by the Audit and Corporate Practices Committee ("the Committee") during the year ended on December 31, 2023. During the development of our work, we kept in mind the recommendations established in the Code of Best Corporate Practices.

Based on the previously approved work program, the Committee met seven times in the year, and we vented the issues that we are legally bound by law and conduct the activities that I describe below:

INTERNAL CONTROL

We ensure that management has established the general guidelines on internal control as well as the necessary processes for its application and compliance, with the help of both Internal and External Auditors. Additionally, we followed up on the observations developed in this regard by both audit bodies in the performance of their work.

Those responsible for the Administration presented us with the action plans corresponding to the observations derived from the internal audits, in such a way that the contact with them was frequent and their responses satisfactory.
The Committee learned about the functions of the Global Internal Control and Risk Management Department during the year, who reported on the progress of the execution of control self-assessments, the implementation of the tool for declaring conflicts of interest in BBU and the progress of the regulatory compliance project related to properties at risk of closure due to regulatory permit deficiencies; as well as the alignment of the scenario simulation methodology with its crisis management manual. Finally, they reported on the progress of the Identity and Access (IAM) project, which is already functional and implemented in the operations of Mexico, BBU and Bimbo Canada.

CODE OF ETHICS

With the support of both Internal Audit and other instances of the company, we ensure the degree of compliance, by its staff, with the Code of Ethics in force in the Group.

We learned about the results and outstanding topics in the contact line for the Group's employees. The Administration let us know of the actions they took in such cases.

EXTERNAL AUDIT

We were in constant contact with the representative of the firm EY to follow up on the relevant matters and learn about the activities conducted during the year, in conjunction with the Company's Management. The audit of the consolidated financial statements as of December 31, 2023, was completed and the opinion was clean.

We approved the contract and fees for these services for the years 2023 and 2024, including those related to the additional fees for the growth of the Group and other permitted services. We ensured that such payments did not interfere with their independence.

The external auditors presented us, and the Committee approved, their approach and work program and the areas of interaction with the Group's Internal Audit Department.

The external auditors asked this committee about the knowledge of relevant fraud, complaints about financial information, concerns about transactions of related parties and/or knowledge of possible violations of laws or regulations, to which the Committee gave a negative answer to these questions.

We maintained direct and close communication with the external auditors, and they informed us quarterly of the progress of their work, the observations they had and we took note of their comments on the quarterly and annual financial statements. We learned in a timely manner its conclusions and reports on the annual financial statements.

We review the contents in a timely manner of the Communication prior to the issuance of the External Audit Report (or Report of the Independent Auditors) made in accordance with International Standards on Auditing on the Company's consolidated financial statements as of December 31, 2023 and for the year ended then, which have been prepared in accordance with International Financial Reporting Standard (hereinafter IFRS), issued by the Company's Independent External Auditor and legal representative of Mancera, S.C. (or EY Mexico), in order to comply with the provisions of Article 35 of the General Provisions Applicable to Entities and Issuers Supervised by the National Banking and Securities Commission that Contract External Audit Services of Basic Financial Statements (hereinafter Provisions, Single Circular of External Auditors or CUAE).

We evaluated the services provided by the firm of external auditors, corresponding to the year 2023 and we knew the preliminary financial statements in a timely manner.

INTERNAL AUDIT

The audit plan for 2024 was approved, corresponding to a total of 591 projects in 30 countries, which represents a 25% increase compared to the number of projects in 2023 and covers 22% of the auditable universe of Grupo Bimbo, which consists of 43% of the total bakeries and snacks, 37% of all distribution centers; 37% of all legal entities and 18% of all sales centers. To comply with the Audit Plan, the Management has 119 auditors and 10 trainees and the collaboration with PwC for a co-sourcing in India with 10 auditors.

At each session of this Committee, we receive and adopt periodic progress reports on the approved program of work. We followed up on the observations and suggestions made by Internal Audit and made sure that the administration solved the internal control deviations indicated, so we consider that the state of said system is reasonably correct.

We authorize the annual training plan for area personnel and ensure its effectiveness. Several firms of specialized professionals actively participate in this plan, in such a way that the topics covered keep the members of this function updated.

In accordance with compliance with the Standards for the Professional Practice of Internal Auditing, this Committee approved the update to the Internal Audit Charter of Grupo Bimbo, the Audit VP confirmed to the Committee the independence of the internal audit activity, there were no relevant risks assumed by the operation that this Committee had to know and the conflicts that currently occur with the auditors of the department and the Plan for its mitigation.

SECURITY

The Global Head of Security and Assets reported on major security developments during the year across organizations. Special attention is given in the countries of Mexico and the Central Latin American region.

BUSINESS TECHNOLOGY

The Global Business Technology Department presented the company's cybersecurity strategy, as well as the actions that have been taken to improve the group's security systems, which generated favorable comments from the committee.

We learned about the details of the cybersecurity incident that took place on April 5th, as well as the impacts, and the actions that were taken to safeguard the company are reported.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

Together with the persons responsible for the preparation of the quarterly and annual financial statements of the company, we knew about them, reviewed them, and recommended their approval to the Board of Directors and granted the authorization to be published. To carry out this process, we considered the opinion and observations issued by the external auditors.

The Committee approved, at the request of the Global Comptroller's Office, the company's accounting policies for the year 2023, which have not undergone significant changes compared to the year 2022. The only variations correspond to the change in the estimate of the useful life of wooden exhibitors in BBU from 2 to 5 years and the incorporation of Türkiye into the accounting model for hyperinflationary economies.

With the support of the internal and external auditors and in commenting on the financial statements, we ensure that the criteria, accounting policies and information used by Management to prepare financial information are adequate and sufficient and have been applied in a manner consistent with the prior period, considering the changes applicable both in the year and for the previous year, related to IFRS. Accordingly, the information presented by Management reasonably reflects the Company's financial position, results of operations, changes in stockholders' equity and cash flows.

COMPLIANCE WITH REGULATIONS AND LAWS THAT CAN BE MET WITH CONTINGENCIES

We ensure the existence and reliability of the internal controls established by the company to fully comply with the different legal provisions to which it is subject, making sure that they were adequately disclosed in the financial information. All the above with the support of internal and external auditors.

At the end of each quarter we reviewed the various fiscal, legal and labor contingencies existing in the company and we made sure that the procedure established to identify them was comprehensive and followed consistently, so that the Administration had the elements for its timely and adequate follow-up. The status and progress of activities related to cases that continue to be faced in various countries were reviewed.

The Global Fiscal Director presented the results of the evaluation of PwC as the global advisor on transfer pricing compliance, at the end of 5 years of work. Their functions will continue for one more year, however, as a result of the evaluation, important areas for improvement were identified that must be covered during this period of time to justify the renewal of their work as the main advisor on this subject. It is important to mention that KPMG is the transfer pricing advisor for the BQ business.

The Procurement Department presented its report on related suppliers that offer their services to Grupo Bimbo. In this report, the amounts, categories, and participation percentages of each one with the company were presented. It also comments on the exposure risks of Commodities where coverage is maintained between 4 and 18 months for the main products. For 2023, there is 98% coverage for wheat, 95% for oil, 99% for cocoa. Regarding wheat, there is only 7% coverage and it will be kept under closer observation due to the downward changes in future prices. The downward expectation is given in wheat and oil while increases are expected in sugar, cocoa, and natural gas.

The Global Chief Compliance Officer presented his annual report on progress and plans on training and compliance with the code of ethics, anti-corruption policy, and regulatory compliance.

The Global Insurance Department reported on the behavior of the cost in global insurance, in particular property insurance, cybersecurity, crime. Likewise, the global policy administration model was commented on in terms of the sufficiency of limits, definition of appetite, declaration of risk values and loss prevention actions.

The Global Institutional Relations Department reported the progress of the 'Comenta' complaint line in terms of the number of cases per Organization, the levels of complaint attention in Grupo Bimbo, the types of incidents and the average days of response also by Organization. Fraud risk processes were included in the case catalog and training in the processes of investigation and response of labor cases was reinforced.

The Global Quality and Food Safety Department commented on the evolution of the global strategy on this issue and its incorporation into the entire supply chain, as well as the formation of the new technical audit task force required to support the reviews between this new technical audit team and the work carried out by the internal audit department, with the purpose of increasing the frequency of visits and coverage of food safety risks in bakery factories and snacks.

The Global Corporate Affairs Department presented the resilience model for Grupo Bimbo, aligned with the maturity models of best practices in Business Continuity and Crisis Management such as ISO22301, which includes the design of new policies, governance model, risk analysis, strategy design, as well as its implementation and validation. Its objective is to strengthen Grupo Bimbo's response capacity and foster its resilience culture, by ensuring the organization's ability to effectively manage unexpected events, protect people, maintain the continuity of operations, and safeguard its reputation.
The Global Sustainability Department reported on the progress that has been made since 2020 in the strategy, specifically in the three segments that are: nutritional diversity (For you), improving people's lives (For life) and improving natural systems (For nature). From a quantitative point of view, there is a 92% progress with respect to the goals established for 2025. An important effort is being made to identify and communicate best practices in these areas to accelerate the impact of the benefits of the sustainability issue globally.

COMPLIANCE WITH OTHER OBLIGATIONS

We hold meetings with the VPs and officials of the Administration that we consider necessary to keep us informed of the progress of the Company and relevant and unusual activities and events.
We were aware of the significant issues that could involve possible breaches of the operating policies, internal control system and accounting record policies, likewise, we were informed about the corrective measures taken in each of them, finding them satisfactory.

We do not consider it necessary to request the support and opinion of independent experts because the issues discussed in each session were duly supported by the relative information and therefore the conclusions reached were satisfactory for the members of the Committee.

We conducted training on Artificial Intelligence from the perspective of corporate governance. It is mentioned that this is a very current and important topic and it is requested that we can continue discussing this topic later on.

OPERATIONS WITH STAKEHOLDERS

We review and recommend to the Board for approval, each and every one of the transactions with stakeholders that require approval by the Board of Directors for the year 2023, as well as the recurring transactions that are planned to be held during the year 2023 and that require approval by the Board of Directors.

MANAGEMENT EVALUATION

We review and recommend to the Board for approval, the evaluation of the management and remuneration of the CEO, as well as the VPs that make up the Executive Committee for the year 2023, previously reviewed and recommended by the Evaluation and Results Committee.

In my capacity as Chairman of the Audit and Corporate Practices Committee, I reported to the Board of Directors the activities that we carry out collegially within that entity.

The work we carried out was duly documented in the prepared minutes of each meeting, which were reviewed and approved in a timely manner by the members of the Committee.

Kind regards,

Edmundo Vallejo Ven gas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.

Consolidated statements of financial position

(Amounts in millions of Mexican pesos)

	Notes	December 31 2023	2022	2021
Assets				
Current assets:				
Cash and cash equivalents		$ 6,353	$ 12,313	$ 8,748
Trade receivables and other accounts receivable, net	5	33,269	32,185	27,170
Inventories	6	16,120	16,989	13,710
Prepaid expenses		1,378	928	2,296
Derivative financial instruments	17	119	38	1,293
Guarantee deposits for derivative financial instruments	17	1,519	879	-
Assets held for sale		156	138	194
Total current assets		58,914	63,470	53,411
Property, plant and equipment, net	8	129,156	113,505	103,891
Right-of-use assets, net	9	25,848	28,477	30,754
Investments in associates	10	5,031	4,398	3,891
Derivative financial instruments	17	468	2,005	1,962
Deferred income tax	16	7,313	3,962	7,861
Intangible assets, net	11	55,101	59,062	56,965
Goodwill	12	62,000	68,085	74,565
Other non-current assets, net		4,271	4,800	4,340
Total assets		$ 348,102	$ 347,764	$ 337,640
Liabilities and equity				
Current liabilities:				
Current portion of non-current debt	13	$ 12,932	$ 6,435	$ 10,625
Trade accounts payable		40,409	44,058	35,752
Other accounts payable and accrued liabilities	14	22,072	24,198	24,102
Current lease liabilities	9	5,751	5,930	5,793
Accounts payable to related parties	15	1,412	1,240	1,527
Current income tax	16	665	4,604	708
Statutory employee profit sharing		1,787	1,811	1,692
Derivative financial instruments	17	2,164	1,458	169
Other current liabilities	17	-	-	392
Total current liabilities		87,192	89,734	80,760

	Notes	December 31 2023	2022	2021
Non-current debt	13	97,003	77,619	82,230
Non-current lease liabilities	9	21,064	23,255	25,356
Derivative financial instruments	17	1,888	590	67
Employee benefits	18	7,217	9,382	30,712
Deferred income tax	16	9,224	7,575	7,087
Other non-current liabilities	19	12,886	12,007	9,822
Total liabilities		236,474	220,162	236,034
Equity:				
Capital stock	20	3,946	3,984	4,021
Retained earnings		118,718	111,486	73,384
Other equity financial instrument	20	-	8,098	8,867
Cumulative foreign currency translation effect from foreign operations		(13,832)	1,132	10,297
Remeasurements on defined benefit plans liability		734	1,152	696
Valuation of equity financial instrument		(857)	(690)	(742)
Unrealized (loss) gain on cash flow hedges	17	(387)	(1,051)	577
Controlling interest		108,322	124,111	97,100
Non-controlling interest		3,306	3,491	4,506
Total equity		111,628	127,602	101,606
Total liabilities and equity		$ 348,102	$ 347,764	$ 337,640

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated statements of profit or loss

(Amounts in millions of Mexican pesos, except for basic earnings per ordinary share in Mexican pesos)

	Notes	For the years ended December 31 2023	2022	2021
Continuing operations				
Net sales		$ 399,879	$ 398,706	$ 338,792
Cost of sales	21	194,369	193,325	157,703
Gross profit		205,510	205,381	181,089
General expenses:				
Distribution and selling		139,477	140,455	124,422
Administrative		25,860	26,172	23,147
Integration expenses		288	367	724
Other (income) expenses, net	22	4,430	(15,309)	216
	21	170,055	151,685	148,509
Operating profit		35,455	53,696	32,580
Comprehensive financing cost:				
Interest expense	23	10,006	8,049	7,823
Interest income		(809)	(740)	(363)
Foreign exchange (gain)/loss, net		1,323	995	538
(Gain) on monetary position		(73)	(34)	(25)
		10,447	8,270	7,973
Associates profit sharing	10	316	452	247
Profit before income tax		25,324	45,878	24,854
Income tax	16	8,386	14,381	8,726
Net profit from continuing operations		16,938	31,497	16,128

	Notes	For the years ended December 31 2023	2022	2021
Discontinued operation:				
Net profit after income tax discontinued operation	24	(16)	16,988	1,254
Consolidated net profit		$ 16,922	$ 48,485	$ 17,382
Controlling interest:				
Continuing operation		$ 15,493	$ 30,324	$ 14,692
Discontinued operation		(16)	16,586	1,224
Controlling interest		$ 15,477	$ 46,910	$ 15,916
Non-controlling interest:				
Continuing operation		$ 1,445	$ 1,173	$ 1,436
Discontinued operation		-	402	30
Non-controlling interest		$ 1,445	$ 1,575	$ 1,466
Basic earnings per ordinary share:				
Continuing operation		$ 3.50	$ 6.81	$ 3.28
Discontinued operation		-	3.73	0.27
		$ 3.50	$ 10.54	$ 3.55
Weighted average number of outstanding shares (in thousands of shares)		4,418,137	4,448,693	4,487,268

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated statements of other comprehensive income

(Amounts in millions of Mexican pesos)

	Notes	For the years ended December 31 2023	2022	2021
Consolidated net profit		$ 16,922	$ 48,485	$ 17,382
Other comprehensive income				
Items that will not be reclassified subsequently to profit or loss:				
Valuation of equity financial instrument	3c	(236)	(32)	(112)
Remeasurements on defined benefit plans liability	18	(349)	800	1,543
Income tax	16	164	(207)	(432)
		(421)	561	999
Items that may be reclassified subsequently to profit or loss:				
Effect of net investment hedge		1,100	667	(723)
Foreign operations currency translation effect of the year		(15,635)	(9,862)	2,114
Net change in unrealized (loss) gain on cash flow hedges	17	938	(2,213)	2,988
Income tax	16	(772)	142	(937)
		(14,369)	(11,266)	3,442
Other comprehensive income		(14,790)	(10,705)	4,441
Consolidated comprehensive income		$ 2,132	$ 37,780	$ 21,823
Comprehensive income attributable to controlling interest		$ 592	$ 36,625	$ 20,353
Comprehensive income attributable to non-controlling interest		$ 1,540	$ 1,155	$ 1,470

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated statements of changes in equity

For the years ended December 31, 2023, 2022 and 2021

(Amounts in millions of Mexican pesos)

	Capital stock	Other equity financial instrument	Retained earnings	Accumulated other comprehensive income	Equity attributable to controlling interest	Non-controlling interest	Total equity
Balance as of December 31, 2020	$ 4,061	$ 8,996	$ 64,265	$ 6,391	$ 83,713	$ 4,298	$ 88,011
Other equity instrument dividends	-	-	(621)	-	(621)	-	(621)
Other equity instrument income taxes	-	(129)	187	-	58	-	58
Consolidation effect of structured entities	-	-	-	-	-	(1,099)	(1,099)
Dividends declared	-	-	(4,502)	-	(4,502)	(163)	(4,665)
Repurchase of shares (Note 20)	(40)	-	(1,861)	-	(1,901)	-	(1,901)
Balance before comprehensive income	4,021	8,867	57,468	6,391	76,747	3,036	79,783
Consolidated net profit for the year	-	-	15,916	-	15,916	1,466	17,382
Other comprehensive income	-	-	-	4,437	4,437	4	4,441
Consolidated comprehensive income	-	-	15,916	4,437	20,353	1,470	21,823
Balance as of December 31, 2021	4,021	8,867	73,384	10,828	97,100	4,506	101,606
Other equity instrument dividends	-	-	(649)	-	(649)	-	(649)
Other equity instrument income taxes	-	(424)	195	-	(229)	-	(229)
Consolidation effect of structured entities	-	-	-	-	-	(2,011)	(2,011)
Repurchase equity instrument	-	(345)	(32)	-	(377)	-	(377)
Dividends declared	-	-	(5,791)	-	(5,791)	(94)	(5,885)
Repurchase of shares (Note 20)	(37)	-	(2,531)	-	(2,568)	-	(2,568)
Decrease non-controlling interest by discontinued operation	-	-	-	-	-	(65)	(65)
Balance before comprehensive income	3,984	8,098	64,576	10,828	87,486	2,336	89,822
Consolidated net profit for the year	-	-	46,910	-	46,910	1,575	48,485
Other comprehensive income	-	-	-	(10,285)	(10,285)	(420)	(10,705)
Consolidated comprehensive income	-	-	46,910	(10,285)	36,625	1,155	37,780
Balance as of December 31, 2022	3,984	8,098	111,486	543	124,111	$ 3,491	$ 127,602
Other equity instrument dividends	-	-	(395)	-	(395)	-	(395)
Other equity instrument income taxes	-	544	(564)	-	(20)	-	(20)
Consolidation effect of structured entities	-	-	-	-	-	(1,851)	(1,851)
Repurchase equity instrument	-	(78)	-	-	(78)	-	(78)
Reclass of equity instrument to debt	-	(8,564)	(280)	-	(8,844)	-	(8,844)
Dividends declared	-	-	(3,458)	-	(3,458)	(91)	(3,549)
Repurchase of shares (Note 20)	(38)	-	(3,548)	-	(3,586)	-	(3,586)
Increase non-controlling interest by business acquisitions	-	-	-	-	-	217	217
Balance before comprehensive income	3,946	-	103,241	543	107,730	1,766	109,496
Consolidated net profit for the year	-	-	15,477	-	15,477	1,445	16,922
Other comprehensive income	-	-	-	(14,885)	(14,885)	95	(14,790)
Consolidated comprehensive income	-	-	15,477	(14,885)	592	1,540	2,132
Balance as of December 31, 2023	$ 3,946	$ -	$ 118,718	$ (14,342)	$ 108,322	$ 3,306	$ 111,628

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated statements of cash flows

(Amounts in millions of Mexican pesos)

	Note	For the years ended December 31, 2023	2022	2021
Operating activities				
Profit before income tax from continuing operation		$ 25,324	$ 45,878	$ 24,854
Profit before income tax from discontinued operation	24	(23)	23,516	1,499
Profit before income tax		25,301	69,394	26,353
Adjustments for:				
Depreciation and amortization	8, 9, 11, 22, 24	18,929	18,282	16,375
(Gain)/loss on sale of property, plant and equipment		751	650	(157)
Property, plant and equipment write-off due to casualty		-	-	379
Share of profit of associates	10	(316)	(452)	(247)
Impairment of non-current assets		383	1,046	694
Profit on disposal of discontinued operation	24	-	(22,038)	-
Multi-employer pension plan and other non-current liabilities	22	-	(19,010)	(2,247)
Current year service cost	18	837	1,013	1,128
Interest expense	23	10,006	8,049	7,884
Interest income		(809)	(740)	(373)
Short-term and low-value lease expenses		3,968	2,519	2,183
Changes in assets and liabilities:				
Trade receivables and other accounts receivable		(4,206)	(6,647)	666
Inventories		(1,078)	(4,163)	(2,320)
Prepaid expenses		(625)	1,261	(365)
Trade accounts payable		(851)	9,920	8,286
Other accounts payable and accrued liabilities		390	(3,395)	(1,025)
Accounts payable to related parties		(172)	287	209
Income tax paid		(13,831)	(11,824)	(7,578)
Guarantee deposits for derivative financial instruments		(640)	(1,271)	6
Statutory employee profit sharing payable		(21)	122	675
Employee benefits		(2,637)	(754)	(2,567)
Dividends receivable from discontinued operation	24	-	(879)	-
Short-term and low-value lease expenses		(3,968)	(2,519)	(2,183)
Net cash flows from operating activities		31,411	38,851	45,776

	Note	For the years ended December 31, 2023	2022	2021
Investing activities				
Purchase of property, plant and equipment	8	(34,754)	(28,669)	(20,671)
Acquisitions of business and non-controlling interests, net of cash received	1	(6,548)	(6,520)	(10,637)
Price charged for sale of the discontinued operation	24	-	25,797	-
Proceeds from sale of property, plant and equipment		152	20	882
Proceeds from insurance claims		-	272	201
Purchase of intangible assets, net of write offs	11	(918)	(798)	(622)
Increase of distribution rights in structured entities	11	(129)	3	(77)
Other assets		(577)	(794)	(1,433)
Dividends received		86	954	59
Interest received		809	740	373
Investments in associates	10	(561)	(127)	(534)
Net cash flows used in investing activities		(42,440)	(9,122)	(32,459)
Financing activities				
Proceeds from loans, net of transaction costs	13	136,638	51,670	38,924
Repayments of loans	13	(109,847)	(55,542)	(33,535)
Interest paid		(7,436)	(6,407)	(6,781)
Other equity instrument dividends paid		(395)	(649)	(621)
Repurchases equity instrument dividends paid		(78)	(344)	-
Dividends paid		(3,549)	(5,885)	(4,636)
Payment of lease liabilities	9	(6,278)	(6,385)	(5,372)
Payment of derivative financial instruments		(1,655)	-	(1,690)
Collection of derivative financial instruments		2,090	418	1,496
Repurchase of shares	20	(3,586)	(2,568)	(1,901)
Net cash flows used in financing activities		5,904	(25,692)	(14,116)
Adjustments to cash flows due to exchange rate fluctuations and inflationary y effects		(835)	(472)	279
Net Increase (decrease) in cash and cash equivalents		(5,960)	3,565	(520)
Cash and cash equivalents at beginning of year		12,313	8,748	9,268
Cash and cash equivalents at end of year		$ 6,353	$ 12,313	$ 8,748

The accompanying notes are an integral part of these consolidated financial statements.

Notes to consolidated financial statements

December 31, 2023, 2022 and 2021

(Amounts in millions of Mexican pesos, except where otherwise indicated)

1. ACTIVITIES AND SIGNIFICANT EVENTS

Activities - Grupo Bimbo, S.A.B. de C.V. and subsidiaries ("Grupo Bimbo" or "the Company") is a Mexican entity, primarily engaged in the production, distribution and sale of bakery products, cookies, tortillas, salty snacks and until November 2022 confectionery.

The Company operates in different geographical areas that represent the reporting segments used by the Company, which are Mexico, North America, Latin America and Europe, Asia and Africa ("EAA").

The Company's corporate offices are located at Prolongación Paseo de la Reforma No. 1000, Colonia Peña Blanca Santa Fe, Álvaro Obregón, Código Postal 01210, Mexico City, Mexico.

During 2023, 2022 and 2021, the net sales of the subsidiaries that are classified in the Mexico segment represented approximately 33%, 29% and 29%, respectively, of the Company's consolidated net sales. During 2023, 2022 and 2021, the net sales of the Company's subsidiaries classified in the North America segment represented approximately 48%, 51% and 52%, respectively, of the Company's consolidated net sales.

SIGNIFICANT EVENTS

Acquisitions in 2023

The business acquisitions for 2023, 2022 and 2021, will contribute to the Company's growth and geographic expansion plans, in terms of branded products and QSR (Quick Service Restaurants) businesses. They also represent an opportunity to create significant synergies by optimizing the supply chain to better serve more consumers.

The difference between the consideration transferred and the net of assets acquired and liabilities assumed at fair value will be subject to amortization for tax purposes in accordance with local legislation.

Acquisition of Amaritta Food, S.L.

On November 30, 2023, through one of its subsidiaries, the Company acquired a 100%-stake in Amaritta Food, S.L., a company operating in Spain. The segment that will group this business will be EAA.

Acquisition of Bimbo QSR Colorado, LLC (formerly Mile Hi Bakery, Inc)

On September 8, 2023, through one of its subsidiaries, the Company acquired a 100%-stake in Natural Mile Hi Bakery, Inc. a baking company operating in Colorado, United States. The segment that will group this business will be North America.

Acquisition of Fortisa AG

On September 1, 2023, the Company acquired through one of its subsidiaries a 24.94% stake in Fortisa AG a baking company operating in Switzerland. As a result of this transaction, the Company increased its equity interest to 60% and obtained control over the company as of that date. The segment that will group this business will be EAA.

Acquisition of Twin City

On July 10, 2023, the Company acquired, through one of its subsidiaries, the Twin City operations, which primarily was comprised of manufacturing equipment and inventories. The segment that will group this business will be North America.

Acquisition of Natural Bakery

On April 14, 2023, through one of its subsidiaries, the Company acquired a 100%-stake in Natural Bakery Ltd. a baking company operating in Canada. The segment that will group this business will be North America.

Acquisition of Vel Pitar

On January 9, 2023, through two of its subsidiaries, the Company acquired a 100%-stake in Vel Pitar, S.A., a company operating in Romania, with a diversified portfolio with more than 12 trademarks in the categories of bread and sweet bread. The segment that will group this business will be EAA.

For 2023 acquisitions, the purchase price allocation will be performed in the following months and the valuation of the assets acquired and liabilities assumed (including income taxes), intangible assets and goodwill. At the date of issuance of these consolidated financial statements, the Company is in the process of determining the final purchase price allocation and will recognize the fair value adjustments during the measurement period of up to twelve months following the closing date of this acquisition, however, it already has preliminary fair values.

	Initial Balance	Preliminary PPA Adjustments	Preliminary fair value
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 367	$ -	$ 367
Accounts receivables	270	-	270
Inventories	171	-	171
Other current assets	44	-	44
Property, plant and equipment	1,853	1,184	3,037
Right of use	276	-	276
Identified intangible assets	2	-	2
Trademarks	-	835	835
Customer relationships	-	1,198	1,198
Goodwill	5,446	(2,668)	2,778
Other non-current assets	2	-	2
Total identifiable assets	$ 8,431	$ 549	$ 8,980

	Initial Balance	Preliminary PPA Adjustments	Preliminary fair value
Current debt	$ 51	$ -	$ 51
Trade accounts payable	375	-	375
Other accounts payable and accrued liabilities	193	-	193
Non-current debt	35	-	35
Lease liabilities	276	-	276
Deferred income tax	15	549	565
Other non-current liabilities	2	-	2
Total liabilities assumed	$ 947	$ -	$ 1,496
Non-controlling interest	$ 216	$ -	$ 216
Fair value previous investment	$ 190	$ -	190

RELEVANT EVENT 2022

Sale of the confectionery business

On November 1, 2022, the Company sold its confectionery business to Mondelez International, Inc. for $25,797, which was collected in cash and included the sale of shares of the subsidiaries engaged in the confectionery business, as well as its trademarks, in line with the Company's strategy of focusing on grain-based foods, specifically in the bakery and snack categories. This transaction was subject to approval from the relevant authorities. The subsidiaries engaged in the confectionery business have been deconsolidated as of the aforementioned date. This transaction is presented in the consolidated financial statements in accordance with IFRS 5 Non- current Assets Held for Sale and Discontinued Operations.

On March 21, 2023, the Company signed the final price agreement for the sale of the confectionery business executed on November 1, 2022, with a price adjustment of $20.

ACQUISITIONS IN 2022

Acquisition of St. Pierre

On September 22, 2022, through one of its subsidiaries in United Kingdom, the Company acquired a 100%-stake in Sherlock Foods Holdings Limited, company that operates mainly in the United Kingdom and the United States of America. This acquisition will contribute to the Company's growth and geographic expansion plans in those countries. Its main activity is the sale of baked bread under the St. Pierre, Baker Street and Paul Hollywood trademarks.

The process of the final allocation of fair values and recognition of the acquisitions was conclude during the year ended in December 31, 2023 in accordance with International Financial Reporting Standards (IFRS) 3 Business Combinations. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized resulting of these acquisitions at the spot rate at the date of each transaction:

	Fair value preliminary	Purchase price Adjustments	Fair value final
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 170	$ -	$ 170
Other current assets	711	-	711
Property, plant and equipment	28	-	28
Identified intangible assets	5,338	674	6,012
Goodwill	3,014	(500)	2,514
Other non-current assets	137	-	137
Total identifiable assets	**$ 9,398**	**$ 174**	**$ 9,572**
Trade accounts payable	428	-	428
Other accounts payable and accrued liabilities	390	-	390
Deferred income tax	1,330	174	1,504
Other non-current liabilities	576	-	576
Total liabilities assumed	**$ 2,724**	**174**	**2,898**

The segment that will group this business will be EAA.

ACQUISITIONS IN 2021

Acquisition of Kitty Industries

On October 26, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Kitty Industries Private Limited in India, a company engaged in the production, distribution and sale of white, wholemeal, wheat and fruit bread, among other products.

Acquisition of Aryzta Do Brasil

On October 13, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Arytza Do Brasil Alimentos Ltda., company engaged in the production, distribution and sale of bakery and confectionery products, mainly aimed at the Quick Service Restaurants industry in Brazil.

Adquisición de Popcornopolis

El 17 de septiembre de 2021, a través de una de una de sus subsidiarias, la Compañía adquirió el 100% de las acciones de Popcornopolis, LLC, empresa que opera en Estados Unidos de América y su principal actividad es la elaboración, distribución y venta de palomitas de maíz bajo la marca Popcornopolis. Para completar esta transacción se utilizaron recursos propios.

Acquisition of Siro Medina (Dulces del Campo)

On June 1, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Siro Medina, S.A.U. in Spain, a company engaged in the production of confectionery and pastry products. On June 24, 202, the company name was changed to Dulces del Campo, S.A.U.

Business acquisition of Emmy's Organics

On May 11, 2021, through one of its subsidiaries in the United States of America, the Company acquired the organic cookie business of the Emmy's Organics brand.

Acquisition of Modern Foods

On February 17, 2021, through one of its subsidiaries, the Company acquired a 100%-stake in Modern Enterprises Privated Limited in India, this company is engaged in the production of bread under the "Modern" brand and has a broad portfolio of white and fruity bread, healthy breads, buns and pavés, cake, sponge cake and Indian bread along with some other products. This acquisition was funded using the Company's own resources.

Accounting effects of the acquisitions

The process of the final allocation of fair values and recognition of the acquisitions of Modern Foods, Emmy's Organics and Dulces del Campo, was conclude during the year ended in December 31, 2021 in accordance with International Financial Reporting Standards (IFRS) 3 *Business Combinations*. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized resulting of these acquisitions at the spot rate at the date of each transaction:

	Fair value preliminary	Purchase price Adjustments	Fair value final
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 103	$ -	$ 103
Others short-term assets	167	-	167
Property, plant and equipment	1,018	514	1,532
Identified intangible assets	141	1,025	1,166
Goodwill	1,577	(1,144)	433
Other assets	107	-	107
Total identifiable assets	$ 3,113	$ 395	$ 3,508
Total liabilities assumed	$ 381	$ 395	$ 776

The goodwill resulting from these acquisitions were allocated to the North America and EAA segments.

Additionally, for the acquisitions of Popcornopolis, Aryzta do Brasil and Kitty Industries, the final allocation of fair values was completed during the year 2022 in accordance with International Financial Reporting Standards (IFRS) 3 *Business Combinations*. The following table summarizes the fair values of the assets acquired and liabilities assumed that were recognized resulting of these acquisitions at the spot rate at the date of each transaction:

	Fair value preliminary	Purchase price Adjustments	Fair value final
Amounts recognized for identifiable assets and liabilities assumed:			
Cash and cash equivalents	$ 70	$ (25)	$ 45
Others short-term assets	868	(1)	867
Property, plant and equipment	1,400	760	2,160
Identified intangible assets	1,240	1,574	2,814
Goodwill	5,287	(1,804)	3,483
Other long-term assets	807	66	873
Total identifiable assets	$ 9,672	$ 570	$ 10,242
Total liabilities assumed	$ 1,594	$ 214	$ 1,808
Transferred consideration	$ 8,078	$ 356	$ 8,434

The goodwill resulting from this acquisition were allocated to the North America, Latin America and EAA segments.

2. BASIS OF PREPARATION

Adoption of new and revised International Financial Reporting Standards

a) Application of new and revised International Financial Reporting Standards (IFRS) and their interpretations, the adoption of which is mandatory in the current year

In 2023, the Company adopted a series of new and amended IFRS issued by the International Accounting Standards Board (IASB), which are effective for annual periods beginning on or after January 1, 2023:

Amendments to IAS 1: Classification of Liabilities as Current or Non-current

In January 2020, the IASB issued amendments to IAS 1 to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

As of December 31, 2023, these amendments have not had an impact on the Company's consolidated financial statements given that the main liabilities do not have right to defer clauses.

Amendments to IAS 1 Presentation of Financial Statements and Practice Statement IFRS Preparation of Judgments on Materiality - Disclosure of Accounting Policies

The amendments change the requirements of IAS 1 with respect to the disclosure of accounting policies.

The amendments replace all instances of the term "significant accounting policies" with "material disclosures about accounting policies." Information about accounting policies is material if, when considered together with other information in an entity's financial statements, it could reasonably be expected to influence the decisions that primary users of general-purpose financial statements make on the basis of those financial statements.

The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Information about accounting policies may be material due to the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is material.

The Board has also developed guides and examples to explain and demonstrate the application of the "four-step materiality process" described in Practice Statement 2.

The Practice Statement 2 amendments do not contain an effective date or transition requirements.

As of December 31, 2023, the Company carried out the analysis and modified the content of the material information on accounting policies disclosure.

Amendments to IAS 8 Definition of Accounting Estimates

In February 2021, the IASB issued amendments to IAS 8, the amendments are intended to introduce a definition of accounting estimates. The amendments clarify the distinction between changes in accounting policies from changes in accounting estimates. Also, clarify how entities use measurement techniques and inputs to develop accounting estimates.

As of December 31, 2023, these modifications had no impact on the consolidated financial statements.

Amendments to IAS 12: Deferred tax related to assets and liabilities arising from an individual transaction

The amendments introduce an additional exception to the initial recognition exemption. Under the amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal cumulative and deductible temporary differences.

Depending on the applicable tax legislation, equal cumulative and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination that does not affect accounting profit or tax profit.

The amendments to IAS 12 require an entity to recognize the deferred tax asset

and liability related to the recognition of any deferred tax asset subject to the recoverability criteria of IAS 12.

The modifications apply to transactions that occur on or after the beginning of the first comparative period. Additionally, at the beginning of the earliest comparative period, an entity recognizes:

A deferred tax asset (to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be used) and a deferred tax liability for all cumulative and deductible temporary differences associated with:

- Rights-of-use asset and lease liabilities
- Decommissioning, restoration and similar liabilities and the corresponding amounts recognized as part of the cost of the related asset
- The cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of stockholders' equity, as applicable) as of that date.

As of December 31, 2023, these modifications had no impact on the consolidated financial statements.

Amendments to IAS 12 International Tax Reform—Pillar Two Model Rules

In May 2023, the IASB issued amendments to IAS 12, aimed at the criteria for the accounting recognition of supplementary income tax arising from tax laws enacted to implement the model rules of Pillar Two published by the Organization for Economic Cooperation and Development ("OECD"). These amendments establish that an entity will not recognize or disclose information on assets and liabilities for deferred taxes related to income taxes of Pillar Two. Additionally, contemplate that the expense (income) for current taxes related to the income taxes of Pillar Two must be disclosed separately.

These modifications are applicable for annual periods beginning on or after January 1, 2023.

As of December 31, 2023, the Company is in the process of analyzing the impacts and application dates of the complementary income tax established in the Pillar Two Model.

b) New and revised IFRS issued but not yet effective

The new and amended standards that are issued but not yet effective and that may be applicable to the Company are as follows:

Amendments to IFRS 16	Lease liability in a sale and leaseback (1)
Amendments to IAS 1	Non-current liabilities with covenants (1)
Amendments to IAS 7 and IFRS 7	Supplier Finance Arrangements (1)
Amendments to IAS 21	Lack of Exchangeability (2)
IFRS Sustainability Disclosure Standards	Sustainability disclosure (1)

(1) Effective for annual periods beginning on or after January 1, 2024.
(2) Effective for annual periods beginning on or after January 1, 2025.

Amendments to IFRS 16 Sale-Leaseback Transactions

In September 2022, the IASB issued amendments to IFRS16, in which it clarifies that in a sale- leaseback transaction, the seller-lessee must recognize the right-of-use asset and the lease liability according to the recognition guidelines established. Determining the lease payments revised in such a way that it does not recognize any gain or loss that is related to the right of use retained by the seller-lessee. The application of these requirements does not prevent the seller-lessee from recognizing in the result of the period any gain or loss related to the partial or total termination of a lease.

These modifications are applicable for annual periods beginning on or after January 1, 2024, with early application being permitted.

The Company will evaluate the impacts of this standard in case it has these transactions in the future.

Amendments to IAS 1 Non-current liabilities with covenants

In October 2022, the IASB issued amendments to IAS 1, in which it establishes that an entity could classify liabilities derived from loan agreements as non-current when the entity's right to defer the settlement of those liabilities is subject to that the entity complies with the covenants within the twelve months following the reporting period, when this happens information will be disclosed in the notes to the financial statements to understand the risk of the liabilities that may be payable in the following twelve months to the reporting period.

These amendments are applicable for annual periods beginning on or after January 1, 2024, with early application being permitted.

The Company will apply these modifications when it has liabilities with right to defer.

Amendments to IAS 7 and IFRS 7 Supplier Finance Arrangements
In May 2023, the IASB amended the amendments to IAS 7 and IFRS 7, related to disclosures on supplier finance arrangements, which mainly include:

- Terms and conditions of financing agreements.
- The carrying amounts, and associated line items presented in the statement of financial position, of the financial liabilities that are part of a supplier finance arrangement.
- Range of due dates compared to accounts payable that are not part of financing agreements.

These modifications are applicable for annual periods beginning on or after January 1, 2024.

As of December 31, 2023, the Company is currently in the process of evaluating the impacts on the disclosures to the consolidated financial statements as a consequence of the amendments in this standard.

Amendments to IAS 21 Lack of Exchangeability
In August 2023, the IASB issued modifications to IAS 21, focused on the evaluation of whether an exchange rate exists from one currency to another, and if it is concluded that it does not exist, guidelines are established so that the entity can estimate the same.

These modifications are applicable for annual periods beginning on or after January 1, 2025.

As of December 31, 2023, the Company is analyzing the implications of these modifications, however, no relevant impacts are expected.

IFRS Sustainability Disclosure Standards
In November 2021, the creation of the International Sustainability Standards Board ("ISSB") was announced, with the goal of issuing standards that will result in a comprehensive, high- quality global baseline of focused sustainability disclosures. on the needs of investors and financial markets. In June 2023, the ISSB issued IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and IFRS S2 Climate-related Disclosures.

These amendments are applicable for annual periods beginning on or after January 1, 2024, with early application being permitted.

As of December 31, 2023, the Company is analyzing the information that has been disclosed to investors in order to align with these new standards.

c) Consolidated statement of profit or loss and other comprehensive Income
The Company presents its profit or loss in two separate statements: i) the consolidated statement of profit or loss, and ii) the consolidated statement of other comprehensive income. The Company's expenses are presented based on their function, which is consistent with the customary practices of the industry to which the Company belongs. The nature of these expenses is described in Note 21. Although not required to do so under IFRS, the Company includes operating profit in the consolidated statement of profit or loss, since this item is an important indicator for evaluating the Company's financial and business performance.

d) Consolidated statements of cash flows
The Company prepares the statement of cash flows using the indirect method. Interest and dividends received are shown as investing activities, while interest and dividends paid are shown as financing activities. As of December 31, 2023, 2022 and 2021 there were no material non- monetary transactions in investment and financing activities.

3. MATERIAL INFORMATION ON ACCOUNTING POLICIES
To comply with the requirements of IAS 1, the Company comprehensively evaluates the following factors to determine whether an accounting policy is material or not, for the purposes of disclosure in the financial statements:

- Refers to a relevant item in the financial statement
- Has had changes in the current period
- Choose between accounting record alternatives established by IFRS.
- It was developed in the absence of a specific IFRS
- If it requires significant judgments or assumptions
- Refers to complex operations

a) Compliance statement

The Company's consolidated financial statements have been prepared in accordance with IFRS, as issued by the IASB.

b) Basis of preparation

The Mexican peso is the Company's functional currency for transactions in Mexico and the presentation currency of its consolidated financial statements.

The accompanying consolidated financial statements have been prepared on a historical cost basis, except for certain assets and liabilities (mainly derivative financial instruments) and other equity instruments, which are measured at fair value at the end of the reporting period, and the non-monetary assets of the Company's subsidiaries in hyperinflationary economies, which are restated for inflation, as explained in the accounting policies below.

i. Historical cost

Historical cost is generally equal to the fair value of the consideration to which the Company is entitled in exchange for the goods and services received.

ii. Fair value

Fair value is the price to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the Company takes into account the characteristics of the asset or liability that market participants would take into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realizable value in IAS 2 or value-in-use in IAS 36.

Additionally, for financial reporting purposes, fair value measurements are categorized into Level I, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which is described as follows:

- **Level I:** quoted (unadjusted) market prices in active markets for identical assets or liabilities that the Company can access at the measurement date.
- **Level 2:** inputs other than quoted prices included within Level I that are observable for the asset or liability, either directly indirectly
- **Level 3:** unobservable inputs are considered.

Basis of presentation

Current versus non-current (short-term versus long-term) classification

The Company presents assets and liabilities in the consolidated statement of financial position as current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The terms of the liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

c) Basis of consolidation

In accordance with IFRS 10, the consolidated financial statements comprise the financial statements of the Company, its subsidiaries and other entities as of December 31, 2023, 2022 and 2021.

The Company's most significant subsidiaries included in the consolidated financial information are as follows:

Subsidiary	% equity interest	Country	Segment	Primary activity
Bimbo, S.A. de C.V.	97	Mexico	Mexico	Baking
Barcel, S.A. de C.V.	98	Mexico	Mexico	Snacks
Productos Ricolino, S.A.P.I. de C.V.(I)	0	Mexico	Mexico	Confectionery
Bimbo Bakeries, Inc.	100	United States	North America	Baking
Canada Bread Corporation, LLC	100	Canada	North America	Baking
Bimbo do Brasil, Ltda.	100	Brazil	Latin America	Baking
Bakery Iberian Investments, S.L.U.	100	Spain and Portugal	EAA	Baking

(I) EOn November 1, 2022, the confectionery business was sold, for the years 2022 and 2021 there was a participation of 98%.

Subsidiaries are consolidated from the date on which control is transferred to the Company and are no longer consolidated from the date that control is lost. Gains and losses of subsidiaries acquired during the year are recognized in the consolidated statement of profit or loss and statement of comprehensive income from the acquisition date, as applicable.

Non-controlling interest represents the portion of profit or loss and net assets that do not correspond to the Company but to the minority shareholders and is recognized separately in the consolidated financial statements.
The political and economic situation in Venezuela has significantly limited the capacity of the Company's subsidiaries in Venezuela to maintain their production process under normal conditions. Due to the above, and since Grupo Bimbo will continue its operations in Venezuela, as of June 1, 2017, the Company changed the method under which it consolidated the financial position and performance of its operations in Venezuela; therefore, at the date of these financial statements, the Company measures its investment in Venezuela at fair value through other comprehensive income (OCI), in accordance with IFRS 9.

The Company elected to classify irrevocably its equity investments in affiliates in Venezuela under this category as it intends to hold these investments for the foreseeable future. As of December 31, 2023, 2022 and 2021, the Company recognized an impairment loss of $236,
$32 and $112, respectively, in other comprehensive income.

Profit or loss and each component of OCI are attributed to the equity holders of the parent of the Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

All intercompany balances and transactions have been eliminated on consolidation.

d) Business combination

Business combinations are accounted for using the acquisition method. The consideration transferred in a business acquisition is measured at fair value, which is calculated as the sum of the fair values of the assets transferred by the Company, the liabilities incurred by the Company to the former owners of the acquiree and the equity interests issued by the Company in exchange for control of the acquiree. Costs related to the acquisition are generally recognized in profit or loss as incurred.

At the acquisition date, all identifiable assets acquired and liabilities assumed in a business combination are measured at fair value, except for:

- Deferred tax assets or liabilities and assets or liabilities related to employee benefits are recognized and measured in accordance with IAS 12 *Income Taxes and IAS 19 Employee Benefits*, respectively;
- Liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the Company entered into to replace share-based payment arrangements of the acquiree that are measured in accordance with IFRS 2 Share-based Payments at the acquisition date (as of December 31, 2023, 2022 and 2021, the Company does not have share-based payments);
- Assets (or disposal groups) that are classified as held for sale and measured in accordance with IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*.

Goodwill is measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If, after reassessment, the fair value of the net assets acquired and liabilities assumed at the acquisition date is in excess of the aggregate consideration transferred, the amount recognized for non-controlling interests in the acquiree and any previous interest held over the acquiree is recognized in profit or loss as gain on business combinations.

Non-controlling interests may be initially measured either at fair value or at the proportional share of the acquiree's identifiable net assets. The election is made on a transaction-by- transaction basis.

When the consideration transferred by the Company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at fair value at the acquisition date and is included as part of the consideration transferred. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively and the corresponding adjustments are charged against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year following the acquisition date) on facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on the classification of the contingent consideration. Contingent considerations classified as equity are not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Contingent considerations classified as assets or liabilities are remeasured at subsequent reporting dates in accordance with IFRS 9 or IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, as appropriate, and the corresponding gain or loss is recognized in profit or loss.

When a business combination is achieved in stages, any previous interest held over the acquiree is remeasured at fair value at the acquisition date and the resulting gain or loss, if any, is recognized in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognized in other comprehensive income are reclassified to profit or loss when such treatment is appropriate if that interest is disposed of.

If the initial accounting treatment for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Company must report provisional amounts for the items for which the accounting is incomplete. Such provisional amounts are adjusted during the measurement period or additional assets or liabilities are recognized to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognized at that date.

e) Discontinued operations

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as after-tax profit or loss from discontinued operations in the income statement. Additional disclosures are provided in Note 24. All other notes to the financial statements include amounts for continuing operations, unless otherwise indicated.

f) Foreign currency transactions

Exchange differences on monetary items are recognized in profit or loss, except in the following cases:

- Exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings;
- Exchange differences on transactions entered into in order to hedge certain foreign currency risks (see Note 17);
- Exchange differences on monetary assets or liabilities related to foreign operations with no planned settlement and for which payment cannot be made (thus forming part of the net investment in the foreign operation) are initially recognized in other comprehensive income and are reclassified from equity to profit or loss as reimbursements of monetary items.

Translation to the Company's presentation currency

Para el proceso de consolidación, los activos y pasivos de negocios en el extranjero se convierten a pesos mexicanos, utilizando los tipos de cambio vigentes al final del periodo. Las partidas de ingresos y gastos se convierten a los tipos de cambio promedio vigentes del periodo, a menos que éstos fluctúen en forma significativa durante el periodo, en cuyo caso, se utilizan los tipos de cambio a la fecha en que se efectúan las transacciones; las operaciones en países con economías hiperinflacionarias se convierten al tipo de cambio de cierre del periodo. Las diferencias en tipo de cambio que surjan se reconocen en otros resultados integrales y son acumuladas en el capital contable atribuyendo la participación no controladora cuando sea apropiado.

On consolidation, the assets and liabilities of foreign operations are translated into Mexican pesos using the prevailing exchange rate at the reporting date. Income and expense items are translated at the average exchange rates for the period, unless the exchange rates fluctuate significantly during that period, in which case the exchange rates at the dates of the transactions are used. The assets and liabilities of operations in hyperinflationary economies are translated using the exchange rate prevailing at the reporting date. The exchange differences arising on translation for consolidation are recognized in other comprehensive income and accumulated in equity and attributed to non-controlling interests as appropriate.

On disposal of a foreign operation (i.e. a disposal of the Company's entire interest in a foreign operation, or a disposal involving loss of control over a subsidiary that includes a foreign operation, or a partial disposal of an interest in a joint arrangement or an associate that includes a foreign operation of which the retained interest becomes a financial asset), the component of OCI relating to that particular foreign operation is reclassified to profit or loss.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date. Exchange differences resulting from the translation are recognized in other comprehensive income.

The annual average and closing exchange rates of the Mexican peso and the exchange rates functional currencies of the countries of the main subsidiaries is as follows:

	Average exchange rate			Closing exchange rate		
	2023	2022	2021	2023	2022	2021
USA	**17.7620**	20.1250	20.2818	**16.8935**	19.3615	20.5835
Canada	**13.1629**	15.4634	16.1111	**12.7508**	14.2931	16.1782
Spain	**19.2096**	21.2057	23.3129	**18.6673**	20.6510	21.4648
Brazil	**3.5530**	3.8960	3.6885	**3.4895**	3.7107	3.7629
Argentina	**0.0602**	0.1542	0.2004	**0.0209**	0.1093	0.2133

g) Financial assets

All recognized financial assets are measured subsequently in their entirety at either amortized cost or fair value, depending on the classification of the financial assets.

Financial asset classification

Financial instruments are measured at fair value through OCI if both of the following conditions are met:

- The financial asset is held within a business model with the objective of both holding to collect contractual cash flows and selling
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

The remaining financial assets are subsequently measured at fair value through profit or loss (FVTPL).

Notwithstanding the above, upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they are not held for trading and do not correspond to contingent consideration transferred by an acquirer in a business combination.

Equity investments at fair value through OCI are initially measured at cost, plus transaction costs, and are subsequently measured at fair value and the gains and losses from the fair value changes are recognized in OCI. Upon derecognition, cumulative gains and losses are never recycled to profit or loss, and instead are recorded in retained earnings.

Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized when:

- The rights to receive cash flows from the financial asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

I. Accounts receivable

Trade accounts receivable and other accounts receivable are non-derivative financial assets with fixed or determinable payments that are not traded on an active market. These instruments are classified as accounts receivable and are measured at amortized cost using the effective interest rate method and are subject to impairment.

Interest income is recognized by applying the effective interest rate, except for short-term receivables when the effect of discounting is immaterial.

2. Impairment in the value of financial assets

The Company assesses at each reporting date whether its non-FVTPL financial assets are impaired.

The Company recognizes a provision for expected credit losses for trade receivables. The Company uses a provision matrix to calculate expected credit losses for trade receivables. The provision matrix is initially based on the Company's historical credit loss experience and is subsequently adjusted for factors that are specific to the debtors, general economic conditions and an assessment of the current direction and forecast of future conditions at the reporting date, including the time value of money, when applicable.

The Company considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Regarding trade accounts receivables, the carrying amount is reduced through the expected credit losses reserve. When an account receivable is considered uncollectible, it is written off against this estimate. Subsequent recovery of amounts previously eliminated become credits against the estimate. Changes in the book value of the estimates account are recognized in the results of the year.

h) Inventories and cost of sales

Inventories are valued at the lower of cost or net realizable value.

Costs incurred in bringing each product to its present location and condition are accounted for, as follows:

- Raw materials, containers, packaging and spare parts: at cost, which includes the cost of the merchandise plus import costs, minus discounts, using the average cost method.
- Finished goods and orders in process: standard cost equal to the cost of direct materials and direct labor costs, plus a proportion of manufacturing overheads based on the normal operating capacity.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs to sell and the estimated costs necessary to make the sale.

i) Property, plant and equipment

Property, plant and equipment is recognized at its adjusted historical cost, net of accumu-lated depreciation and accumulated impairment losses, if any. Fixed assets acquired in Mexico before December 31, 2007 were restated for inflation through that date based on the National Consumer Price Index (NCPI), which became the estimated cost of such assets as of January 1, 2011 upon the Company's adoption of IFRS.

The cost includes those costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The costs of expansion, remodeling or improvements that enhance the capacity and in-crease the productivity and extend the useful life of the asset are also capitalized. Re-pair and maintenance costs are expensed as incurred. The carrying amount of the re-placed asset, if any, is derecognized when replaced, and the effect is recognized in profit and loss.

Freehold land is not depreciated. Depreciation of property, plant and equipment is cal-culated on the assets' carrying amounts on a straight-line basis over the estimated useful lives of the assets, as follows:

	No. of years
Buildings:	
Construction	15 – 30
Foundations	35 – 50
Roofs	10 – 30
Fixed facilities and accessories	10 – 20
Production equipment	3 – 25
Transportation equipment	8 – 16
Furniture and equipment	2 – 18
Computing equipment	4
Leasehold improvements	The lower of either the related lease term or the useful life of the asset

The Company allocates the amount initially recognized in respect of an item of buildings and pro-duction equipment to its various significant parts (components) and depreciates each of these components separately.

The carrying amount of an asset is adjusted to its recoverable value, when the carrying amount exceeds its estimated value in use.

An item of property, plant and equipment is derecognized upon disposal or when no future eco-nomic benefits are expected from its use. Any gain or loss arising from derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in results.

Leasehold improvement and adaptations to buildings and sites in which the Company is the lessee are recognized at historical cost less the respective amortization.

j) Right-of-use assets

Right-of-use assets are initially measured at the present value of lease payments, less any lease incentives received and initial direct costs. Right-of-use assets are subsequently measured at cost net of accumulated depreciation, impairment losses and adjustments for any remeasurement of lease liabilities in accordance with IFRS 16. The Company decided to present leases as finance or capitalized operating as shown in Note 9.

Right-of-use assets are depreciated over the shorter of the lease term and the estimated useful lives of the assets. If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

Lease payments for low-value assets (less than USD5,000) and short-term leases (less than 12 months) are recognized directly in profit or loss.

k) Intangible assets

Intangible assets are primarily comprised of trademarks and customer relationships resulting from the acquisition of businesses. Intangible assets acquired through a business combination are recognized at fair value at the acquisition date, separately from goodwill. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses. Internally generated intangibles, excluding development costs, are not capitalized and the related expenditure is reflected in profit or loss in the period in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite, based on the contractual terms established at acquisition. Trademarks are considered to have indefinite useful lives when ownership is acquired and otherwise are amortized.

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indicator that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life are reviewed and adjusted at least at the end of each reporting period. The amortization expense on intangible assets with finite lives is recognized in the statement of profit or loss under general expenses.

Intangible assets with indefinite useful lives are not amortized but are tested for impairment at least annually. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

l) Impairment of tangible and intangible assets, other than goodwill

At the end of each reporting period, the Company assesses whether there is any indi-cator that its tangible and intangible assets, including right-of-use assets, may be im-paired. If any such indication exists, the Company estimates the asset's recoverable amount. If it is not possible to estimate the recoverable

amount of the individual asset, the Company determines the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis can be identified, corpo-rate assets are also allocated to the cash- generating unit, or otherwise they are allo-cated to the smallest group of cash-generating units for which a reasonable and con-sistent allocation basis can be identified. Intangible assets with indefinite useful lives or not yet available for use, are tested for impairment on an annual basis (for trademarks with indefinite useful lives the recoverable value assessment is estimated by adding it to the CGU of the corresponding group, given that the trademarks do not generate in-dependent cash flows) or more often if there is any indication that the intangible as-set may be impaired.
The recoverable amount is the higher of the asset's fair value less costs to sell and its value-in- use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assess-ments of the time value of money and the risks specific to the asset for which the esti-mates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. Impairment losses are recognized immediately in profit or loss.

Annually, when there are indicators that the carrying amount of the Company's assets with finite useful lives has significantly increased, due to changes in the legal, econom-ic, technological or market environment in which the asset is operated or to changes in interest rates that will affect the discount rate used in prior periods to determine the value in use of the asset, the Company estimates the new recoverable amount of the asset on an annual basis in order to determine the amount of accumulated impairment losses to be reversed.

Where an impairment loss is subsequently reversed, the carrying amount of the asset (or cash- generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognized immediately in the statement of profit or loss.

m) Goodwill

Goodwill arising from business combinations is recognized at the cost determined on the acquisi-tion date of the business, as described in the business acquisitions policy note, net of any accu-mulated impairment losses (see Note I2).

Goodwill is allocated to each cash-generating unit (or group of cash-generating units) that is ex-pected to benefit from the synergies achieved from the combination.

The cash-generating units to which goodwill has been allocated are tested for impair-ment on an annual basis, or more frequently if there are any indicators of impairment. If the recoverable amount of a cash-generating unit is lower than its carrying amount, the impairment losses recognized in respect of the cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to reduce the carrying amount of the other assets in the unit on a pro rata basis. Impairment in good-will is recognized directly in profit or loss. Any loss from impairment in the value of goodwill cannot be reversed in future years.

When the relevant cash-generating unit is disposed of, the remaining amount of goodwill is included in the calculation of gains or losses at the time of the disposal

n) Financial liabilities

Financial liabilities are initially recognized at fair value, net of transaction costs, except for financial liabilities designated at fair value through profit or loss, which are initially recognized at fair value. Subsequent measurement depends on the designation of the financial liability.

Financial liabilities are classified as either financial liabilities at fair value through profit or loss (FVTPL) or other financial liabilities. Note I7 describes the category of each fi-nancial liability of the Company.

Subsequent measurement depends on the category of the financial liability. Loans and borrowings are subsequently measured using effective interest method. Gains and loss-es are recognized in the consolidated statements of profit or loss when the liabilities are amortized. Amortized cost is calculated considering any discount or premium on acquisition and fees or costs that are an integral part of the effective interest method. The effective interest method amortization is included in interest expense caption. For subsequent measurement of derivatives see Note 3o).

Derecognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecogni-tion of the original liability and the recognition of a new liability. The difference in the re-spective carrying amounts is recognized in the statement of profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

o) Derivative financial instruments and hedge accounting

Derivatives are initially recognized at fair value on the date on which a derivative con-tract is entered into and are subsequently remeasured at fair value. The method for recognizing the related gain or loss from changes in fair value of the derivative financial instrument depends on whether they are designated as hedging instruments, and if so, the nature of the hedging relationship. The Company only holds derivative financial in-struments classified as cash flow hedges and hedges of net investment in foreign op-erations.

At the inception of a hedge relationship, the Company formally documents the hedge relationship between the hedging instrument and the hedged items, including the risk management objective and strategy for undertaking the hedge. Periodically, the Com-pany documents whether the derivative financial instrument is highly effective in offset-ting changes in fair values or cash flows of the hedged item attributable to the hedged risk.

The hedge ineffectiveness can arise from:

- Differences in the timing of the cash flows of the hedged items and the hedging instruments
- Different indexes (and accordingly different curves) linked to the hedged risk of the hedged items and hedging instruments
- The counterparties' credit risk differently impacting the fair value movements of the hedging instruments and hedged items
- Changes to the forecasted amount of cash flows of hedged items and hedging instruments

Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Derivatives are not offset in the consolidated financial statements unless the Company has both a legally enforceable right and intention to offset. Derivatives are accounted for as non-current assets or liabilities if the remaining maturity of the instrument is more than 12 months and the instrument is not expected to be realized or settled within 12 months. All other derivatives are accounted for as current assets or liabilities.

Cash flow hedges

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognized in OCI under Valuation effects of cash flow hedges. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss as a reclassification adjustment in the same period or periods during which the hedged cash flows affect profit or loss.

Any gain or loss recognized in other comprehensive income and accumulated in equity at that time remains in equity and is recognized in profit or loss when the forecast transaction occurs, and its effects are ultimately recognized in profit or loss.

Hedge accounting is discontinued when the Company revokes the hedging relationship, when the hedging instrument expires or is sold, terminated, or exercised, when the hedge effectiveness requirements are not met or when the Company decides to cancel the hedge designation. To give continuity to the hedging strategy, the Company may extend the hedging terms of the hedged item, by contracting new derivative instruments respecting the main characteristics of the derivative and the original hedging strategy without altering the objective of the administration of Company risk.

Hedges of net investment in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain or loss on the hedging instrument relating to the effective portion of the hedge is recognized in other comprehensive income and accumulated under the heading of Translation effects of foreign subsidiaries. The gain or loss relating to the ineffective portion is immediately recognized in profit or loss under Foreign Exchange gain/(loss), net. Amounts previously recognized in other comprehensive income and accumulated in equity are reclassified to profit or loss on the disposal of the foreign operation.

p) Lease liabilities

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the incremental borrowing rate (IBR) applicable in the countries where the Company operates. The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made and is adjusted for certain remeasurements or amendments made to the lease contracts.

The estimated IBR is the interest rate that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right of use asset in a similar economic environment. The Company estimates the IBR using observable inputs, such as market interest rates, when available, and its credit rating.

Leases for which the lease term ends within 12 months after the date of initial application irrespective of when the lease term commenced are accounted for as short-term (current) leases in the consolidated statement of financial position; otherwise, they are accounted for as long-term (non-current) leases.

q) Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations and a reliable estimate can be made of the amount of the obligations.

The amount recognized as a provision is the best estimate of the expenditure required to settle the present obligation at the balance sheet date, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured based on the estimated cash flows required to settle the present obligation, it is carrying amount represents the present value of these cash flows when the effect of the time value of money is material.

All contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. At the end of subsequent reporting periods, such contingent liabilities are measured at the higher of the amount that would be recognized in accordance with IAS 37 and the amount initially recognized, less cumulative amount of income recognized in accordance with IFRS 15.

Uncertain tax treatments

The Company constantly evaluates the tax treatments of all its consolidated entities and identifies the tax treatments for which there is uncertainty as to their acceptance by the tax authorities. In view of the current circumstances of the reviews underway, as well as the tax treatments applied by the entities, the tax treatments are quantified considering the conditions of each tax jurisdiction and the approach that better predicts the resolution of the uncertainty, using the most likely amount or the expected value method, as applicable. The related effects are recognized in the statement of profit or loss.

The Company determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

r) Income tax

Income tax expense consists of current and deferred tax. Current and deferred taxes are recognized as either income or an expense in profit or loss, except for tax items that must be recognized as other comprehensive income items or in equity. For business combinations, the tax effect is included in the recognition of the business combination.

I. Deferred taxes

Deferred taxes are recognized on all temporary differences between financial reporting and tax values of assets and liabilities based on tax rates that have been enacted at the reporting date and where applicable, they include unused tax losses and certain tax credits. Deferred tax assets or liabilities are recognized for all temporary differences, with certain exceptions. The Company recognizes a deferred tax asset for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized.

Deferred taxes are recognized for all taxable temporary differences, except:

i) when the deferred tax arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
ii) in respect of temporary differences associated with investments in subsidiaries and associates, when it is probable that the temporary differences will not reverse in the foreseeable future.
iii) taxable temporary differences arising on the initial recognition of goodwill. Deferred tax assets are recognized to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that taxable profit will be available against which the deductible temporary difference can be utilized. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the liability is settled or the asset is realized, based on tax rates (and tax laws) that have been enacted or substantively enacted, for future tax periods, at the end of the reporting date.

The Company offsets deferred tax assets and deferred tax liabilities only if it has a legally enforceable right to set off current tax assets and current tax liabilities and relate to income taxes levied by the same taxation authority or if they are different taxable entities, which intend either to settle current tax liabilities and assets on a net basis, or to realize the assets and settle the liabilities simultaneously.

s) Employee benefits

i. Pensions and seniority premiums

Defined contribution plans are post-employment benefit plans under which an entity pays fixed contributions into a separate entity or a fund and will have no legal or constructive obligation to pay further contributions. The obligation is recognized as an expense when the employees have rendered the service entitling them to the contributions.

A defined benefit plan is a post-employment plan under which the Company has the obligation to provide the agreed benefits to current and former employees. The cost of providing benefits under a defined benefit plan that includes pensions and seniority premiums is determined using the projected unit credit method, with actuarial valuations being carried out at the end of each annual reporting period. Remeasurements, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding interest), are immediately recognized in the statement of financial position with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods. Past service costs are recognized in profit or loss at the date of the plan amendment. Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The defined benefit retirement plan obligation recognized in the consolidated statement of financial position includes changes in the present value of the defined benefit obligation. The present value of the net defined benefit obligation is determined based on the discounted value of estimated net cash flows, using interest rates tied to government bonds denominated in the same currency in which the benefits are to be paid and whose terms are similar to those of the obligation.

ii. Statutory employee profit sharing

In Mexico, Ecuador and Brazil, the Company is required to recognize a provision for employee profit sharing when it has a present legal or constructive obligation as a result of a past event and the amount can be reliably estimated. Employee profit sharing is recognized in profit or loss as incurred.

iii. Short-term employee benefits

A liability is recognized for benefits accruing to employees in respect of wages and salaries, annual leave, short-term bonus and sick leave in the period the related service is rendered.

iv. Termination benefits

A liability is recognized for termination benefits only when the Company cannot withdraw its offer to provide termination benefits to the employee and/or when it recognizes the related restructuring costs.

v. Long-term bonus

The Company grants a long-term cash bonus to certain executives, which is calculated based on performance metrics. The bonus is paid 30 months following the date on which it was granted, and it is recognized in profit or loss in the year in which it accrues and the employee is entitled to receive the bonus.

vi. Multi-employer pension plans (MEPP)

The Company classifies multi-employer plans as defined contribution plans or defined benefit plans in order to determine the accounting for such plans. If the MEPP is classified as a defined benefit plan, the Company accounts for its proportionate share of the defined benefit obligation, plan assets and costs associated with the plan in the same manner as for any other defined benefit plan. When sufficient information is not available to use defined

benefit accounting for a MEPP, the Company accounts for such plan as a defined contribution plan and recognized in profit or loss the total amount of contributions paid by the employer.

Liabilities related to the payment of or withdrawal from a multi-employer plan is recognized and measured in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*

t) Revenue recognition

The Company earns its revenue primarily from contracts with customers for the sale of products. Revenue is recognized when control of the goods is transferred to the customer, which is when the performance obligation is satisfied and the Company is entitled to collect the consideration from the customer in exchange for these products. To determine the transaction price, the Company considers the effects of variable considerations such as rights of return and rebates. Payments made to customers for commercial services are recognized as distribution and selling expenses.

Rights of return

Certain contracts provide a customer with a right to return the goods within a specified period. The Company uses the expected value method to estimate the goods that will be returned because this method best predicts the amount of variable consideration to which the Company will be entitled. For goods that are expected to be returned, the Company recognizes a refund liability and a corresponding adjustment to revenue.

Volume rebates

The Company provides retrospective volume rebates to certain customers when the conditions established in the contract are met. Rebates are offset against amounts payable by the customer and against the respective revenue. To estimate the variable consideration for the expected future rebates, the Company applies the most likely amount method for contracts with a single-volume threshold and the expected value method for contracts with more than one volume threshold.

u) Reclassifications

Certain captions shown in the consolidated financial statements for the year ended December31, 2022 and 2021 as originally issued have been reclassified for uniformity of presentation with the 2023 financial statements. The effects of these reclassifications were recognized retrospectively, in accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors.

	Reference	Balance as of December 31, 2022 as	Reclassifications	Reclassified balances December 31, 2022
Investments in associates	(a)	$ 5,144	$ (746)	$ 4,398
Otros activos, neto	(a)	$ 4,054	$ 746	$ 4,800

	Referencia	Balance as of December 31, 2021 as originally reported	Reclasificaciones	Reclassified balances December 31, 2021
Investments in associates	(a)	$ 4,452	$ (561)	$ 3,891
Other non-current assets, net	(a)	$ 3,779	$ 561	$ 4,340

(a) The Entity presented its investment in the B37 Funds under the heading of investment in associates, which was reclassified to other non-current assets.

4. CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the Company's accounting policies, which are described in Note 3, management is required to make judgments, estimates and assumptions about the carrying amount of assets and liabilities. The estimates and associated assumptions are based on historical experience and other factors that are considered relevant. Actual results could differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. The effects of changes in accounting estimates are recognized in the period of the change and future periods if the change affects both.

a) Critical judgment in applying accounting policies

Consolidation of structured entities

As described in more detail in Note 7, BBU has entered into agreements with third party contractors (Independent Commercial Partners) in which it holds no direct or indirect interest but that qualify as structured entities (SE). The

Company has concluded that some of these structured entities meet the requirements to be consolidated in accordance with IFRS 10 *Consolidated Financial Statements*.

b) Key sources of estimation uncertainty

i. Useful lives, residual values and depreciation methods for long-lived assets

As described in Note 3, the Company periodically reviews the estimated useful lives, residual values and depreciation methods of long-lived assets, including property, plant and equipment and intangibles. Additionally, for intangible assets, the Company determines whether their useful lives are finite or indefinite. The Company, with an effective date of January 1, 2021, determined that the estimated useful life of the product displays ranges between 2 and 5 years; this change had an effect on the consolidated financial statements during the adoption period.

ii. Incremental borrowing rate

The Company uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment at contract inception date. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Company estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates.

iii. Impairment of goodwill and indefinite-life intangible assets

Determining whether goodwill and indefinite-life intangible assets are impaired involves calculating the recoverable value of the cash-generating unit to which these assets have been allocated. Recoverable amount is the higher of fair value less costs of disposal and value-in-use. The calculation of the value-in-use requires the Company to determine the expected future cash flows from the cash-generating units, using an appropriate discount rate to calculate the present value.

iv. Fair value measurements

Derivative financial instruments are recognized in the statement of financial position at fair value at the reporting date. In addition, the fair value of certain financial instruments, mainly with respect to long-term debt, is disclosed in the accompanying notes, though there is no risk of adjustment to the related carrying amount (see Note 17). The Company has acquired businesses for which it is required to determine the fair value of the consideration paid, the identifiable assets acquired and liabilities assumed and, if applicable, the non-controlling interest at the date of the acquisition, as described in Note 1.

The fair values described above are estimated using valuation techniques that may include inputs that are not based on observable market data. The main assumptions used by management are described in the related notes. The Company considers that the valuation techniques and assumptions selected are appropriate for the determination of the fair values.

v. Beneficios a los empleados

The cost of defined benefit plans and MEPP (considered as defined benefits) is determined using actuarial valuations that involve assumptions related to discount rates, future salary increases, employee turnover rates and mortality rates, among others. Due to the long-term nature of these plans, the assumptions used for such estimates are subject to change.

vi. Recoverability of deferred income tax

To determine whether a deferred income tax asset related to tax losses carryforwards is impaired or if it will be recovered in the future, the Company analyses financial and tax projections to determine its recoverability.

vii. Insurance and other liabilities

Insurance risks in the United States of America related to the liability for general damages to third parties, car insurance and employee benefits are self-insured by the Company with coverage that is subject to specific limitations established in an insurance program. Provisions for claims are recorded on an incurred-claim basis. Insurable risk liabilities are determined using the Company's historical data. As of December 31, 2023, 2022 and 2021, the net liabilities amounted to $3,631, $4,741 and $5,546, respectively.

5. TRADE ACCOUNTS RECEIVABLES AND OTHER ACCOUNTS RECEIVABLE

	2023	2022	2021
Trade receivables	$ 22,055	$ 22,449	$ 20,081
Allowance for expected credit loss (1)	(787)	(849)	(897)
	21,268	21,600	19,184
Notes receivable	62	69	23
Value added tax to be recovered(2)	8,541	5,879	3,541
Income tax and other recoverable taxes(3)	2,092	2,370	2,197
Sundry debtors(4)	1,306	2,267	2,225
	$ 33,269	$ 32,185	$ 27,170

(1) During 2022 and 2021, the Company had no significant increases in its trade receivables balance nor was it necessary to implement changes in the model for estimating expected credit losses as a result of the COVID-19 pandemic.
(2) During 2021, the Company recovered value added tax corresponding to the year 2020 for $3,506, mainly in the subsidiaries of Mexico
(3) During March 2019, the Company obtained certain favorable rulings on legal actions in Brazil related to some contributions, recognizing a right to recover. As of December 31, 2021, the recoverable tax balance amounts to $170.
(4) As of December 31, 2022 and 2021, this balance includes an amount of $41 and $569 receivable from the insurance claim associated with the casualty in the San Fernando plant in Argentina.

Credit terms on non-cash sales of goods range from 21 to 60 days, depending on the customer and local business policies of the subsidiaries of the Company.

6. INVENTORIES

	2023	2022	2021
Raw materials, containers and packaging	$ 7,100	$ 7,331	$ 5,966
Work in progress	96	171	111
Finished goods	6,086	6,030	4,864
Spare parts	1,002	1,832	1,400
	14,284	15,364	12,341
Raw materials in transit	1,836	1,625	1,369
	$ 16,120	$ 16,989	$ 13,710

For the years ended December 31, 2023, 2022 and 2021, the Company recognized inventory usage of $131,052, $133,808 and $106,199, respectively, in cost of sales, of which $$4,355, and $4,631 correspond to the discontinued operation for the years ended December 31, 2022 and 2021 respectively.

7. STRUCTURED ENTITIES

The Company, through its subsidiary BBU, enters into agreements with independent business partners for distribution rights to sell and distribute the Company's products through direct deliveries to retail stores in certain sales territories. The Company does not hold equity interests in any of the entities controlled by the independent business partners, some of which, finance the purchase of distribution rights through loans from financial institutions with the Company's support. To maintain working routes and ensure the delivery of products to customers, the Company assumes explicit and implicit commitments. The Company has concluded that all independent business partners that are legal entities qualify as Structured Entities (SE), primarily due to the financial and operative support they receive from the Company. Based on this, the SE are consolidated in the Company's financial statements.

An analysis of the assets and liabilities of independent operators before eliminations as of December 31 2023, 2022 and 2021 is as follows:

	2023	2022	2021
Inventories	$ 197	$ 295	$ -
Right of use – vehicles	3,335	3,422	3,653
Distribution rights	6,816	7,664	8,138
Total assets	$ 10,348	$ 11,381	$ 11,791
Current portion of non-current debt:			
Obligations under finance leases	$ 767	$ 830	$ 807
Accounts payables	1,018	1,167	-
Loans granted to independent business partners	35	43	45
Non-current debt:			
Obligations under finance leases	1,341	1,319	1,715
Loans granted to independent business partners	43	44	53
Debt with affiliates (net of accounts receivable)	6,340	6,301	6,581
Total liabilities	$ 9,544	$ 9,704	$ 9,201
Non-controlling interest	$ 804	$ 1,677	$ 2,590

Los fondos dados en préstamo por BBU a los asociados comerciales independientes que se han clasificado como EE y consolidado, se eliminan en los estados financieros consolidados.

Los pasivos por arrendamiento a largo plazo están garantizados por los vehículos sujetos al arrendamiento, por lo que no representan ningún reclamo adicional sobre los activos de la Compañía.

BBU ha vendido ciertos derechos de distribución dentro de sus territorios geográficos a terceros. Dichas rutas se pueden comprar nuevamente a terceros para operarlas o revenderlas. Durante 2023, 2022 y 2021, el total de recompras, neto de ventas, fue de aproximadamente $1,566, $372 y $519 respectivamente. Cuando BBU compra una ruta de una entidad no consolidada, se contabiliza esta transacción de acuerdo con la NIIF 3. BBU registra a la fecha de la transacción de recompra, un deterioro cuando el precio de venta de los derechos de distribución es menor a su costo.

La Compañía financia hasta el 90% del precio de venta pagado por los derechos de distribución de ciertos asociados comerciales independientes. Las cuentas por cobrar devengan una tasa de interés anual que oscila entre el 6% al 11%, con un promedio ponderado de 10% y son pagaderos en 120 pagos mensuales. Los asociados comerciales independientes hacen un pago inicial a la Compañía por el 10% no financiado del precio de compra. En la mayoría de los casos, un tercero independiente financia el pago inicial. Tanto los créditos de la Compañía como los provenientes de terceros independientes son garantizados por las rutas, equipos, lista de clientes y otros activos. Estas terceras partes independientes tienen prioridad sobre las garantías reales.

La ganancia o pérdida neta proveniente de la venta de rutas a una entidad que se consolida bajo NIIF 10 se elimina en la consolidación. La ganancia neta proveniente de la venta de los derechos de distribución a entidades que no consolidan bajo NIIF 10 es diferida principalmente por el financiamiento provisto por BBU y un tercero independiente. BBU reconoce la ganancia diferida sobre una base lineal durante el plazo remanente de la nota por cobrar después de que el operador independiente obtenga un nivel de propiedad del 10% en la ruta y, en su caso, haya vencido la opción de venta de un año. BBU reconoció pérdidas por $47, $213 y $580 por la venta de rutas durante 2023, 2022 y 2021, respectivamente, las cuales se reflejan en diferentes rubros del estado de resultados.

8. PROPERTY, PLANT AND EQUIPMENT

A reconciliation of the carrying amount of intangible assets at the beginning and at the end of 2023, 2022 and 2021 is as follows:

	Balance as of January 1, 2023	Additions and depreciation of the year [3]	Business combinations and PPA adjustments [1]	Transfers [2]	Translation effect	Disposals	Impairment	Inflation restatement	Balance as of December 31, 2023
Investment:									
Buildings	$ 32,774	$ -	$ 826	$ 3,046	$ (4,624)	$ (402)	$ -	$ 1,257	$ 32,877
Manufacturing equipment	107,462	-	1,396	13,824	(10,931)	(2,869)	-	1,627	110,509
Vehicles	16,030	-	207	5,088	(464)	(733)	-	96	20,224
Office equipment and displays	6,475	-	19	2,639	(354)	(79)	-	53	8,753
Computer equipment	7,257	-	8	894	(726)	(445)	-	58	7,046
Total investment	169,998	-	2,456	25,491	(17,099)	(4,528)	-	3,091	179,409
Depreciation and impairment:									
Buildings	(17,841)	(1,316)	-	35	2,743	320	(14)	(891)	(16,964)
Manufacturing equipment	(55,190)	(7,712)	-	48	6,393	2,233	(156)	(1,157)	(55,541)
Vehicles	(7,288)	(1,073)	-	-	203	622	-	(21)	(7,557)
Office equipment and displays	(1,813)	(1,276)	-	1	119	75	-	(15)	(2,909)
Computer equipment	(5,742)	(815)	-	-	617	436	(2)	(48)	(5,554)
Total accumulated depreciation	(87,874)	(12,192)	-	84	10,075	3,686	(172)	(2,132)	(88,525)
	82,124	(12,192)	2,456	25,575	(7,024)	(842)	(172)	959	90,884
Land	8,144	-	113	351	(879)	(118)	-	166	7,777
Construction in process and machinery in transit	23,375	34,754	468	(25,808)	(2,748)	57	-	553	30,651
Less: Assets held for sale	(138)	-	-	(23)	5	-	-	-	(156)
Net investment	$ 113,505	$ 22,562	$ 3,037	$ 95	$ (10,646)	$ (903)	$ (172)	$ 1,678	$ 129,156

	Balance as of January 1, 2022	Additions and depreciation of the year [3]	Business combinations and PPA adjustments [1]	Discontinued operation	Transfers [2]	Translation effect	Disposals	Impairment restatement	Inflation restatement	Balance as of December 31, 2022
Investment:										
Buildings	$ 34,256	$ -	$ 130	$ (350)	$ 907	$ (2,869)	$ (174)	$ -	$ 874	$ 32,774
Manufacturing equipment	105,750	-	532	(2,635)	11,363	(7,155)	(1,481)	-	1,088	107,462
Vehicles	14,944	-	14	(506)	2,250	(227)	(479)	-	34	16,030
Office equipment and displays	3,953	-	29	(77)	2,738	(160)	(24)	-	16	6,475
Computer equipment	7,016	-	7	(67)	826	(409)	(155)	-	39	7,257
Total investment	165,919	-	712	(3,635)	18,084	(10,820)	(2,313)	-	2,051	169,998
Depreciation and impairment:										
Buildings	(18,081)	(1,696)	(1)	185	695	1,523	164	-	(630)	(17,841)
Manufacturing equipment	(53,123)	(7,231)	-	1,336	(309)	3,961	1,006	(190)	(640)	(55,190)
Vehicles	(7,082)	(935)	-	238	3	115	382	(8)	(1)	(7,288)
Office equipment and displays	(1,130)	(770)	(18)	15	11	62	21	-	(4)	(1,813)
Computer equipment	(5,588)	(656)	(4)	32	12	349	144	(1)	(30)	(5,742)
Total accumulated depreciation	(85,004)	(11,288)	(23)	1,806	412	6,010	1,717	(199)	(1,305)	(87,874)
	80,915	(11,288)	689	(1,829)	18,496	(4,810)	(596)	(199)	746	82,124
Land	8,537	-	89	(76)	245	(736)	(20)	-	105	8,144
Construction in process and machinery in transit	14,633	28,669	10	(451)	(18,420)	(1,109)	(54)	-	97	23,375
Less: Assets held for sale	(194)	-	-	-	44	12	-	-	-	(138)
Net investment	$ 103,891	$ 17,381	$ 788	$ (2,356)	$ 365	$ (6,643)	$ (670)	$ (199)	$ 948	$ 113,505

	Balance as of January 1, 2021	Additions and depreciation of the year [3]	Business combinations and PPA adjustments[1]	Transfers	Translation effect	Disposals	Impairment	Inflation restatement	Balance as of December 31, 2021
Investment:									
Buildings	$ 31,431	$ -	$ 629	$ 2,044	$ (24)	$ (233)	$ -	$ 409	$ 34,256
Manufacturing equipment	95,573	-	1,038	10,210	230	(1,570)	-	269	105,750
Vehicles	14,545	-	10	875	15	(515)	-	14	14,944
Office equipment and displays	1,703	-	17	2,248	1	(16)	-	-	3,953
Computer equipment	6,851	-	8	807	109	(772)	-	13	7,016
Total investment	150,103	-	1,702	16,184	331	(3,106)	-	705	165,919
Depreciation and impairment:									
Buildings	(16,511)	(1,622)	-	201	(42)	168	(1)	(274)	(18,081)
Manufacturing equipment	(47,249)	(6,272)	-	(14)	(224)	925	(282)	(7)	(53,123)
Vehicles	(6,556)	(928)	-	28	(15)	397	-	(8)	(7,082)
Office equipment and displays	(851)	(305)	-	15	(3)	14	-	-	(1,130)
Computer equipment	(5,531)	(696)	-	(2)	(91)	744	-	(12)	(5,588)
Total accumulated depreciation	(76,698)	(9,823)	-	228	(375)	2,248	(283)	(301)	(85,004)
	73,405	(9,823)	1,702	16,412	(44)	(858)	(283)	404	80,915
Land	8,261	-	464	35	(70)	(241)	(24)	112	8,537
Construction in process and machinery in transit	9,722	20,671	766	(16,563)	35	(5)	-	7	14,633
Less: Assets held for sale	(140)	-	-	(55)	1	-	-	-	(194)
Net investment	$ 91,248	$ 10,848	$ 2,932	$ (171)	$ (78)	$ (1,104)	$ (307)	$ 523	$ 103,891

1. This column in 2023 includes the preliminary fair value of BQ Colorado, Fortisa y Amaritta acquisition and the purchase price allocation adjustments (PPA) of: Twin City, Vel Pitar y Natural Bakery, in 2022 includes the preliminary fair value of St. Pierre acquisition and the purchase price allocation adjustments (PPA) of: Popcornopolis, Aryzta Brasil and Kitty Industries; in 2021 includes the fair value of the acquisitions of Modern Foods, Emmy's Organic and Dulces del Campo and the preliminary fair value of Popcornopolis, Aryzta Brasil y Kitty Industries acquisitions.
2. Corresponds mainly to transfers of buildings and equipment to right-of-use assets.
3. Includes depreciation of assets from business acquisitions from the acquisition date.

Impairment losses recognized during the year

In 2023, 2022 and 2021, the Company carried out an analysis of impairment indicators for buildings and manufacturing equipment, resulting in recognition of an impairment loss recognized in profit or loss of $172, $199 and $307, respectively.

As of December 31, 2022 and 2021, the Company performed its impairment analysis using the value-in-use of the manufacturing equipment in Argentina and resulted in an impairment loss recognized in profit or loss of $4 and $36, respectively.

9. RIGHT-OF-USE ASSETS AND LEASE LIABILITIES

A reconciliation of the carrying amount of right-of-use assets at the beginning and at the end of 2023, 2022 and 2021 is as follows:

	Balance as of January 1, 2023	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Balance as of December 31, 2023
Right-of-use assets:								
Buildings	$ 28,533	$ 2,107	$ 270	$ (633)	$ (199)	$ 657	$ (2,700)	$ 28,035
Vehicles	8,466	1,589	6	(176)	(273)	-	(973)	8,639
Other	442	49	-	(33)	(99)	-	(32)	327
	37,441	3,745	276	(842)	(571)	657	(3,705)	37,001
Assets under financial lease	5,757	6	-	(49)	-	537	(722)	5,529
Total right-of-use assets	43,198	3,751	276	(891)	(571)	1,194	(4,427)	42,530
Depreciation:								
Buildings	(9,458)	(3,138)	-	633	133	50	759	(11,021)
Vehicles	(3,465)	(1,187)	-	176	196	-	401	(3,879)
Other	(148)	(71)	-	33	47	-	15	(124)
	(13,071)	(4,396)	-	842	376	50	1,175	(15,024)
Assets under financial lease	(1,650)	(464)	-	49	-	203	204	(1,658)
Total accumulated depreciation	(14,721)	(4,860)	-	891	376	253	1,379	(16,682)
Right-of-use assets, net	$ 28,477	$ (1,109)	$ 276	$ -	$ (195)	$ 1,447	$ (3,048)	$ 25,848

	Balance as of January 1, 2022	Discontinued operation effect	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Inflation restatement increment	Balance as of December 31, 2022
Right-of-use assets:										
Buildings	$ 27,701	$ (522)	$ 1,924	$ 72	$ (562)	$ (318)	$ 1,459	$ (1,212)	$ (9)	$ 28,533
Vehicles	8,309	-	1,277	(2)	(189)	(324)	15	(620)	-	8,466
Other	293	-	202	(3)	(8)	(7)	(4)	(31)	-	442
	36,303	(522)	3,403	67	(759)	(649)	1,470	(1,863)	(9)	37,441
Assets under financial lease	5,915	-	36	-	-	-	202	(396)	-	5,757
Total right-of-use assets	42,218	(522)	3,439	67	(759)	(649)	1,672	(2,259)	(9)	43,198
Depreciation:										
Buildings	(7,009)	188	(3,319)	(4)	562	108	(191)	201	6	(9,458)
Vehicles	(2,885)	-	(1,265)	1	189	248	(5)	252	-	(3,465)
Other	(110)	-	(75)	3	8	7	2	17	-	(148)
	(10,004)	188	(4,659)	-	759	363	(194)	470	6	(13,071)
Assets under financial lease	(1,460)	-	(484)	-	-	-	187	107	-	(1,650)
Total accumulated depreciation	(11,464)	188	(5,143)	-	759	363	(7)	577	6	(14,721)
Right-of-use assets, net	$ 30,754	$ (334)	$ (1,704)	$ 67	$ -	$ (286)	$ 1,665	$ (1,682)	$ (3)	$ 28,477

	Balance as of January 1, 202	Additions and depreciation of the year	Business combinations	Disposals	Early termination	Changes and initial costs	Translation effect	Inflation restatement increment	Balance as of December 31, 2021
Right-of-use assets:									
Buildings	$ 23,748	$ 2,658	$ 793	$ (506)	$ (540)	$ 1,040	$ 499	$ 9	$ 27,701
Vehicles	7,590	1,162	11	(67)	(508)	7	114	-	8,309
Other	286	125	8	(81)	(31)	1	(15)	-	293
	31,624	3,945	812	(654)	(1,079)	1,048	598	9	36,303
Assets under financial lease	5,483	22	-	(12)	-	321	101	-	5,915
Total right-of-use assets	37,107	3,967	812	(666)	(1,079)	1,369	699	9	42,218
Depreciation:									
Buildings	(4,681)	(3,099)	-	506	251	51	(30)	(7)	(7,009)
Vehicles	(2,023)	(1,253)	-	67	340	8	(24)	-	(2,885)
Other	(114)	(71)	-	81	9	-	(15)	-	(110)
	(6,818)	(4,423)	-	654	600	59	(69)	(7)	(10,004)
Assets under financial lease	(1,126)	(481)	-	12	-	4	131	-	(1,460)
Total accumulated depreciation	(7,944)	(4,904)	-	666	600	63	62	(7)	(11,464)
Right-of-use assets, net	$ 29,163	$ (937)	$ 812	$ -	$ (479)	$ 1,432	$ 761	$ 2	$ 30,754

An analysis of changes in lease liabilities in 2023, 2022 and 2021 is as follows:

	Capitalized operating leases	Finance leases	Total
Balance as of January 1, 2023	$ 26,565	$ 2,620	$ 29,185
Additions	3,745	6	3,751
Business combinations	276	-	276
Interest expense	1,251	225	1,476
Payments	(5,177)	(1,101)	(6,278)
Early termination	(210)	-	(210)
Modifications	681	6	687
COVID-19 rent concessions	(1)	-	(1)
Foreign exchange effects	(38)	(13)	(51)
Translation effect	(2,730)	710	(2,020)
Balance as of December 31, 2023	24,362	2,453	26,815
Less - current portion	(4,920)	(831)	(5,751)
	$ 19,442	$ 1,622	$ 21,064

	Capitalized operating leases	Finance leases	Total
Balance as of January 1, 2022	$ 28,066	$ 3,083	$ 31,149
Discontinued operation effect	(372)	-	(372)
Additions	3,403	36	3,439
Business combinations	50	-	50
Interest expense	1,077	252	1,329
Payments	(5,164)	(1,221)	(6,385)
Early termination	(298)	-	(298)
Modifications	1,385	52	1,437
COVID-19 rent concessions	(4)	-	(4)
Foreign exchange effects	(26)	(7)	(33)
Translation effect	(1,552)	425	(1,127)
Balance as of December 31, 2022	26,565	2,620	29,185
Less - current portion	(5,017)	(913)	(5,930)
	$ 21,548	$ 1,707	$ 23,255

	Capitalized operating leases	Finance leases	Total
Balance as of January 1, 2021	$ 25,865	$ 3,224	$ 29,089
Additions	3,945	22	3,967
Business combinations	753	-	753
Interest expense	974	281	1,255
Payments	(4,818)	(554)	(5,372)
Early termination	(509)	-	(509)
Modifications	1,362	-	1,362
COVID-19 rent concessions	(13)	-	(13)
Foreign exchange effects	4	2	6
Translation effect	503	108	611
Balance as of December 31, 2021	28,066	3,083	31,149
Less - current portion	(4,910)	(883)	(5,793)
	$ 23,156	$ 2,200	$ 25,356

An analysis of the maturities of non-current lease liabilities are as follows:

	Capitalized operating leases	Finance leases	Total
2025	$ 3,324	$ 559	$ 3,883
2026	2,507	377	2,884
2027	2,073	221	2,294
2028	1,530	280	1,810
2029 and thereafter	10,008	185	10,193
	$ 19,442	$ 1,622	$ 21,064

10. INVESTMENTS IN ASSOCIATES

An analysis of investments in associates as of December 31, 2023, 2022 and 2021 is as follows:

Associate	Activity	% de participación	2023	2022	2021
	Sugar refinery	8	$ 1,412	$ 1,353	$ 1,110
% equity	Confectionery	50	427	392	373
interest	Cookies	50	472	424	363
Grupo La Moderna, S.A. de C.V.	Holding company	4	405	353	312
Congelación y Almacenaje del Centro, S.A. de C.V.	Warehouse	15	300	256	222
Fin Común Servicios Financieros, S.A. de C.V. (1)	Financial services	43	279	281	258
Fruitex de México, S.A.P.I. de C.V.	Foods	16	343	343	295
Productos Rich, S.A. de C.V.	Baking	18	227	208	174
Scanntech Holdings, LLC.	Business intelligence	2	169	-	-
Eat Just, Inc	Foods Equipment	1	92	92	92
Sociedad Industrial de Equipos y Servicios, S.A.	manufacturing	39	90	76	71
Justo Inc.	Food commercialization	1	76	59	59
Zero Carb Company, B.V.	Foods	30	69	-	-
Other	Other	Various	670	561	562
			$ 5,031	$ 4,398	$ 3,891

The associate entities are incorporated and operate primarily in Mexico and are accounted for using the equity method in the consolidated financial statements.

Beta San Miguel, S.A. de C.V., Grupo La Moderna, S.A. de C.V., Congelación y Almacenaje del Centro, S.A. de C.V., Productos Rich, S.A. de C.V. and Fruitex de México S.A.P.I de C.V. and other entities, are all considered associates, since the Company has significant influence over these companies given that it is a member of the Board of Directors of such associates.

A summary of the changes in the Company's investments in associates is as follows:

	2023	2022	2021
Balance as of January 1	$ 4,398	$ 3,891	$ 3,069
Acquisitions and capital contributions	561	127	534
Dividends received	(86)	(75)	(59)
Share of profit	316	452	247
Impairment	-	(73)	-
Comprehensive items of associates and others	26	317	-
Translation effect	(184)	(241)	100
Balance as of December 31	$ 5,031	$ 4,398	$ 3,891

11. INTANGIBLE ASSETS

An analysis of intangible assets by geographical segment as of December 31, 2023, 2022 and 2021 is as follows:

	2023	2022	2021
Mexico	$ 1,397	$ 1,377	$ 2,540
North America	37,880	41,803	42,712
EAA	14,723	14,567	10,364
Latin America	1,101	1,315	1,349
	$ 55,101	$ 59,062	$ 56,965

An analysis of intangible assets by item as of December 31, 2023, 2022 and 2021 is as follows:

	Average useful life	2023	2022	2021
Trademarks	Indefinite	$ 36,159	$ 38,248	$ 37,268
Use and distribution rights	Indefinite	7,252	8,143	8,680
		43,411	46,391	45,948
Trademarks	4 a 40 años	1,173	1,338	1,445
Customer relationships	7 a 40 años	20,228	22,013	21,881
Licenses and software	2 a 8 años	4,575	4,143	3,944
Non-competition agreements	2 a 5 años	227	255	189
Other		1,484	1,426	1,314
		27,687	29,175	28,773
Accumulated amortization and impairment		(15,997)	(16,504)	(17,756)
		$ 55,101	$ 59,062	$ 56,965

The accumulated impairment in the value of trademarks with indefinite useful lives as of December 31, 2023, 2022 and 2021 is $2,648, $3,165 and $4,346, respectively.

The customer relationships that resulted from the Company's acquisitions are as follows:

	Year of acquisition	Remaining useful life (years)	Net carrying amount 2023	2022	2021
Bimbo QSR	2017	19 a 34	$ 2,870	$ 3,475	$ 4,122
Canada Bread	2014	12	1,344	1,644	2,045
Sherlock Foods Holdings Limited	2022	16	1,135	-	-
Siro Paterna	2021	21	968	1,121	1,321
Weston Foods, Inc.	2009	3	877	1,336	1,771
Vel Pitar, S.A.	2023	14	784	-	-
Sara Lee Bakery Group, Inc	2011	6	514	690	841

A reconciliation of the carrying amount of intangible assets at the beginning and at the end of 2023, 2022 and 2021 is as follows:

Cost

	Trademarks	Use and distribution rights	Customer relationships	Licenses and software	Non-competition agreements	Other	Total
Balance as of December 31, 2020	$ 36,941	$ 8,525	$ 20,269	$ 2,973	$ 187	$ 1,508	$ 70,403
Structured entities	-	77	-	-	-	-	77
Additions	-	-	-	882	-	-	882
Disposals	-	(260)	-	-	-	-	(260)
Business combinations and PPA adjustments [1]	1,251	88	1,105	7	5	-	2,456
Transfers	-	-	-	-	-	(201)	(201)
Translation effect	521	250	507	82	(3)	7	1,364
Balance as of December 31, 2021	$ 38,713	$ 8,680	$ 21,881	$ 3,944	$ 189	$ 1,314	$ 74,721
Structured entities	-	(3)	-	-	-	-	(3)
Additions	8	-	42	590	-	158	798
Discontinued operation decrease	(1,058)	-	(83)	(72)	-	-	(1,213)
Business combinations	3,895	-	1,421	-	-	5,331	
PPA adjustments	746	-	735	-	93	-	1,574
Translation effect	(2,718)	(534)	(1,983)	(334)	(27)	(46)	(5,642)
Balance as of December 31, 2022	$ 39,586	$ 8,143	$ 22,013	$ 4,143	$ 255	$ 1,426	$ 75,566
Structured entities	-	129	-	-	-	-	129
Additions	-	-	-	810	-	108	918
Business combinations and PPA adjustments	1,617	-	1,090	-	-	-	2,707
Translation effect	(3,871)	(1,020)	(2,875)	(378)	(28)	(50)	(8,222)
Balance as of December 31, 2023	$ 37,332	$ 7,252	$ 20,228	$ 4,575	$ 227	$ 1,484	$ 71,098

(I) Includes $166 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

Accumulated amortization and impairment

	Trademarks	Use and distribution rights	Customer relationships	Licenses and software	Non-competition agreements	Other	Total
Balance as of December 31, 2020	$ (4,264)	$ (492)	$ (7,356)	$ (2,380)	$ (145)	$ (759)	$ (15,396)
Reversal of impairment in structured entities	-	72	-	-	-	-	72
Amortization expense	(35)	(3)	(960)	(293)	(8)	(241)	(1,540)
Impairment	(135)	-	-	-	-	-	(135)
Transfers	-	(483)	-	-	-	-	(483)
Translation effect	12	(14)	(203)	(72)	3	-	(274)
Balance as of December 31, 2021	$ (4,422)	$ (920)	$ (8,519)	$ (2,745)	$ (150)	$ (1,000)	$ (17,756)
Amortization expense	(60)	-	(1,087)	(473)	(26)	(10)	(1,656)
Impairment	-	9	(140)	-	-	-	(131)
Reversal of impairment in trademarks	861	-	-	-	-	-	861
Discontinued operation decrease	-	-	83	-	-	-	83
Transfers	-	483	-	-	-	-	483
Translation effect	484	74	790	241	15	8	1,612
Balance as of December 31, 2022	$ (3,137)	$ (354)	$ (8,873)	$ (2,977)	$ (161)	$ (1,002)	$ (16,504)
Amortization expense	(124)	-	(1,093)	(520)	(19)	(9)	(1,765)
Impairment	(44)	-	-	-	-	-	(44)
Reversal of impairment in trademarks	99	21	-	-	-	-	120
Translation effect	616	44	1,235	273	20	8	2,196
Balance as of December 31, 2022	$ (2,590)	$ (289)	$ (8,731)	$ (3,224)	$ (160)	$ (1,003)	$ (15,997)
Net balance as of December 31, 2021	$ 34,291	$ 7,760	$ 13,362	$ 1,199	$ 39	$ 314	$ 56,965
Net balance as of December 31, 2022	$ 36,449	$ 7,789	$ 13,140	$ 1,166	$ 94	$ 424	$ 59,062
Net balance as of December 31, 2023	**$ 34,742**	**$ 6,963**	**$ 11,497**	**$ 1,351**	**$ 67**	**$ 481**	**$ 55,101**

Amortization of intangible assets is recognized under administrative expenses.

In 2023, the Company recognize a trademark impairment for $44. In 2022 and 2021 an impairment of intangible assets was recognized, mainly in customer relations, in other expenses for $131 and $135, respectively.

As of January 1, 2022, the indefinite-lived trademarks are evaluated jointly in the impairment tests at the level of each corresponding CGU of the Group; this change originated a reversal of trademark impairments, mainly in the US CGU for an amount of $861, which was recorded under other income (see Note 22). As of December 31, 2023, the Company recognize a reversal of trademark impairment for $99.

Impairment tests of distribution rights are performed by determining a fair value, which is estimated based on a multiple applied to the average weekly sales of the last twelve months of operation. The multiple used is in a range that varies depending on the region in which the market is located.

12. GOODWILL

An analysis of goodwill by geographical area is as follows:

	2023	2022	2021
Goodwill:			
Mexico	$ 1,674	$ 1,674	$ 2,306
North America	56,802	63,381	69,339
EAA	13,344	13,894	12,772
Latin America	3,357	3,635	4,154
	$ 75,177	**$ 82,584**	**$ 88,571**
Accumulated impairment:			
Mexico	$ (1,120)	$ (1,121)	$ (1,204)
North America	(5,486)	(6,285)	(6,690)
EAA	(4,989)	(5,388)	(4,299)
Latin America	(1,582)	(1,705)	(1,813)
	(13,177)	**(14,499)**	**(14,006)**
	$ 62,000	**$ 68,085**	**$ 74,565**

The movements in goodwill for the years ended December 31, 2023, 2022 and 2021 are as follows:

	2023	2022	2021
Balance as of January 1	$ 68,085	$ 74,565	$ 66,904
Acquisitions in business combinations (1)	5,446	3,021	6,983
Impairment	(303)	(1,597)	(324)
Transfers	-	-	201
Discontinued operation decrease	-	(549)	-
Reclassifications due to adjustments to the values of business combinations [2]	(3,168)	(1,804)	(1,125)
Translation effect	(8,060)	(5,551)	1,926
Balance as of December 31	**$ 62,000**	**$ 68,085**	**$ 74,565**

1. In 2021, includes $118 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

2. In 2021, includes $19 corresponding to the difference between the exchange rate of the business acquisition and the year-end exchange rate.

3. During 2023 were recognized an impairment in China for $303. During 2022 impairments were recognized in China, India, Russia, Ukraine and South Africa for $878, $275, $393, $12 and $39, respectively. During 2021 impairments of $315 were recognized in China.

An analysis of movements in cumulative impairment losses as of December 31 is as follows:

	2023	2022	2021
Balance as of January 1	$ 14,499	$ 14,006	$ 13,690
Impairment for the year	303	1,597	324
Translation effect	(1,625)	(1,104)	(8)
Balance as of December 31	**$ 13,177**	**$ 14,499**	**$ 14,006**

Key assumptions used in the value-in-use calculationso

An analysis of the key assumptions of the primary cash-generating units used in impairment tests is as follows:

	Discount rate [1]			Average growth			Capex over net sales		
	2023	2022	2021	2023	2022	2021	2023	2022	2021
Mexico	9.75%	10.75%	8.45%	8.92%	9.58%	6.96%	2.88%	5.78%	2.41%
USA	7.06%	7.25%	6.95%	5.42%	9.36%	5.12%	3.28%	5.84%	2.69%
Canada	6.75%	6.50%	5.75%	1.76%	2.99%	1.99%	4.17%	5.19%	3.19%
Spain	7.50%	7.50%	6.00%	3.89%	4.32%	3.38%	6.16%	6.24%	5.97%
Brazil	10.70%	11.06%	9.75%	8.63%	8.60%	8.28%	4.20%	3.78%	5.72%

[1] Discount rate after income tax

The projections developed by the Company in the impairment models consider assumptions based on the current macroeconomic conditions of each CGU.

As of December 31, 2023, the Company performed a sensitivity analysis on its main cash- generating units, considering an of 50 basis-point increase in the discount rate or a 50 basis- point decrease in the average growth rate, without giving rise to additional impairment.

Allocation of goodwill to cash-generating units

For impairment testing purposes, goodwill is allocated to cash-generating units, which are mainly the USA, Canada, Spain and others.

The carrying amount of goodwill assigned to each cash-generating unit, after impairment losses, is as follows:

	2023	2022	2021
USA	$ 37,236	$ 41,681	$ 47,549
Canada	12,141	13,207	15,003
Spain	1,467	1,338	1,520
Other CGUs	11,156	11,859	10,493
	$ 62,000	**$ 68,085**	**$ 74,565**

USA

The recoverable amount of the CGU is the higher of the asset's value in use and its fair value less costs of disposal. As of December 31, 2023, the value in use was higher and in order to calculate this amount, the Company applied the discounted cash flow method, which consists of applying a discount rate to the projected cash flows of the CGU. The discount rate used is the weighted average cost of capital (WACC), which considers the cost of capital contributed by the shareholder (CAPEM) and the cost of financial debt. The planning horizon was 5 years plus a perpetuity that considers the normalized cash flow with projected country's inflation rate.

After applying the aforementioned methodology, the Company concluded that there is no impairment in the value of the goodwill of this CGU.

China

The Company used the discounted cash flow method, which considers a discount rate applied to projected cash flows provided by the CGU. The discount rate used is the weighted average cost of capital (WACC), which considers the cost of capital contributed by the shareholder (CAPEM) and the cost of bond debt. The planning horizon was 7 years plus a perpetuity that considers the normalized cash flow with projected country's inflation rate.

Based on the application of this methodology, the Company identified impairment in the China CGU's goodwill of $303, $878 and $315 in 2023, 2022 and 2021, respectively which was recognized as other expenses in profit or loss.

Rest of CGUs

For the rest of the CGUs, the value in use was higher than the carrying amount and no impairment losses were recognized during 2023.

13. DEBT

	Fair value	Book value 2023	Book value 2022	Book value 2021
International bonds				
On November 2, 2023 the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD450 million, maturing on January 15, 2029. Such bond pays a fixed interest rate of 6.05% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. Given the guaranteed structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issues.	$ 8,009	$ 7,602	$ -	$ -
On November 2, 2023 the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD550 million, maturing on January 15, 2034. Such bond pays a fixed interest rate of 6.40% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. Given the guaranteed structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issues.	10,318	9,291	-	-
On May 17, 2021 the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD600 million, maturing on May 17, 2051. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. Given the guaranteed structure, this instrument has the same ranking (pari passu) as the rest of Grupo Bimbo's issues. See Note 17.2.3 (g). During 2022, the company made repurchases of this bond for 14.733 million US dollars.	7,929	9,887	11,332	12,350
On September 6, 2019 the Company issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) for USD600 million, maturing on September 6, 2049. Such bond pays a fixed interest rate of 4.000% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (e). During 2022, the company made repurchases of this bond for 34.885 million US dollars.	7,628	9,461	10,842	12,245
On November 10, 2017 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD650 million, maturing on November 10, 2047. Such bond pays a fixed interest rate of 4.70% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (d).	9,797	10,981	12,585	13,379
On June 27, 2014 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD800 million, maturing on June 27, 2024. Such bond pays a fixed interest rate of 3.875% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (a) and (b). During 2023, the company prepaid USD392 million.	6,880	6,899	15,489	16,467
On June 27, 2014 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD500 million, maturing on June 27, 2044. Such bond pays a fixed interest rate of 4.875% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. See Note 17.2.3 (c) and (f). During 2022, the company made repurchases of this bond for 2.5 million US dollars.	7,816	8,405	9,632	10,292
On January 25, 2012 the Company issued a bond under Rule 144 A and Regulation S of the SEC for USD800 million, maturing on January 25, 2022. Such bond pays a fixed interest rate of 4.50% payable on a semi-annual basis. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity. On March 26, 2021, the company announced the early repurchase of USD600 million of this bond, in accordance with the terms of its issuance document. On January 25, 2022, the Company paid the remainder of said issuance, which was financed through the multicurrency revolving line.	-	-	-	4,072

	Fair value	Book value 2023	Book value 2022	Book value 2021
Structured notes: As of December 31, 2023, the Company has issued the following structured notes, payable upon maturity:				
Bimbo 23L- Issued on June 2, 2023. This structured note matures on May 20, 2033 and pays a fixed interest rate of 9.24%. The note is linked to sustainability and focused on reducing scope 3 carbon emissions. The note proceeds from this issuance were used to pay the perpetual subordinated bond and bank debt, in order to continue strengthening the financial flexibility of the company.	11,894	12,000	-	-
Bimbo 23-2L- Issued on June 2, 2023. This structured note matures on July 24, 2026 and pays a variable interest rate at 28 days Interbank Equilibrium Interest Rate ("TIIE") plus 0.10%. The note is linked to sustainability and focused on reducing scope 3 carbon emissions. The note proceeds from this issuance were used to pay the perpetual subordinated bond and bank debt, in order to continue strengthening the financial flexibility of the company.	3,000	3,000	-	-
Bimbo 17- Issued on October 6, 2017. This structured note matures on September 24, 2027 and pays a fixed interest rate of 8.18%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity, as well as the partial payment of the Bimbo QSR acquisition.	9,076	9,633	9,633	9,633
Bimbo 16- Issued on September 14, 2016. This structured note matures on September 2, 2026 and pays a fixed interest rate of 7.56%. The proceeds from this issuance were used to refinance the Company's debt, extending the average maturity.	7,217	7,706	7,706	7,706
Revolving committed line of credit (multicurrency) On March 15, 2023, the Company renewed and amended the terms and conditions of the committed multicurrency line of credit, which is linked to sustainability. The financial institutions that participate in this line are BBVA Bancomer S.A., Bank of America N.A., Citibank N.A., Coöperatieve Rabobank U.A., New York HSBC México S.A., ING Bank N.V., JP Morgan Chase Bank N.A., Mizuho Bank, Ltd, Morgan Stanley Bank, N.A., MUFG Bank, Ltd. and Banco Santander S.A. The total amount is up to USD1,931 million, with USD875 million maturing on September 14, 2026 (tranche A) and USD1,056 million on March 15, 2028 (tranche B). As of July 1, 2022, a reduction in the applicable rates was obtained as a result of the achievement of the sustainable goals corresponding to this line for 2021. Considering this reduction, the drawdowns against this line of credit the tranche A bear interest at the Secured Overnight Financing Rate ("SOFR") plus 0.90% for drawdowns made in USD, at the Canadian Dollar Offered Rate ("CDOR") plus 0.90% for drawdowns made in Canadian dollars, at TIIE plus 0.75% for drawdowns made in Mexican pesos, and at the Euro Interbank Offered Rate ("EURIBOR") plus 1.05% for drawdowns made in euros. As of December 31, 2023 there is no outstanding balance on this line of credit.				
During 2023, 2022 and 2021, the drawdowns and payments totaled $17,231, $13,085 y $15,291, respectively.	-	-	-	-
Revolving committed line of credit (bilateral) On April 13, 2023, the Company contracted a bilateral revolving credit line, linked to sustainability metrics, with BBVA Bancomer S.A. The total amount of the committed amount is up to $5,000 maturing on April 13, 2028. As of July 1, 2023, a reduction in the applicable rate was obtained as a result of achieving the sustainable goals corresponding to this line. Considering this reduction, the drawdowns made under this line of credit have an applicable interest rate of TIIE plus 0.85%. The line of credit was fully drawdown as of December 31, 2023.	5,000	5,000	-	-
Lines of credit bilateral On August 9, 2023, the Company contracted a credit line, linked to sustainability metrics, with Bank of America, N.A. The total amount of the committed amount is up to USD125 million with a maturity USD12.5 million on August 11, 2026, another USD12.5 million on August 11, 2027, and USD100 million on August 11, 2028. This line of credit has an applicable interest rate of SOFR plus 1.25%. The line of credit was fully drawdown as of August 11, 2023.	2,112	2,112	-	-
On October 4, 2023, the Company contracted a credit line, linked to sustainability metrics, with Banco Nacional de Mexico, S.A., member of Grupo Financiero Banamex. The total amount of the committed amount is up to USD100 million with a maturity on April 4, 2027. This line of credit has an applicable interest rate of SOFR plus 1.00%. The line of credit was fully drawdown as of October 5, 2023.	1,689	1,689	-	-

	Valor razonable	Valor Contable 2023	Valor Contable 2022	Valor Contable 2021
Unsecured working capital loans The Company occasionally enters into short- term unsecured loans to meet its working capital needs. During 2023, the drawdowns and payments totaled $67,517 and $64,534, respectively and in 2022 and 2021, the drawdowns and payments totaled $30,655 and $430.	2,983	2,983	-	-
Otros - Certain subsidiaries have entered into other direct loan contracts to meet their working capital needs. The maturity dates for such loans range from 2024 to 2033. During 2023, 2022 and 2021, the drawdowns and payments totaled $,6,855, $9,311, $7,930, $6,710, $11,413 and $5,905, respectively.	4,141	4,141	7,522	7,483
Debt issuance expenses	(855)	(855)	(687)	(772)
	104,634	109,935	**84,054**	**92,855**
Less:				
Current portion of non-current debt	(12,932)	(12,932)	(6,435)	(10,625)
Non-current debt	$ 91,702	$ 97,003	**$ 77,619**	**$ 82,230**

An analysis of maturities of non-current debt as of December 31, 2023 is as follows:

Year	Amount
2025	$ 202
2026	10,969
2027	11,583
2028 y años posteriores	74,250
	$ 97,003

During 2022, the Company has made repurchases of several of its International Bond issues for an approximate amount of $1,044 (52.1 million US dollars).

A reconciliation of the Company's debt at the beginning and at the end of the year is as follows:

Debt	2023	2022	2021
Beginning balance	$ 84,054	$ 92,855	$ 85,229
Proceeds from loans, net of debt issuance expenses	136,638	51,670	38,924
Repayments of loans [1]	(109,847)	(55,542)	(33,535)
Reclassification of equity financial instrument	8,845	-	-
Debt issuance expenses amortization	126	70	60
Business Combinations	86	-	-
Effects of remeasurements	(9,967)	(4,999)	2,177
Ending balance	$ 109,935	$ 84,054	$ 92,855

(I) Includes $8,611 for the payment of the perpetual subordinated bond.

The international bonds, structured notes, the revolving committed credit lines and the bilateral credit lines with BBVA México, S.A., Institución de Banca Múltiple, Grupo Financiero BBVA México, y los Créditos Bilaterales con Bank of America N.A. and Banco Nacional de México, S.A., member of Grupo Financiero Banamex are guaranteed by Grupo Bimbo, Bimbo, S.A. de C.V., Barcel, S.A. de C.V. and Bimbo Bakeries, Inc. As of December 31, 2023, 2022 and 2021, the Company has complied with all of its obligations established in the loan agreements, including the interest coverage ratio. Such ratios are calculated considering a Conformed Adjusted Earnings Before Interest Tax Depreciation and Amortization ("EBITDA") as defined in provisions established in the applicable loan agreements. These ratios may differ to similar calculations used by others.

14. OTHER ACCOUNTS PAYABLE AND ACCRUED LIABILITIES

	2023	2022	2021
Other accounts payable:			
Other taxes payable	$ 4,183	$ 3,839	$ 3,378
Other creditors	1,438	1,248	2,133
	5,621	5,087	5,511
Accrued liabilities:			
Employee compensation and bonuses	$ 8,824	$ 9,240	$ 10,152
Fees and consultations	1,858	2,188	1,734
Insurance and guaranty bonds	1,219	1,498	1,566
Taxes and contributions	1,076	1,239	842
Interest payable and bank fees	1,055	774	817
Advertising and promotion	941	1,495	2,026
Supplies and fuel	489	672	777
Other	989	2,005	677
	16,451	19,111	18,591
	$ 22,072	$ 24,198	$ 24,102

15. RELATED PARTY BALANCES AND TRANSACTIONS RELACIONADAS

Balances and transactions between Grupo Bimbo and its subsidiaries, which are related parties, have been eliminated in preparing the consolidated financial statements and are not disclosed in this note. Information on the Company's transactions with related parties is provided below.

a) Business transactions

An analysis of transactions carried out with related parties in the normal course of the Company's operations is as follows:

	2023	2022	2021
Purchase of raw materials			
Associates:			
Beta San Miguel, S.A. de C.V.	$ 2,847	$ 2,335	$ 2,584
Other associates	7	3	7
Related parties:			
Frexport, S.A. de C.V.	1,069	959	871
Other related parties	76	80	61
Compras de productos terminados:			
Asociadas:			
Fábrica de Galletas La Moderna, S.A. de C.V.	$ 1,418	$ 1,203	$ 1,083
Pan-Glo de México, S. de R.L. de C.V.	364	273	200
Mundo Dulce, S.A. de C.V.	13	5	914
Other associates	4	3	2
Stationary, uniforms and other			
Associates:			
Sociedad Industrial de Equipos y Servicios, S.A. de C.V.	$ 454	$ 362	$ 234
Efform, S.A. de C.V.	397	379	365
Uniformes y Equipo Industrial, S.A. de C.V.	293	191	202
Other associates	36	23	29
Partes relacionadas:			
Autotab, S.A. de C.V.	$ 407	$ 7	$ 3
Proarce, S.A. de C.V.	159	176	169
Automotriz Coacalco-Vallejo, S.A.P.I de C.V.	57	40	33
Other related parties	196	125	88
Financial services:			
Associates:			
Fin Común Servicios Financieros, S.A. de C.V.	$ 1,811	$ 1,367	$ 1,094

Balances receivable due from related parties consist of unsecured accounts and are payable in cash. No guarantees have been given or received with related parties.

b) Accounts payable to related parties

Net balances payable due to related parties are as follows:

	2023	2022	2021
Associates:			
Beta San Miguel, S.A. de C.V.	$ 631	$ 577	$ 801
Fábrica de Galletas La Moderna, S.A. de C.V.	298	164	144
Efform, S.A. de C.V.	86	96	83
Pan-Glo de México, S. de R.L. de C.V.	75	47	34
Sociedad Industrial de Equipos y Servicios, S.A. de C.V.	33	45	58
Uniformes y Equipo Industrial, S.A. de C.V.	23	35	80
Mundo Dulce, S.A. de C.V.	2	-	107
Fin Común Servicios Financieros, S.A. de C.V.	1	-	-
Related parties:			
Frexport, S.A. de C.V.	183	206	119
Proarce, S.A. de C.V.	20	18	33
Makymat, S.A. de C.V.	9	36	26
Automotriz Coacalco-Vallejo, S.A.P.I de C.V.	6	-	8
Other associates and related parties	45	16	34
	$ 1,412	$ 1,240	$ 1,527

c) Compensation of key management personnel

Compensation for the Company's Board of Directors and other key management personnel for the years ended December 31, 2023, 2022 and 2021 totaled $796, $596 and $658, respectively. This compensation is determined based on the employee's performance and market trends and is approved by the Board of Directors.

16. INCOME TAX

Income tax in Mexico

The income tax rate enacted for 2023, 2022 and 2021 was 30% and it is expected that it will remain the same in subsequent years.

Tax reforms

Amendments to IAS 12 International Tax Reform—Pillar Two Model Rules

The Organization for Economic Co-operation and Development (OECD) under the OECD Inclusive Framework on Base Erosion and Profit Shifting (BEPS) issued Pillar Two Global Anti- Base Erosion (GloBE) Model Rules (GloBE MR) and related guidance. The GloBE MR introduce a new, complex 15% global minimum tax regime applicable to multinational entities (MNEs) with consolidated financial statement revenues of EUR 750 million or more in two of the four fiscal years immediately preceding the tested fiscal year. More than 135 countries and tax jurisdictions are members of the Inclusive Framework and will be enacting tax laws to adopt the GloBE MR in the upcoming years. Grupo Bimbo has concluded that it falls within the scope of the rules.

Since at December 31, 2023 there is no legislation in force in any jurisdiction where Grupo Bimbo operates, that obliges MNEs to calculate the pillar two regulations and the additional TopUp Tax if any, this additional income tax payable (recoverable) as of December 31, 2023 would not be applicable, as there is no tax due.

As of December 31, 2023, the Company applied the mandatory temporary exception to not to account for deferred taxes that may arise from the jurisdictional implementation of the Pillar Two model rules. Therefore, no deferred taxes have been recognized for Pillar Two model rules as of this date. However, the Company is still in the process of monitoring the definitions to be adopted in each of the countries and regions in which it operates, to assess the potential impacts and the implementation challenges of the complementary income tax established in the BEPS Pillar Two Model.

Mexico

On October 26, 2021, a series of tax modifications were approved in Mexico that are effective as of January 1, 2022, these reforms did not generate a financial impact for the Company, but it did generate a series of compliance obligations.

To date, the Company has complied with its obligation to disclose tax schemes subject to reporting corresponding to fiscal years 2023, 2022 and 2021.

United States of America

In August 2022, the CHIPS & Science Act (HR 4346) was enacted, introducing a 25% tax credit for investments in the manufacturing sector. This measure is not expected to have a significant impact on GB's operations in the United States.

In August 2022, the Reduction Act 2022 was enacted, which includes a new minimum tax for certain large taxpayers starting in 2023. The new law gives rise to a minimum tax equal to the difference between such tax and income tax and Base Erosion and Anti-Abuse Tax (BEAT).

These modifications did not have a significant impact on the financial statements.

Spain

On 29 December 2022, Law 38/2022 was enacted, which imposes a temporary limitation in 2023 on the recognition of tax loss carryforwards generated individually by the different entities of a corporate group.

In addition, the remaining individual tax loss carryforwards shall be included in taxable profit in equal parts in each of the first ten fiscal periods beginning on or after 1 January 2024.

Income tax in other countries

Subsidiaries established abroad calculate income tax based on the individual performance of each subsidiary and in accordance with the regulations of each country. U.S. regulations allow the filing of a consolidated income tax return. As of 2023, Spanish regulations allow the filing of a consolidated tax return.

As of 2019, French regulations allow the filing of a consolidated tax return.

Except for the subsidiaries mentioned above, each subsidiary calculates and pays income tax as an individual legal entity. The annual tax returns are filed within the six months following the end of the fiscal year. Additionally, the subsidiaries must make provisional payments during each fiscal year.
The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory income tax rate					Expiration of tax loss carryforwards	
	2023		2022		2021		
Argentina	35	(a)	35	(a)	35	5	(b)
Brazil	34		34		34		(c)
Canada	15	(d)	15	(d)	15	20	(e)
Spain	25		25		25		(f)
USA	21	(g)	21	(g)	21		(h)
Mexico	30		30		30	10	

The tax losses generated by the Company are mainly in Mexico, Brazil, Argentina and Spain.

(a) From 2021 and in the coming years, the corporate rate is 35%. Such rate will depend on the range of the accumulated taxable profit generated.
(b) Losses on the sale of shares or other equity investments may only be offset against income of the same nature. Tax losses from foreign sources may only be carried forward against income from foreign sources.
(c) Tax losses may be applied indefinitely but may only be offset each year up to an amount equivalent to 30% of the net taxable profit for each year.
(d) The corporate income tax rate is a combination of the federal corporate tax rate 15%, and relevant state (provincial) corporate income tax rates where the Company has a permanent establishment. State tax rates range from 10% to 16%; therefore, the combined tax rate may range from 25% to 31%.
(e) The Company's tax losses may be carried back against the three prior years.
(f) Tax loss carryforwards have no expiration date; however, their application is limited to 25% of the net taxable profit for the year.
(g) The corporate income tax rate is a combination of the federal rate, which is 21%, and the state rates where the Company has a permanent establishment. State rates range from 0% to 12%, therefore, the combined tax rate may range from 21% to 33%.
(h) As a result of the tax reform, tax loss carryforwards have no expiration date; however, their amortization is limited to 80% of the taxable profit generated for the year.

At the date of issue of these consolidated financial statements, no changes have been disclosed for the corporate tax rates in subsequent years, the applicable changes for the years presented are the following:

- Turkey, where the tax rate was changed from 22% in 2020 to 25% in 2021; as of 2022 it will be 23% and as of 2023 will be 25%.
- United Kingdom where the tax rate will change from 19% in 2022 to 25% in 2023.
- South Korea where the tax rate will change from 22% in 2022 to 21% in 2023.
- South Africa where the tax rate will change from 28% in 2022 to 27% in 2023.
- Morocco where the tax rate will change from 31% in 2022 to 24.5% in 2023.

Operations in the USA, Canada, Uruguay, Guatemala, Panama, Honduras, Nicaragua, Colombia, and Ecuador are subject to minimum income tax payments or substitutive tax.

Analysis of provisions, effective tax rate and deferred effects

a) The Company's consolidated income tax is as follows:

	2023	2022	2021
Income tax:			
Current income tax	$ 9,462	$ 9,938	$ 7,846
Deferred income tax and other items	(1,076)	4,443	880
	$ 8,386	**$ 14,381**	**$ 8,726**

The income tax incurred is the tax determined for the year plus crediting effects. Deferred income tax and other items mainly include the effects of: income tax differences from previous years, IFRIC 23 and foreign withholdings.

b) A reconciliation of the statutory income tax rate to the effective income tax rate in Mexico expressed as a percentage of the profit before income tax for the years ended December 31, is as follows:

	2023	2022	2021
Profit before income tax and discontinued operations	$ 25,324	$ 45,878	$ 24,854
Profit before income tax from discontinued operations	(23)	23,516	1,498
Profit before income tax	25,301	69,394	26,352
Statutory income tax rate	30%	30%	30%
Income tax at statutory tax rate	7,591	20,818	7,906
Más (menos) efecto de impuestos de las siguientes partidas:			
Plus/(less) the tax effects of the following items: Inflationary effects of monetary accounts in the statement of financial position and statement of profit or loss	813	1,051	1,025
Non-deductible expenses and other	965	1,508	973
Non-taxable profit and tax incentives	-	(356)	(322)
Difference in tax rates and currency of subsidiaries in different tax jurisdictions	(296)	(1,243)	(421)
Effects on tax values of property, plant and equipment	(600)	(807)	(561)
Share of loss of associates	(95)	(136)	(74)
Permanent effects of discontinued operation	-	(528)	(205)
Unrecognized available tax loss carryforwards	1	602	650
Income tax recognized in profit or loss	$ 8,379	$ 20,909	$ 8,971
Effective income tax rate	33.1%	30.1%	34.0%
Income tax continuous operation	$ 8,386	$ 14,381	$ 8,726
Income tax discontinued operation (Note 24)	(7)	6,528	245
Income tax	$ 8,379	$ 20,909	$ 8,971
Effective income tax rate continuous operation	33.1%	31.1%	35.1%
Effective income tax rate discontinued operation	31.8%	27.7%	16.4%

To determine their deferred income tax as of December 31, 2023, 2022 and 2021, the Company's subsidiaries applied the income tax rate that will be in effect when the temporary differences giving rise to deferred taxes are expected to reverse.

c) The primary items that generate deferred income tax as of December 31, are as follows:

	Balance as of January 1 2023	Effects through profit or loss	Effects through comprehensive income	Translation effect	Business combinations	Balance as of December 31, 2023
Allowance for expected credit loss	$ (438)	$ (21)	$ -	$ -	$ -	$ (459)
Inventories and advances	62	(169)	-	-	-	(107)
Property, plant and equipment	4,765	(127)	-	-	217	4,855
Intangible assets and other assets	7,274	204	-	(828)	521	7,171
Other reserves and provisions	(7,154)	(299)	(164)	(83)	-	(7,700)
Current employee profit sharing	(535)	6	-	-	-	(529)
Available tax loss carryforwards	(343)	(586)	-	-	-	(929)
Net economic hedge	-	(514)	514	-	-	-
Lease assets and liabilities, net	(529)	(29)	-	-	-	(558)
Derivative financial instruments	511	(618)	258	16	-	167
Total deferred income tax (asset), net	**$ 3,613**	**$ (2,153)**	**$ 608**	**$ (895)**	**$ 738**	**$ 1,911**

	Balance as of January 1, 2022	Effects through profit or loss	Effects through comprehensive income	Translation effect	Discontinued operation	Business combinations	Balance as of December 31, 2022
Allowance for expected credit loss	$ (301)	$ (148)	$ -	$ -	$ 11	$ -	$ (438)
Inventories and advances	16	46	-	-	-	-	62
Property, plant and equipment	4,501	299	-	-	(49)	14	4,765
Intangible assets and other assets	7,869	134	-	(2,098)	(112)	1,481	7,274
Other reserves and provisions	(12,501)	5,030	207	(47)	157	-	(7,154)
Current employee profit sharing	(500)	(48)	-	-	13	-	(535)
Available tax loss carryforwards	(303)	(40)	-	-	-	-	(343)
Net economic hedge	-	(432)	432	-	-	-	-
Lease assets and liabilities, net	(469)	(70)	-	-	10	-	(529)
Derivative financial instruments	914	182	(574)	(11)	-	-	511
Total deferred income tax (asset), net	**$ (774)**	**$ 4,953**	**$ 65**	**$ (2,156)**	**$ 30**	**$ 1,495**	**$ 3,613**

	Balance as of January 1, 2021	Effects through profit or loss	Effects through comprehensiv e income	Translation effect	Business combinations	Balance as of December 31, 2021
Allowance for expected credit loss	$ (283)	$ (18)	$ -	$ -	$ -	$ (301)
Inventories and advances	(59)	75	-	-	-	16
Property, plant and equipment	5,026	(525)	-	-	-	4,501
Intangible assets and other assets	8,068	565	-	(641)	123	7,869
Other reserves and provisions						
Current employee profit sharing	(13,922)	989	432	-		
Available tax loss carryforwards						12,501
Net economic hedge	(299)	(201)	-	-	-	(500)
Lease assets and liabilities, net	(568)	265	-	-	-	(303)
Derivative financial instruments	-	(77)	77	-	-	-
Total deferred income tax (asset), net	(329)	(140)	-	-	-	(469)
Instrumentos financieros derivados	399	(345)	860	-	-	914
Total pasivo (activo), neto	$ (1,967)	$ 588	$ 1,369	$ (641)	$ (123)	$ (774)

The deferred income tax assets and liabilities are presented separately in the consolidated statement of financial position, since they correspond to different taxable entities and tax authorities. As of December 31, are as follows:

	2023	2022	2021
Deferred income tax asset	$ (7,313)	$ (3,962)	$ (7,861)
Deferred income tax liability	9,224	7,575	7,087
Total deferred income tax (asset)/liability, net	$ 1,911	$ 3,613	$ (774)

The Company has determined that the undistributed earnings of its foreign subsidiaries will not be distributed in the foreseeable future. As of December 31, 2023, there are undistributed earnings for temporary differences related to investments in subsidiaries and associates for which no deferred tax liabilities have been recognized. In the same date, the amount of undistributed earnings for temporary differences related to subsidiaries is immaterial.

As of December 31, 2023, the Company's unused tax losses have the following expiration dates:

Year	Amount
2024	$ 1,084
2025	800
2026	779
2027	682
2028	1,139
2029	41
2030 and thereafter	21,160
	25,685
Unrecognized available tax loss carryforwards	(22,010)
Total	**$ 3,675**

Certain subsidiaries that have tax losses have not recognized the deferred tax asset, since they do not have sufficient taxable income or projected earnings to estimate the time for recovery of such tax losses. Unrecognized accumulated benefits of such tax losses were $6,572 in 2023, $7,902 in 2022 and $8,644 in 2021.

Some subsidiaries have unused tax losses. The unused tax losses for which a deferred tax asset has been recognized can be recovered, provided that they meet certain requirements. As of December 31, 2023, the Company expects to recover such tax losses through the reversal of temporary differences and future taxable profits.

17. FINANCIAL INSTRUMENTS

1. Financial instruments by category as of December 31 is as follows:

	2023	2022	2021	Category / Hierarchy
Assets				
Financial assets:				
Cash and cash equivalents	$ 6,353	$ 12,313	$ 8,748	Fair value – Level 1
Trade accounts receivables and other accounts receivable, net	22,636	23,936	21,432	Amortized cost
Derivative financial instruments	119	38	1,293	Fair value - Level 1 and 2
Guarantee deposits for derivative financial instrument	1,519	879	-	Fair value - Level 1
Total current assets	30,627	37,166	31,473	
Other non-current assets	489	675	273	Amortized cost
Other non-current assets – plan asset surpluses and other assets	2,403	1,752	1,657	Fair value - Level 1, 2 and 3
Derivative financial instruments	468	2,005	1,962	Fair value - Level 1 and 2
Total assets	$ 33,987	$ 41,598	$ 35,365	
Liabilities				
Financial liabilities:				
Current portion of non-current debt	$ 12,932	$ 6,435	$ 10,625	Amortized cost
Trade accounts payable	40,409	44,058	35,752	Amortized cost
Other accounts payable	1,354	1,154	1,998	Amortized cost
Accounts payable to related parties	1,412	1,240	1,527	Amortized cost
Guarantee withdrawals for derivative financial instruments	-	-	392	Fair value - Level 1
Derivative financial instruments	2,164	1,458	169	Fair value - Level 1 and 2
Total current liabilities	58,271	54,345	50,463	
Non-current debt	97,003	77,619	82,230	Amortized cost
Derivative financial instruments	1,888	590	67	Fair value - Level 1 and 2
Total liabilities	$ 157,162	$ 132,554	$ 132,760	

2. Risk management

During the normal course of its operations, the Company is exposed to risks inherent to financial variables, as well as changes in the prices of some of its raw materials that are traded in international markets. The Company has established an orderly risk management process that assesses the nature and extent of those risks.

The primary financial risks to which the Company is exposed are as follows:

- Market risk
  - Interest rate risk
  - Foreign currency risk
  - Commodity price risk
- Liquidity risk
- Credit risk
- Equity risk

The risk management process includes the following activities:

- Identify, evaluate and monitor external and internal risks that could have a significant impact on the Company
- Prioritize risks
- Ensure risk assignment and monitoring
- Validate bodies and/or those responsible for risk management
- Validate the progress made in the management of each prioritized risk
- Review the consistency of open positions in respect of the corporate strategy
- Make recommendations

Since the variables to which the Company is exposed are dynamic, hedging strategies are evaluated and monitored periodically. Such strategies are reported to the relevant governing body within the Company. The primary purpose of hedging strategies is to achieve a neutral and balanced position in relation to the risk exposure caused by certain financial variables.

As of December, an analysis of the Company's derivative financial instruments is as follows:

	2023		2022		2021	
	Book value	Changes in OCI	Book value	Changes in OCI	Book value	Changes in OCI
Assets						
Current assets:						
Forwards on raw materials	$ 56	$ 56	$ -	$ (92)	$ 92	$ 92
Foreign currency forwards	33	-	-	-	-	-
Futures of raw materials	4	(23)	25	(922)	953	152
Swaps of raw materials and energetics	26	12	13	(237)	248	174
Total current derivative financial instruments	$ 119	$ 45	$ 38	$ (1,251)	$ 1,293	$ 418
Non-current assets:						
Cross currency swap	$ 456	$ (400)	$ 1,430	$ 249	$ 1,951	$ 427
Interest Rate swaps	11	786	575	575	-	-
Swaps of raw materials and energetics	-	-	-	(9)	9	9
Forwards on raw materials	1	1	-	(2)	2	2
Total non-current derivative financial instruments	$ 468	$ 387	$ 2,005	$ 813	$ 1,962	$ 438
Liabilities						
Pasivo a corto plazo:						
Foreign currency forwards	$ 78	$ 47	$ 10	$ 76	$ 169	$ 175
Forwards on raw materials	660	(148)	512	(512)	-	784
Futures of raw materials	312	(75)	234	(237)	-	-
Cross currency swap	901	(224)	-	-	-	-
Swaps of raw materials and energetics	213	488	702	(702)	-	-
Total current derivative financial instruments	$ 2,164	$ 88	$ 1,458	$ (1,375)	$ 169	$ 959
Total non-current derivative financial instruments	$ 1,888	$ 288	$ 590	$ (54)	$ 67	$ 1,203
Capital contable:						
Total valuation of cash flow hedges, net of accrued interest	$ (292)	$ 808	$ (1,100)	$ (1,867)	$ 767	$ 3,018
Closed contracts for unused futures	(222)	130	(352)	(346)	(6)	(30)
	(514)	938	(1,452)	(2,213)	761	2,988
Deferred income tax, net	127	(274)	401	585	(184)	(860)
Other comprehensive (loss)/income	$ (387)	$ 664	$ (1,051)	$ (1,628)	$ 577	$ 2,128

As of December 31, 2023, 2022 and 2021, derivative financial instruments did not generate significant ineffectiveness in the hedging strategies executed.

2.1 Market risk

The Company is exposed to interest rate and foreign currency exchange risks, as well as commodity price risks. The Company occasionally uses derivative financial instruments to mitigate the potential impact of fluctuations in these variables and prices on its financial performance. The Company considers that the derivative financial instruments it enters into provide flexibility that allows for greater financial stability and better visibility and certainty regarding future costs and expenses.

The Company determines the target amounts and parameters of the primary positions for which the derivative financial instruments are contracted in order to minimize one or more of the risks generated by a transaction or group of transactions associated with the primary position.

The Company only enters into derivative financial instruments with financial institutions of well- known solvency and within the limits set for each institution. The main types of derivative financial instruments used by the Company are as follows:

Contracts that establish a mutual obligation to exchange cash flows on preestablished future dates, at the nominal or reference value (swaps):

1. Interest rate swaps to balance the mix of fixed and variable interest rates used for financial liabilities
2. Cross currency swaps, to change the currency in which both the principal and interest of a financial liability are expressed

a) Foreign currency forwards
b) Foreign currency call options
c) Foreign currency denominated zero-cost call and put options (zero-cost collars)
d) Raw materials futures
e) Options on raw material futures
f) Commodity swaps

Market risk exposure is monitored and reported on an ongoing basis.

The Company's policy is to contract derivative financial instruments for the sole purpose of hedging its foreign currency risk. Accordingly, in order to contract a derivative financial instrument, it must necessarily be associated with a primary position that exposes the Company to a specific risk. Consequently, the notional amounts of the Company's derivative financial instruments must be consistent with the amounts of the primary positions that are being hedged. The Company does not contract derivative financial instruments to obtain earnings from premiums.

2.2 Management of interest rate risk

The Company is exposed to interest rate risk, mainly with respect to its financial liabilities. The risk is managed through an adequate mix of fixed and variable rates, which on occasion, is achieved by contracting derivative financial instruments, such as interest rate swaps, which are accounted for as hedging instruments when they meet with the corresponding criteria.

As a result of the COVID-19 pandemic, volatility in financial markets led to fluctuations in interest rates, particularly in short-term rates. Since most of the Company's financial liabilities bear interest at long-term fixed rates, these fluctuations did not have a material effect on the consolidated financial statements during 2022 and 2021.

Company management considers that the interest rate risk related to its financial assets is limited, since they are generally current assets.

Interest rate sensitivity

The sensitivity analyses below have been determined based on balances exposed to interest rate risk, considering both derivative and non-derivative financial instruments at year-end closing; therefore, the analyses may not be representative of the interest rate risk for the period due to changes in the balances exposed to such risk. For floating rate instruments, for which the Entity has not contracted a hedge to fix the rate, the sensitivity analysis is prepared assuming the amount of the liability outstanding at the end of the reporting period was outstanding for the whole year.

An increase/decrease of 20 basis points in the SOFR would result in a decrease/increase in profit or loss of approximately $8 for the year ended December 31, 2023.

An increase/decrease of 100 basis points in the TIIE would result in a decrease/increase in profit or loss of approximately $110 for the year ended December 31, 2023.

As of December 31, 2022 and 2021, the Company had no non-current debt bearing interest at variable rates.

2.3 Management of foreign currency risk

The Company carries out transactions in different foreign currencies and presents its consolidated financial statements in Mexican pesos. Accordingly, it is exposed to foreign currency risk (i.e. due to forecasted purchases of raw materials, contracts and monetary assets and liabilities) and foreign currency translation risk (i.e. due to net investments in foreign subsidiaries). The Company is mainly exposed to foreign currency risk associated with the performance of the Mexican peso against the American dollar and the Canadian dollar, and the Canadian dollar against the USD.

- Management of foreign currency translation risk

The Company has investments in foreign subsidiaries whose functional currency is not the Mexican peso, which exposes it to foreign currency translation risk. The Company has contracted intercompany financial assets and liabilities with those foreign subsidiaries in various currencies, which also generates foreign currency translation risks.

Foreign currency translation risk is mitigated mostly through the issuance of one or more loans denominated in currencies other than the functional currency to naturally hedge exposure to foreign currency and presented as a net investment in foreign subsidiaries.

As of December 31, 2023, 2022 and 2021, the loans in USD (described in Note 13) that have been designated as hedges on the net investment in foreign subsidiaries amount to USD841 million, USD1,058 million and USD1,295 million, respectively.

As of December 31, 2023, 2022 and 2021, the loans that have been designated as hedges on the net investment in foreign subsidiaries in Canada amount to CAD289 million, CAD354 million and CAD354 million for the three periods (see Note 17, 2.3 (a)).

As of December 31, 2023, 2022 and 2021, the loans that have been designated as hedges on the net investment in foreign subsidiaries in Spain amount to EUR318 million, EUR318 million and EUR126 million, respectively.

As of December 31, 2023, 2022 and 2021, the amount designated as a hedge for non-current intercompany asset positions is CAD664 million, CAD630 million and CAD630 million for the three periods.

As of December 31, 2023, 2022, and 2021, the amount loans for non-current intercompany that have been designated as the investment in USA subsidiaries is USD185 million, USD756 million and USD748 million, respectively.

As of December 31, 2023, the amount designated as a hedge for non-current intercompany liability positions is USD13 million.

As of December 31, 2023 and 2022, the amount designated as a hedge for non-current intercompany asset positions is GBP0 and GBP18 million, respectively.

To test hedge effectiveness, the Company compares the changes in the fair value of the hedging instrument against the changes in fair value of the hedged item attributable to the net investment.

Management of transactional foreign currency risk

The Company's risk management policy on transactional foreign currency risk consists of hedging expected cash flows, mainly with regard to expected obligations that qualify as hedged items, represented by "highly probable" forecasted transactions for purposes of hedge accounting. When the future purchase is made, the Company adjusts the non-financial asset hedged for the gain or loss previously recognized in OCI.

Foreign currency sensitivity

The sensitivity analyses below have been determined based on balances exposed to foreign currency risk, considering both derivative and non-derivative financial instruments at the reporting date; therefore, the analyses may not be representative of the foreign currency risk for the period due to changes in the balances exposed to such risk.

A depreciation/appreciation of one Mexican peso per USD that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $63 in profit or loss for the year ended December 31, 2023.

A depreciation/appreciation of one Mexican peso per Canadian dollar that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $0.3 in profit or loss for the year ended December 31, 2023.

A depreciation/appreciation of one Mexican peso per Euro that represents management's estimate of a reasonable potential change in the parity of both currencies would result in an increase/decrease of approximately $1 in profit or loss for the year ended December 31, 2023.

Analysis of derivative financial instruments for hedging interest rate and foreign currency risk

An analysis of the derivatives used to hedge interest rate and foreign currency risks and their fair value as of December 31, 2023, 2022 and 2021 is as follows:

Assets Long-Term Derivative Financial Instruments:

a) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Canadian dollars and change the fixed interest rate in UDS to a fixed interest rate in Canadian dollars, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
270	USD	354	CAD	27-jun-2024	3.875%	3.970%	$ -	$ 133	$ (171)

b) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
100	USD	1,827	MXP	27-jun-2024	3.875%	8.410%	$ -	$ 162	$ 339
150	USD	3,225	MXP	27-jun-2024	3.875%	7.160%	-	-	103
76	USD	1,392	MXP	27-jun-2024	3.875%	8.387%	-	123	257
204	USD	4,376	MXP	27-jun-2024	3.875%	7.330%	-	-	123
							$ -	$ 285	$ 822

c) Swaps that translate the 144A bond of USD500 million, which matures on June 27, 2044, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	Market value 2022	Market value 2021
100	USD	1,829	MXP	27-jun-2028	4.875%	9.838%	$ -	$ 183	$ 423
100	USD	1,829	MXP	27-jun-2044	-	1.190%	204	131	245
							$ 204	$ 314	$ 668

d) Swaps that translate a portion of 144A bond of USD650 million, maturing on November 10, 2047, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
100	USD	2,150	MXP	10-nov-2047	-	3.415%	$ -	$ 92	$ -
50	USD	1,075	MXP	10-nov-2047	-	3.120%	-	71	-
							$ -	$ 163	$ -

e) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Mexican pesos an change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
50	USD	1,075	MXP	06-mar-2030	4.000%	8.080%	$ -	$ -	$ 72
50	USD	1,033	MXP	06-sep-2030	4.000%	9.810%	-		-
50	USD	1,018	MXP	06-sep-2030	4.000%	9.670%	-	-	30
25	USD	495	MXP	06-sep-2030	4.000%	9.370%	-	-	44
25	USD	494	MXP	06-sep-2030	4.000%	9.340%	-	-	44
200	USD	3,733	MXP	06-sep-2049	-	2.980%	-	5	185
							$ -	$ 5	$ 380

f) Swaps that translate a portion of 144A bond of USD500 million, maturing on June 27, 2044, to euros and change the fixed interest rate in USD to a fixed interest rate in euros, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
100	USD	93	EUR	28-jun-2032	4.870%	3.610%	$ -	$ 41	$ -

g) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Euros and change the fixed interest rate in USD to a fixed interest rate in euros.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
150	USD	126	EUR	6-mar-2031	4.000%	2.110%	$ 252	$ 488	$ 252

h) Interest rate swap that hedges the floating rate in USD of coupon payments related to forecast transactions:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
200	USD	24-may-2034	SOFR 3M	1.690%	$ -	$ 513	$ -
75	USD	30-jun-2033	SOFR 3M	3.320%	-	21	-
75	USD	30-jun-2033	SOFR 3M	3.320%	-	22	-
30	USD	30-jun-2034	SOFR 3M	3.420%	1	-	-
					$ 1	$ 556	$ -

i) Long-term swaps to cover the price risk associated with raw materials and others:

Unit	December 2023 Quantity	Average price	December 2022 Quantity	Average price	December 2021 Quantity	Average price	Market value 2023	2022	2021
Barriles	-	-	-	-	23,400	49.90	$ -	$ -	$ 9

j) Forwards de largo plazo para cubrir el riesgo cambiario asociado a materia prima y otros:

Notional amount	Currency	December 2023 Notional amount	Average exchange rate	December 2022 Notional amount	Average exchange rate	December 2021 Notional amount	Average exchange rate	Market value 2023	2022	2021
Canada	USD/CAD	19	1.32	-	-	10	1.25	$ 1	$ -	$ 3
Mexico	USD/MXP	-	-	-	-	3	22.52	-	-	(1)
								$ 1	$ -	$ 2

k) Interest rate swap that hedges forecast flows related to the finance lease of Italy operation:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
8	EUR	03-feb-2031	Euribor 3M	1.280%	$ 6	$ 11	$ -
7	EUR	03-mar-2031	Euribor 3M	1.250%	4	9	-
					$ 10	$ 20	$ -
Total non-current assets for derivative financial Instruments					$ 468	$ 2,005	$ 1,962

During 2023, the Company restructured the notional amounts (for USD 280 million) and interest rates of some derivative financial instruments, as indicated in paragraph h), resulting in the collection of $1,216 corresponding to the fair value of these instruments at the time of the restructuring. The Company's risk management objectives were not modified as a result of this restructuring.

During 2022, the Company restructured the notional amounts (for USD150 million) and interest rates of some derivative financial instruments, as indicated in paragraph g), resulting in the collection of $419 corresponding to the fair value of these instruments at the time of the restructuring. The Company's risk management objectives were not modified as a result of this restructuring.

Derivative financial instruments Liabilities Non-current

l) Swaps that translate the 144A bond of USD800 million, which matures on June 27, 2024, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate in Mexican pesos, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
150	USD	3,225	MXP	27-jun-2024	3.875%	7.160%	$ -	$ 163	$ -
204	USD	4,376	MXP	27-jun-2024	3.875%	7.330%	-	234	-
							$ -	$ 397	$ -

m) Swaps that translate a portion of 144A bond of USD500 million, maturing on June 27, 2044, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate Mexican peso, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
100	USD	1,830	MXP	27-jun-2028	4.880%	9.840%	$ 115	$ -	$ -
100	USD	1,869	MXP	27-jun-2044	-	3.550%	112	-	-
							$ 227	$ -	$ -

n) Swaps that translate a portion of 144A bond of USD500 million, maturing on June 27, 2044, to Euros and change the fixed interest rate in USD to a fixed interest rate Euros, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
100	USD	93	EUR	28-jun-2032	4.870%	3.610%	$ 103	$ -	$ -

o) Swaps that translate a portion of 144A bond of USD595 million, maturing on September 6, 2049, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate Mexican peso, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
50	USD	1,075	MXP	06-mar-2030	4.000%	8.080%	$ 194	$ 27	$ -
50	USD	1,033	MXP	06-sep-2030	4.000%	9.810%	246	80	-
50	USD	1,018	MXP	06-sep-2030	4.000%	9.670%	223	57	-
25	USD	495	MXP	06-sep-2030	4.000%	9.370%	87	5	-
25	USD	494	MXP	06-sep-2030	4.000%	9.340%	87	4	-
200	USD	3,733	MXP	06-sep-2049	-	2.980%	59	-	-
							$ 896	$ 173	$ -

p) Swaps that translate the 144A bond of USD800 million, which matures on November 10, 2047, to Canadian dollars and change the fixed interest rate in UDS to a fixed interest rate in Canadian dollars, as well as notional coverage at maturity.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
100	USD	131	CAD	10-nov-2047	-	-	$ 87	$ -	$ -
120	USD	158	CAD	10-nov-2047	-	0.020%	116	-	-
							$ 203	$ -	$ -

q) Swaps that translate a portion of 144A bond of USD650 million, maturing on November 10, 2047, to Mexican pesos, where the notional to maturity is hedged by changing the debt denominated in USD to Euros.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
100	USD	2,150	MXP	10-nov-2047	-	3.420%	$ 217	$ -	$ -
50	USD	1,075	MXP	10-nov-2047	-	3.120%	79	-	-
							$ 296	$ -	$ -

r) Swaps that translate a portion of 144A bond of USD650 million, maturing on November 10, 2047, to Euros, where the notional to maturity is hedged by changing the debt denominated in USD to Euros.

Notional amount	Currency	Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	2021
100	USD	99	EUR	10-nov-2032	1.020%	-	$ 140	$ 20	$ -

s) Interest rate swap that hedges the floating rate in USD of coupon payments related to forecast transactions:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	22021
100	USD	24-may-2034	SOFR 3M	3.510%	$ 12	$ -	$ -
50	USD	30-jun-2033	SOFR 3M	3.500%	5	-	-
50	USD	30-jun-2033	SOFR 3M	3.500%	5	-	-
50	USD	30-ene-2034	SOFR 3M	3.450%	1	-	-
					$ 23	$ -	$ -

t) Forward de tasa de interés que cubre la tasa variable en dólares:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	22021
200	USD	24-may-2034	SOFR 3M	1.690%	$ -	$ -	$ 54

u) Interest rate swap hedging forecasted flows related to financial leases of Italy operation:

Notional amount	Currency	Maturity	Rate received	Rate paid	Market value 2023	2022	22021
8	EUR	03-feb-2031	Euribor 3 meses	1.280%	$ -	$ -	$ 7
7	EUR	03-mar-2031	Euribor 3 meses	1.250%	-	-	6
					$ -	$ -	$ 13
Total non-current financial liabilities					$ 1,888	$ 590	$ 67

Foreign currency hedges

There is an economic relationship between the hedged items and the hedging instruments as the terms of the foreign exchange and commodity forward contracts match the terms of the expected highly probable forecast transactions (i.e. notional amount and expected payment date). The Company has established a hedge ratio of 1:1 for the hedging relationships as the underlying risk of the foreign exchange and commodity forward contracts are identical to the hedged risk components.

Derivative Financial Instruments Current Assets – Foreign Currency Hedging:

a) As of December 31, 2023, 2022 and 2021, the Company had the following forwards to hedge forecast transactions:

Country	Currency	December 2023 Notional amount	December 2023 Average exchange rate	December 2022 Notional amount	December 2022 Average exchange rate	December 2021 Notional amount	December 2021 Average exchange rate	Market value 2023	2022	2021
Mexico	MXP/ CLP	1,203	49.87	-	-	-	-	$ 24	$ -	$ -
United Kingdom	EUR/ USD	16	1.08	-	-	-	-	9	-	-
								$ 33	$ -	$ -

An analysis of the maturities of these forwards as of December 31, 2023 is as follows:

Country	Currency	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Mexico	Notional amount in MXP	-	-	1,203	-	-	1,203
	Average exchange rate CLP	-	-	49.87	-	-	49.87
United Kingdon	Notional amount in EUR	3	5	5	2	1	16
	Average exchange rate	1.06	1.08	1.09	1.09	1.09	1.08

b) As of December 31, 2023, 2022 and 2021, the Company had contracted the following forwards to hedge its foreign currency risk related to raw materials and other:

Country	Currency	December 2023 Notional amount	December 2023 Average exchange rate	December 2022 Notional amount	December 2022 Average exchange rate	December 2021 Notional amount	December 2021 Average exchange rate	Market value 2023	Market value 2022	Market value 2021
Canada	USD/CAD	29	1.32	-	-	125	1.26	$ 2	$ -	$ 17
Canada	CAD/USD	39	1.34	-	-	28	1.28	7	-	7
Chile	USD/CLP	45	841.02	-	-	37	795.93	38	-	65
Colombia	USD/COP	-	-	-	-	16	3,894.38	-	-	19
Colombia	COP/USD	8,150	4,250.99	-	-	-	-	3	-	-
Mexico	USD/MXP	-	-	-	-	320	21.12	-	-	(43)
Mexico	MXP/USD	602	17.24	-	-	545	21.43	5	-	20
Mexico	EUR/MXP	-	-	-	-	1	25.29	-	-	(1)
Peru	USD/PEN	5	3.69	-	-	25	4.03	1	-	-
Uruguay	USD/UYU	-	-	-	-	9	46.09	-	-	(2)
France	USD/EUR	-	-	-	-	6	1.16	-	-	2
Russia	EUR/RUB	-	-	-	-	1	73.76	-	-	1
Brazil	USD/BRL	-	-	-	-	15	5.62	-	-	3
Brazil	BRL/USD	-	-	-	-	53	5.79	-	-	4
								$ 56	$ -	$ 92

An analysis of the maturities of these forwards as of December 31, 2023 is as follows:

Country	Currency	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Canada	Notional amount in USD	1	-	8	6	14	29
	Average exchange rate	1.31	-	1.32	1.32	1.32	1.32
Canada	Notional amount in CAD	13	26	-	-	-	39
	Average exchange rate	1.34	1.34	-	-	-	1.34
Colombia	Notional amount in COP	-	4,463	2,874	813	-	8,150
	Average exchange rate	-	4,426.12	4,042.04	4,109.53	-	4,250.99
Mexico	Notional amount in MXN	199	403	-	-	-	602
	Average exchange rate	17.15	17.28	-	-	-	17.24
Chile	Notional amount in USD	7	12	15	8	3	45
	Average exchange rate	834.87	839.25	831.25	850.10	882.65	841.02
Peru	Notional amount in USD	1	1	2	1	-	5
	Average exchange rate	3.67	3.69	3.70	3.69	-	3.69

Current Liabilities Derivative Financial Instruments – Foreign Currency Hedging:

c) Swaps that translate a portion of 144A bond of USD800 million, maturing on June 27, 2024, to Mexican pesos and change the fixed interest rate in USD to a fixed interest rate Mexican peso, as well as notional coverage at maturity:

							Market value		
Country	Currency	Country	Currency	Maturity	Rate received	Rate paid	2023	2022	2021
100	USD	1,827	MXP	27-jun-2024	3.880%	8.410%	$ 42	$ -	$ -
76	USD	1,392	MXP	27-jun-2024	3.880%	8.390%	31	-	-
150	USD	3,225	MXP	27-jun-2024	3.880%	7.160%	63	-	-
204	USD	4,376	MXP	27-jun-2024	3.880%	7.330%	765	-	-
							$ 901	$ -	$ -

d) As of December 31, 2023, 2022 and 2021, the Company had the following forwards to hedge forecast transactions:

		Diciembre 2023		Diciembre 2022		Diciembre 2021		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2023	2022	2021
Mexico	MXP/CLP	-	-	1,388	43.23	894	40.24	$ -	$ (3)	$ (20)
Mexico	USD/MXP	125	17.77	190	19.63	252	21.39	71	(19)	189
Mexico	MXP/USD	-	-	607	19.91	-	-	-	(5)	-
Mexico	USD/GBP	-	-	31	1.13	-	-	-	41	-
Mexico	EUR/MXP	-	-	100	21.01	-	-	-	12	-
United Kingdom	EUR/GBP	16	0.89	30	1.15	-	-	6	(17)	-
United Kingdom	USD/EUR	4	1.12	53	1.08	-	-	1	1	-
								$ 78	$ 10	$ 169

An analysis of the maturities of these forwards as of December 31, 2023 is as follows:

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Mexico						
Notional amount in USD	28	65	28	4	-	125
Average exchange rate	17.24	17.70	18.49	17.72	-	17.77
United Kingdom						
Notional amount in EUR	2	4	5	2	3	16
Average exchange rate	0.90	0.89	0.90	0.88	0.88	0.89
United Kingdom						
Nocional amount in USD	-	1	1	1	1	4
Average exchange rate	-	1.12	1.12	1.12	1.12	1.12

e) As of December 31, 2023, 2022 and 2021, the Company had contracted the following forwards to hedge its foreign currency risk related to raw materials and other:

		2023		2022		2021		Market value		
Country	Currency	Notional amount	Average exchange rate	Notional amount	Average exchange rate	Notional amount	Average exchange rate	2023	2022	2021
Canada	USD/CAD	118	1.34	140	1.30	-	-	$ 27	$ (116)	$ -
Canada	CAD/USD	-	-	47	1.36	-	-	-	(1)	-
Chile	USD/CLP	21	912.44	67	936.37	-	-	9	104	-
Colombia	USD/COP	23	4,329.00	18	4,665.24	-	-	35	(22)	-
Mexico	USD/MXP	492	18.54	613	20.90	-	-	560	525	-
Mexico	MXP/USD	-	-	1,745	20.06	-	-	-	(26)	-
Mexico	EUR/MXP	2	20.29	2	22.67	-	-	2	2	-
Peru	USD/PEN	19	3.82	28	3.95	-	-	8	14	-
Uruguay	USD/UYU	9	40.67	11	43.01	-	-	4	11	-
France	USD/EUR	6	1.09	6	1.06	-	-	1	2	-
Brazil	USD/BRL	23	5.02	14	5.43	-	-	10	4	-
Brazil	BRL/USD	-	-	22	5.44	-	-	-	(2)	-
Costa Rica	USD/CRC	5	545.2	12	648.50	-	-	4	17	-
								$ 660	$ 512	$ -

The maturities of these forwards as of December 31, 2023 are as follows:

	< 1 Month	> 1 month < 3 months	> 3 months < 6 months	> 6 months < 9 months	> 9 months < 12 months	Total
Canada						
Notional amount in USD	12	28	38	27	13	118
Average exchange rate	1.34	1.34	1.34	1.34	1.34	1.34
Chile						
Notional amount in USD	2	1	3	7	8	21
Average exchange rate	920.45	894.08	908.13	910.00	917.88	912.44
Colombia						
Notional amount in USD	3	7	8	4	1	23
Average exchange rate	4,376.36	4,341.93	4,316.28	4,263.53	4,472.01	4,329.00
Mexico						
Notional amount in USD	65	109	156	112	50	492
Average exchange rate	19.03	18.64	18.40	18.32	18.63	18.54
Mexico						
Notional amount in USD	-	1	1	-	-	2
Average exchange rate	-	19.81	20.14	-	-	20.29
Peru						
Notional amount in USD	3	5	5	4	2	19
Average exchange rate	3.90	3.82	3.79	3.79	3.83	3.82
Uruguay						
Notional amount in USD	1	2	2	2	2	9
Average exchange rate	40.89	40.70	40.35	40.50	41.09	40.67
France						
Notional amount in USD	1	2	2	1	-	6
Average exchange rate	1.09	1.09	1.09	1.09	-	1.09
Brazil						
Notional amount in USD	5	8	8	2	-	23
T.C. promedio	4.97	5.02	5.06	5.00	-	5.02
Costa Rica						
Notional amount in USD	1	2	2	-	-	5
Average exchange rate	550.20	546.67	539.11	-	-	545.20

As of December 31, 2023, 2022 and 2021, the Company reclassified $1,916, $394 and $549, respectively, to cost of sales.

2.4 Management of commodity price risk

There is an economic relationship between the hedged items and the hedging instruments as the terms of purchases of raw materials match the terms of the expected highly probable forecast transactions (i.e. notional amount and expected payment date). The Company has established a hedge ratio of 1:1 for the hedging relationships as the underlying risk of the purchases of raw materials are identical to the hedged risk components.

In accordance with the Company's risk management policies, it enters into wheat, natural gas, and other commodity futures contracts to minimize the risk of variation in international prices of such commodities.

Wheat, the main commodity used by the Company, together with natural gas, are some of the commodities hedged. The transactions are carried out in well-known commodity markets and through their formal documentation, are designated as cash flow hedges of forecasted transactions. The Company performs prospective and retrospective effectiveness tests of the instruments to ensure that they mitigate the variability of cash flows from fluctuations in the price of such commodities.

As of December 31, 2023, 2022 and 2021, the Company has recognized, in other comprehensive income, closed wheat derivative contracts that have not yet been reclassified to cost of sales, since the wheat under these contracts has not been used for flour consumption.

Analysis of derivative transactions to hedge commodity price risk

As of December 31, 2023, 2022, and 2021, the principal characteristics of the Company's futures contracts are as follows:

	2023			2022			2021		
	Contracts			Contracts			Contracts		
	Number	Maturity	Fair value	Number	Maturity	Fair value	Number	Maturity	Fair value
Diesel	3,276	Jan-24 a Dec-24	$ 2	-	-	$ -	1,841	Jan-22 a Dec-22	$ 245
Gasoline	2,142	Jan-24 a Dec-24	4	-	-	-	764	Jan-22 a Dec-22	130
Natural gas	4	Jan-24 a Dec-24	1	-	-	-	628	Jan-22 a Dec-22	(12)
Polyethylene	25,152	Jan-24 a Sep-24	18	-	-	-	84,269	Jan-22 a Dec-22	(124)
Wheat	40	Jan-24 a Jul-24	3	-	-	-	13,202	Jan-22 a Dec-22	936
Corn	39	Jan-24 a Sep-24	1	-	-	-	-	-	-
Soybean oil	-	-	-	798	Jan-23 a Dec-23	25	818	Jan-22 a Dec-22	14
Crude Oil	25,000	Jan-24 a Sep-24	1	21,450	Jan-23 a Dec-23	13	23,400	Jan-22 a Dec-22	12
Total current assets			$ 30			$ 38			$ 1,201
Polyethylene	45,488	Jan-24 a Dec-24	$ 35	109,571	Jan-23 a Dec-23	$ 482	-	-	$ -
Natural gas	586	Jan-24 a Dec-24	94	623	Jan-23 a Dec-23	194	-	-	-
Wheat	8,241	Jan-24 a Dec-24	285	11,375	Jan-23 a Dec-23	234	-	-	-
Soybean oil	635	Jan-24 a Sep-24	27	-	-	-	-	-	
Diesel	2,230	Jan-24 a Jul-24	72	1,982	Jan-23 a Dec-23	12	-	-	-
Gasoline	508	Jan-24 a Sep-24	12	1,239	Jan-23 a Dec-23	14	-	-	-
Total current liabilities			$ 525			$ 936			$ -

As of December 31, 2023, 2022 and 2021, the Company reclassified $1,767, $(1,749) and $(1,351), respectively, to cost of sales.

The fair values of these financial instruments used to hedge the raw material price risk are considered within Level I of the fair value hierarchy.

As of December 31, 2023, 2022 and 2021, the Company has not identified any embedded derivatives that require bifurcation.

Valuation techniques and assumptions applied to measure fair value
The fair value of the Company's financial assets and liabilities is calculated as follows:

The fair values of financial assets and financial liabilities with standard terms and conditions which are traded on active, liquid markets are determined based on their quoted market prices. Derivative financial instruments fall under this category; therefore, these instruments are classified within Level I of the fair value hierarchy described below.

The fair value of other financial assets and liabilities carried at fair value is determined in accordance with accepted pricing models, generally based on an analysis of the discounted cash flows.
As of December 31, 2023, 2022 and 2021, the carrying value of financial assets and liabilities does not vary significantly from their fair value.

These derivative financial instruments are considered within level I and 2 of the fair value hierarchy.

The valuation of the Company's structured notes was determined based on the market value with prices provided by Valuación Operativa y Referencias de Mercado S.A. de C.V. ("VALMER"), which is an entity supervised by the *Mexican National Banking and Securities Commission* (CNBV, Spanish acronym) that provides updated prices for financial instruments. This valuation is considered Level I in accordance with the hierarchy described below.

Fair value hierarchy
All assets and liabilities for which fair value is measured or disclosed in the consolidated statement of financial position are categorized within one of the following three hierarchy levels based on the data used in the valuation. Categorization within the fair value hierarchy is based on the lowest level of input that is significant to the fair value measurement.

- **Level I:** Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- **Level 2:** Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- **Level 3:** Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

2.5 Management of liquidity risk
Liquidity risk management allows the Company to determine its short-term, medium-term and long-term cash flow needs, while seeking financial flexibility. The Company maintains sufficient liquidity through an orderly management of its resources and constant monitoring of cash flows, as well as through a variety of credit lines (some of them committed) with banking institutions and proper management of working capital. These actions ensure the payment of future obligations. Due to the nature of its business, the Company considers its liquidity risk to be low.

Obligations arising from accounts payables, derivative financial instruments and debt amortization are as follows:

	< 1 year	>1 year < 3 years	>3 years < 5 years	> 5 years	Total
Debt and interest	$ 19,205	$ 24,088	$ 28,807	$ 109,136	$ 181,236
Lease liabilities	5,751	8,771	5,389	14,138	34,049
Derivative financial instruments	3,562	969	1,170	11,895	17,596
Trade payables, accounts payable to related parties and other accounts payables	43,175	-	-	-	43,175
Total	$ 71,693	$ 33,828	$ 35,266	$ 135,168	$ 276,056

2.6 Management of credit risk
Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

The Company recognizes a provision for expected credit losses for trade receivables. The Company uses a provision matrix to calculate expected credit losses for trade receivables. The provision matrix is initially based on the Company's historical credit loss experience and is subsequently adjusted for factors that are specific to the debtors, general economic conditions and an assessment of the current direction and forecast of future conditions at the reporting date, including the time value of money, when applicable.

With respect to transactions with derivative financial instruments related to interest rate and exchange rate hedges, and some commodities such as natural gas, these instruments are entered into bilaterally with counterparties of high repute that meet certain criteria mentioned below, and who maintain a significant and ongoing business relationship with the Company.

These counterparties are deemed of high repute, as they are sufficiently solvent, based on their "counterparty risk" rating from a rating agency, for current and non-current obligations in local and foreign currency.

The Company's transactions with derivative financial instruments related to raw materials are carried out in the following renowned markets:

a) Minneapolis Grain Exchange (MGE)
b) Kansas City Board of Trade (KCBOT)
c) Chicago Board of Trade (CBOT)
d) New York Mercantile Exchange (NYMEX)

The Company monitors counterparty credit risks on a monthly basis and performs the related measurements.

All derivative financial instrument transactions are performed under standardized derivatives contracts that are duly executed by the legal representatives of the Company and those of the counterparties.

The appendices and annexes to these derivative contracts establish the settlement and other relevant terms in accordance with the uses and practices of the Mexican market and the markets in which the Company operates.

Some derivative financial instrument contracts, appendices and annexes, through which bilateral derivative financial transactions are carried out, consider the establishment of a cash deposit or other securities to guarantee payment of obligations arising from such contracts. The credit limits established by the Company with its counterparties are large enough to support its current operations; however, the Company maintains cash deposits as collateral for payment of certain derivative financial instruments.

For commodities future contracts executed in well-known international markets, the Company is subject to the regulations of such markets. These regulations include, among others, establishing an initial margin call for futures contracts and subsequent margin calls required of the Company.

17.1 Management of equity structure

The Company maintains a balance between debt and equity in order to maximize the shareholders' return.

As of December 31, the equity structure and leverage ratio are as follows:

	2023	2022	2021
Debt [(i)]	$ 109,935	$ 84,054	$ 92,855
Cash and cash equivalents	(6,353)	(12,313)	(8,748)
Net debt	103,582	71,741	84,107
Equity	111,628	127,602	101,606
Net debt to equity	0.93 Veces	0.56 veces	0.83 veces

(i) Debt is comprised of bank loans and current and non-current structured notes, net of amortizable transaction costs.

18. EMPLOYEE BENEFITS AND WELFARE PLANS

An analysis of the net liability generated by employee benefits and long-term social welfare by geographical segment as of December 31, is as follows:

	2023	2022	2021
Retirement and post-retirement benefits			
Mexico	$ 1,495	$ 2,283	$ 3,618
USA	858	724	786
Canada	-	-	18
EAA and Latin America	434	479	545
Total liabilities from retirement and post-retirement benefits	2,787	3,486	4,967
Multi-employer pension plans – USA	-	31	19,227
Social welfare USA	2,855	3,873	4,012
Net plan assets presented in other assets	455	708	1,245
Long-term bonuses payable to employees	1,120	1,284	1,261
Total net liability	$ 7,217	$ 9,382	$ 30,712

a) Mexico

The Company has a defined benefit pension and seniority premium plan. The Company's funding policy is to make discretionary contributions. During 2023, 2022 and 2021, the Company contributed $816, $781 and $1,150, respectively, to the plan assets.

As of December 31, 2022, due to the labor reform in Mexico regarding vacations,

which increases the number of vacation days for workers, the Company estimated the amount of the increase in the net liability for post-employment benefits, the which turned out to be not significant.

Seniority premiums consist of a one-time payment equal to 12-days' salary for each year worked based on the employee's final monthly salary (capped at twice the legal minimum daily wage) as stipulated in the employment contracts. Such benefits are granted to employees with 15 or more years of service.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2023, 2022 and 2021 based on independent actuarial calculations.

b) USA

The Company has a defined benefit pension plan that covers eligible employees. Some of the benefits of the plan for non-unionized workers were frozen. The Company's funding policy is to make discretionary contributions. As of December 31, 2023, the Company did not make contributions; as of December 31, 2022 and 2021, the contributions made to the plan total $101 and $203, respectively.

The Company has also established post-retirement social welfare plans, which cover the medical expenses of certain eligible employees. The Company has insurance and pays these expenses as incurred.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2023, 2022 and 2021 based on independent actuarial calculations.

c) Canada

The Company has a defined benefit pension plan that covers all eligible employees. Some of the benefits of the plan for non-unionized workers were frozen. The Company's funding policy is to make discretionary contributions. The contributions made to the plan in 2023, 2022 and 2021 total $81, $118 and $711, respectively.

The most recent actuarial valuations of the plan assets and present value of the defined benefit obligation were performed as of December 31, 2023, 2022 and 2021 based on independent actuarial calculations.

The Company has also established a defined contribution plan through which contributions are paid as incurred. For the years ended December 31, 2023, 2022 and 2021, the contributions made to the plans total $61, $67 and $74, respectively.

As of December 31, 2023, the principal assumptions used in the actuarial valuations are as follows:

	2023	2022	2021
Mexico:			
Discount rate	9.73%	9.59%	8.30%
Salary increase rate	4.75%	4.75%	4.50%
Inflation rate	3.75%	3.75%	3.50%
Expected average weighted return	9.59%	8.30%	7.68%
USA			
Discount rate	4.98%	5.22%	2.73%
Salary increase rate	3.50%	3.50%	3.25%
Inflation rate	2.50%	2.50%	2.25%
Expected average weighted return	5.22%	2.73%	2.30%
Canada:			
Discount rate	4.60%	5.10%	2.90%
Salary increase rate	4.00%	4.00%	3.00%
Inflation rate	2.00%	2.00%	2.00%
Expected average weighted return	5.10%	2.90%	2.50%

The assumptions related to the mortality rates used in the actuarial valuations are as follows:

	2023	2022	2021
México:			
Mortality table	EMSSA 2009	EMSSA 2009	EMSSA 2009
USA:			
Mortality table	MP-2023	MP-2022	MP-2021
Canada:			
Tabla de mortalidad	CPM2014Priv	CPM2014Priv	CPM2014Priv

Based on the aforementioned assumptions, the retirement and post-retirement benefits to be paid in the following years are as follows:

	Mexico	USA	Canada
2024	$ 463	$ 574	$ 180
2025	529	618	181
2026	628	660	184
2027	675	658	187
2028	728	658	189
2029 to 2034	3,442	3,147	938
	$ 6,465	$ 6,315	$ 1,859

An analysis of the amounts recognized in profit or loss and other comprehensive income with respect to defined benefit plans is as follows:

	2023	2022	2021
Amounts recognized in profit or loss:			
Current year service cost	$ 837	$ 1,013	$ 1,128
Interest cost	1,821	1,867	1,745
Return on plan assets	(1,657)	(1,567)	(1,324)
	1,001	1,313	1,549
Actuarial (loss)/gain on defined benefits recognized in other comprehensive income:			
Mexico, USA and Canada:			
Experience adjustments to plan obligations	468	(671)[3]	911
Effect of changes in demographic assumptions	-	-	87
Effect of changes in financial assumptions	61	(7,711)[1]	(3,534)[1]
Actuarial (gain)/loss on estimate of plan assets [3]	(127)	7,793	810
EAA and Latin America	(53)	(211)	183
	349	(800)	(1,543)
	$ 1,350	$ 513	$ 6

(1) Effects of an increase in the discount rate in Mexico, the United States of America and Canada in 2022 and 2021.
(2) Effects of the decrease in the real rate of return, mainly in Mexico and the United States of America, in 2022 and 2021.
(3) Effect due to the increase in employee turnover rate, mainly in Mexico.

Of the current year service cost, $724, $931 and $957 were included in 2023, 2022 and 2021, respectively, in the consolidated statement of profit or loss as part of cost of sales and the remainder as part of general expenses. Interest costs and the expected return on plan assets are recognized as part of comprehensive finance cost.

An analysis of the amount recognized in the consolidated statement of financial position in respect of the Company's obligation regarding its defined benefits plans as of December 31, is as follows:

	2023	2022	2021
Present value of defined benefit obligation	$ 27,163	$ 27,465	$ 41,401
Less - fair value of plan assets	24,788	24,413	36,823
	2,375	3,052	4,578
Plus - Retirement benefits for Latin America and EAA	434	479	545
Plus – Pensions net assets	97	79	-
Less - Current portion of retirement benefits recognized in accrued liabilities	(119)	(124)	(156)
Present value of unfunded defined benefits	$ 2,787	$ 3,486	$ 4,967

An analysis of changes in the present value of the defined benefit obligation for the years ended December 31, is as follows:

	2023	2022	2021
Present value of defined benefit obligation as of January 1	$ 27,465	$ 41,401	$ 42,386
Current year service cost	837	1,013	1,128
Interest cost	1,821	1,867	1,745
Gains on plan settlements	468	(671)	911
Experience adjustments to plan obligations			
Effect of changes in demographic assumptions	-	-	87
Effect of changes in financial assumptions	61	(7,711)	(3,534)
Translation effect	(1,762)	(1,500)	963
Discontinued operation	-	(309)	-
Benefits paid	(1,727)	(6,625)	(2,285)
Present value of defined benefit obligationas of December 31	$ 27,163	$ 27,465	$ 41,401

An analysis of changes in the fair value of plan assets for the years ended December 31, is as follows:

	2023	2022	2021
Fair value of plan assets as of January 1	$ 24,413	$ 36,823	$ 34,790
Return on plan assets	1,657	1,567	1,324
Actuarial (gain)/loss on estimate of plan assets	127	(7,793)	(810)
Employer contributions	897	1,000	2,064
Translation effect	(1,659)	(1,452)	882
Benefits paid	(647)	(5,732)	(1,427)
Fair value of plan assets as of December 31	$ 24,788	$ 24,413	$ 36,823

Categories of plan assets:

	Fair value of plan assets		
	2023	2022	2021
Equity instruments	$ 6,333	$ 6,260	$ 7,247
Debt instruments	15,730	16,288	25,471
Other	2,725	1,865	4,105
	$ 24,788	$ 24,413	$ 36,823

The fair value of the equity and debt instruments shown above is measured based on market prices quoted in active markets.

The Company's technical committee, as well as the trust committees, are responsible for defining and monitoring the Company's investment strategy and policies on a quarterly basis in order to optimize the risk/return in the long-term.

Sensitivity analysis:
The significant actuarial assumptions for the determination of the defined benefit obligation are the discount rate and the expected salary increase rate. The sensitivity analyses described below consider reasonable potential changes in the respective assumptions at the end of the reporting period, with all other assumptions remaining constant.

A sensitivity analysis considering a variance of 50 basis points in the assumptions as of December 31, 2023 is as follows:

	Mexico	USA	Canada
Discount rate increase	$ (1,116)	$ (506)	$ (156)
Discount rate decrease	1,303	506	181
Salary rate increase	(544)	(28)	(9)
Salary rate decrease	618	28	11

In the sensitivity analysis described above, the present value of the defined benefit obligation is calculated using the projected unit credit method at the end of the reporting period, which is the same method applied to calculate the liability for the defined benefit obligation recognized in the consolidated statement of financial position.

There were no changes in the methods or assumptions considered in the sensitivity analyses of prior years.

Duration of the defined benefit obligation

An analysis is as follows:

	Duration in years		
	2023	2022	2021
Mexico:			
Average duration	16.62	16.95	20.20
Active members	24.90	25.49	26.50
Retired members	8.35	8.41	8.30
USA:			
Average duration	10.10	10.41	12.16
Active members	11.06	11.12	13.83
Retired members	7.76	7.53	9.46
Deferred members	10.32	10.16	12.94
Canada:			
Average duration	9.90	10.20	12.80
Active members	13.00	13.20	16.80
Retired members	8.20	8.50	9.30
Deferred members	15.70	16.10	18.40

An analysis of the experience adjustments and other items for the years ended December 31, is as follows:

	2023	2022	2021
Present value of defined benefit obligation	$ 27,163	$ 27,465	$ 41,401
Less - Fair value of plan assets	24,788	24,413	36,823
Unfunded defined benefit obligation	$ 2,375	$ 3,052	$ 4,578
Experience adjustments to plan obligations and actuarial loss	$ 468	$ (671)	$ 911
Experience adjustments to plan assets	$ 127	$ (7,793)	$ (810)

The Company expects to make a contribution of $827 to the retirement and post-retirement benefit plans in 2024.

Multi-Employer Pension Plans (MEPP)

The Company participates in defined benefit MEPPs through its subsidiary BBU, that are administered and controlled by an independent board of trustees that generally consists of an equal number of union and employer representatives. BBU's responsibility to contribute to these plans is established pursuant to its collective agreements that cover its union-represented employees. These plans generally provide for retirement benefits for eligible employees with the applicable bargaining units, based on specific eligibility and participation requirements, vesting periods and benefit formulas.

Assets contributed to a MEPP by one employer may be used to provide benefits to employees of other participating employers. In the event other employers withdraw from a MEPP in which BBU participates, without satisfying their entire withdrawal liability, the amount of the unsatisfied withdrawal liability would be allocated to the remaining active employers.

Generally, allocation of withdrawal liability is related to BBU's contributions to the plan in relation to other employers' contributions to the plan and is subject to the collective bargaining process as well as approval from the Pension Benefit Guarantee Corporation.

If any of the MEPPs in which BBU participates enters critical status and its contributions are not sufficient to satisfy any rehabilitation plan funding schedule, the BBU could be required to make additional surcharge contributions to the MEPP based on a percentage of existing contributions required under the Company's labor agreement.

Unless the Company determines that it is probable that it will exit the MEPP, this type of plan is measured as a defined contribution plan, since the Company does not have sufficient information to perform the related calculations due to the collective nature of the plans and the Company's limited participation in the management of the plans. For the years ended December 31, 2023, 2022 and 2021, the contributions made to the MEPPs total $2,430, $2,655 and $2,556, respectively. The Company expects to contribute of $2,167 to the plan in 2024.

Liabilities recognized related to MEPPs are updated annually due to changes in wages, seniority and the combination of employees within the plan and are recorded in profit or loss for the year, in addition to amounts that are contributed regularly to different MEPPs.

When it is probable that the Company will exit a MEPP, a provision is recognized for the present value of the estimated future cash outflows, discounted at the current rate (Note 19).

The movements of the MEPPs liability during the years ended December 31 were as follows:

	2023	2022	2021
Balance as of January 1	$ 31	$ 19,227	$ 20,343
Remeasurement – (Note 22)	(28)	(18,697)	(2,005)
Financial cost – (Note 23)	-	303	230
Effect of foreign exchange differences	(3)	(802)	659
Balance as of December 31	$ -	$ 31	$ 19,227

In March 2021, the United States federal government passed and signed into law the American Rescue Plan Act of 2021 ("ARPA"). ARPA aims to redress some of the economic damages inflicted by the COVID-19 pandemic, including a provision of special financial assistance ("SFA") for certain underfunded PPMs through 2051. According to regulations issued in July 2021 and finalized In July 2022, underfunded PPMs in which the Company participates are eligible to apply for SFA in 2022 and 2023.

In December 2022, the largest critical and declining pension fund in the United States, Central States Teamsters, received approval for Special Financial Assistance (SFA). The Company believes that this approval significantly reduces the level of uncertainty with respect to other qualified pension funds and provides assurance that the SFA application process is progressing as planned. Accordingly, the Company believes that the previously expected contributions that were recognized on a provisional basis will no longer be required, so this provision has been reversed. The amount of this reversal is $19,010, which was recognized in other expenses in the statement of profit or loss.

Social welfare benefit plan in USA

The Company has a social welfare post-retirement benefit plan that qualifies as a defined contribution plan. The amounts corresponding to this obligation are recognized in profit or loss as incurred. These obligations are classified as current or long-term welfare benefit plans and the amounts are recognized in the consolidated statement of financial position. These liabilities are classified as short-term and long-term and their amounts included in the statement of financial position are:

	2023	2022	2021
Social welfare:			
Short-term [a]	$ 1,189	$ 1,462	$ 1,511
Long-term	2,855	3,873	4,012
	$ 4,044	$ 5,335	$ 5,523

(a) Included in other accounts payable and accrued liabilities.

19. OTHER NON-CURRENT LIABILITIES

The other non-current liabilities as of December 31, are as follows:

	2023	2022	2021
Provisions	$ 9,755	$ 8,663	$ 5,793
Liabilities for exits from multi-employer plans	2,033	2,075	2,370
Deferred compensation	846	1,022	1,206
Other	252	247	453
	$ 12,886	$ 12,007	$ 9,822

In the other non-current liabilities caption, the Company has recognized provisions for lawsuits of different nature that arise in the normal course of its operations. The liabilities related to tax uncertainties were also recognized under the same caption. Based on this assessment, the Company has recognized the following amounts:

Type	2023	2022	2021
Tax	$ 1,104	$ 1,146	$ 1,191
Labor	478	649	711
Civil	179	120	110
Other	28	79	1
Uncertain tax positions	7,966	6,669	3,780
Total	$ 9,755	$ 8,663	$ 5,793

The movements in the Company's provisions and liabilities related to uncertain tax positions as of December 31, are as follows:

	2023	2022	2021
Balance as of January 1	$ 8,663	$ 5,793	$ 4,919
Net increases	1,503	3,033	1,107
Payments	(170)	(113)	(177)
Effect of foreign exchange differences	(241)	(50)	(56)
Balance as of December 31	$ 9,755	$ 8,663	$ 5,793

As of December 31, 2023, the cumulative amount corresponding to tax, civil and labor lawsuits deemed as less than probable, but more than remote by the Company's internal attorneys is $379. However, the Company considers that such lawsuits will not have a material effect on its consolidated financial position or operating results.

Brazil:

As a result of the purchase of property, plant and equipment and intangible assets in Brazil in connection with the Firenze brand in 2008, the Company was subject to tax liens as the presumed successor to companies that participate in these actions. On January 7, 2021, the Company signed an agreement with the corresponding authorities related to the above process, which implies payments during 7 years following the signing of said agreement with the option to settle in advance at any time. As a consequence of the above, as of April 29, 2022, in advance the Company paid the total debit $310.

In addition, the Company has secured its labor and civil lawsuits with security deposits totaling $170, which are presented as part of other non-current assets.

Canada:

The Competition Bureau of Canada in 2017 started an investigation into alleged collusion between various participants of the baked goods industry, including Canada Bread, although to date no formal accusations have been charged against the Company. The Company is cooperating with the Canadian authorities in this process.

On July 20, 2023, the subsidiary Canada Bread made the payment for 50 million CAD, which was fully provisioned, corresponding to the fine imposed by the Superior Court of Justice of Ontario related to the investigation opened by the authority in matters of economic competition in 2017.

In addition, Grupo Bimbo and Canada Bread have been required in two class actions in connection with such investigation. Given the status of this legal process as of December 31, 2023, the Company has not recognized a provision related to this matter.

20. EQUITY

An analysis of the Company's equity as of December 31, 2023, 2022 and 2021 is as follows:

	2023		2022		2021	
	No. of shares	Amount	No. of shares	Amount	No. of shares	Amount
Fixed share capital:						
Series A	4,433,667,641	$ 3,984	4,475,068,991	$ 4,021	4,516,329,661	$ 4,059
Treasury shares	(41,576,201)	(38)	(41,401,350)	(37)	(41,260,670)	(38)
Total	4,392,091,440	$ 3,946	4,433,667,641	$ 3,984	4,475,068,991	$ 4,021

The Company's share capital has been fully subscribed and paid in. The Company's fixed share capital is represented by series "A" shares. The variable portion of the Company's share capital cannot exceed ten times the amount of minimum fixed share capital without right of withdrawal and must be represented by common registered series "B" shares with no par value and/or shares with limited voting rights and no par value of the series to be named when they are issued. Shares with limited voting rights cannot represent more than 25% of the Company's share capital.

i) At a regular shareholders' meeting held on April 26, 2023, the shareholders declared dividends of $3,458 (0.78 per share), which were paid out of the Net tax profits account (CUFIN, by its acronym in Spanish) in cash on May 18, 2023.

ii) At a regular shareholders' meeting held on April 26, 2023, the shareholders approved the cancellation of 41,401,350 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $37.

iii) At a regular shareholders' meeting held on November 17, 2022, the shareholders declared dividends of $2,882 ($0.65 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on November 28, 2022.

iv) At a regular shareholders' meeting held on April 27, 2022, the shareholders declared dividends of $2,909 ($0.65 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on May 19, 2022.

v) At a regular shareholders' meeting held on April 27, 2022, the shareholders approved the cancellation of 41,260,670 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $38.

vi) At a regular shareholders' meeting held on April 30, 2021, the shareholders declared dividends of $4,502 ($1 per share), which were paid out of the Net taxed profits account (CUFIN, by its acronym in Spanish) in cash on May 07, 2021.

vii) At a regular shareholders' meeting held on April 30, 2021, the shareholders approved the cancellation of 17,428,926 Series "A" shares held in Treasury, resulting in a share capital and treasury shares reduction of $15.

viii) Dividends paid to foreign individuals and corporations are subject to an additional 10% withholding tax. These tax withholdings are considered final income tax payments. Treaties to avoid double taxation may apply. The additional withholding tax is applicable to earnings generated since 2014.

ix) The Company's legal reserve is included in its retained earnings. In accordance with the Mexican Corporations Act, the Company is required to appropriate at least 5% of the net profit of each year to increase the legal reserve. This practice must be continued each year until the legal reserve reaches 20% of the value of the Company's share capital. The legal reserve may be capitalized but may not be distributed to the shareholders unless the Company is dissolved. Also, the legal reserve must be replenished if it is reduced for any reason. As of December 31, 2023, 2022 and 2022, the legal reserve is $500 (nominal amount) and it is fully constituted.

x) As of December 31, 2023, 2022 and 2021, retained earnings include the reserve for share repurchases; the total approved amount (at face value) of said reserve is $15,200.

xi) Except for earnings distributed from the Restated contributed capital account (CUCA, by its acronym in Spanish) and the CUFIN account, dividends will be subject to the payment of corporate income tax at the statutory rate at that time. Income tax paid on dividends may be credited against income tax payable (annual or in prepayments) in the year of payment or either of the two immediately subsequent years.

xii) As of December 31, the Company has the following tax balances:

	2023	2022	2021
Restated contributed capital account (CUCA)	$ 35,182	$ 33,924	$ 31,760
Net taxed profits account (CUFIN)	122,333	110,344	87,424

Other equity financial instrument

On April 17, 2018, Grupo Bimbo, S.A.B. de C.V. issued a perpetual subordinated bond of USD500 million with no maturity date. The issuer has the option to redeem the bond in full, but not partially, five years after the date of issuance. The bond bears annual interest of 5.95%, which is payable semi-annually in arrears on January 17 and July 17. Such coupons are deferrable at the Company's discretion.

This bond is subordinated to the existing and future liabilities of the Company and its subsidiaries and the coupons for the periods accrued by this instrument must be paid prior to any distribution of dividends.

On March 24, 2023, the Company announced the redemption of the perpetual subordinated bond in its first repurchase call, recognizing the following effects in equity prior to it being reclassified as debt:

Balance as of December 31, 2022 – Principal	$ 8,699
Issuance expenses	(58)
Repurchased (I)	(78)
Exchange fluctuation	281
Reclassification to debt	$ 8,844

(I) During March, 2023, the Company repurchased perpetual bond instruments in the secondary market for a nominal value of $78.

On April 17, 2023, the Company paid off the entire outstanding balance of the perpetual subordinated bond.

The value of the equity instrument as of December 31, is as follows:

	2022	2021
Perpetual subordinated bond - principal	$ 8,699	$ 9,044
Issuance expenses	(58)	(58)
	8,641	8,986
Current income tax	(544)	(124)
Deferred income tax	1	5
Perpetual subordinated bond – principal	$ 8,098	$ 8,867

As of December 31, 2023, 2022 and 2021, the Company made semi-annual coupon payments of $395, $649 and $621, respectively, and recognized an income tax effect of $(119), $(195) and $(187), respectively. Therefore, retained earnings decreased by $276, $844 and $434, respectively.

During 2022, the Company repurchased perpetual bond securities in the secondary market for a nominal value of $344, recognizing a decrease of $32 for exchange rate fluctuations in retained earnings.

21. COSTS AND EXPENSES BASED ON THEIR NATURE

An analysis of cost of sales and distribution, administrative, selling and other general expenses recognized in the consolidated statement of profit or loss for the years ended December 31 is as follows:

	2023	2022	2021
Cost of sales:			
Raw materials	$ 131,052	$ 129,454	$ 101,568
Salaries and benefits	34,234	33,342	31,438
Freight, fuel and maintenance	17,092	17,008	12,212
Depreciation	7,698	7,750	6,975
Professional services and consulting	1,514	1,665	1,711
Short-term and low value lease expense	1,342	1,125	1,002
Indirect taxes	1,031	988	933
Travel expenses	248	171	86
Other production expenses	158	1,822	1,778
	$ 194,369	$ 193,325	$ 157,703
Distribution, selling, administrative and other expenses:			
Salaries and benefits	$ 73,847	$ 74,128	$ 68,820
Freight, fuel and maintenance	41,373	43,729	35,251
Advertising and promotional expenses	15,066	14,218	12,907
Professional and consulting services	10,363	14,048	13,609
Depreciation and amortization	11,231	10,288	9,151
Logistics expenses	4,984	4,649	3,994
Remeasurement of multi-employer pension plans (MEPP)	175	(19,010)	(2,247)
Integration expenses	288	367	724
Indirect taxes	1,598	1,882	1,553
Restructuring expenses	2,959	1,657	2,059
Short-term and low value lease expense	2,626	1,394	1,151
Travel expenses	1,871	1,537	1,159
Other	3,674	2,798	378
	$ 170,055	$ 151,685	$ 148,509

22. OTHER EXPENSES, NET

As of December 31, are as follows:

	2023	2022	2021
(Gain) loss on sale of property, plant and equipment	$ (175)	$ 33	$ (187)
Impairment of goodwill (Note 12)	303	1,597	315
Impairment of trademarks and distribution rights (Note 11)	44	131	63
Impairment trademarks and r distribution rights reversal (Note 11)	(120)	(861)	-
Restructuring expenses	2,959	1,657	2,059
Labor obligations	-	22	19
Usufruct amortization	-	-	201
Other non-current assets amortization	112	196	106
Remeasurement of multi-employer pension plans (MEPP) (Note 18)	-	(18,697)	(2,005)
Provision for updating other non-current liabilities	175	(313)	(242)
Gain from acquisition in stages Other	(124)	-	-
Otros	1,256	926	(113)
	$ 4,430	$ (15,309)	$ 216

23. INTEREST EXPENSE

	2023	2022	2021
Interest on debt	$ 7,469	$ 5,006	$ 5,550
Interest on lease liabilities	1,476	1,328	1,238
Net interest on pension plans	411	627	394
Surcharges	403	483	3
Interest for updating MEPPs	-	303	230
Other finance costs	247	302	408
	$ 10,006	$ 8,049	7,823

24. DISCONTINUED OPERATION

As December 31, 2023, 2022 and 2021, the breakdown of the result from discontinued operations, which belonged to the geographic segment of Mexico, is as follows:

	2023	2022	2021
Net sales	$ -	$ 10,115	$ 10,075
Costs, general expenses and interest (1)	-	8,637	8,576
Profit before income tax	-	1,478	1,499
Profit on disposal of discontinued operation	(23)	22,038	-
Profit before income taxes for discontinued operation	(23)	23,516	1,499
Income tax for discontinued operation	-	346	245
Income tax for profit on disposal for discontinued operation	(7)	6,182	-
	(7)	6,528	245
Net profit later income tax for discontinued operation.	$ (16)	$ 16,988	$ 1,254

(1) Includes $164 of depreciation of property, plant and equipment and $80 of depreciation of rights of use.

As of November 1, 2022, the assets and liabilities attributable to the confectionery business are as follows:

	2022
Cash and equivalents	$ 442
Other current assets	3,137
Property, plant and equipment, net (Note 8)	2,356
Right-of-use assets, net (Note 9)	334
Intangible assets, net (Note 11)	1,130
Goodwill (Note 12)	549
Other non-current assets, net	126
Total assets	$ 8,074
Trade accounts payable	$ 1,447
Other accounts payable and accrued liabilities	1,610
Current lease liabilities (Note 9)	372
Employee benefits (1)	315
Other non-current liabilities	571
Total liabilities	$ 4,315
Assets disposal, net	$ 3,759
Price charged in cash (Note 1)	$ 25,797
Profit on disposal of discontinued operation	$ 22,038

(1) Includes $309 of pension plans and $6 of long-term bonds.

	2022	2021
Operating activities flows	$ 1,601	$ 652
Investing activities flows	$ (328)	$ (495)
Financing activities flows	$ (846)	$ (152)

25. COMMITMENTS

Guarantees and/or guarantors

1. Grupo Bimbo, S.A.B. de C.V. and some of its subsidiaries have issued letters of credit to guarantee certain ordinary obligations and contingent risks related to the labor obligations of some of its subsidiaries. As of December 31, 2023, 2022 and 2021, the value of such letters of credit is $3,822, $4,515, and $5,020, respectively.

2. As of September 2019, the Company acts as guarantor in voluntary payment program in North America between the suppliers and Bank of America, under which the suppliers discount their invoices. As of December 31, 2023, 2022 and 2021, the balance of $ 1,826,
$2,813 and $2,237, respectively, under this program is presented as part of trade payables.

3. The Company has created a trust that allows suppliers of its subsidiaries in Mexico to obtain financing through a factoring program operated by Nacional Financiera, S.N.C. (Nafinsa). As of December 31, 2023, 2022 and 2021, the liability payable to Nafinsa under this program totals $ 2,355, $3,233 and $1,734, respectively.

4. Additionally, it has a factoring contract with Banco Santander México, S.A., for the discount of invoices of the suppliers of its subsidiaries in Mexico, whose liability in favor of said financial institution amounts to $18 and $552 as of December 31, 2023 and 2022.

5. The Company entered into an energy self-supply contract which requires it to acquire certain amounts of renewable energy at a fixed price that will be updated based the National Consumer Price Index (NCPI). Although the contracts have the characteristics of a derivative financial instrument, they fall within the exception of "own-use"; therefore, they are recognized in the consolidated financial statements as the consumption of energy occurs. An analysis of the main characteristics of these contracts is as follows:

Country	Contracting date	Start date	Term	Energy commitments 2024	
Mexico	02/Dec/2008	01/Nov/2012	18 years	MXP	314.22
Argentina	05/Sep/2019	01/Jan/2020	15 years	USD	1.33
Chile	22/Feb/2020	01/Apr/2021	8 years	USD	1.17
Panama	22/Dec/2020	01/Jul/2021	5 years	USD	0.32
Colombia	22/Dec/2021	01/Jan/2022	8 years	USD	1.86
Brazil	03/Dec/2021	01/Jan/2022	3 years	USD	2.39
Ecuador	13/Apr/2022	01/Jun/2022	10 years	USD	0.54
Guatemala	30/Mar/2023	01/Apr/2023	10 years	USD	0.50
Peru	30/Jun/2023	01/Jul/2023	3 years	USD	0.27

6. On March 30, 2018, the Company, through BBU, entered into a virtual wind energy supply agreement in the United States for a term of 12 years, which is recognized as a financial asset measured at fair value through profit or loss, net of the related deferred gain, which will accrue over the term of the agreement.

As of December 31, 2023, 2022 and 2021, the net financial asset/(liability) of $852, $789 and $336, respectively, is recognized as part of other non-current assets/(liabilities). In 2023, 2022 and 2021, the Company recognized $59, $67 and $68, respectively, under comprehensive financing cost corresponding to the amortization of the liability, and
$(140), $(587) and $(512), respectively, for changes in the fair value of assets/(liabilities).

7. On February 1, 2021, the Company, through Canada Bread, entered into a virtual wind and solar energy supply agreement in Canada for a term of 15 years, which will be recognized as financial asset measured at fair value through profit and loss net of the effects of the associated deferred income and that will be accrued during the term of the contract. The start date of operation of this contract will be on November 1, 2023 and January 1, 2025, respectively.

26. SEGMENT INFORMATION

The information used by Company management for purposes of resource allocation and assessment of segment performance is focused on four geographical areas: Mexico, North America, Latin America and EAA.

The Company considers that the qualitative and quantitative aspects considered for grouping of operating segments described above have a similar nature for all of the periods presented and show a similar performance in the long-term. The key factors evaluated for the appropriate aggregation of the operating segments include but are not limited to: (i) similar customer base, (ii) similar product nature, (iii) production and distribution process characteristics, (iv) similar governments, (v) inflation trends and (vi) monetary trends.

An analysis of the primary data by geographical area in which the Company operates for the years ended December 31 is as follows:

	2023					
	MExico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 145,387	$ 192,534	$ 36,647	$ 40,545	$ (15,234)	$ 399,879
Sales between segments	(14,643)	(463)	(63)	(65)	15,234	-
Consolidated net sales	$ 130,744	$ 192,071	$ 36,584	$ 40,480	$ -	$ 399,879
Operating profit [1]	$ 21,882	$ 11,175	$ 1,294	$ 326	$ 778	$ 35,455
Depreciation and amortization [5]	$ 5,524	$ 8,946	$ 2,215	$ 2,244	$ -	$ 18,929
Impairment of non-current assets	$ 78	$ (79)	$ 22	$ 362	$ -	$ 383
Other items not affecting cash flows	$ -	$ 175	$ -	$ -	$ -	$ 175
Adjusted EBITDA [1] [2]	$ 27,484	$ 20,217	$ 3,531	$ 2,932	$ 778	$ 54,942
Net profit - Equity holders of the parent	$ 13,704	$ 3,522	$ 494	$ 222	$ (2,465)	$ 15,477
Income tax	$ 7,316	$ 1,156	$ 232	$ (344)	$ 26	$ 8,386
Interest income	$ 2,673	$ 515	$ 752	$ 33	$ (3,164)	$ 809
Interest expense [3]	$ 8,380	$ 3,905	$ 716	$ 169	$ (3,164)	$ 10,006
Total assets	$ 96,617	$ 175,929	$ 32,882	$ 49,988	$ (7,314)	$ 348,102
Total liabilities	$ 128,027	$ 83,133	$ 14,057	$ 14,634	$ (3,377)	$ 236,474
Purchase of property, plant and equipment	$ 18,944	$ 7,397	$ 5,857	$ 2,556	$ -	$ 34,754

	2022					
	MExico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 130,401	$ 205,674	$ 38,411	$ 37,536	$ (13,316)	$ 398,706
Sales between segments	(12,873)	(391)	(12)	(40)	13,316	-
Consolidated net sales	$ 117,528	$ 205,283	$ 38,399	$ 37,496	$ -	$ 398,706
Operating profit [1]	$ 18,824	$ 33,263	$ 1,087	$ (486)	$ 1,008	$ 53,696
Depreciation and amortization [5]	$ 4,424	$ 9,248	$ 2,278	$ 2,088	$ -	$ 18,038
Impairment of non-current assets	$ 72	$ (890)	$ 46	$ 1,024	$ -	$ 252
Other items not affecting cash flows	$ -	$ (19,010)	$ 22	$ -	$ 448	$ (18,540)
Adjusted EBITDA [1] [2]	$ 23,320	$ 22,611	$ 3,433	$ 2,626	$ 1,456	$ 53,446
Net profit - Equity holders of the parent	$ 46,221	$ 21,579	$ (349)	$ (658)	$ (19,883)	$ 46,910
Income tax	$ 7,001	$ 6,834	$ 253	$ 99	$ 194	$ 14,381
Interest income	$ 2,750	$ 570	$ 33	$ 38	$ (2,651)	$ 740
Interest expense [3]	$ 7,107	$ 2,905	$ 685	$ 3	$ (2,652)	$ 8,048
Total assets	$ 89,070	$ 191,504	$ 31,557	$ 49,033	$ (13,400)	$ 347,764
Total liabilities	$ 117,136	$ 78,602	$ 13,729	$ 13,909	$ (3,214)	$ 220,162
Purchase of property, plant and equipment	$ 13,853	$ 8,291	$ 4,553	$ 1,972	$ -	$ 28,669

	2021					
	MExico	North America	Latin America	EAA	Eliminated on consolidation	Total
Net sales	$ 109,089	$ 175,369	$ 31,109	$ 34,195	$ (10,970)	$ 338,792
Sales between segments	(10,507)	(335)	(25)	(103)	10,970	-
Consolidated net sales	$ 98,582	$ 175,034	$ 31,084	$ 34,092	$ -	$ 338,792
Operating profit [1]	$ 16,731	$ 15,171	$ 78	$ 292	$ 308	$ 32,580
Depreciation and amortization [5]	$ 3,907	$ 8,470	$ 1,687	$ 2,062	$ -	$ 16,126
Impairment of non-current assets	$ 133	$ 57	$ 142	$ 350	$ -	$ 682
Other items not affecting cash flows	$ -	$ (2,246)	$ 19	$ -	$ 211	$ (2,016)
Adjusted EBITDA [1] [2]	$ 20,771	$ 21,452	$ 1,926	$ 2,704	$ 519	$ 47,372
Net profit - Equity holders of the parent	$ 16,544	$ 8,864	$ (1,227)	$ (729)	$ (7,536)	$ 15,916
Income tax	$ 5,320	$ 2,699	$ 343	$ 149	$ 215	$ 8,726
Interest income	$ 826	$ 99	$ 56	$ 29	$ (647)	$ 363
Interest expense [3]	$ 6,252	$ 1,685	$ 436	$ 97	$ (647)	$ 7,823
Total assets	$ 78,386	$ 202,347	$ 30,121	$ 45,860	$ (19,074)	$ 337,640
Total liabilities	$ 111,439	$ 100,225	$ 13,191	$ 12,499	$ (1,320	$ 236,034
Purchase of property, plant and equipment	$ 6,913	$ 8,550	$ 3,065	$ 2,143	$ -	$ 20,671

(1) Does not include intercompany royalties.
(2) The Company determines the Adjusted EBITDA as operating profit plus depreciation, amortization, impairment and other non-cash items, mainly the adjustments for valuation of MEPPs. Adjusted EBITDA differs from Conformed EBITDA mentioned in Note 13.
(3) Includes monetary position gains and losses.
(4) Until October 31, 2022, the Mexico segment included the assets and liabilities attributable to the assets and liabilities of the confectionery business.
(5) Depreciation and amortization in the consolidated statement of cash flows includes $244 corresponding to the discontinued operation.

For the years ended December 31, 2023, 2022 and 2021, sales to the Company's largest customer represent 17.77%, 15.20%, and 15.30%, respectively, of the consolidated net sales of the Company, which correspond mainly to the Mexico, USA and Canada regions. There are no other customers whose sales exceed 10% of the Company's total consolidated sales.

27. SUBSEQUENT EVENTS

International bonds issuance

On January 4, 2024, the Company, through its subsidiary Bimbo Bakeries USA, Inc., issued a bond under Rule 144 A and Regulation S of the Securities and Exchange Commission (SEC) with a tranche of USD800 million, maturing in 2036 and bearing a fixed interest rate of 5,375% payable on a semi-annual basis.

Additionally, on that same date, it executed a reopening of the International Bond initially issued on November 2, 2023, thus obtaining an additional USD450 million, which are subject to the same conditions of the original issue and increasing the total amount to USD900 million.
The settlement of both transactions took place on January 9, 2024. These issues are guaranteed by Grupo Bimbo, Bimbo S.A. of C.V. and Barcel, S.A. of C.V.

Business acquisition – Romania

On February 29, 2024, through two of its subsidiaries, the Company acquired a 100%-stake in four Romanian companies, dedicated to the production and distribution of bread, cookies and fresh pastries. The segment that will group this business will be EAA. This acquisition was settled with the resources from the issuance of the international bond issued in January 2024.

For this acquisition, the determination of the fair values of the assets acquired and liabilities assumed will be carried out in the coming months in accordance with those established in IFRS 3 Business Combinations.

28. AUTHORIZATION OF THE CONSOLIDATED FINANCIAL STATEMENTS

On March 20, 2024, the accompanying consolidated financial statements were authorized by the Company's Chief Executive Officer, Daniel Servitje Montull, and the Board of Directors. Consequently, these consolidated financial statements do not reflect the facts and circumstances that occurred after that date and are subject to the approval of the Shareholders Meeting, who have the authority to modify these consolidated financial statements in accordance with the Mexican Corporations Act.

for more information

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STOCK EXCHANGE
Bolsa Mexicana de valores (BMV)

BMV TICKER
BIMBO

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